2024

OREGON LEGISLATION HIGHLIGHTS

Oregon State Bar

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Many bills passed during the 2024 session have special effective dates. These dates are noted in the description of each bill.

If a special effective date is not proscribed in a bill, the bill takes effect on January 1, 2025.

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FORWARD

The annual *Oregon Legislation Highlights* offers a timely and authoritative resource to help lawyers catch up on the latest legislative developments.

This book highlights approximately 30 bills and other measures that were passed by both houses of the legislature. This book does not describe all enacted legislation.

Unless otherwise noted, all legislation takes effect on January 1, 2025.

The information in this book is organized into chapters by subject. If a bill has a special effective date, that date is noted at the end of the discussion of that bill. Please note that in some cases a bill may have more than one effective date. If in doubt about the effective date of a law, always check the enacting legislation.

Each bill is identified – in the chapter outline and in the text – by its bill number and its 2024 Oregon Laws chapter number. A table of bill numbers and Oregon Laws chapter numbers appears at the end of the book.

The Oregon legislature's website offers additional information that the reader of this book may find useful. Individual bills are hyperlinked to that bill's page in the Oregon Legislative Information System, which contains additional information on that bill. This includes measure summaries written by legislative staff, and in some cases supporting documentation submitted during committee hearings. See www.oregonlegislature.gov for more information.

We are grateful to all who were involved in preparing this book. We are especially appreciative of the efforts of our volunteer authors, who take time away from their practices to contribute to this publication and without whom this book would not be possible.

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Chapter 1 -- Commercial, Consumer and Debtor-Creditor Law

The Oregon State Bar would like to thank OSB member Emily Templeton for her contribution to this chapter.

1. SB 1595 (Chapter 100) Debt Collection

SB 1595 was aimed at bolstering consumer protections and easing debt collection for consumers.

The bill, often identified as the Family Financial Protection Act, introduces several key provisions designed to ensure fairness and transparency in debt collection processes. One notable aspect of the law is its emphasis on safeguarding consumers from abusive and harassing debt collection practices.

Several important provisions of the bill include:

- Increasing the amount of wages that are protected from garnishment;
- Protecting $2,500 in someone's bank account so they can pay for their basic needs, like rent, while paying off debt;
- Increasing protections to prevent Oregonians from losing their homes during debt collections;
- Extending the amount of time consumers have to file a complaint against a debt collector to 3 years from the date of injury;
- Protecting consumers from unfair attorney fees resulting from civil lawsuits for unlawful collections practices.

SB 1595 took effect on April 4, 2024.

2. SB 1596 (Chapter 69) Right to Repair

SB 1596 was passed to reduce waste as a component of Oregon's 2050 Vision and Framework for Action.

The bill requires the original manufacturer of electronic equipment (e.g., computers, video game consoles) to make available to an owner or an independent repair provider on fair and reasonable terms any documentation, tool, part or other device or implement that the original equipment manufacturer makes available to an authorized service provider for the purpose of diagnosing, maintaining, repairing or updating consumer electronic equipment that the original equipment manufacturer makes or sells.

For consumer electronic equipment first sold after January 1, 2025, the bill also prohibits a number of practices aimed at making repair more difficult,

including acts intended to discourage using replacement parts or components not approved by the manufacturer.

SB 1596 takes effect on January 1, 2025. However, some provisions of the bill have later operative dates.

Chapter 2 -- Criminal Law

The Oregon State Bar would like to thank OSB member Gillian Fischer for contributing this chapter.

1. SB 1553 (Chapter 58) Interfering With Public Transportation

SB 1553 adds a new set of elements to establish the crime of Interfering with Public Transportation.

Under the bill if a person knowingly ingests, inhales, ignites, injects or otherwise consumes a controlled substance that is not lawfully possessed by the person, while on a public transit vehicle, the person commits the crime of Interfering with Public Transportation. Interfering with Public Transportation in this particular manner constitutes a Class A misdemeanor.

SB 1553 takes effect on January 1, 2025.

2. SB 1574 (Chapter 63) Public Safety

SB 1574 was a large omnibus public safety bill that made both changes to substantive criminal law, and changes to administrative requirements of public safety agencies. Some of the major changes include:

Driving While Suspended

The bill creates a new statute, apart from the Oregon Evidence Code, that requires a court to admit into evidence data prepared or recorded by the Department of Transportation that details the suspension of a person's driving privileges.

Hit and Run

In general, Oregon's various "hit and run" statutes (properly "Failure to Perform the Duties of a Driver) apply to highways and other "premises open to the public". SB 1574 modified the provisions of these statues to cover collisions that occur in additional places. For the purposes of ORS 811.700, the bill expands the scope of the statue to include physical area adjacent to highways or premises open to the public. For the purpose of ORS 811.705, the bill makes the statute applicable to any collision caused by the motion of a vehicle that results in injury or death.

Interest on Lawyer Trust Accounts

The bill also created the Oregon Public Defense Commission (OPDC) Lawyer Trust Account within the State Treasury. Under both statute and the OSB

Rules of Professional Conduct, Oregon lawyers who potentially hold client funds are required to keep such funds in a lawyer trust account.

Beginning with the passage of SB 337 in 2023, some trial level public defense providers will be state employees. However, state agencies are required to keep funds within the State Treasury, and are not permitted to set up ad hoc accounts at traditional banks. Therefore statutory authority was required to allow the OPDC to set up a trust account for these attorneys and allow them to comply with their IOLTA requirements.

SB 1574 took effect on March 27, 2024.

3. SB 1580 (Chapter 66) Workers Compensation Fraud

SB 1580 provides that an employer commits a Class A misdemeanor if the employer, with the intent to decrease the employer's premium for coverage under ORS Chapter 656, knowingly submits a false payroll report to the Workers' Compensation Board, the Workers' Compensation Board chairperson, the Director of the Department of Consumer and Business Services, the corporation or an insurer.

The bill applies to conduct occurring on or after March 27, 2024.

4. HB 4002 (Chapter 70) Ballot Measure 110 Omnibus Bill

HB 4002 was the legislatures omnibus bill meant to address Oregon's ongoing drug enforcement difficulties in the wake of Ballot Measure 110. The bill rolled back some provisions of BM 110, including re-criminalizing possession of controlled substances, and diverted significant state resources into new drug treatment options.

Intent to Deliver Controlled Substances

Section 24 of the bill is the "*State v Boyd* fix". Prior to this bill, Oregon law defined the delivery of a controlled substance as:

> "the actual, constructive or attempted transfer, other than by administering or dispensing, from one person to another of a controlled substance." ORS 475.005(8)

The term "attempted transfer" is not defined in Oregon law, but had been governed by the ruling in *State v. Boyd* 92 Or App 51 (1988). In that case the Court of Appeals construed the phrase "attempted transfer" by applying principles of liability for the inchoate crime of attempt, ORS 161.405(1), whereby a person who intentionally takes a "substantial step" toward committing a crime is liable for

attempting the crime. Thus, a person who possessed a large enough amount of a controlled substance, combined with other evidence of an intent to transfer could be found to have attempted to transfer the controlled substance.

In *State v Hubbell* (2023), the Oregon Supreme Court affirmed a decision of the Oregon Court of Appeals overturning *Boyd*, and finding that such evidence was insufficient to constitute "delivery".

Section 24 of HB 4002 amends the definition of "delivery" to include "possession with an intent to deliver", essentially codifying the original holding in *Boyd*.

Drug Enforcement Misdemeanors

The bill reclassifies numerous unlawful possession provisions in ORS Chapter 475 from violations to misdemeanors. In addition, the bill creates a new misdemeanor treatment regime which permits sentences of incarceration, but generally favors referring defendants to treatment.

The bill provides that the court may sentence a defendant to up to 180 days in jail, but if the court declines to do so requires that the defendant be sentenced to 18 months of probation. The bill permits structured jail sanctions for violations of probation. Additionally, the bill provides that if probation is revoked, the court may sentence the defendant to up to 180 days in jail with the option of early release to a drug treatment program, for which the defendant would receive day for day credit on their sentence.

Deflection

The bill also encourages law enforcement agencies and district attorneys, in lieu of arrest or prosecution of persons unlawfully in possession of a controlled substance constituting a drug enforcement misdemeanor, to refer or divert a person to a deflection program. The bill defines "deflection program" as a collaborative program between law enforcement and behavioral health systems that assist individuals who may have substances use disorder, another behavioral health disorder, or co-occurring disorders, to create community-based pathways to treatment, recover support services, housing, case management, or other services.

The bill directs the Oregon Criminal Justice Commission to study and develop best practices for deflection programs that can be implemented around the state. To help facilitate the future use of deflection programs, the bill allows citations for the misdemeanor crime of possession of a controlled substance to

include the date on which a person is directed to appear in court to be more than 30 days after the date the citation was issued.

Other provisions of the bill include:

- The Chief Justice of the Supreme Court, with input from a criminal justice advisory committee appointed by the Chief Justice, shall reevaluate and update the release guidelines for the pretrial release orders established under ORS 135.233 for persons arrested for or charged with delivery or manufacture of a controlled substance.
- The bill requires the sealing or expungement of records related to a person's conduct constituting a drug enforcement misdemeanor constituting PCS when various conditions are met.

HB 4002 took effect on April 1, 2024. New misdemeanor PCS provisions apply to conduct occurring on or after that date. Other provisions of the bill continue differing operative dates. Practitioners should confirm operative dates when appropriate.

5. HB 4043 (Chapter 30) Offences Against Animals

HB 4043 makes several substantive and clarifying changes to existing statutes prohibiting the abuse of animals.

Under prior law, a person convicted of any of several animal abuse statutes was prohibited from possessing an animal of the same genus, or any domestic animal, for up to 15 years. The bill expands this to a include a prohibition against residing with such an animal. The bill also modifies the process for filing a motion to terminate such a prohibition, and the standards by which the court may decide to grant such a motion.

The bill also creates a new crime of interfering with an investigation into an offense against an animal as a Class A misdemeanor. A person commits the new crime if the person intentionally or knowingly conceals an animal, transports an animal or takes other action to prevent a peace officer or a licensed veterinarian from examining an animal suspected of being the subject of abuse.

HB 4043 took effect on June 6, 2024.

6. HB 4146 (Chapter 42) Restraining Orders and Unlawful Dissemination

HB 4146 address two separate issues.

First, the bill amends the crime of Unlawful Dissemination of an Intimate Image (ORS 163.472) to remove the requirement image of the other person be "identifiable". The bill also deletes the statutory definition of "identifiable" which was defined to mean that a reasonable person would be able to recognize the individual depicted in the image as the victim. This change was made because in many cases a victim would not be identifiable under a reasonable person standard, but would in fact be identifiable to members of their community based on contextual clues in the photo. This stumbling block was reported to have hindered some prosecutions.

Separately, HB 4146 permits a restraining order to be filed in the county in which the abuse asserted occurred. Under the prior statute, the petition had to be filed in a county in which either the petitioner or responded resided.

HB 4146 took effect on March 27, 2024.

7. HB 4156 (Chapter 90) Stalking Orders

Under prior law, the crime of Stalking (ORS 163.732) is a Class A misdemeanor, unless the defendant had a prior conviction for stalking, or for violation of a court's stalking protective order, in which case it is a Class C felony.

HB 4156 expands the circumstances under which stalking is a felony to include situations where the defendant had a prior conviction for an equivalent crime in another jurisdiction, when the defendant is a respondent in an active protection order in another jurisdiction, or when the unwanted contact at issue constitutes the commission of unlawful dissemination of an intimate image, unlawful use of a global positioning system, or any felony.

The bill makes substantially the same changes to the crime of violating a court's stalking protective order. The bill also adds several new categories of behavior to the definition of "contact".

HB 4156 took effect on July 1, 2024.

Chapter 3 -- Employment Law

1. SB 1515 (Chapter 20) Employment Leave Laws

SB 1515 makes numerous changes to Paid Leave Oregon, the Oregon Family Leave Act (OFLA), and other related statutes. The major purpose of the bill was to better align these statutes, and reduce conflicting or duplicative leave provisions that had proven confusing to both employers and employees.

Among the major changes, the bill:

- Removes the16 week leave cap per benefit year for leave taken in any combination under both Paid Leave Oregon and Oregon Family Leave Act (OFLA.)
- Removes unpaid, protected leave to care for self or a family member with a serious health condition and unpaid, protected leave to care for an infant or newly adopted or newly placed foster child under OFLA.
- Modifies sick child leave under OFLA to include all illnesses, injuries, or conditions that require home care.
- Specifies that leave taken under OFLA is in addition to leave taken under Paid Leave Oregon.
- Reduces bereavement leave under OFLA to maximum of four weeks in any one-year period.
- Removes additional 12 weeks of sick child leave currently permitted if employee has taken bonding leave.
- Specifies that an employee may begin OFLA leave without prior notice when employee is taking pregnancy disability leave.

Even with the passage of SB 1515, the interaction between various Oregon leave laws remains complex, and practitioners should check the relevant statute when appropriate.

SB 1515 took effect on March 20, 2024.

2. HB 4004 (Chapter 1) Child Labor Penalties

HB 4004 increases the maximum civil penalty for violation of child labor laws from $1000 to $10,000. In addition, the bill repeals provisions that previously prohibited the Bureau of Labor and Industries from imposing a civil penalty for a violation, if that person has already paid a penalty to the United States Department of Labor for an offense arising out of the same factual circumstances as the matter

before the commissioner. Likewise, the bill repeals the requirement that BOLI refund a previously paid penalty if a penalty is imposed by the US Department of Labor.

HB 4004 took effect on June 6, 2024.

3. HB 4045 (Chapter 101) Public Employees Retirement System

HB 4045 makes several changes to the Public Employees Retirement System (PERS) benefits for Police and Firefighters.

The bill adds district attorneys, forensic scientists, and evidence technicians employed by the Department of State Police to definition of "police officer" under PERS. Deputy district attorneys were added to the same category in HB 2054 (2023), but that bill did not include the elected DA in each county.

Among other changes, the bill also creates a new class of "hazardous positions" under the Oregon Public Service Retirement Plan, who are entitled to higher final benefits. HB 4045 takes effect on January 1, 2025.

4. HB 4115 (Chapter 84) Supervisory Employees

HB 4115 makes several changes to the definition of "supervisory employee" that effects public employees in several public safety professions. The bill specifically addresses employees at correctional institutions, the state mental hospital, members of law enforcement, and employees of the Criminal Justice Division at the Oregon Department of Justice.

HB 4115 took effect on April 4, 2024.

5. HB 4127 (Chapter 36) Warehouse Workers

HB 4127 addresses quotas on work performed by warehouse workers. The bill creates a new definition of "quota" in ORS Chapter 653 that the employee is "required to perform at a specified productivity or speed, perform a quantified number of tasks or handle or produce a quantified number of materials, within a defined time period".

The bill creates new requirements that employers provide employees with written documentation summarizing any quota to which the employee is subject. This information must include both the nature of the quota itself and the potential consequences the employee could face for failure to meet the quota. The written documentation must be provided in the language that the employer regularly uses to communicate with the employee.

HB 4127 takes effect on January 1, 2025.

Chapter 4 -- Energy and Environment

The Oregon State Bar would like to thank OSB members Teryn Yazdani and Andrea Moore for their contributions to this chapter.

1. HB 4015 (Chapter 25) Battery Energy Storage Systems

HB 4015 adds flexibility to siting stand-alone battery energy storage systems. It will permit a developer of a facility or the governing body of a local government, after consulting with the developer, to elect to defer regulatory authority to the Energy Facility Siting Council (EFSC) for the siting of a battery energy storage system. This bill also permits a person who wants to build a battery storage system to choose to use the EFSC for the siting and permits a battery energy storage system to be built and run without its own site certificate if the system is subject to another energy facility's site certificate.

HB 4015 takes effect on June 6, 2024.

2. HB 4080 (Chapter 31) Offshore Wind Energy Development and Labor Standards

HB 4080 provides labor standards on wind development projects in Oregon, while offering a collaborative framework for local participation in the federal approval processing for wind projects.

The law directs the Department of Land Conservation and Development to create a roadmap that defines a uniform standard for wind energy development processes in conformity with the state's policies and industry labor and supply chain standards. The new standards require that contractors either be an Oregon Bureau of Labor & Industries (BOLI) registered training agent, in addition to other specific requirements, or sign a project labor agreement and labor peace agreement.

This roadmap must define standards that must be considered in the development of offshore wind and include important considerations to support:

- Effective engagement with stakeholders;
- Local coastal communities, and regional communities;
- Creating economic opportunities and sustaining local and regional economies;
- Creating an offshore wind energy workforce;
- Protecting tribal cultural and archaeological resources, culturally significant viewsheds, and other tribal interests;

- Protection of the environment and marine species; and
- Achieving state energy and policy objectives. This bill also highlights strong labor requirements for renewable energy projects.

HB 4080 took effect on March 27, 2024.

3. HB 4083 (Chapter 79) Coal Divestiture

HB 4083 directs the Oregon Investment Council and the State Treasurer to make efforts to eliminate certain investments in thermal coal companies and remove thermal coal from the Treasury's investment portfolio. It states that divestments must be accomplished without monetary loss to investment funds and that investments may be retained in a thermal coal company that is transitioning to clean energy.

HB 4083 takes effect on January 1, 2025.

Chapter 5 --Housing and Construction

The Oregon State Bar would like to thank OSB member Bob O'Halloran and Camille Sakamoto for their contributions to this chapter.

1. SB 1537 (Chapter 110) Housing Supply

SB 1537 launches new programs and makes numerous changes to existing law with the aim of increasing the residential housing supply in Oregon.

Among the important provisions of the bill, it creates a new Housing Accountability and Production Office, and directs the office to investigate housing law violations. The bill addresses the process for enforcement orders and allowable actions cities may take to address the basis for an enforcement order.

The bill creates an opt in process when housing regulations are amended – allowing applicants to proceed under either the rules in place when the application was made, or under more favorable rules if adopted after the application is filed. The bill allows awards of attorney fees in Land Use Board of Appeals cases, for prevailing applicants for the development of affordable housing.

HB 1537 took effect on June 6, 2024, but different sections of the bill may have other operative dates.

2. SB 1575 (Chapter 112) Duty to Defend for Design Professionals

Following long term negotiations between design professionals, local governments, and construction industry groups over multiple legislative sessions, stakeholder reached a compromise for limiting the "duty-to defend" for design professionals on construction projects.

Limited only to state public works projects where the design professional is in privity with the public agency, the bill removes the contractual risk of design firms from being required to defend against third-party claims unless the liability or fault of the designer is first established. Public bodies are now proscribed from contractually requiring that a person or entity providing architectural, engineering, photogrammetric mapping, transportation planning, land surveying services or related services defend the public body against a claim for professional negligence and relating to the professional services provided by the design professional. The act does not apply, to federal or private projects.

SB 1575 takes effect on January 1, 2025.

3. HB 4006 (Chapter 2) Retainage

This bill makes a "fix" to the interest-bearing escrow account requirement passed by the legislature in 2019. The bill requires owners and agencies to accept surety bonds in lieu of retainage for large commercial or public improvement contracts akin to the State of Washington's law.

HB 4006 includes a "good cause" exception to the general rule, but the owner or agency must make written findings that are based on "unique project circumstances," rather than general preferences for escrow accounts. This bill further extends to subcontractors and suppliers who submit surety bonds in lieu of retainage to any prime contractor already approved to deposit surety bonds in lieu of retainage.

Finally, the bill also repeals the requirement that a public or private contracting party place retainage in an interest-bearing escrow account when the contract price exceeds $500,000, but rather maintains the option for contractors who do not deposit a surety bond in lieu of retainage to request that cash retainage be deposited into an interest-bearing account or accumulate interest at the specified rate of 2.5%.

HB 4006 took effect on March 7, 2024.

4. HB 4026 (Chapter 10) Urban Growth Boundary

SB 1069 amends ORS 90.155 and related statutes to permit residential landlords and tenants to serve notices by email, if the parties agree to do so by separate written addendum to the rental agreement.

SB 1069 also allows landlords to return funds to tenants, including security deposits and rent refunds, by electronic means, if the parties have agreed to such electronic delivery in a written agreement. Significantly, however, notices terminating a tenancy, if served by email, must also be served by first class mail.

SB 1069 takes effect on January 1, 2024.

5. HB 4063 (Chapter 102) Residential Housing

HB 4063 is one of several bills passed during the 2024 legislative session aimed at increasing the supply of housing in Oregon. Among the changes in this bill, it expands the scope of the Oregon Housing Needs Analysis to apply to unincorporated lands within the Metro urban growth boundary. That framework was established in HB 2001 in 2023.

The bill also addresses a circumstance whereby a local government adopts development standards that are less stringent or otherwise more favorable to

developers, after an application has been made for a residential development project. Previously an applicant would have to reapply under the new rules to receive such a benefit. Under HB 4063, the applicant can “opt-in” to the amended local standards, without the need to reapply.

HB 4063 also deletes provisions of ORS 696.805(7) that were found to be unconstitutional by the US District Court. In 2021, the Oregon Legislature passed HB 2550, which prohibited so-called “Love Letters” where purchasers would sometimes choose to submit to sellers of residential property when making an offer to purchase, in an effort to persuade the seller to choose their offer among others. The language prohibiting these “nontraditional communications” had remained in statute, but was not enforceable.

HB 4063 took effect on June 6, 2024.

Chapter 6 -- Litigation and Judicial Administration

I. LEGISLATION

1. SB 1541 (Chapter 57) New Circuit Court Judgeships

SB 1541 created three new judgeships in the Oregon Circuit Court. Two of these positions, one each in Jackson County and Washington County take effect in July of 2024. The third position is in Clackamas County and takes effect in July of 2025. The Clackamas County position was delayed because the county is still in the process of building a new courthouse.

The number of judges in each county is set in statute, requiring the Oregon Legislature to regularly create new positions as county populations grow.

SB 1541 took effect on July 1, 2024.

2. SB 1576 (Chapter 64) Recreational Immunity, Court Records

SB 1576 was a bill supported by the Oregon Department of Justice, and ultimately addressed three separate issues.

First, the bill clarifies that the Attorney General may disclose material obtained during investigations of consumer data privacy violations to persons employed by the Attorney General. Previously the statute permitted disclosure to "employees" of the Attorney General, but it was unclear whether this term applied to investigators working under contract.

Second, the bill creates a new statute addressing the confidentiality of court records related to the settlement of a minor's claim. The new provision provides that

> A court record relating to the settlement of a minor's claim approved under ORCP 27 I is confidential and may not be disclosed, except pursuant to a court order issued for good cause shown. Good cause for purposes of this section includes, but is not limited to, a showing that the claimant is no longer a minor.

Finally, the bill creates stopgap rules addressing "Recreational Immunity" that will apply until January 2, 2026.

Oregon's Recreational Immunity laws (ORS 105.672 to 105.696) generally provide immunity to landowners, including local governments, from claims of personal injury or property damage when the landowner has made the land available to the public for recreational purposes without a fee, and the claim arises from a person's use of the land for the principal purpose of recreation. However, the Oregon Court of Appeals recently found that this immunity does not apply to

improved trails that are not used for recreation themselves, but are instead used to access other lands that the person intends to use for recreational purposes. This decision has resulted in some local governments and other landowners closing some trails.

SB 1576 allows all local governments to opt into ORS 105.668, which instead limits liability from ordinary negligence claims arising from the use of trails or structures on public easements or unimproved rights of way by foot, horse, bicycle or other nonmotorized means. The bill further adds immunity to ORS 105.688 for improved paths, trails, roads and other rights of way that are used to access land for recreational purposes, and makes other changes.

However, the new provisions only apply to actions commenced between March 27, 2024 (the effective date of the bill) and January 2, 2026, after which the new provisions will sunset. It is anticipated that the Legislature will consider more permanent changes to the Recreational Immunity statutes during the 2025 Legislative Session.

SB 1576 took effect on March 27, 2024.

3. HB 4001 (Chapter 23) Task Force on Specialty Courts

HB 4001 created a Task Force on Specialty Courts, and directed the task force to report back to the legislature with any recommendations by November 15, 2024. Specialty courts have become relatively common in Oregon, but there use is somewhat ad hoc, and how specialty courts function varies from county to county.

The bill directed the task force to study four related issues:

- Identification of the most appropriate funding mechanism to ensure long-term stability of specialty courts within this state.
- Determining the administrative and funding balance between the Oregon Criminal Justice Commission and the Judicial Department.
- Determining whether specialty courts currently use the right eligibility metrics, including whether current metrics are accurately capturing those individuals who would benefit from a drug court program.
- Identification of the appropriate accountability mechanism to ensure that specialty courts are operating according to the standards of the commission.

The bill took effect upon March 27, 2024 and will sunset on December 31, 2024.

4. HB 4020 (Ch. 27) Courthouse Funding

HB 4020 makes a small but important modification to the statute that governs who may be required to take a course for a commission as a notary public.

Currently the Secretary of State only has the authority to require that the course be taken by a person who does not currently hold a commission in Oregon. This means that if a person reapplies for a license while currently licensed, taking the course is voluntary. HB 4020 will allow the Secretary of State to make such courses mandatory for current notaries public.

HB 4020 takes effect on January 1, 2025.

5. HB 4056 (Chapter 77) *Tyler v. Hennepin Fix*

HB 4056 was the Oregon Legislature's response to the United States Supreme Court ruling *in Tyler v. Hennepin County, Minnesota,* 598 U.S. 631 (2023). In that case the court ruled that an individual property owner has a property right to surplus proceeds from the sale of property that was foreclosed upon after a property tax lien was imposed by the government. In Oregon, as in many states, it had been the practice of some local governments to keep such surplus proceeds from these sales.

HB 4056 requires counties to establish a uniform process to determine when surplus proceeds exist, to provide appropriate notice to interested parties, and to ultimately return the funds to the appropriate individuals. The bill also requires the Department of Revenue to work with counties to develop this uniform statewide process.

HB 4056 is essentially prospective only. The bill as passed does not address current litigation regarding surplus proceeds from past sales that are potentially owned to former property owners.

HB 4056 took effect on June 6, 2024.

II. Uniform Trial Court Rules Changes

A number of new UTCR changes took effect during 2024. Most of these changes went into effect on August 1, 2024, but some had earlier effective dates. Below are some of the more significant changes.

1. UTCR 1.210 Application Of UTCRs To Licensed Paralegals

UTCR 1.210 is a new rule that provides that when the UTCRs refer to an "attorney", unless the context requires otherwise, the rule will also apply to a

licensed paralegal who is representing a party within the scope of the Oregon Supreme Court Rules for Licensing Paralegals.

As part of the adoption of this rule, minor conforming changes were made to approximately a dozen other UTCRs.

2. UTCR 2.090 Filings For Consolidated Cases

This rule was amended to remove the requirement that a filing party provide the court with additional copies when a filing in a consolidated case is not electronically filed. This portion of the rule was no longer necessary as the court's current business practice is for the court staff to scan a conventionally filed document into Odyssey, meaning that additional copies are no longer necessary.

3. UTCR 5.070 Motion For Leave To Amend Pleading

This rule was amended to permit a filer, when submitting the text of a proposed amended pleading, to display the proposed changes using a word processing software's redlining features. This is an additional option for displaying the changes, along with the prior method of bolding and underlying additions and bracketing and italicizing deletions.

4. UTCR 5.140 Foreign Discovery

A new subsection has been added to this UTCR in order to comply with the requirements of HB 2002 (Oregon Laws 2023, Chapter 228). One provision of that bill, Section 48, related to subpoenas sought in the state of Oregon in connection with out-of-state lawsuits and requires a person seeking a foreign subpoena to make specific declarations to ensure that the foreign subpoena is not used to advance outcomes that are prohibited under the bill.

5. UTCR 7.100 Disqualification Motions Under ORS 14.260(7)

This new UTCR has been created in order to comply with the requirements of SB 807 (Oregon Laws 2023, Chapter 289). That bill was passed in order to address situations where a disqualification motion, or a series of disqualification motions, effectively denies an elected judge assignment to a criminal or juvenile delinquency docket.

The new rule permits a challenged judge to request a hearing before a disinterested judge who will be assigned by the Office of the State Court Administrator.

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FORWARD

The annual *Oregon Legislation Highlights* offers a timely and authoritative resource to help lawyers catch up on the latest legislative developments.

This book highlights approximately 150 bills and other measures that were passed by both houses of the legislature. This book does not describe all enacted legislation.

Unless otherwise noted, all legislation takes effect on January 1, 2024.

The information in this book is organized into chapters by subject. If a bill has a special effective date, that date is noted at the end of the discussion of that bill. Please note that in some cases a bill may have more than one effective date. If in doubt about the effective date of a law, always check the enacting legislation.

Each bill is identified – in the chapter outline and in the text – by its bill number and its 2023 Oregon Laws chapter number. A table of bill numbers and Oregon Laws chapter numbers appears at the end of the book.

The Oregon legislature's website offers additional information that the reader of this book may find useful. Individual bills are hyperlinked to that bill's page in the Oregon Legislative Information System, which contains additional information on that bill. This includes measure summaries written by legislative staff, and in some cases supporting documentation submitted during committee hearings. See www.oregonlegislature.gov for more information.

We are grateful to all who were involved in preparing this book. We are especially appreciative of the efforts of our volunteer authors, who take time away from their practices to contribute to this publication and without whom this book would not be possible.

We would also like thank the staff of the Oregon Office of Legislative Counsel, who have for years assisted with this publication as well as supporting the ongoing work of the Oregon State Bar.

Chapter 1 -- Business and Insurance Regulation

Summaries for this chapter were written and compiled by Amy Zubko and Matthew Shields.

1. SB 82 (Chapter 67) Wildfires and Insurance Regulation

SB 82 makes several changes to statutes regulating insurance that covers damage from wildfire.

The bill requires that insurance companies provide additional disclosures to policy holders if a residential insurance policy is cancelled, nonrenewed, or the premium is increased due to wildfire risks. The insurer is required to provide several pieces of information, including property-specific reasons for the decision and an explanation of risk mitigation measures the policy holder could take to help the insurability of the property. The bill also requires that information on mitigation efforts that may decrease risk and improve insurability be made available on the insurer's website.

Additionally, SB 82 prohibits insurance companies from using the state wildfire risk map as the basis for cancellations, nonrenewals or premium increases.

SB 82 takes effect on January 1, 2024.

2. HB 2108 (Chapter 34) Business Filings

HB 2108 addresses how the Secretary of State addresses business filings that are deficient. The bill removes the existing requirement that the Secretary of State must issue a written notification and wait 20 days before a document submitted for filing. In its place, the bill creates a requirement that the Secretary of State specify the reasons for any document so withdrawn. The bill also provides that any document filed between January 1, 2020, and September 24, 2023 is not invalid because it was filed without the declaration required under ORS 60.004 (2)(b), 63.004 (2)(b) or 65.004 (2)(b).

HB 2108 took effect on September 24, 2023.

3. HB 2982 (Chapter 85) Insurance Payouts Following Natural Disasters

HB 2982 provides that if an individual holds a policy for personal insurance, as defined in ORS 746.600 (33)(b) and (C), and the individual suffers a total loss of the contents of a residence as a result of a major disaster, an insurer must offer the insured a payout of no less than 70% of the coverage the insured previously

purchased for the contents of the residence, without requiring the insured to complete an inventory of the loss.

Instead, the insured must provide documentation to the Department of Consumer and Business Services that the residence was furnished, and that the loss was attributable to a major disaster. DCBS may specify the manner in which this is demonstrated by rule. For the purposes of HB 2982, "major disaster" means a state of emergency that the Governor declares pursuant to ORS 401.165 "that involves or threatens to involve widespread loss of life, injury to persons or property, human suffering or financial loss."

HB 2982 took effect on September 24, 2023.

4. HB 3200 (Chapter 57) Credit Unions

HB 3200 makes several changes to Oregon law related to the organization and operation of credit unions, including repealing specific requirements that were deemed no longer necessary.

The bill repeals an existing requirement that the fiscal year for credit unions end on December 31st. Additionally the bill repeals a requirement that executive officers be elected at a specially held organizational meeting. The bill also clarified that in addition to paying compensation to directors and supervisory committee members, credit unions may pay members of other committees established by the board, or pursuant to the bylaws.

Finally, the bill places some limited restrictions on a credit union's ability to invest in or lend money to corporations, limited liability companies, and mutual associations. Under the bill the credit union is limited in such investments to an aggregate amount not to exceed five percent of assets, and may only do so if the entity "provides goods or services associated with the routine operations of the credit union, the investment or loan is reasonably related to the

credit union's use or potential use of the goods or services provided, the investment or loan is made in accordance with any rules governing such investments or loans as may be adopted by the Director of the Department of Consumer and Business Services and the credit union receives prior approval for the investment or loan from the director."

HB 3200 takes effect on January 1, 2024.

Chapter 2 -- Civil and Appellate Law

The Oregon State Bar would like to thank OSB members Nadia Dahab and Hon. Mark Peterson for their contributions to this chapter.

I. LEGISLATIVE CHANGES

1. SB 305 (Chapter 71) Uniform Public Expression Protection Act

SB 305 modifies Oregon's Anti-SLAPP and models the new provisions after the Uniform Public Expression Protection Act. This bill was the product of the Oregon Law Commission and the Uniform Laws Commission.

Among the new provisions, the bill provides that an Anti-SLAPP may not be made against a claim against a person primarily engaged in the business of selling or leasing goods or services, if the claim arises out of a communication related to the person's sale or lease of goods or services.

Under existing law, discovery proceedings are stayed upon the filing of an Anti-SLAPP motion. The new bill clarifies what motions a judge may rule on while the stay is in effect, including that the judge may hear and rule on a motion for reasonable attorney fees.

SB 305 takes effect on January 1, 2024.

2. SB 311 (Chapter 104) Oregon False Claims Act

SB 311 makes several changes to Oregon's False Claims Act. The bill increases the possible financial penalties for violations of the act and extends the statute of limitations for violations from three years to five years.

The bill also creates new provisions requiring that evidence in the possession of the Attorney General must be kept confidential, subject to several exceptions provided in the bill.

SB 311 takes effect on January 1, 2023.

3. SB 864 (Chapter 77) Wildfire Immunity

SB 864 amends ORS 477.123 to make individuals voluntarily fighting wildfire on private forestland immune from civil liability for any injury to persons or property resulting from good faith performance of that activity. The existing statute provided this immunity to firefighting on private agricultural land, but not on forestland.

The existing statute defines “voluntarily” to mean that the activity is not undertaken as a condition of employment. The statute also does not apply to members of a volunteer fire department who have been trained in firefighting techniques.

SB 864 takes effect on January 1, 2024.

4. HB 2324 (Chapter 14) Notices of Appeal

House Bill 2324 updates ORS Chapter 19 to clarify the class of delivery and proof of service requirements for the filing of a notice of appeal in order to be consistent with a recent Oregon Supreme Court ruling.

Previously, ORS 19.260 required appellants to use registered or certified mail to satisfy the proof of mailing requirements. However, in State v Chapman (367 Or 388 (2022)), the Oregon Supreme Court found that the use of first-class mail through the U.S. Postal Service could satisfy the proof of mailing requirement in the statute and that registered or certified mail was not necessary. At the oral argument in the Chapman case, however, members of the Supreme Court expressed concern for the logistical challenges that such a rule might present for the Court of Appeals and the Appellate Commissioner

This bill addresses those concerns by clarifying that first-class mail may be used, and that if it is used the postmarked date on the envelope will serve as the date on which notice was provided. This will alleviate the need for the OJD to come up with a new process for independently tracking dates on which mail filings are derived by the postal service.

HB 2324 takes effect on January 1, 2024

5. HB 2572 (Chapter 312) Injuries as a Results of Paramilitary Activity

HB 2572 allows that a person injured as a result of paramilitary activity may bring a civil action against the person who persons who engaged in that activity.

The bill provides that a person engages in paramilitary activity if they engage in any of a list of activities on behalf of or in furtherance of the objectives of a private paramilitary organization. The bill provides a list of activities and organizations against whom the bill does not apply, including the Armed Forces of the United States, historical reenactors, the State Department of Fish and Wildlife, educational institutions, and others.

The bill also authorizes the Attorney General to bring a suit for injunctive relief against paramilitary organizations, and to serve investigative demands against persons that may have information regarding paramilitary organizations.

HB 2572 takes effect on January 1, 2024.

6. HB 3560 **(Chapter 555) Psilocybin Immunity**

HB 3560 makes the Higher Education Coordinating Commission, and members of the commission, immune from suit for their performance, or omission to perform, any duty function or power relating to psilocybin products.

HB 3560 took effect on July 31, 2023, and applies to acts or omission that took place on or after the date on which Ballot Measure 109 (2020) became effective under Article IV, section 1 (4)(d) of the Oregon Constitution.

II. OREGON RULES OF CIVIL PROCEDURE

1. ORCP 7 Summons

Rule 7 governs the form and service of the summons. The Council's biennial survey to the bench and bar generated a question as to the reasoning in treating service of the summons and complaint on registered agents, officers, or directors of corporations; registered agents, managers, or members of limited liability companies; and registered agents and general partners of limited partnerships differently depending on whether that person happened to be served in the county in which the action was commenced, or in some other county. See, ORCP 7 D(3)(b), (c), and (d). Some courts were treating personal service of the summons and complaint in a county other than where the action was commenced as the first step in obtaining personal jurisdiction over that defendant by substituted service. The question would arise as to whether service had been completed by a follow up mailing of the summons and complaint, and potential statute of limitations problems that could be raised if the follow up mailing did not occur.

It would seem that a significant percentage of registered agents are located in Marion County or in Multnomah County and that fact would appear to have little bearing on whether a defendant had received proper notice of a pending lawsuit, wherever filed. This venue-like verbiage had been in Rule 7 as originally promulgated and had, likewise, been in the statute (ORS 15.080) that preceded ORCP 7 D(3)(b). Of course, due process requires that the plaintiff serve the defendant in a "manner reasonably calculated, under all the circumstances, to apprise the defendant of the existence and pendency of the action and to afford a reasonable opportunity to appear and defend." ORCP 7 D(1).

A number of amendments (52), modernized the language of Rule 7, changing “upon” to “on,” to be consistent with the other ORCP. Finally, parts D(3)(c)(ii)(C) and D(3)(d)(ii)((B) received an added “if any” to be consistent with treatment of corporate entities’ registered agents, or lack thereof. The amendments identified in this paragraph are not intended to change the meaning or operation of the rule. All parts of the published rule received the unanimous vote of the Council to be promulgated.

2. ORCP 39 Depositions

Rule 39 relates to the procedures for taking depositions. The COVID-19 pandemic has taught lawyers and courts that many proceedings can be handled remotely, rather than requiring travel to an in-person appearance at a physical location. Rule 39 C(7) authorized depositions to be conducted by telephone by agreement of the parties or by court order. We have come some distance from handling depositions and hearings by telephone and are routinely using WebEx, Zoom, and other platforms for these events. Paragraph C(7) is rewritten to move remote testimony from telephonic testimony to current electronic means. “Remote testimony” is defined. The amended paragraph makes clear that the provisions for such remote testimony must ensure that it is taken accurately and is preserved.

Section A, Subsection C(1), and paragraph I(3) have been reformatted to allow for more precise citation to the specific provisions of the rule, and to standardize citation with the other ORCP. Other amendments to modernize, make uniform, add clarity, or improve grammar include changing “upon” to “on” 15 times; changing the directive “shall” to a more accurate “must” or “will” 47 times and avoiding the word on two occasions; using Arabic numerals on two occasions; and making internal references uniform in five instances. The amendments noted in this paragraph are not intended to change the meaning or operation of the rule. All parts of the published rule received the unanimous vote of the Council to be promulgated.

3. ORCP 55 Subpoena

Rule 55 relates to the form, service, and function of subpoenas.

An internal reference to one of the rule’s provisions requiring payment of a witness fee and milage was omitted in error and is added in paragraph A(1)(a)(v). Another use of ‘upon” in paragraph B(1)(a) is exorcized. While the first change adds clarity, neither amendment is intended to change the meaning or operation of the rule. These two amendments to Rule 55 received the unanimous vote of the Council to be promulgated.

4. ORCP 57 Jurors

Rule 57 governs the selection and use of juries in civil trials and, by operation of ORS 136.230(4), also in criminal trials. There has been an ongoing national debate on how jury selection might be made more fair, with a focus on peremptory challenges. The Oregon Court of Appeals in *State v Curry*, 298 Or App 377 (2019), requested that the Council review Rule 57 D and address concerns as to how objections to peremptory challenges might be handled to allow trial judges to better determine whether a peremptory challenge is based on impermissible discriminatory grounds. The Council on Court Procedures did not promulgate any changes to the rules in this respect, but did provide recommendations to the legislature regarding future legislation.

Other changes to Rule 57 include replacing "shall" and "may" 27 times with more accurate terms, usually "must" or "will," and avoiding one such usage to improve clarity. Two internal citations are rephrased to make them uniform with the ORCP. Three uses of "upon" are exorcized, as well as four archaic uses of "such." Three sentences are modified to improve grammar or clarity. These other changes, other than the amendments to Section D, are not intended to change the meaning or operation of the rule.

All amendments to Rule 57 received the unanimous vote of the Council to be promulgated.

5. ORCP 58 Trial Procedure

Rule 58 pertains to trial procedure. Section F is new and facilitates remote testimony. (See discussion of Rule 39.) The Council promulgated this amendment to make a more uniform provision for the use of remote testimony in appropriate circumstances in hearings and trials as well as in depositions.

Additional amendments to Rule 58 include changing an internal reference to be uniform with the ORCP and avoiding "shall" in eleven instances with more accurate terms, usually "will," "may," or "must." Six sentences are modified to improve grammar or clarity. None of the amendments other than the addition of section F is intended to change the meaning or operation of Rule 58. All amendments to Rule 58 received the unanimous vote of the Council to be promulgated.

6. ORCP 69 Default Orders and Judgments

Rule 69 governs judgments entered by default. The impetus for an amendment to Rule 69 was a reference in the rule to the federal Servicemembers

Civil Relief Act. There exists a tension in drafting the rules between inclusion of internal references to other provisions in a rule or to other rules or statutes. If the law to which the reference is made is amended, the reference to that law within the rule may become inaccurate. It is deemed helpful to users of the ORCP to direct them to the provisions of the rules and laws that are required of them by the rule.

Accordingly, the reference to the Servicemembers Civil Relief Act is amended to that Act's current citation in the United States Code.

Additionally, as modernization and clean up measures, additional changes were made. Two imprecise uses of "shall" were clarified. One internal reference was made uniform with the ORCP. Two sentences are modified to improve clarity or grammar. Other than directing users to the federal law requirement contained in the rule, the amendments are not intended to change the meaning or operation of the rule. The amendments to Rule 69 received the unanimous vote of the Council to be promulgated.

Chapter 3 -- Commercial, Consumer and Debtor-Creditor Law

The Oregon State Bar would like to thank OSB members Young Walgenkim, Carl Bjerre, and Tony Kullen for their contributions to this chapter.

1. SB 307 (Chapter 16) Court Annexed Arbitration

SB 307 addresses the effect of offers of judgment on attorney fees within Oregon's court- annexed arbitration process.

In Mendoza v Xtreme Truck Sales LLC, 314 Or App 87 (2021), the Court of Appeals held that, based on the language of ORCP 54(E), when a dispute over entitlement to attorney fees or costs arises from an offer of judgment given while the case is in court-annexed arbitration, the arbitrator's final award—including the attorney fees and costs award, which the arbitrator now makes without knowing about the offer of judgment—must become a final judgment in court before the offer of judgment is disclosed and the effect of the offer of judgment on the attorney fees and costs award is determined.

This ruling created a conflict with ORS 36.425(3), which stated that "If a written notice is not filed under subsection (2)(a) of this section within the 20 days prescribed, the court shall cause to be prepared and entered a judgment based on the arbitration decision and award. A judgment entered under this subsection may not be appealed."

Essentially Mendoza, required that litigants wait until final judgment before disclosing an offer of judgement and determining the effect of that offer on attorney fees. At the same time the statute held that final judgments were not appealable, meaning that by time the offer of judgment was revealed it could not be considered.

SB 307 addressed this conflict by modifying ORS 36.425(6) and creating a path forward for litigants to follow during arbitration when an ORCP 54(E) offer of judgment might affect fees and costs. The bill allows the party seeking to enforce the offer of judgment to file the offer as an exception to attorney fees within seven days of the arbitrator's filing of the award.

SB 307 applies to arbitrations commenced on or after January 1, 2024.

2. SB 310 (Chapter 103) Antitrust Enforcement

SB 310 increases both the civil and the criminal penalties for violation of Oregon's antitrust statute. (ORS 646.705 to 646.805)

The bill increases the criminal penalty for violation of ORS 646.725 (restraint of trade) and ORS 646.730 (prohibition on monopolies) from a Class A Misdemeanor to a Class B Felony. The bill also increases the civil penalty that the Attorney General may seek for violation of either those two statutes, or other provisions of the law from $250,000 to $1 million.

3. SB 536 (Chapter 143) Sales of Annuities

SB 536 creates professional standards that an individual who sells annuities must adhere to when selling, or recommending the sale of, an annuity to a consumer. In operative part, the bill requires that "a producer, in making a recommendation of an annuity, shall act in the consumer's best interest, under the circumstances the producer knows at the time….without placing the producer's or the insurer's financial interests ahead of the consumer's interests."

The bill also requires the producer to request specific information from a consumer in some circumstances, in order to make a recommendation to the consumer. The bill provides the Department of Business and Consumer Services to enforce provisions of the bill.

SB 536 took effect on September 24, 2023.

4. SB 569 (Chapter 144) Closed Captioning

SB 569 expands existing requirements regarding the use of closed captioning on televisions at places of public accommodation.

The major change under the bill is that places of public accommodation that have multiple televisions are required to have closed captioning turned activated on at least 50% of the televisions in use. However, the bill includes multiple exceptions to the rule, including that closed captioning need not be used on any screen less than 12 inches, and that business is not required to repair or replace a televisions that does not have the technical capability to display closed captioning.

The bill allows individuals to make complaints to the Bureau of Labor and industries alleging violations of the law, and permits BOLI to impose civil penalties when violations are not appropriately cured.

SB 569 took effect on September 24, 2023.

5. SB 619 (Chapter 369) Data Privacy

SB 619 defines a "controller" of consumer personal data as "a person that, alone or jointly with another person, determines the purposes and means for processing personal data." The bill permits consumers to obtain from a controller

that processes consumer personal data confirmation as to whether that controller is processing that individual consumer's personal data and what categories of personal data the controller is processing. The bill also requires the controller to disclose a list of specific third parties to whom the controller has disclosed the consumer's personal data and provide a copy of all of consumer's personal data that controller has processed or is processing.

The bill permits consumer to require controller to correct inaccuracies and requires that the controller provide consumers a "reasonably accessible, clear and meaningful privacy notice" that:

- Lists categories of personal data controller processes,
- Describes controller's purpose for processing personal data,
- Describes how consumer may exercise consumer's rights with respect to personal data,
- Lists categories of personal data that controller shares with third parties, and
- Lists all categories of third parties with which controller shares personal data and provides other information.

The bill permits Attorney General to investigate violations to seek civil penalty of not more than $7,500 for each violation. The bill does not provide for a private right of action. SB 619 takes effect on January 1, 2024.

6. HB 2052 (Chapter 395) Data Brokers

HB 2052 requires that data brokers who handle the personal information of Oregonians register with Oregon Department of Consumer and Business Services. The bill defines terms that cover what constitutes "brokered personal data" and who is considered a "data broker". Importantly, consumer reporting agencies and financial institutions are generally not considered data brokers, nor business entities that collect information about the own customers.

The bill provides what steps must be taken to register, and prohibits data brokers collecting, selling or licensing brokered data within Oregon without registering.

HB 2052 took effect on July 27, 2023.

7. HB 2330 (Chapter 83) Uniform Voidable Transactions Act

HB 2330 is the Oregon enactment of the Uniform Voidable Transactions Act ("UVTA"), consisting of an update to the Uniform Fraudulent Transfer Act ("UFTA," which had been effect since 1985 under Oregon law in ORS chapter 95). The UVTA, like the UFTA before it, provides creditor protections in the form of remedies for certain transactions by a debtor that are unfair to the debtor's creditors. For example, a remedy is provided to a creditor whose debtor transfers property to a relative or other third party to keep the property out of the creditor's reach.

The UVTA clarifies the UFTA's confusing terminology by avoiding the word "fraudulent" in its title and operative provisions, and using "voidable" instead to more accurately describe what the statutes already provide. It adds a clear choice-of-law provision that offers predictability and reduces costs in connection with transfers or the incurrence of obligations that cross state or national boundaries. It refines the rules for determining a debtor's insolvency, and addresses modern legal developments such as electronic communications and the treatment of business entities used in some states. Finally, it establishes the burden of proof for each party in a UVTA lawsuit, specifying the "preponderance of the evidence" standard rather than other more heightened standards.

HB 2330 takes effect on January 1, 2024.

8. HB 2426 (Chapter 607) Self Service Gas Stations

HB 2426 authorizes retail motor vehicle fueling stations in Oregon to begin allowing self-service fueling in most circumstances.

The bill requires that fueling stations designate at least as many fuel pumps for attended service by staff as are designated for self-service use by the customer. The bill also requires that fueling stations post one or more signs that are clearly visible to drivers that display which fuel pumps are designated for self service and which are designated for attended service. Finally, the bill provides that fueling stations must charge the same prices for self-service and attended service fuel pumps dispensing the same fuel.

HB 2426 took effect on August 4, 2023. However, the State Fire Marshall may only impose civil penalties for violations of major provisions of the act if the conduct occurs after March 1, 2024.

9. HB 2759 (Chapter 322) Telephone Solicitations

HB 2759 updates Oregon's anti-robocall statutes to cover telemarketing companies that carry traffic that may violate the statute. Specifically, the bill

makes a person liable for loss and subject to penalties under the existing statute if they know, or consciously avoid knowing, that another person is engaging in an act that is prohibited by the statute, and nonetheless provide substantial support or assistance for the violation.

The bill makes violation an unlawful practice under the Unlawful Trade Practices Act. HB 2759 took effect on September 24, 2023.

10. HB 2915 (Chapter 420) Sale of Dogs and Cats

HB 2915 generally bans the sale of dogs and cats in retail pet stores in Oregon. The term "retail pet store" does not include animal rescue entities, nor dog and cat breeders who sell only animals they breed or raise, or which are sold for reproduction.

The exception to the ban, is that retail pet stores that sold dogs and cats prior to September 24, 2023 may continue to do so at the same physical address, so long as the store has not had a chance in ownership since September 24, 2023. This exception expires on September 1, 2028, after which no retail pet stores will be permitted to sell dogs and cats.

HB 2915 took effect on September 24, 2023.

Chapter 4 -- Criminal Law

The Oregon State Bar would like to thank OSB member Gillian Fischer for contributing this chapter.

I. ADULTS IN CUSTODY

1. SB 343 (Chapter 176) Definition of Incarceration

SB 343 clarifies that "incarceration" means confinement in a Department of Corrections institution for persons who had their driver license suspended or revoked as part of a criminal sentence that included incarceration, as it relates to applications to have their driver license reinstated.

SB 343 takes effect on January 1, 2024

2. SB 529 (Chapter 108) Treatment for Substance Abuse Disorders

SB 529 amends the alternative incarceration program statutes to allow the Department of Corrections to treat substance use disorders with a range of professional treatment services, recovery activities, engagement with peer mentors, educational and vocational services, and self-help groups.

The bill also modified legislative findings in ORS Chapter 421 related to substance abuse treatment.

SB 529 takes effect on January 1, 2024.

3. SB 581 (Chapter 75) Reductions in Supervision

SB 529 amends the alternative incarceration program statutes to allow the Department of Corrections to treat substance use disorders with a range of professional treatment services, recovery activities, engagement with peer mentors, educational and vocational services, and self-help groups.

The bill also modified legislative findings in ORS Chapter 421 related to substance abuse treatment.

SB 529 takes effect on January 1, 2024.

4. HB 2535 (Chapter 311) Doula Program

For a description of HB 2535 please see the Health Law Chapter.

II. CRIMES AND VIOLATIONS

1. SB 326 (Chapter 209) Illegal Cannabis Operations

SB 326 sets higher penalties for illegal cannabis operations that involve large quantities, environmental violations, or certain labor violations.

Specifically, the bill prohibits water use for illegal cannabis operations; permits warrants to authorize surveillance tools for illegal cannabis operation enforcement; requires landowners to clean up sites of illegal cannabis production or manufacture; and permits enforcement of cleanup through public nuisance proceedings, liens for costs of cleanup, and injunctions.

SB 326 took effect on June 12, 2023.

2. SB 340 (Chapter 151) Property Crimes

SB 340 modifies Oregon law governing property crimes and organized retail theft, and adds the crime of Organized Retail Theft to the repeat property offender statute.

Among the changes, the bill increases the time period in which prosecutors may aggregate the value of the stolen property, modifies the venue provision, allowing for crimes to be charged in more judicial districts, and specifies that a person commits theft in the first degree if the individual creates a risk of serious physical injury during a theft.

SB 340 takes effect on January 1, 2024.

3. SB 577 (Chapter 27) Use of Force Against Minors

SB 577 modifies use of force law, in order to align provisions related to using force against minors with current law. The bill also deletes language related to using force against incompetent adults. Under the bill,

> "*A parent or legal guardian of a minor child may use reasonable physical force upon the minor child when and to the extent the person reasonably believes the physical force is necessary to maintain discipline or promote the welfare of the child, unless the physical force constitutes abuse as defined in ORS 418.257 or ORS 419B.005.*"

Practice Tip: Practitioners should carefully review the definitions of abuse under the above statutes in any situation where SB 577 might apply.

SB 577 took effect on April 26, 2023.

4. SB 615 (Chapter 158) Speed Racing Events

SB 615 modifies the definition of, and reduces the penalty for, the offense of organizing a speed racing event unless it is a repeat offense. Under the bill, a first

offense is a Class A misdemeanor, and a subsequent offence within a 5 year period is a Class C felony.

Under the new law, a person may commit the offense if they obstruct or place a barricade on a highway, or assist another in doing so.

The bill also changes the definition of reckless driving to include conduct associated with speed racing, and adds reckless driving to offenses for which, if convicted, a defendant's property may be subject to criminal forfeiture.

SB 615 took effect on September 24, 2023.

5. SB 810 (Chapter 114) Unmanned Aircraft Systems

SB 810 clarifies that using an unmanned aircraft system to intentionally interfere with an aircraft is a Class A misdemeanor and is elevated to a Class A felony for knowingly, intentionally, or recklessly causing serious physical injury or death with the interference.

SB 810 takes effect on January 1, 2024.

6. SB 957 (Chapter 198) Sex Offenses

SB 957 expands the number and types of prior convictions that qualify to enhance the crime of public indecency to a Class C felony. Ordinarily the crime is a Class A misdemeanor.

Additionally, the bill modifies the crime of luring a minor to include engaging in sexual conduct in the immediate presence of the minor to induce the minor to engage in sexual conduct.

SB 957 takes effect on January 1, 2024.

7. SB 974 (Chapter 200) Sexual Abuse by Fraudulent Representation

SB 974 creates a new crime of sexual abuse by fraudulent representation. An individual commits the crime if the person is a medical professional and knowingly subjects another individual to sexual contact and falsely or fraudulently represents that the sexual contact serves a legitimate medical purpose.

SB 974 took effect on June 7, 2023.

8. SB 1052 (Chapter 217) Involuntary Servitude

SB 1052 significantly expands the crime of Involuntary Servitude to include acts such as forcing another person to continue to engage in service by engaging in any of a number of acts. These include debt bondage, withholding medical care or

instilling a fear that medical care will be withheld, controlling access to controlled substances and fraud.

The bill defines a number of previously undefined terms and creates limited affirmative defenses.

SB 1052 was a product of a labor trafficking taskforce and was modeled in part on California's labor trafficking code and work of the Uniform Laws Commission. SB 1052 takes effect on January 1, 2024.

9. HB 2129 (Chapter 234) Illegally Recorded Telecommunications

HB 2129 modifies the prohibitions under ORS 165.540 against obtaining telecommunications illegally.

The bill exempts individuals from prosecution who receive or use an illegally recorded communication about a matter of public concern, but who did not participate in initially obtaining the recording. The bill would not change the law for an individual who recorded such a conversation.

HB 2129 took effect on January 1, 2024.

10. HB 2316 (Chapter 498) Driving Under the Influence of Intoxicants

HB 2316 creates a new definition of the term "intoxicant" within the Oregon Vehicle Code.

Under the bill an intoxicant is:

- An intoxicating liquor,
- A controlled substance,
- An inhalant,
- Cannabis,
- Psilocybin, or
- Any drug, as defined in ORS 475.005, that, when used either alone or in combination with one of the above adversely affects a person's mental or physical faculties to a noticeable or perceptible degree.

The bill creates an affirmative defense when the intoxicating substance is only charged as another drug under ORS 475.005. The affirmative defense may be asserted only if the drug was taken pursuant to a prescription, or if the substance was available without a prescription, and in either case only if the defendant

consumed the prescribed or recommended dosage of the drug, and if the defendant then experienced a reaction to the drug that could not have been reasonably anticipated. The defense must provide notice of their intent to use this affirmative defense at least 45 days in advance of trial.

The bill also lowers the statutory fines applicable to a DUII conviction if the current offense was committed while riding a (non-electric) bicycle.

HB 2316 takes effect on January 1, 2024.

11. HB 2328 (Chapter 407) Definitions in Sex Crimes

HB 2328 modifies the definition of "oral or sexual intercourse" for purposes of sex crimes. The bill also expands the crime of using a child in a display of sexually explicit conduct to include when a person knowingly records in a visual recording a child participating or engaging in sexually explicit conduct.

HB 2328 takes effect on January 1, 2014.

12. HB 2594 (Chapter 315) Disposing of Lighted Materials

ORS 476.715 prohibits throwing away of lighted matches, cigarettes or other lighted material in forestland, privates roads, public highways or railroad rights of way.

HB 2594 reduces the penalty from a Class B misdemeanor to a Class A violation unless the offense is committed on applicable land during a fire season, or the offense results in the ignition of a fire, in which case it would remain a Class B misdemeanor.

HB 2594 takes effect on January 1, 2024.

13. HB 2645 (Chapter 413) Fentanyl

HB 2645 establishes a Class A misdemeanor penalty for possession of certain amounts of fentanyl and adds a user unit measurement of fentanyl to calculate the crime category level for certain offenses involving possession, delivery, or manufacture of fentanyl.

HB 2645 took effect on July 27, 2023.

14. HB 2772 (Chapter 608) Domestic Terrorism

HB 2772 creates two new crimes of Domestic Terrorism in the first and second degrees. These new crimes are Class B and Class C felonies respectively.

A person commits Domestic Terrorism in the first degree if the person:

- Intentionally destroys or substantially damages critical infrastructure; or
- Intentionally introduces, releases or disperses a toxic substance into widespread contact with human beings.

A person commits Domestic Terrorism in the second degree if the person:

- Intentionally possesses a toxic substance with the intent to introduce the substance into widespread contact with human beings;
- Intentionally possesses a destructive device with the intent to destroy or substantially damage critical infrastructure;
- Intentionally attempts to destroy or substantially damage critical infrastructure; or
- Intentionally attempts to introduce, release or disperse a toxic substance into widespread contact with human beings.

HB 2772 takes effect on January 1, 2024.

15. HB 3443 (Chapter 549) Victims of Bias Crimes

HB 3443 makes several changes to Oregon law in order to protect Oregonians who are the victim of a bias crime. "Bias Crime" is defined in HB 3443 to include a person who is a victim of the crimes of Bias Crime in either the first or second degree (ORS 166.165 and ORS 166.155 respectively.)

Among other changes, the bill amends ORS Chapter 90 to include victims of bias crimes in several provisions that currently protect victims of domestic violence, sexual assault or stalking. These include providing that residential tenants are not responsible for damage to property that results from a bias crime, and prohibiting landlords from terminating or failing to renew a tenancy because the tenant was the victim of a bias crime. The bill also permits a landlord to more easily evict a tenant who is the perpetrator of a bias crime.

HB 3443 takes effect on January 1, 2024.

III. CRIMINAL PROCEDURE

1. SB 317 (Chapter 105) Corroboration Evidence

SB 317 amends Rule 803 of the Oregon Evidence Code (ORS 40.460) to state that the rule requiring corroboration evidence for certain hearsay statements to be admitted applies in juvenile delinquency cases.

SB 317 took effect on May 19, 2023.

2. SB 321 (Chapter 368) Post Conviction Relief and Nonunanimous Juries

SB 321 creates a process that may be used by a person who was convicted or found guilty, except for insanity, by a nonunanimous jury verdict may file a petition for post-conviction relief.

The person must file for post-conviction relief no later than December 30, 2024, and must show by a preponderance of the evidence that the conviction was nonunanimous.

SB 321 took effect on July 18, 2023.

3. SB 618 (Chapter 288) Body Armor

SB 618 provides that a court shall, when determining aggravating factors at the time of sentencing, consider whether, at the time of committing the crime, the defendant was wearing body armor during and in furtherance of the crime, or to facilitate the immediate flight therefrom.

SB 618 takes effect January 1, 2024.

4. SB 867 (Chapter 141) Hearsay Evidence

SB 867 amends Rule 804 of the Oregon Evidence Code (ORS 40.465) to permit the proponent of a declarant's hearsay statement to offer it as substantive evidence if the proponent can show by a preponderance of the evidence that the opposing party caused the declarant to be unavailable and, as a result, the declarant is not present to testify.

SB 867 takes effect January 1, 2024.

5. SB 954 (Chapter 216) Search Warrants

SB 954 authorizes the issuance of a search warrant in any judicial district where there is interrelated conduct relating to certain controlled substance, psilocybin, or marijuana crimes.

The bill clarifies that a duly authorized senior judge may issue a search warrant, and specifies a non-exclusive list of persons who may accompany law enforcement in the execution of a search warrant.

SB 954 took effect on June 12, 2023.

6. SB 1060 (Chapter 205) Evidence of Physical Injury

SB 1060 modifies evidence that can be considered to substantiate a "physical injury" under the Oregon Criminal Code, and specifies types of physical

injuries that constitute "physical trauma." Under the bill, evidence of physical injury includes but is not limited to:

- Testimony by the person alleged to have been injured;
- Evidence of physical trauma;
- Testimony from witnesses indicating that the person alleged to have been injured experienced substantial pain or impairment of physical condition; or
- Expert testimony addressing the effect of the type and amount of force used by the defendant.

SB 1060 applies to conduct occurring on or after January 1, 2024.

7. HB 3632 (Chapter 265) Statutes of Limitation

HB 3632 amends ORS 131.125(1) to increase the statute of limitations from 12 years to 20 years for sex abuse offenses in the first degree.

HB 3632 takes effect on January 1, 2024. The measure applies to offenses committed before, on, or after the effective date of the bill, but does not apply to those offenses if the statute of limitations expired before passage of the bill.

IV. OTHER LEGISLATION

1. SB 337 (Chapter 281) Public Defense Services

SB 337 creates the Oregon Public Defense Commission (OPDC), initially within the judicial branch, but transferring the Commission to the executive branch on January 1, 2025. The bill abolishes the Public Defense Services Commission (PDSC)transfers the duties of the PDSC to the OPDC.

The bill establishes targets by which specified percentages of trial level appointed counsel must be employees of the Commission.

The bill also required the presiding judges of each judicial district, with the support of the PDSC, to develop a plan by the fall of 2023 to address the immediate unrepresented defendant crisis, and report back to the legislature.

For additional information about SB 337, please see the Government and Judicial Administration Chapter.

SB 337 took effect on July 13, 2023.

2. SB 519 (Chapter 182) Expungement

SB 519 expands automatic expungement to include records for youths who are within the jurisdiction of juvenile court for acts that, if committed by an adult, would constitute a violation or misdemeanor, and would reduce the number of years a youth must wait before applying for expungement of records that do not qualify for automatic expungement once the youth is 18 years of age.

SB 519 took effect on September 24, 2023.

3. SB 895 (Chapter 194) No-Passing Zones

ORS 811.420 describes the offense of passing in a no-passing zone. This offense is classified as a Class B traffic violation. SB 895 clarifies when a person may pass an obstruction while in a no- passing zone.

The creates a definition of "obstruction", which includes a person riding a bicycle or another vehicle traveling at less than one-half of the posted speed.

Under the bill, it is permissible to pass an obstruction in a no-passing zone provided that the person drives at least five miles under the posted speed limit while in the lane left of the center of the roadway.

SB 895 takes effect on January 1, 2024.

4. HB 2005 (Chapter 229) Firearms

HB 2005 makes several changes to Oregon law further restricting the purchase or transfer of unfinished or undetectable firearms.

HB 2005 defines an "undetectable firearm" as one that is entirely made of a non-metal substance, including if the firearm had been 3D printed, or one that after disassembly would not generally be readily detectable by a walkthrough metal detector. Practitioners should review the new statute for a complete understanding of the important definitions of "undetectable firearm" and of "unfinished frame or receiver."

The bill prohibits a person from manufacturing, importing, selling or transferring an undetectable firearm, and classifies violation as a Class B Felony. The bill also makes the possession of an undetectable firearm a Class A misdemeanor.

The bill creates a new Class B Violation prohibiting the sale or transfer of any firearm that has not been imprinted with a serial number by a federally licensed firearm manufacturer. This prohibition does not apply to antique firearms, or to any firearm produced before October 22, 1968. This crime may be treated as a Class A Misdemeanor if the defendant has a prior conviction for an offense under

this bill, and as a Class B Felony if the defendant has two or more prior convictions.

The bill similarly makes it a Class B Violation to sell or transfer an unfinished frame or receiver. The bill again permits that this offense may be treated as a Class A Misdemeanor of the defendant has a prior conviction under this bill, or as a Class B Felony if the defendant has two or more prior convictions.

HB 2005 took effect on July 13, 2023. Provisions related to transferring unfinished receivers and provisions related to transferring firearms without a serial number take effect on September 1, 2024.

5. HB 2095 (Chapter 33) Photo Radar, Speed Limits

Prior to HB 2095, only ten statutorily named cities were permitted to use photo radar in Oregon. HB 2095 eliminates this restriction and allows photo radar to be used by any city. Additionally, the bill eliminates an existing statute that limited the use of photo radar to four hours per day at any given location.

Separately, HB 2095 allows cities to establish speed limits on highways under their jurisdiction that are up to 10 miles per hour lower than the statutory speed. Such a limit may not be lower than 20 miles per hour and is effective only if appropriate signage is placed on the highway.

HB 2095 will take effect on January 1, 2024.

Chapter 5 -- Domestic Relations and Probate

The Oregon State Bar would like to thank OSB members Ryan Carty, Christopher Hamilton and June Wyrick-Flores for their contributions to this chapter.

I. DOMESTIC PARTNERSHIP

1. HB 2032 (Chapter 20) Expands eligibility for domestic partnership under Oregon Family Fairness Act to partners of any sex.

In short, HB 2032 removed the requirement that a domestic partnership in Oregon be between two persons of the same sex and allows an opposite sex couple to choose a domestic partnership rather than marriage (and to then register to create a registered domestic partnership). On its face this change makes sense through an equality lens, making this legal mechanism available to couples throughout the state of Oregon regardless of sex. But the analysis does not stop there. First, some history behind this bill.

The Oregon Legislature adopted the Oregon Family Fairness Act in 2007 (FFA) – codified as ORS 106.310 – which defined a domestic partnership as a civil contract entered into:

1. In person;
2. Between two individuals of the same sex;
3. Said individuals must be at least 18 years of age and "otherwise capable", and
4. At least one of the individuals must be a resident of Oregon.

In 2015, the United States Supreme Court ruled in *Obergefell v. Hodges* that marriage equality was a fundamental right guaranteed to all couples based on the Fourteenth Amendment to the United States Constitution. 576 US 644 (2015). This ruling entitled couples of the same sex to marry to the same extent as couples of the opposite sex.

The following year, in 2016, the Oregon Legislature adopted HB 4127 which established state policy in Oregon that any privilege, immunity, right, benefit, or responsibility governed by law given to a person because of marriage to a person of the opposite sex applies with equal force to a person who is or was married to a person of the same sex. HB 4127 also adopted gender neutral wording in relation to marriage to bring Oregon statutes into conformity with current law.

HB 2032 was requested by the Oregon Association of County Clerks because County Clerks throughout the state were finding that some opposite sex couples wanted the same two choices as same sex couples – some wanting to choose a domestic partnership instead of marriage. Based on existing Oregon law, County Clerks have been unable to legally facilitate those requests.

Some couples, regardless of sex, choose the route of a registered domestic partnership to obtain health insurance through a partner's employer. This benefit is legally unavailable to same sex couples under existing law but will be once HB 2032 becomes effective on January 1, 2024.

However, it is important to note for Family Law practitioners that HB 2032 may have unintended consequences in the realm of retirement division in the dissolution context. Kevin Olineck, Oregon PERS Director, testified at a hearing before the Oregon Senate Committee on Rules that as a qualified governmental retirement plan, PERS must comply with specific provisions of federal law to maintain its tax qualified status. Mr. Olineck pointed out that while the Family Fairness Act of 2007 extended all the same rights and privileges of a spouse to a registered domestic partner (RDP), federal law does not recognize domestic partnerships, only marriage. The impact of this distinction is that many provisions and benefits under PERS that are available to a spouse would not be available to an RDP. Examples of these benefits include:

- An RDP cannot elect to delay payment of a pre-retirement death benefit until the member would have been 70;
- An RDP cannot roll over a death benefit payment to a spousal IRA;
- An RDP that is more than ten years younger than the member cannot receive 100% survivor benefit; the member's benefit would be adjusted accordingly;
- Internal Revenue Code section 415 limits the amount of benefits that may be paid from the pension fund; if the member elects a joint and survivor benefit and names their spouse as their beneficiary, the benefit will be tested based on the joint and survivor benefit amount; if the beneficiary is an RDP, the benefit will be tested on a separate basis; that is, a single life annuity; and
- PERS retiree health insurance is available to an RDP of a retired member only if they are a dependent of the retiree.

These distinctions create pitfalls in the dissolution world because dividing PERS benefits and other retirement plans governed by the Employee Retirement Income Security Act of 1974 (ERISA) means there are different benefits – and potentially significantly different values – to attribute based on whether the couple is married or has a registered domestic partnership. For example, under the federal definition of "alternate payee" only a spouse, former spouse, child, or other dependent can qualify as an alternate payee. Based on the federal definition, an RDP cannot be an alternate payee; therefore, retirement benefits cannot be divided in a dissolution of a registered domestic partnership in the same fashion as they can in a dissolution of marriage. Significant differences include:

- An RDP cannot be awarded a portion of a PERS member's retirement account or benefits unless they are a dependent of the member;
- A PERS member can elect a survivorship retirement option that allows the member to change their option to a single life benefit if the survivor beneficiary is the member's spouse and they subsequently divorce; but if the survivor beneficiary is an RDP, the member will not be eligible to change to a single life benefit in the event the registered domestic partnership is dissolved;
- If a PERS member has named their RDP as a survivor beneficiary at retirement, they will not be able to change that designation upon dissolution of the registered domestic partnership;
- A PERS member who has an RDP will not be subject to the default retirement option; and
- An RDP of a PERS member will not be required to consent to the benefit option selection of the member.

These issues between registered domestic partnerships and marriages have existed since passage of the FFA in 2007, so they are nothing new to QDRO specialists. And legislative testimony would suggest that since the US Supreme Court's ruling of marriage equality in *Obergefell* was codified in Oregon in 2016, many of the same sex couples that previously opted to register a domestic partnership have instead chosen marriage. In effect, the number of registered domestic partnerships in Oregon has been declining and, as a result, the potential pitfalls in the practice of divorce and family law have been declining.

HB 2032 will expand the pool of individuals to whom a registered domestic partnership is available which may increase the number of registered domestic partnerships in Oregon. This would theoretically increase the number of cases involving Oregon PERS and other retirement benefits covered by ERISA to which these essential federal/state distinctions apply.

Family law practitioner beware – and contact your local QDRO specialist for assistance.

II. CHILD SUPPORT

1. SB 184 (Chapter 101) Modifies employer child support reporting requirements to include payments made to independent contractors.

ORS 25.101(6) defines an "employer" for child support purposes as "any entity or individual who engages an individual to perform work or services for which compensation is given in periodic payments or otherwise." Under current law, employers are required by federal and state law to report their newly hired employees to state child support programs. However, this requirement does not extend to employers and businesses reporting independent contractors and non-traditional workers.

With the rise of the gig economy, more workers in Oregon (and nationwide) are working as independent contractors or in other non-traditional formats that might not qualify them under existing law as a "newly hired employee." This places the Oregon Child Support Program in a difficult position as it has greater difficulty learning about and collecting child support from some parents who fall outside the "newly hired employee" definition. This impact trickles down to obligee parents who then might have their support payments disrupted or even stopped due to a lack of information about where the obligor parent is receiving wages from.

SB 184 amends ORS 25.790 and 25.793 to require that, in addition to new employees, employers must also report to the Oregon Child Support Program any independent contractors with whom they engage. This change is designed to increase opportunities for the Oregon Child Support Program to collect child support from independent contractors. Without receiving reports from employers, the Oregon Child Support Program is unlikely to know when an obligor parent is working as an independent contractor and has the ability to pay their child support obligation but simply chooses not to.

2. SB 806 (Chapter 139) Obligor Life Insurance Modifications

Oregon law provides that a court may order a child support obligor to maintain life insurance to secure their support obligation. In general, modification of a child support obligation requires a showing of a substantial change in economic circumstances of a party or some other substantial change to one of the factors relied on to calculate the award (e.g., parenting time, childcare costs, etc.). SB 806 creates additional avenues for modification of the obligor's obligation to maintain or purchase life insurance, including:

- When the obligor retires;
- Once every five years after the date the obligor attains 60 years of age;
- If the lowest available life insurance monthly premium for the required life insurance policy costs more than 50 percent of the monthly amount of child support due under the judgment;
- If the life insurance benefits that would be received by the life insurance beneficiary would exceed more than twice the amount of the total remaining support payments due under the child support judgment; or
- If the obligor has established a trust to ensure that upon the obligor's death the beneficiary of the life insurance will receive at least 125% of the total amount of child support payments that would have been due between the time of the obligor's death and the date the child support payments under the judgment are scheduled to terminate.

These avenues for modification are sufficient to bring the matter before the court, at which point the court has all the authority it normally has available to maintain, modify, or terminate the life insurance obligation based on the existing circumstances of the case.

This bill became effective May 30, 2023.

III. PATERNITY

1. SB 573 (Chapter 157) Directs Center for Health Statistics to enter name of parent on original record of live birth when paternity or parentage has been determined under certain circumstances.

Since 1999, Oregon has allowed adult adopted individuals who are at least 21 years of age to request copies of their own original (i.e., pre-adoption) birth certificates. Additionally, Oregon law allows adult adopted individuals who are at least 18 years of age to request and obtain copies of nearly all of their adoption

court records. However, under current law there is no process for the adult adopted individual to correct an incorrect name of a biological parent if paternity or parentage is later determined. SB 573 creates such a process.

This issue comes up from adult adopted individuals who seek to correct incorrect information on their original (i.e., pre-adoptive) birth certificates or to add a missing parent (presuming that parentage can be shown through sufficient evidence such as a DNA test result). An incorrect birth certificate can have generational impacts, as the adult adoptee's descendants continue to receive or rely on the incorrect information.

Oregon law already provides an avenue for non-adopted individuals to amend or correct their birth records related to parentage. The enactment of SB 573 puts adopted and non-adopted people in similar positions when it comes to correcting their birth records in this fashion.

IV. DOMESTIC ABUSE

1. SB 816 (Chapter 140) Modifies duration of Family Abuse Prevention Act

Under current law, a Family Abuse Prevention Act (FAPA) protection order that is initially granted or renewed pursuant to ORS 107.710, et. seq. will remain in effect for a period of one year from the date of issuance or until the order is withdrawn, amended, or dismissed. SB 816 extends the duration of FAPA protection orders from one year from the date of issuance or renewal to two years.

SB 816 takes effect on January 1, 2024.

2. SB 901 (Chapter 195) Child Abuse Investigations

Under current law, a Family Abuse Prevention Act (FAPA) protection order that is initially granted or renewed pursuant to ORS 107.710, et. seq. will remain in effect for a period of one year from the date of issuance or until the order is withdrawn, amended, or dismissed. SB 816 extends the duration of FAPA protection orders from one year from the date of issuance or renewal to two years.

SB 816 takes effect on January 1, 2024.

V. AUTHENTICATION REQUIREMENTS

1. HB 2329 (Chapter 11) Declaration for Mental Health Treatment

House Bill 2329 updates two statutory forms – the Declaration for Mental Health Treatment in ORS Chapter127 and the Appointment of Person to Make Decisions Concerning Dispossession of Remains in ORS Chapter 97.

In both cases, existing law required the form to be signed by two qualified witnesses, providing no alternative for authentication. HB 2329 updates the statutes to allow the principal the option of having the forms notarized, in addition to retaining the option for having them signed by two qualified witnesses.

This change makes the authentication requirement consistent with the Advance Directive for Health Care.

This bill takes effect on January 1, 2014.

VI. ESTATE PLANNING AND ADMINISTRATION

1. SB 308 (Chapter 17) Simple Estate Affidavit

SB 308 renames the Small Estate Affidavit as the Simple Estate Affidavit and clarifies when and how it may be used.

Under the bill, the Simple Estate Affidavit may be used when:

- Not more than $75,000 of the fair market value of the estate is attributable to personal property and not more than $200,000 of the fair market value of the estate is attributable to real property, **OR**
- The decedent died testate and:
  - Not more than $75,000 of the fair market value of the estate is attributable to specifically devised personal property;
  - Not more than $200,000 of the fair market value of the estate is attributable to specifically devised real property; and
  - The balance of the fair market value of the estate is attributable to property that is devised to the trustee of a trust of which the decedent was the settlor and which came into existence before the decedent's date of death.

The bill does not require a "revokable trust". The trust may be an irrevocable trust that was created before the decedent's date of death.

The bill does not change who may file the affidavit – the trustee of a trust that is the beneficiary of decedent's will may file the affidavit. Likewise the bill does not change the timing for filing the affidavit.

SB 308 amends ORS 238.390(2) and (5) to provide that if a PERS member dies before retiring, did not name a beneficiary or named a beneficiary who predeceased the member or died before the distribution is made, and a simple estate affidavit has been filed, then PERS may pay the amount to the affiant if the

decedent's estate remains within the $75,000 limit after consideration of the amount of money credited at the time of death to the member's account or the estate meets the requirements for the distribution to the trust.

SB 308 takes effect on January 1, 2024.

2. SB 309 (Chapter 18) Publication of Notice in Estate Proceedings

SB 309 amends ORS 113.155 which specifies the manner of publishing notice to interested persons of the initiation of estate proceedings.

Under the bill, notice must be published a single time in either:

- a newspaper published in the county in which the estate proceed is pending; or
- if no newspaper is published in the county in which estate proceeding is pending, a newspaper designated by the court.

Prior law required publication on three separate dates. The bill also updates statutory provisions that refer to the "first date of publication" to simply the "date of publication", since only a single publication is now required.

Practice Tip: Note that the definition of "newspaper" is modified by HB 3167.

SB 309 takes effect on January 1, 2024.

Chapter 6 -- Government and Judicial Administration

Summaries for this chapter were written and compiled by Amy Zubko and Matthew Shields.

I. COURT AND BAR OPERATIONS

1. SB 234 (Chapter 133) Court, OSB Data Collection

SB 234 allows both the Oregon Judicial Department and the Oregon State Bar to make rules related to "gathering demographic information or identifying and evaluating disparities and impacts in the justice system in Oregon."

The Chief Justice has the authority to make rules for the courts. State bar rules are formulated by the OSB Board of Governors, but are subject to review and approval by the Oregon Supreme Court.

In both cases, the rules may require that the entity collecting the data to maintain data confidentiality, so long as federal law does not require disclosure. Rules may allow that data be released in an aggregate manner that does not identify an individual person.

SB 234 takes effect on January 1, 2024.

2. SB 306 (Chapter 72) OSB Membership, Licensed Paralegals

SB 306 revises language throughout ORS Chapter 9 in order to distinguish between "attorneys" or "lawyers" and "members of the bar."

In 2024, the Oregon State Bar will enact a new Licensed Paralegal program. This program was approved by the Oregon Supreme Court in 2022. Licensed Paralegals will be members of the Oregon State Bar, but will not be attorneys, and unlike attorneys will only be permitted to practice law within a limited scope. The changes contained within SB 306 make clear when the statute is referring to members of the bar generally, and when it is specifically referring to attorneys.

The bill provides that for the purposes of "ORS 25.501 to 25.556 and ORS chapters 25, 107 and 109 and any other statutes providing for support payments or support enforcement procedures" the term "attorney" includes licensed paralegals who are practicing law within the LP's licensed scope of practice.

Likewise, the bill provides that for the purposes of ORS 105.105 through ORS 105.168 (Forcible

Entry and Wrongful Detainer) as well as for ORS chapter 90, the term "attorney" includes licensed paralegals who are practicing law within the LP's licensed scope of practice.

SB 306 takes effect on January 1, 2024.

3. SB 807 (Chapter 289) Disqualification of Judges

SB 807 is an attempt to address situations where a party seeks to remove a judge from criminal or juvenile proceedings generally.

Under the bill, if a "party, attorney, law firm, district attorney's office, defense consortium or public defender's office" files a motion or a series of motions against an elected circuit court judge under ORS 14.260 or ORS 14.270 that effectively deny the judge assignment to a criminal or juvenile delinquency docket, the judge moved against may request a hearing before a disinterested judge.

The disinterested judge is then directed to inquire as to:

- Whether the motion or series of motions effectively denies the judge assignment to a criminal or juvenile delinquency docket in any county within the judge's judicial district; and
- Whether there is a reasonable good faith belief that the judge lacks fairness or impartiality.

If the inquiry by the disinterested judge establishes that the motion or series of motions effectively denies the judge assignment to a criminal or juvenile delinquency docket and does not establish a reasonable good faith belief that the judge lacks fairness or impartiality, then the motion to disqualify that judge shall be denied.

SB 807 takes effect on January 1, 2024.

4. SB 5506 (Ch. 605) Courthouse Funding

SB 5506 was an omnibus budget bill that provided funding and bonding authority for a variety of purposes. Significantly for the Oregon Judicial Department, four courthouses received bonding authority to replace their existing courthouses.

The four courthouses are located in Clackamas, Morrow, Curry, and Benton Counties. In addition, two courthouses, in Deschutes and Columbia Counties, received bonding authority for renovations. For each of these courthouses, the county will provide matching funds to support the cost of the project.

In addition to the state bonding authority, three counties received one-time federal funding from the American Rescue Plan Act for renovations or replacement planning. The three counties are Harney, Umatilla, and Hood River.

SB 5506 took effect on August 4, 2023.

5. SB 5512 (Chapter 380) Oregon Judicial Department Budget

SB 5512 was the primary budget bill for the Oregon Judicial Department. The bill includes funding for court staff, court operations, and a variety of court related programs.

The bill included funding for several special appropriations including continued funding for Family Treatment Courts and the Fresh Start Expunction Program, which was originally created with one-time federal funding. The bill also included additional funding to facilitate the increased use of remote proceedings and significant additional funding for the Statewide Pretrial Release Program.

SB 5512 took effect on July 18, 2023

6. HB 2225 (Chapter 302) Oregon Judicial Department Omnibus

HB 2225 was an Oregon Judicial Department omnibus bill that addressed several issues related to the management and functioning of Oregon courts.

The bill increased the per-page transcriber fee from $3 to $4.25, and provides the OJD with the authority to raise the fee periodically without legislative approval.

The bill clarifies that the Chief Justice or their designee has the authority to appoint senior judges, rather than "the Supreme Court." The bill also provides that a senior judge appointed to serve in the circuit court may be appointed to serve in one or more counties or judicial districts during their appointment. Additionally, the bill provides that senior judges assigned to serve in a circuit court, who have approval of the presiding judge of that court, may authorize the execution of search warrants.

Finally, the bill makes a number of changes to remedial contempt proceedings, including creating a new filing fee, provides that documents electronically filed with the court are not subject to public disclosure until those documents are reviewed and accepted by court staff, and the bill corrects out of date citations to the ORCP.

HB 2225 took effect on July 18, 2023. Many provisions have separate operative dates. Practitioners should confirm operative dates that may applicable to their individual situations.

7. HB 2325 (Chapter 5) OSB Board of Governors

The Oregon State Bar Board of Governors is composed of 15 attorney-members, who are elected by the OSB membership, and 4 public members who are selected by the Board. All of the members serve staggard four-year terms, and the OSB President is selected by the Board.

SB 2325 eliminates the requirement that the OSB President must be selected from among the attorney-members, and permits the BOG to select any of it's members to serve as President.

SB 2325 takes effect on January 1, 2024.

8. HB 3141 (Chapter 52) Chief Administrative Law Judge

HB 3141 makes the appointment of Oregon's Chief Administrative Law Judge subject to confirmation by the Oregon Senate, and modifies the requirements for appointment to include a requirement that the nominee must have at least one year of employment experience in administrative law or administrative hearings.

The bill adds new requirement that the Governor's office provide notice of vacancies or expected vacancies to the Office of Administrative Hearings Oversight Committee and to the Oregon State Bar, and clarifies that the Office of Administrative Hearings Oversight Committee shall make recommendations to the Governor regarding the appointment or reappointment of the Chief ALJ.

Finally, the bill clarifies that while the Governor may only remove the Chief ALJ for cause, the Governor may decline to reappoint the Chief ALJ at the end of their four year term without cause.

HB 3141 takes effect on January 1, 2024.

II. GOVERNMENT ADMINISTRATION

1. SB 168 (Chapter 268) Political Activity by Public Employees

SB 168 makes a number of changes to ORS 260.432 to make explicit that a public employee may not, while acting in their official capacity as a public employee, engage in any of a list of political activities. These activities include promoting or opposing the appointment, nomination or election of a person to public office, the filing of initiatives, the gathering of signatures, the adoption of measure, or the recall of a public official.

Most of these prohibitions existed in law prior to SB 168, but the bill reorganizes the section to make the restrictions more clear, and provides limited exceptions.

SB 168 takes effect on January 1, 2024.

2. SB 337 (Chapter 281) Oregon Public Defense Commission

SB 337 creates the Oregon Public Defense Commission (OPDC) and abolishes the Public Defense Services Commission (PDSC). The OPDC is created initially within the judicial branch, but the bill transfers the Commission to the executive branch on January 1, 2025.

The makeup of the Commission has several changes from that of the PDSC. Under the bill, the Governor will appoint 9 voting and 4 non-voting members of the Commission. (Prior to 2025, appointment authority remains with the Chief Justice.) The voting members of the commission include:

- One voting member who has been represented by a public defense provider, and two additional voting members, at least one of whom has experience in juvenile delinquency or dependency cases,
- From persons recommended by the Chief Justice, one voting member who is a retired judge, and two additional voting members at least one of whom has experience as a public defense provider in criminal cases,
- From persons recommended by the President of the Oregon Senate, one voting member who is a current dean or faculty member at an Oregon law school,
- From persons recommended by the Speaker of the Oregon House, one voting member who has expertise in juvenile law and criminal defense, or who is a juvenile justice or criminal justice reform advocate.
- One additional voting member from persons jointly recommended by the President of the Senate and the Speaker of the House.

The commission will also include four non-voting members. Two are to be individuals currently employed as public defense providers in Oregon, one in a rural and one in an urban area. The final two are to be one member of the Senate and one member of the House, appointed by the President and the Speaker respectively.

Under the bill, prosecuting attorneys, currently serving judges, employees of law enforcement agencies, and employees of the Department of Human Services may not serve on the commission. Persons primarily engaged in providing public defense services may not serve as voting members of the commission.

The bill begins the process of making some trial level public defense providers state employees rather than contracted providers. The bill requires that at least 20% of counsel appointed at the trial level must be employees of the OPDC by 2031, increasing to 30% by 2035.

The bill also took steps to address the immediate unrepresented defendant crisis by requiring the presiding judges of each judicial district, with the support of the PDSC, to develop plans by the fall of 2023 to reduce the number of unrepresented defendants in their individual districts, and report back to the legislature.

SB 337 took effect on July 13, 2023.

3. SB 994 (Chapter 121) Assistant State Judge Advocates

SB 994 modifies who the Adjutant General may appoint as a temporary Assistant State Judge Advocate. The new statute provides that the Adjutant General may appoint a member of the organized militia who is a member in good standing of the Oregon State Bar. Previously the statute permitted the appointment of any officer in the organized militia.

The statute continues to allow 12 months from the date of appointment for the temporary appointee to meet all of the qualifications for permanent appointment under the Uniform Code of Military Justice.

SB 994 takes effect on January 1, 2024

4. SB 1033 (Chapter 122) Active Service in the Organized Militia

SB 1033 expands the authority of the Adjutant General, acting with the approval of the Governor, to order members of the organized militia into active service of the state. In doing so, the bill creates new definitions of terms such as "active service," "active service of the state," and "state active duty."

SB 1033 takes effect on January 1, 2024.

III. PUBLIC NOTICE, PUBLIC MEETINGS, AND PUBLIC RECORDS

1. SB 207 (Chapter 68) Executive Sessions

SB 207 allows the Oregon Government Ethics Commission to review and investigate if the OGEC has reason to believe that a public body conducted meetings in executive session in a manner that violated the executive session provisions of public meeting law. The bill permits the OGEC to conduct such an investigation on its own motion, without having received a specific complaint.

SB 207 takes effect on January 1, 2024.

2. SB 309 (Chapter 18) Publication of Notice in Estate Proceedings

SB 309 amends ORS 113.155 which specifies the manner of publishing notice to interested persons of the initiation of estate proceedings.

Under the bill, notice must be published a single time in either:

- A newspaper published in the county in which the estate proceed is pending; or
- If no newspaper is published in the county in which estate proceeding is pending, a newspaper designated by the court.

Prior law required publication on three separate dates. The bill also updates statutory provisions that refer to the "first date of publication" to simply the "date of publication," since only a single publication is now required.

PRACTICE TIP: Note that the definition of "newspaper" is modified by HB 3167, described later in this chapter.

SB 309 takes effect on January 1, 2024.

3. HB 2112 (Chapter 35) Public Records Retention

HB 2112 updates several statutes to encourage the retention of documents or records of value for "legal, administrative, fiscal, tribal cultural, historical or research purposes." Prior statutes used different and inconsistent descriptions, which are standardized under HB 2112.

The bill also updates statutes to do away with obsolete language distinguishing between analog and digital recordings.

HB 2112 takes effect on January 1, 2024.

4. HB 2805 (Chapter 417) Public Meetings Definitions, Training Requirements

HB 2805 creates two new definitions that affect when a public meeting exists and is subject to public meetings law. The bill defines "deliberation" to mean

"discussion or communication that is part of a decision-making process". The bill defines "convening" to mean:

- Gathering in a physical location;
- Using electronic, video or telephonic technology to be able to communicate contemporaneously among participants;
- Using serial electronic written communication among participants; or
- Using an intermediary to communicate among participants.

The addition of serial communication and the use of intermediaries, functions to expand the definition of what constitutes the gathering of at least a quorum of a public body, and thus would make these communications subject to public meetings law.

The bill also requires the Oregon Government Ethics Commission to prepare trainings on public meetings requirements, and requires all members of governing bodies of public bodies, other than governing bodies of state government, to complete the training at least once per term.

HB 2805 took effect on September 24, 2023.

5. HB 2806 (Chapter 252) Executive Sessions

HB 2806 adds to the list of circumstances in which the governing body of a public body may meet in executive session.

Under the bill a governing body may meet in executive session to discuss:

- To consider matters relating to the safety of the governing body and of public body staff and volunteers and the security of public body facilities and meeting spaces.
- To consider matters relating to cyber security infrastructure and responses to cyber security threats.

HB 2806 took effect on July 13, 2023.

6. HB 3111 (Chapter 50) Records of Retirees

HB 3111 makes the personal information of employees and retirees maintained by retirement systems operated by public bodies exempt from disclosure under Oregon Public Records Law (ORS Chapter 192). Previously, this information was exempt from disclosure with respect to the Oregon Public Employees Retirement System, but the exemption did not clearly apply to other local pension systems in Oregon.

HB 3111 took effect on May 8, 2023.

7. HB 3167 (Chapter 257) Notice by Newspaper

HB 3167 makes several important changes to the definition of "newspaper" in ORS Chapter 193. This definition is relevant in many situations where legal notices may or must be published in newspapers. The bill also creates a new definition of "digital newspaper."

Under the new definition, a "digital newspaper" is an online newspaper delivered in an electronic form, that is formatted similarly to a printed newspaper, and that is produced in an archivable format.

The new definition of "newspaper" now explicitly includes both printed and digital format publications. The new definition also provides that to qualify as a newspaper under the definition, the newspaper "conducts consistent, regular coverage of local news and in which at least 25 percent of the total news content is locally and originally composed by the newspaper, regardless of whether the newspaper is produced or printed in the local area".

The bill amends the definition of "bona fide subscriber" to include subscribers to digital format newspapers. In addition, the bill modifies the existing requirement that more than half of a newspaper's distribution be to bona fide subscribers. Under the modified requirement, all printed newspapers, as well as "paid-for digital newspapers" count as distributed for determination of the 50% threshold.

Finally, the bill includes new provisions that come into play when an existing newspaper goes out of business, and which loosen the definition of newspapers in that area for the following 12 months.

HB 3167 took effect on July 13, 2023.

Chapter 7 -- Health Law

The Oregon State Bar would like to thank OSB members Tania Manners, Jennifer Baker, Aly Sneider and Emma Singer for their contributions to this chapter.

I. ACCESS TO CARE

1. SB 490 (Chapter 574) Distribution of funds to Area Health Education Program at Oregon Health and Science University

The bill directs the Higher Education Coordinating Commission to distribute funds to Area Health Education Center programs for the purpose of supporting the Oregon Academy of Family Physicians.

The bill appropriates $1,500,000 to the Higher Education Coordinating Commission. SB 490 takes effect on September 24, 2023

2. HB 2002 (Chapter 228) Reproductive health rights and gender-affirming care

Introduced in response to Dobbs, HB 2002 further protects access to reproductive health services in Oregon, including creating an enforceable right to make decisions about one's own reproductive health. It modifies an existing prohibition on public-body interference with pregnancy termination to create a prohibition on public-body interference with the exercise of an individual's reproductive health rights. It also adds prohibitions on criminal or civil liability based on the exercise of an individual's reproductive health rights or on the provision of assistance to another individual in exercising their own reproductive health rights.

The bill clarifies that a minor who is fifteen years old or younger can obtain an abortion without parental consent if their health care provider judges that involving the minor's parent or guardian may result in the abuse or neglect of the minor or would not be in the minor's best interest.

HB 2002 also provides that a health care provider may not be prohibited from providing reproductive health care information and services to a consenting individual, and that an individual who receives or declines such information and services shall not be subject to the loss of any privilege, immunity, or public benefit.

The bill prohibits health benefit plans from excluding coverage of medically necessary gender- affirming treatments and requires plans and coordinated care organizations to meet network- adequacy standards related to gender-affirming

treatment providers. It also requires inclusion of gender-affirming treatment in the Oregon Health Plan.

HB 2002 requires the Department of Consumer and Business Services to report to the legislature regarding implementation of insurance coverage requirements for access to gender-affirming treatment providers and services by December 31, 2026 and to conduct a target market examination of all carriers to ensure compliance with requirements by January 2, 2027.

The bill prohibits adverse actions by malpractice insurers against health care providers for providing lawful reproductive or gender-affirming health care.

Finally, HB 2002 creates a right of action for a person or health care facility aggrieved by interference with a health care facility.

HB 2002 took effect on July 13, 2023.

3. HB 2535 (Chapter 311) Pregnancy and postpartum care for adults in custody

HB 2535 was enacted in response to the effect of the criminal justice system on of the health of incarcerated adults and their children.

This bill requires the Department of Corrections to establish a doula program for pregnant and postpartum adults in custody at Coffee Creek Correctional Facility. The program must provide doula services to adults in custody who are pregnant or who have given birth in the last year.

The bill prohibits mechanical restraint of adults in custody during labor, childbirth, or postpartum recovery in the hospital unless the supervising officer determines that the restraints are reasonably necessary and the attending physician determines that the restraints do not present a medical risk to the adult in custody.

Any mechanical restraints may not interfere with the adult's ability to hold the infant, nurse the infant, establish milk supply, or receive other postpartum recovery care from hospital staff. Any mechanical restraints must be used in the least restrictive manner possible.

The bill requires medically appropriate and least restrictive means to be used when transporting an adult in custody who gave birth at a hospital.

HB 2535 takes effect on September 24, 2023.

4. HB 2045 (Chapter 393) Health Care Cost Growth Target Program

The Health Care Cost Growth Target Program was established in 2019 (via SB 889) as a means of controlling the growth of health care expenditures. The health care cost growth target, which applies to insurance companies, hospitals, and health care providers, is a target for the annual per capita rate of growth of total health care spending in the state. The program's goal is to keep health care costs in line with the growth of wages and the economy. The Oregon Health Authority may hold payers and providers accountable by imposing performance improvement plans on those who fail to meet the cost growth target and/or by imposing financial penalties for failing to report cost growth data or failing to meet the target in multiple years. In 2021(via HB 2081), the legislature required that OHA adopt criteria for imposing financial penalties and clarified that penalties cannot be imposed until 2026 for performance between 2021 and 2025.

This bill exempts growth resulting from total compensation to frontline workers from the accountability provisions of the Health Care Cost Growth Target Program. It also requires health care providers to annually report to OHA the aggregate amount of compensation paid to frontline workers as wages, benefits, salaries, bonuses, and incentive payments.

HB 2045 takes effect on January 1, 2024.

II. BEHAVIORAL HEALTH

1. HB 2235 (Chapter 493) Improving conditions for behavioral health workforce

HB 2235 requires the Oregon Health Authority to convene a work group to develop recommendations to improve recruitment and retention of, reduce administrative burdens on, increase reimbursement and pay for, and foster diversity within the behavioral health workforce.

The work group must report their initial findings to the Joint Committee on Ways and Means by January 15, 2025. The work group must submit a final report by December 15, 2025.

HB 2235 took effect on July 31, 2023.

2. HB 2421 (Chapter 500) Applied behavioral analysis guidelines

The bill requires the Health Licensing Office to establish guidelines for the professional methods and procedures used by behavioral analysis professionals.

The bill permits minors 14 and older to obtain outpatient applied behavioral analysis without parental consent.

The bill prohibits applied behavioral analysis professionals from practicing conversion therapy. HB 2421 takes effect on September 24, 2023.

III. BOARD MEMBERSHIP

1. SB 607 (Chapter 183) Pain Management Commission membership

The bill requires the Oregon Health Authority to submit a report including recommendations for legislative changes to the membership of the Pain Management Commission no later than September 15, 2024.

SB 607 takes effect on January 1, 2024.

2. SB 629 (Chapter 92) Oregon State Hospital Advisory Board membership

This bill modifies the membership of the Oregon State Hospital Advisory Board to include two voting members who advocate for individuals with mental illness, two voting members who are health care professionals with experience working with individuals with mental illness, three voting members who are or have been consumers or mental health services, and two voting members each of whom is a family member of a consumer of mental health services.

SB 629 takes effect on January 1, 2024.

3. HB 2627 (Chapter 335) Oregon Medical Board membership

This bill removes one doctor and adds one physician assistant to the Oregon Medical Board. HB 2627 takes effect on September 24, 2023.

IV. HOSPITAL & MEDICAL OPERATIONS

1. SB 189 (Chapter 269) Release of human pathological waste

The bill permits health care facilities to release placenta and pathological waste to the donor of the waste or an authorized representative of that donor when the waste is intended for cremation, interment, or other final disposition.

SB 189 takes effect on September 24, 2023.

2. SB 411 (Chapter 91) Disposal of covered drugs

The bill declares a public peace, health, and safety emergency.

The bill permits disposal of covered drugs at hospital, medical, and infectious waste incinerators. SB 411 took effect on May 16, 2023.

3. SB 966 (Chapter 584) Data collection standards

The bill requires the Oregon Health Authority to adopt standards for all payers and claims databases for data collection regarding the social determinants of health that are consistent with standards adopted for collection of data on race, ethnicity, language, disability, sexual orientation, and gender identity.

The bill requires the metrics and scoring subcommittee of the Health Plan Quality Metrics Committee to select, based on specified criteria, downstream health outcome and quality measures for coordinated care organizations from sets of core quality measures published by the Centers for Medicare and Medicaid Services and at least four upstream health outcome and quality measures that focus on social determinants of health.

The bill requires the Oregon Health Authority to annually update health outcome and quality measures if necessary to conform to the latest sets of core quality measures published by the Centers for Medicare and Medicaid Services.

The bill authorizes members of the Public Health Benefit Purchasers Committee, Health Care Workforce Committee, Health Plan Quality Metrics Committee, Behavioral Health Committee, and metrics and scoring subcommittee who are not members of the Oregon Health Policy Board to receive compensation as prescribed by Oregon Health Authority by rule.

The bill repeals the requirement that an initial assessment by a coordinated care organization of a child in the custody of Department of Human Services be performed in accordance with metrics established by the metrics and scoring subcommittee.

The bill appropriates $522,854 to the Oregon Health Authority to carry out this act. SB 966 took effect on July 31, 2023.

4. HB 2574 (Chapter 411) Post-HIV-exposure prophylaxis

This bill requires hospitals to adopt a policy for dispensing post-HIV-exposure prophylactic drugs or therapies and have procedures in place to ensure that hospital staff dispense to a patient at least a five-day supply of the prophylaxis following exposure.

The bill requires the Oregon Health Authority to provide rural hospitals, at no cost to the hospitals, one 30-day supply of post-HIV-exposure prophylactic drugs or therapies.

The bill prohibits insurers from requiring a deductible, copayment, coinsurance, or any cost- sharing for the coverage of post-HIV-exposure prophylactic drugs or therapies.

The bill increases the General Fund appropriation to the Oregon Health Authority by $259,052 for post-HIV-exposure prophylactic drug procurement and distribution.

HB 2574 takes effect on January 1, 2024.

5. HB 2697 (Chapter 507) Staffing plans for health provider entities

This bill requires hospitals to establish professional and technical staffing committees and service staffing committees, each consisting of equal numbers of managers and staff. Staffing committees must develop written staffing plans considering certain criteria, including the hospital's census, location of the patients, patient types and acuity, applicable national standards, hospital size, patient access to care, and staff feedback. These committees must be established by December 31, 2024.

The bill also sets parameters for nurse staffing plans by identifying direct care registered nurse: patient ratios by unit, such as a 1:2 ratio in the intensive care unit and a 1:4 ratio in the oncology unit. These criteria must be adopted by hospitals by June 1, 2024

HB 2697 took effect on September 1, 2023.

6. HB 2921 (Chapter 421) Hospital workforce demographic reports

This bill requires hospitals to file demographic reports required by the United States Equal Employment Opportunity Commission or the Department of Education with the Oregon Bureau of Labor and Industries. Failure to comply with this requirement will result in civil penalties not to exceed $500 per day of noncompliance.

HB 2921 takes effect on January 1, 2024.

7. HB 3396 (Chapter 441) Joint Task Force on Hospital Discharge Challenges

The bill establishes a Joint Task Force on Hospital Discharge Challenges to develop recommendations to address the challenges faced by hospitals in discharging patients to appropriate post-acute care settings. The report should include recommendations related to reducing barriers to training, education, and licensure of nurses, and facilitating the timely discharge of patients from hospitals to appropriate placements.

The bill requires the Joint Task Force on Hospital Discharge Challenges to provide recommendations to the Legislative Assembly no later than December 15,

2023. The Joint Task Force on Hospital Discharge Challenges must submit the final report by November 15, 2024.

The bill requires the Oregon Health Authority to provide grants as follows:

- $15,000,000 to support clinical education at hospitals and health care facilities;
- $5,000,000 for employers participating in labor-management training trust to expand on-the-job training and apprenticeship opportunities for health care professionals;
- $5,000,000 to the Oregon Center for Nursing to work with Oregon's public nursing education programs; and
- $1,517,041 to support the Joint Task Force on Hospital Discharge Challenges. HB 3396 took effect on July 27, 2023.

V. INFORMATION PRIVACY

1. SB 216 (Chapter 69) Disclosure of individually identifiable data

This bill prohibits disclosure of individually identifiable data collected by the Oregon Health Authority on race, ethnicity, preferred spoken and written languages, disability status, sexual orientation and gender identity.

SB 216 takes effect on September 24, 2023.

2. SB 619 (Chapter 369) Personal data protection

This bill permits consumers to obtain certain information about their personal data from a controller that processes such information. It also requires controllers to provide consumers with privacy notices that meet specified requirements.

The bill exempts personal health information processed in accordance with HIPAA or the Gramm- Leach-Billey Act, as well as information that is indistinguishable from or intermingled with information processed in the manner required by HIPAA or GLBA.

SB 619 takes effect on January 1, 2024.

3. HB 2052 (Chapter 395) Data broker registration

This bill provides that a data broker may not collect, sell, or license brokered personal data in Oregon unless they first register with the Department of Consumer and Business Services. It also provides civil penalties for violations.

HB 2052 took effect on July 27, 2023.

4. HB 2490 (Chapter 307) Public records disclosure exemptions

This bill exempts certain cybersecurity documents, records, and protection plans from public records disclosure.

HB 2490 takes effect on January 1, 2024.

VI. INSURANCE/ALTERNATIVE COVERAGE

1. SB 31 (Chapter 66) Solvency of Paid Family and Medical Leave Insurance Fund

This bill directs the Director of the Employment Department to determine whether the Paid Family and Medical Leave Insurance Fund is solvent. If it is solvent, the director shall commence paying benefits and any grant awards. If it is insolvent, the director shall delay the start of benefit payments until December 3, 2023.

If the director determines that the fund is insolvent, the bill requires the director to continue making quarterly determinations of the solvency of the fund until it is solvent.

SB 31 took effect on May 8, 2023.

2. SB 91 (Chapter 367) Provision of direct care services by parents to minor children

This bill directs the Department of Human Services to administer a program to provide attendant care services to the parents' minor children who have been assessed by the department to have very high medical or behavioral needs. Parents must be paid overtime at the same rate and under the same circumstances as direct support professionals.

The bill also prohibits agencies from paying providers (including parents) for services to a minor child during school hours unless the child is temporarily at home recovering from surgery or illness and such absence is recommended by the child's healthcare provider. Additionally, the bill prohibits agencies from paying parent providers for care if the child is homeschooled or attends a shortened school day. However, the bill permits school districts or other entities to compensate parents for providing support for educational activities that would otherwise be the entity's responsibility.

SB 91 took effect on July 18, 2023.

3. SB 376 (Chapter 152) Health care service contractor annual reports

This bill adds accreditation standards for individual insurance companies that write more than

$500 million in annual premiums and insurance company holding groups that as a whole write more than $1 billion in annual premiums to provisions applicable to health care service contractors in ORS 750.055.

The bill also allows DCBS to require health service contractors to file annual NAIC own risk and solvency assessment (ORSA) summary reports and corporate governance annual disclosure reports.

SB 376 takes effect on September 24, 2023.

4. SB 463 (Chapter 106) Utilization review requirements for proton beam therapy

This bill prohibits health benefit plans from imposing prior authorization or other utilization review requirements on coverage of proton beam therapy that do not apply to coverage of radiation therapy.

SB 463 takes effect on January 1, 2024.

5. SB 628 (Chapter 111) Health benefit plan coverage of pediatric autoimmune neuropsychiatric disorders

This bill requires health benefit plans to cover the cost of up to three monthly courses of immunoglobulin therapy for treatment of pediatric autoimmune neuropsychiatric disorders associated with streptococcal infections and pediatric acute-onset neuropsychiatric syndrome when (a) clinically appropriate trials were not effective, were not tolerated, or did not result in a sustained improvement in symptoms; and (b) a subspecialist was consulted and recommended the treatment, in agreement with the patient's primary care provider.

SB 628 takes effect on January 1, 2024.

6. SB 797 (Chapter 113) Prosthetic and orthotic devices insurance coverage

This bill requires individual and group health insurance policies to provide coverage for prosthetic and orthotic devices that are medically necessary to restore or maintain the ability to complete activities of daily life or essential job-related activities and that are not solely for comfort or convenience. The coverage includes

all services and supplies including design, fabrication, material, measurements, filling, alignment, patient instruction in use of the device, repair, and replacement.

SB 797 takes effect on January 1, 2024.

7. SB 912 (Chapter 120) Erroneous Family and Medical Leave Insurance Program payments

The bill authorizes the director of the Employment Department to deduct any payments made in error or overpayments from future benefits otherwise payable to the covered individual.

The bill states that the director shall waive recovery if the benefits are only recoverable due to a change in state law.

The bill prohibits individuals who have been convicted of fraud from obtaining benefits in the calendar quarter in which the person was convicted. Those individuals are ineligible for benefits until the individual has reimbursed the Paid Family and Medical Leave Insurance Fund.

The bill provides civil penalties against employers who violate the requirements of the Paid Family and Medical Leave Insurance Fund.

SB 912 takes effect on September 24, 2023.

8. SB 972 (Chapter 585) Insurance marketplace

This bill requires the Oregon Health Authority to transition from healthcare.gov to state-based marketplace by November 1, 2026.

SB 972 took effect on July 31, 2023.

9. SB 1041 (Chapter 468) Breast examination cost-sharing

This bill prohibits insurance carriers from imposing deductibles, coinsurance, copayment, or any other out-of-pocket expenses on insureds' diagnostic or supplemental breast examinations.

SB 1041 takes effect on January 1, 2024.

10. SB 1089 (Chapter 613) Universal Health Plan Governance Board

This bill establishes the Universal Health Plan Governance Board in the Department of Consumer and Business Services. The Universal Health Plan Governance Board must consist of nine members, each appointed by the Governor.

The bill requires the Universal Health Plan Governance Board to create a comprehensive plan to administer a Universal Health Plan that is responsive to the needs and expectations of Oregon residents.

The bill requires the Universal Health Plan Governance Board to create a plan for a Universal Health Plan Trust Fund.

The bill requires the Universal Health Plan Governance Board to provide a status report no later than December 1 of each year.

The bill appropriates $1,442,576 for establishing the Universal Health Plan Governance Board. SB 1089 took effect on August 4, 2023.

11. HB 2282 (Chapter 42) Coverage of preventive health services; independent review organization contracts

This bill requires certain health benefit plans to comply with federal rules regarding coverage of preventive health services in effect on January 1, 2023.

This bill allows the director of the Department of Consumer and Business Services to contract with more than five independent review organizations at one time.

HB 2282 takes effect on January 1, 2024.

12. HB 2446 (Chapter 247) Extension of contract

This bill requires an extension of the contract between the Oregon Health Authority and coordinated care organizations to no later than December 31, 2026.

HB 2446 took effect on July 13, 2023.

13. HB 2994 (Chapter 424) Insurance coverage of hearing-related items and services

This bill requires coordinated care organizations and the Oregon Health Authority to provide to medical assistance recipients who are age 18 or younger cochlear implants, hearing aids, and hearing assistive technology systems in specified circumstances.

It also requires health benefit plans to reimburse for the costs of fitting implants and devices, and to reimburse for physician-prescribed devices and services even if available over the counter.

Additionally, it requires health benefit plans to cover ear molds as medically necessary, to cover hearing device components, and to cover the costs of necessary

hearing aid repair and replacement parts if not covered by warranty. It prohibits making coverage subject to deductible.

The bill clarifies the notice requirements for adverse determinations related to claims for coverage of assistive listening devices and services. Finally, it extends implant and device coverage requirements to coverage provided by the Public Employees' Benefit Board and the Oregon Educators' Benefit Board.

HB 2994 takes effect on January 1, 2024.

14. HB 3008 (Chapter 425) Reimbursement of dental claims; primary care copayments

This bill permits dental insurers to pay claims for reimbursement using a credit card or electronic funds transfer that imposes a fee on the provider if the insurer notifies the provider in advance, offers the provider an alternative payment method, and the provider elects to accept the payment of claim using the credit card or electronic funds transfer.

The bill permits dental insurers to enter into a third-party network contract to provide access to the dental care services and discounted rates of a dental care provider under a provider network contract.

The bill permits the Department of Consumer and Business Services to adopt rules to allow an individual or group policy or certificate of health insurance to impose a copayment of not more than $5 for a primary care visit if necessary to comply with the requirements of the Paul Wellstone and Pete Domenici Mental Health Parity and Addiction Equity Act of 2008.

HB 3008 takes effect on September 24, 2023.

15. HB 3320 (Chapter 263) Hospital financial assistance

This bill requires hospitals to screen patients for presumptive eligibility for financial assistance if the patient is uninsured, enrolled in the state medical assistance program, or owes the hospital more than $500.

The bill requires the Oregon Health Authority to develop a process to screen patients for presumptive financial assistance. The process must prohibit the hospital from requiring a patient to provide documentation, must not have a negative impact on a patient's credit score, and require the hospital to notify a patient if they have been screened.

Patients may apply for financial assistance if they were found not eligible for presumptive financial assistance or disagree with the amount of financial assistance offered.

If a patient is found to be eligible for financial assistance after having paid for services, the hospital must refund the amount of financial assistance for which the patient qualifies.

The bill requires hospitals to have a written financial assistance policy and provide application forms to apply for financial assistance to a patient on request. Hospitals must include a prominently displayed notice of the availability of financial assistance on the hospital's website home page and on any page where the patient accesses information about their account.

The bill establishes reporting requirements for hospitals regarding applications and outcomes of applications for financial assistance.

HB 3320 takes effect on January 1, 2024.

VII. LICENSING/ SCOPE OF PRACTICE

1. SB 226 (Chapter 275) Execution of medical directives from out-of-state physicians; removal of certain notification requirements

This bill permits registered nurses employed by a long-term care facility or in-home care agency to execute medical directives from an out-of-state physician when the directive is related to the care or treatment of an individual who has been a client, patient, or resident of the long-term care facility or in-home care agency for not more than 90 days.

The bill removes the requirement that The Oregon State Board of Nursing provide immediate notice to the State Board of Pharmacy upon approving an application submitted by a nurse practitioner or clinical nurse specialist to dispense prescription drugs.

SB 226 takes effect on September 24, 2023.

2. SB 227 (Chapter 276) Out-of-state nurses and nursing assistants

This bill increases the number of days for which a temporary nursing assignment for an out-of- state nurse may be extended from 30 days to 90 days.

The bill permits licensure by indorsement to nurses licensed in other jurisdictions during a state of emergency.

The bill permits issuance of limited certificates to nursing assistants authorized in another jurisdiction during a state of emergency.

SB 227 takes effect on September 24, 2023.

3. SB 232 (Chapter 147) Care by out-of-state physician or physician assistant

The bill permits out-of-state physicians who have established provider-patient relationships with patients located in Oregon to provide temporary or intermittent follow-up care.

The bill clarifies that the practice of medicine using telemedicine occurs where the patient is physically located.

SB 232 takes effect on September 24, 2023.

4. SB 410 (Chapter 90) Pharmacy technician temporary licenses

This bill allows the State Board of Pharmacy to adopt rules to issue temporary licenses to perform the duties of a pharmacy technician.

SB 410 takes effect on September 24, 2023.

5. HB 2584 (Chapter 314) Physician assistant rights and duties

This bill requires physician assistants to use the degree of care, skill, and diligence that is used by ordinarily careful physician assistants in the same or similar circumstances.

The bill allows physician assistants to write prescriptions, including for controlled substances. HB 2584 takes effect on September 24, 2023.

6. HB 2665 (Chapter 506) Civil penalties for abuse and neglect by agency personnel

This bill grants the Health Licensing Office the authority to impose civil penalties on temporary staffing agencies if personnel of the staffing agency abuse, neglect, or exploit a patient or client; engage in dangerous conduct that threatens the health, safety, or welfare of others; or do not meet the qualifications for the position.

The bill requires temporary staffing agencies to ensure that all personnel meet any professional authorization or qualifications; meet any state or federal criminal record requirements; complete any required training or continuing education; possess the necessary skills, knowledge, and experience; and comply with any relevant requirements regarding to the health of staff.

The bill requires the Health Licensing Office to adopt rules to establish the maximum rates a temporary staffing agency may charge or receive from an entity that engages the agency. The Health Licensing Office will also establish a process through which a temporary staffing agency may apply for a waiver of the maximum rate.

HB 2665 takes effect on September 24, 2023.

7. HB 2696 (Chapter 414) Requirements for sign language interpreters

This bill declares a public peace, health, and safety emergency.

The bill establishes requirements for sign language interpreter licensing, as well as specialized requirements for supervisory, provisional, educational, medical, and legal sign language interpreter licensing. All licensed sign language interpreters must be at least 18 years of age, demonstrate compliance with national codes of conduct, and meet any other requirements established by the State Board of Sign Language Interpreters. Specific requirements and restrictions include:

- Supervisory sign language interpreters must have three years of qualifying experience.
- Sign language interpreter licenses may be renewed twice.
- Provisionally licensed sign language interpreters may only provide sign language interpretation services under the supervision of a licensed supervisory sign language interpreter.
- Educational sign language interpreters must meet any requirements established by the Department of Education related to sign language interpreters serving in schools. Only licensed educational sign language interpreters may provide sign language interpretation services in educational settings.
- Medical sign language interpreters must be licensed supervisory sign language interpreters or licensed sign language interpreters. Only licensed medical sign language interpreters may provide sign language interpretation services in medical settings.
- Legal sign language interpreters must be licensed supervisory sign language interpreters or licensed sign language interpreters. Only licensed legal sign language interpreters may provide sign language interpretation services in legal settings.

In emergency circumstances or other extenuating circumstances, a person who is not a licensed sign language interpreter may provide sign language interpretation services.

The bill establishes the State Board of Sign Language Interpreters, with members to be appointed by the Governor. The term of office for each member is three years. The Board of Sign Language Interpreters shall advise the Health Licensing Office on licensing rules.

Violation of the licensing provisions of the bill is a Class C misdemeanor. HB 2696 took effect on July 27, 2023.

8. HB 2817 (Chapter 418) Podiatry definition

This bill defines "Podiatry" as the treatment of skin, skin-related structures and subcutaneous masses, and wounds involving skin, skin-related structures and subcutaneous masses, on the human leg no further proximal than the tibial tubercle.

HB 2817 takes effect on January 1, 2024.

9. HB 3223 (Chapter 436) Dental assistant certification

The bill permits the Oregon Board of Dentistry to require dental assistants to pass a written examination. The examination must be offered in English, Spanish, and Vietnamese.

The bill requires the Oregon Board of Dentistry to convene an advisory committee of at least seven members to study the dental assistant workforce shortage and to review the requirements for dental assistant certification in other states.

HB 3223 takes effect on September 24, 2023.

10. HB 3300 (Chapter 439) Issuance of limited permits by Oregon Board of Licensed Professional Counselors and Therapists

The bill allows the Oregon Board of Licensed Professional Counselors and Therapists to issue limited permits to applicants who complete an application and provide proof that the applicant is authorized to practice professional counseling or marriage and family therapy in another state where the requirements for authorization are substantially equivalent to the Oregon requirements for licensure. The limited permit may be valid for up to 30 days in a 12-month period.

The bill removes the requirement that licenses be annually renewed. HB 3300 takes effect on September 24, 2023.

11. HB 3412 (Chapter 87) Physician assistants' and nurse practitioners' service in workers' compensation claims

The bill permits physician assistants to provide compensable medical service to an injured worker for a cumulative total of 180 days.

The bill permits nurse practitioners and physician assistants to provide the same level of services as a primary care physician if the nurse practitioner or physician assistant maintains the injured worker's medical records, has a documented history of treatment with the worker, agrees to refer the worker to the managed care organization for specialized treatment, and agrees to comply with all the rules, terms and conditions regarding services performed by the managed care organization.

HB 3412 takes effect on January 1, 2024.

12. HB 3425 (Chapter 346) Certified registered nurse anesthetists

The bill requires the Oregon State Board of Nursing to issue licenses to practice as a certified registered nurse anesthetist to qualified applicants. Certified registered nurse anesthetists may prescribe prescription drugs.

The bill prohibits certified registered nurse anesthetists from using the title "anesthesiologist."

HB 3425 takes effect on September 24, 2023.

13. HB 3596 (Chapter 447) Surgical technology apprenticeships

The bill permits a person who has completed and is certified by a registered apprenticeship program to practice surgical technology at a health care facility.

HB 3596 took effect on July 27, 2023.

VIII. OPIOID EPIDEMIC

1. SB 238 (Chapter 134) Drug curricula

This bill directs the Oregon Health Authority, the State Board of Education, and the Alcohol and Drug Policy Commission to develop curricula regarding the dangers of synthetic opioids, including fentanyl, and regarding laws that provide immunity or protection for people who report drug or alcohol use or seek treatment for drug or alcohol overdoses for themselves or others.

SB 238 takes effect on January 1, 2024.

2. SB 1043 (Chapter 297) Opioid reversal medication upon discharge from substance use disorder treatment

This bill requires hospitals, long term care facilities, sobering facilities, residential care facilities, residential treatment facilities, and residential treatment homes that provide treatment for opioid use disorder to provide patients with at least two doses of an opioid overdose reversal medication upon the patient's discharge or transfer.

The bill prevents the imposition of civil liability when the provider of the opioid overdose reversal medication is acting in good faith and the act does not constitute wanton misconduct.

The requirements of the bill do not apply if a patient leaves the hospital against medical advice.

The bill requires the Oregon Health Authority to facilitate access to opioid overdose reversal medications to the aforementioned facilities.

SB 1043 takes effect on January 1, 2024.

3. HB 2395 (Chapter 593) Short-acting opioid antagonists

This bill is a response to the opioid crisis and declares a peace, health, and safety emergency.

This bill redefines "opioid" as a "natural, synthetic, or semisynthetic chemical that interacts with opioid receptors on nerve cells in the body and brain to reduce the intensity of pain signals and feelings of pain." The new definition eliminates the previous definition, which defined opioids based on their chemical components.

The bill defines "[s]hort-acting opioid antagonist" as "any short-acting drug approved by the United States Food and Drug Administration for the complete or partial reversal of an opioid overdose." "Short-acting opioid antagonist" replaces all references to "dose of naloxone" in the bill.

The bill permits law enforcement officers, firefighters, and emergency medical services providers to distribute and administer short-acting opioid antagonists. Multiple kits containing the same may be distributed to an individual who is likely to experience an opioid overdose, family members of an individual who is likely to experience an opioid overdose, and any individual who requests one or more kits.

The bill requires school district boards to provide parents and legal guardians of minor students with information regarding short-acting opioid antagonists. The bill requires school district boards to immediately notify parents

or legal guardians of a minor student when a short-acting opioid antagonist is administered to that student while they are at school, on school property, or at any activity under the jurisdiction of the school district.

The bill permits school employees to administer short-acting opioid antagonists to a student

experiencing an opioid overdose without written permission of the student's parents or guardians.

The bill allows a cause of action for the grossly negligent administration of a short-acting opioid antagonist by a school employee, the school district, or a member of the district school board. No other actions may be maintained for injury, death, or loss resulting from acts or omissions of school district employees during the administration of a short-acting opioid antagonist.

The bill permits mental health care providers to provide minors under 15 years of age with single- use drug test strips or tools intended to limit the transmission of infectious diseases or prevent injury, infection, or overdose. The bill provides immunity from civil liability to persons acting in good faith for any act or omission committed during the course of distributing the aforementioned items.

The bill requires the Oregon Health Authority to provide guidance to local mental health authorities to improve notifications and information sharing when an individual under 24 years old dies and the presumed cause of death is suspected overdose.

HB 2395 took effect on August 4, 2023.

IX. PHARMACY

1. SB 970 (Chapter 93) Pharmacy definitions

The bill redefines "nonprescription drug outlet" as a business or other establishment that is open to the general public for the sale or nonprofit distribution of nonprescription drugs and is registered under ORS 689.305.

The bill redefines "third-party logistics provider" as an entity that (a) provides or coordinates warehousing of, or other logistics services for, a product in interstate commerce on behalf of a manufacturer, wholesale distributor, or dispenser of the product; and (b) does not take ownership of, or have responsibility to direct the sale or disposition of, the product.

SB 970 takes effect on September 24, 2023.

2. HB 2278 (Chapter 240) Administering flu shot to those 6 months or older

This bill authorizes pharmacists to administer the influenza vaccine to persons six months of age or older.

HB 2278 takes effect on September 24, 2023.

3. HB 2486 (Chapter 306) Vaccine administration

The bill permits pharmacists, or pharmacy technicians under the supervision of a pharmacist, to administer vaccines.

HB 2486 took effect on July 18, 2023.

4. HB 3258 (Chapter 438) Reporting of dispensation of controlled substances

This bill requires pharmacies to report dispensation of prescription drugs classified in schedules II through V under the federal Controlled Substances Act to an electronic system established for monitoring and reporting prescription drugs when any such drug is prescribed and dispensed to an individual.

The bill permits pharmacists to receive prescription drug monitoring information when dispensing prescription drugs for which reporting is required.

The bill requires the Oregon Health Authority to contract an IT services vendor to ensure the interoperability of the electronic monitoring system.

Short-acting opioid antagonists are not subject to the prescription monitoring program. HB 3258 takes effect on September 24, 2023.

X. PERSCRIPTION DRUGS

1. SB 192 (Chapter 466) Pharmacy benefit manager annual reports; cost limits on drugs

The bill requires pharmacy benefit managers to file a report containing the aggregated dollar amount of rebates, fees, price protection payments, and other payments received from prescription drug manufacturers. Information submitted under this section is confidential and not subject to disclosure, except for an annual aggregate report published on the website of the Department of Consumer and Business Services.

The bill requires the Prescription Drug Affordability Board to develop a plan for establishing upper payment limits on drugs sold in Oregon. The Prescription

Drug Affordability Board must report to the Legislative Assembly by September 15, 2024.

SB 192 takes effect on September 24, 2023.

2. SB 608 (Chapter 184) Pharmacy dispensing costs

The bill requires the Oregon Health Authority to conduct a survey of retail pharmacies enrolled as Medicaid providers to determine the costs of dispensing prescriptions. If the survey indicates a change is needed, the Oregon Health Authority is required to submit a request for state plan amendment to the Centers for Medicare and Medicaid Services.

SB 608 took effect on June 7, 2023.

3. HB 2725 (Chapter 509) Pharmacy benefit claim payments

This bill prohibits a pharmacy benefit manager from retroactively denying or reducing payment on a claim after adjudication unless the pharmacy and pharmacy benefit manager agree that payment was incorrect due to clerical error.

The bill requires notice to a pharmacy for any claim for reimbursement that is reduced or denied. The notice must identify the specific claim and a detailed explanation for why the specific claim was reduced or denied.

HB 2725 takes effect on July 31, 2023.

XI. MISCELLANEOUS

1. SB 229 (Chapter 89) "Adverse event" definition

The bill defines "adverse event" as an objective and definable negative consequence of patient care, or the risk of an objective and definable negative consequence of patient care, that: (a) is unanticipated and usually preventable; and (b) results in or presents a risk of resulting in physical injury to the patient.

SB 229 takes effect on January 1, 2024.

2. SB 303 (Chapter 150) Psilocybin service center data

The bill requires psilocybin service centers to collect data including client demographics, reasons for which a client requested psilocybin services, number of clients served, number of sessions provided, number of individuals to whom the service center denied psilocybin, and the number and severity of adverse behavioral and medical reactions.

The bill requires the service center to submit the data to the Oregon Health Authority. The Oregon Health Authority will aggregate and submit the data to

Oregon Health and Science University to evaluate the outcomes of psilocybin services.

SB 303 takes effect on September 24, 2023.

3. SB 418 (Chapter 142) Temporary disability benefits

Prior to the passage of this bill, an injured worker was required to leave work for at least four hours for the purpose of receiving compensable medical services before eligibility for temporary disability benefits. The bill removes the minimum absence requirement.

SB 418 took effect on June 1, 2023.

4. SB 420 (Chapter 573) "Brain injury" definition; Brain Injury Advisory Committee

This bill defines "brain injury" as damage to the brain from an internal or external source that results in total or partial impairment in critical functions, including but not limited to attention, memory, reasoning, problem solving, processing speed, decision-making, learning, perception, sensing, speech and language, or motor and physical function or psychosocial behavior, and that is of sufficient severity to produce partial or total disability. The bill requires the Department of Human Services to provide service coordination, resource navigation, advocacy, and options counseling to individuals with brain injuries.

The bill also requires the Department of Human Services to convene a Brain Injury Advisory Committee to advise on the development of brain injury programs and services.

The bill declares a state of emergency. SB 420 took effect on July 31, 2023.

5. SB 523 (Chapter 287) Community college nursing degrees

This bill authorizes community colleges to offer Bachelor of Science in nursing degrees. SB 523 takes effect on January 1, 2024.

6. SB 558 (Chapter 109) Hearing aid regulation

The bill exempts over-the-counter hearing aids from regulation by the Advisory Council on Hearing Aids and Health Licensing Office and permits the sale of hearing aids by direct mail.

This bill declares a state of emergency. SB 558 took effect on May 19, 2023.

7. SB 573 (Chapter 157) Modification of birth records

This bill permits a person, who is age 21 or older and whose original record of live birth was sealed under ORS 432.245 and was later opened under ORS 432.250, to apply to the Center for Health Statistics to add or change the name of a biological parent on the original record of live birth when paternity or parentage has been determined by DNA or other means.

The bill requires that the person seeking to add or change the name of a biological parent include in their application evidence of a DNA test or other evidence that shows the person to be added is the biological parent of the applicant as well as an affidavit attesting that the person is the biological parent of the applicant. If the biological parent of the applicant is deceased, the applicant must submit an affidavit from the personal representative or relative of the deceased.

If the name of a biological parent is entered under this section, only a noncertified copy of the record of live birth may be obtained. A notation indicating that the record was amended must be shown on all copies of the record.

The bill requires the Center for Health Statistics to adopt rules regarding the application process, evidentiary requirements, collection of fees, and the registration and issuance of noncertified copies of the amended record of live birth.

SB 573 takes effect on January 1, 2024.

8. SB 965 (Chapter 199) Off-site investigation of hospice programs; hemodialysis technician certificate requirements; Oregon Health Advisory Board membership

The bill requires the Oregon Health Authority to conduct off-site investigations of hospice programs within 60 days of receiving a complaint.

The bill permits the Oregon Health Authority to require the fingerprints of a person who is applying for a hemodialysis technician certificate. The Oregon Health Authority may issue a hemodialysis technician a certificate by reciprocity.

The bill modifies the membership of the Oregon Health Advisory Board to include 18 members. SB 965 takes effect on January 1, 2024.

9. HB 2128 (Chapter 401) Tobacco product manufacturer payments

On November 23, 1998, Oregon and 45 other states (the "Settling States") ended a four-year legal battle with the four largest domestic tobacco manufacturers (Philip Morris Incorporated, R.J. Reynolds Tobacco Company, Brown & Williamson Tobacco Corporation, and Lorillard Tobacco Company). The executed

Tobacco Master Settlement Agreement settled all past, present, and future smoking-related claims made by the settling states.

This bill requires tobacco product manufacturers who have not entered into the Master Settlement Agreement with the State of Oregon to pay the state an amount intended to prevent the tobacco product manufacturers from deriving large short-term profits and then becoming judgment proof. The bill is intended to increase the retail prices of cigarettes sold by manufacturers and to serve as partial compensation for the financial burdens imposed on the state by cigarette smoking.

More specifically, the bill requires tobacco manufacturers who have not entered into the Master Settlement Agreement to pay $0.0188482 per unit sold between 2007-2023. The funds assigned to the State are to be deposited in the Oregon Health Authority Fund established under ORS 413.101 and used for the expenses of the Oregon Health Plan.

Tobacco manufacturers who have not entered into the Master Settlement Agreement as participating manufacturers are liable for an equity assessment for units sold within the State of Oregon after January 1, 2024 at a rate of $0.0188482 per unit sold. These manufacturers must annually certify to the Attorney General that they are in compliance and submit the required equity assessment by April 15 of the year following the sales year at issue.

Failure to comply may result in imposition of civil penalties in an amount not to exceed 15% of the amount improperly withheld per day of the violation, and in total not to exceed 300% of the original amount improperly withheld. The amount of civil penalty assessed will depend on whether the violation was knowing. In the case of a second knowing violation, the manufacturer will be prohibited from selling cigarettes to consumers within the state for a period not to exceed two years.

Importers are jointly and severally liable with tobacco product manufacturers for the equity assessments and may be sued to the same extent as tobacco product manufacturers.

HB 2128 takes effect on January 1, 2024.

10. HB 2279 (Chapter 241) Repeal of Death with Dignity residency requirement

On October 27, 1997, Oregon enacted the Death with Dignity Act, which allows terminally ill individuals to end their lives through the voluntary self-

administration of lethal medications expressly prescribed by a physician for that purpose.

HB 2279 repeals the Oregon residency requirement that was enacted as part of the original Oregon Death with Dignity Act.

HB 2279 took effect on July 13, 2023.

11. HB 2286 (Chapter 244) Enhanced federal match to Indian health care providers

This bill requires the Oregon Health Authority to maintain a process for identifying eligible claims for an enhanced federal match for items or services provided by a nontribal provider who has a written care coordination agreement with an Indian health care provider. It requires the OHA to establish a mechanism to return a portion of the enhanced federal match to the Indian health care provider who has a written care coordination agreement with the nontribal provider.

HB 2286 takes effect on January 1, 2024.

12. HB 2447 (Chapter 84) Declarations of deceased depositors

This bill requires the Department of Human Services and Oregon Health Authority to provide declarations of deceased depositors to financial institutions between 46–76 days after the death of the depositor.

HB 2447 takes effect on January 1, 2024.

13. HB 3626 (Chapter 561) Infant safe surrender period

This bill extends the safe surrender period for anonymously leaving an infant at an authorized facility to 60 days from the infant's date of birth. Authorized facilities must post and maintain signage outside of the facility notifying the public of the facility's safe surrender program.

HB 3626 takes effect on January 1, 2024.

Chapter 8 -- Housing and Land Use

The Oregon State Bar would like to thank OSB members Kevin Mehrens Emily Rena-Dozier, Brian Cox, and Tony Kullen for their contributions to this chapter.

1. SB 611 (Chapter 226) Rent Increases

SB 611 amends the cap on rent increases in residential tenancies to limit price hikes during high-inflation periods. Previously, Oregon law capped rent increases at 7% plus the annual consumer price index (CPI). Because the CPI in 2022-23 was so high, annual rent increases of up to 14.6% were permitted.

To prevent similar increases in future, SB 611 amends ORS 90.323, 90.324, and 90.600 to limit rent increases to the lesser of 7% plus CPI (the current cap) or 10%. In other words, in high- inflation years, the maximum rent increase for residential tenancies is 10%. In years with lower inflation, the maximum increase would be lower. This change adds predictability for landlords and tenants, who now know what the maximum annual rent increase can be and can budget accordingly. SB 611 also limits rent increases to once in any 12-month period.

SB 611 does not change existing provisions exempting from the rent-increase cap residential landlords who rent units that have certificates of occupancy less than 15 years old, or units that are subsidized and the increase either does not increase the tenant's portion of the rent or is required by the terms of the subsidy program.

SB 611 took effect on July 6, 2023, and applies to all notices of rent increase issued on or after that date.

2. SB 718 (Chapter 185) Forfeiture of Water Rights

Ordinarily if a water right holder fails to use part or all of the water right for a period of five years, that nonuse establishes a rebuttable presumption of forfeiture of part or all of the water right.

SB 718 provides that if the Governor declares that a drought exists, or is likely to exist, in the county, then that year does not count toward the time for forfeiture of that water right.

SB 718 takes effect on January 1, 2024.

3. SB 1013 (Chapter 295) RV siting

SB 1013 allows a county government to permit an owner of a lot or parcel in a rural area to site a single recreational vehicle on the property for residential use.

The term “Rural area” is defined to include either an “an area zoned for rural residential use as defined in ORS 215.501” (which applies only to land outside an urban growth boundary) or “land that is within the urban growth boundary of a metropolitan service district, but not within the jurisdiction of any city, and zoned for residential use.”

Under SB 1013, the RV siting is permissible only if several criteria are met, including that the primary single-family dwelling on the property is the primary residence of the property owner, and that no portion of the primary residence be rented as a residential tenancy. Additionally, the RV itself must be owned or leased by the tenant.

SB 1013 takes effect on January 1, 2024.

4. SB 1069 (Chapter 296) Notice by Email

SB 1069 amends ORS 90.155 and related statutes to permit residential landlords and tenants to serve notices by email, if the parties agree to do so by separate written addendum to the rental agreement.

SB 1069 also allows landlords to return funds to tenants, including security deposits and rent refunds, by electronic means, if the parties have agreed to such electronic delivery in a written agreement. Significantly, however, notices terminating a tenancy, if served by email, must also be served by first class mail.

SB 1069 takes effect on January 1, 2024.

5. HB 2001 (Chapter 13) Evictions

HB 2001 modifies the rights and obligations of landlords and tenants in Oregon. The bill expands the protections afforded to tenants under the Oregon Residential Landlord Tenant Act (ORLTA) and has several effects.

First, the bill allows a tenant to pay any past-due rent to a landlord at any time during an eviction case for non-payment of rent in order to dismiss the case. This functions as a redemption right for the tenant. If it is the day before an eviction trial, the tenant can tender past due rent to the landlord and the case will be dismissed. If this happens, the tenant will not be allowed to recover their attorney fees or costs and the landlord can recover their filing fees. As a practical matter, a dismissal after a tenant tenders past-due rent means neither party will be considered the prevailing party for the purpose of attorney fees and costs under ORS 90.225. This gives Oregon tenants extra time, if they fell behind on rent for whatever reason, to get back on track and avoid being saddled with an eviction on their record.

Second, the bill extends the time periods for the right to cure a past-due rent under ORS 90.394. The statute is modified to allow either 10 days or 13 days to cure unpaid rent before an eviction can be filed. Previously, a landlord could issue a 72-hour notice of unpaid rent on the eighth day of the rental period or a 144-hour notice on the fifth day of the rental period. Both are functionally identical in that they require the tenant to cure the unpaid rent by the eleventh day of the rental period.

Under HB 2001, the landlord can give 10 days' notice on the eighth day of the rental period or 13 days' notice on the fifth day of the rental period. This means the tenant can cure unpaid rent up to the 19th day of the rental period. This gives a tenant who falls behind on rent an additional eight days to pay the rent without the landlord being able to file an eviction case.

Third, the bill imposes additional inquiry requirements by the court prior to entering a default judgement against a tenant who declined to appear at an eviction hearing first appearance.

Previously, if a tenant did not appear at the initial hearing in an eviction case, the landlord was automatically granted a default judgment for possession. Under the new standard, the court is required to make an independent finding that the complaint complies with certain procedural and technical requirements imposed by law. These technical and procedural requirements are frequently some of the most effective defenses a tenant has to eviction, but without a lawyer to identify and explain them, very few tenants would recognize they have such a defense. In addition, the landlord is required to submit an affidavit swearing under oath that the tenant is still in possession of the premises prior to obtaining a default.

Finally, the bill sets up a system for the court to automatically set aside old eviction convictions. The court is required to annually conduct an internal, independent inquiry as to what eviction judgements have been satisfied and seal those records. Qualifying judgments are those where (1) any money award has expired or been satisfied or discharged, and (2) at least five years have passed from the date of judgement, or the judgement was by stipulation of the parties and twelve months have passed from the date of judgement. If an eviction is set aside, any prospective tenant when asked the question, "have you ever had an eviction entered against you?" can truthfully and legally answer, "no."

HB 2001 took effect on March 29, 2023.

6. HB 2634 (Chapter 250) RV Tenancies

HB 2634 creates a definition of "Recreational Vehicle Park" under the Oregon Residential Landlord Tenant Act (ORTLA) that cross-references to the definition in ORS 197.492. The bill provides that provisions of ORTLA relating to manufactured dwelling facilities do not apply to RV parks.

The bill additionally expands the definition of "Vacation Occupancy" under the Act to include rental of space in Recreational Vehicle Parks when the occupancy is for less than 90 days, the occupancy is for vacation purpose only, the occupant has a primary residence, and notification provisions are met. Under current law, vacation occupancies are generally exempt from the Oregon Residential Landlord Tenant Act.

Finally, the bill permits a landlord to dispose of abandoned recreational vehicles if the value is less than $4000.

HB 2634 takes effect on January 1, 2024.

7. HB 2680 (Chapter 319) Applicant Screening Charges

HB 2680 makes several changes to statutes related to landlords accepting applicant screening fees.

First, the bill requires that a landlord provide the applicant with a confirmation that a screening by either a tenant screening company or a credit report agency has occurred, including sending the tenant a copy of a receipt from the screening entity.

Second, the bill provides that a landlord must refund the screening charge within 30 days, if the applicant is not screened.

8. HB 2898 (Chapter 327) RV siting

HB 2898 extends the time period that an RV may be sited and occupied as a dwelling on the lot of a single family home or of a manufactured home that was damaged in a natural disaster.

In 2021, the legislature passed HB 2809, which allowed an RV to be used as a dwelling for up to 24 months following a natural disaster that made the primary dwelling uninhabitable. HB 2898 extends this time period to five years.

HB 2898 takes effect on January 1, 2024.

9. HB 3294 (Chapter 342) Redaction in Recorded Instruments

HB 3294 provides for the redaction of discriminatory language in historical conveyance instruments. Under the bill:

"The owner of the property or the owner of any portion of the property subject to the provision may cause the provision to be stricken from the public records described in ORS 205.130 by filing a petition in the circuit court for the county in which the property is located."

This is an In rem declaratory relief action filed by owner; no other necessary parties need be named. Under the bill the order must include a redacted copy of the instrument itself. If approved by the court, the county clerk shall record the order and redacted instrument, and index to the redacted instrument. The original, un-redacted instrument is maintained for archival purposes.

HB 3294 takes effect on January 1, 2024.

10. HB 3443 (Chapter 549) Victims of Bias Crimes

HB 3443 makes several changes to Oregon law in order to protect Oregonians who are the victim of a bias crime. "Bias Crime" is defined in HB 3443 to include a person who is a victim of the crimes of Bias Crime in either the first or second degree (ORS 166.165 and ORS 166.155 respectively.)

Among other changes, the bill amends ORS Chapter 90 to include victims of bias crimes in several provisions that currently protect victims of domestic violence, sexual assault or stalking. These include providing that residential tenants are not responsible for damage to property that results from a bias crime, and prohibiting landlords from terminating or failing to renew a tenancy because the tenant was the victim of a bias crime. The bill also permits a landlord to more easily evict a tenant who is the perpetrator of a bias crime.

HB 3443 takes effect on January 1, 2024.

2022

OREGON LEGISLATION HIGHLIGHTS

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Many bills passed during the 2022 session have special effective dates. These dates are noted in the description of each bill.

If a special effective date is not proscribed in a bill, the bill takes effect on January 1, 2023.

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FORWARD

The annual *Oregon Legislation Highlights* offers a timely and authoritative resource to help lawyers catch up on the latest legislative developments.

This book highlights over 50 bills and other measures that were passed by both houses of the legislature, as well as UTCR changes made during 2022. This book does not describe all of the enacted legislation. *Unless otherwise noted, all legislation takes effect on January 1, 2022.*

The information in this book is organized into chapters by subject. If a bill has a special effective date, that date is noted at the end of the discussion of that bill. Please note that in some cases a bill may have more than one effective date. If in doubt about the effective date of a law, always check the enacting legislation. Each bill is identified – in the chapter outline and in the text – by its bill number and its 2022 Oregon Laws chapter number.

The legislature's website offers additional information that the reader of this book may find useful. Individual bills are hyperlinked to that bill's page in the Oregon Legislative Information System, which contains additional information on that bill. This includes measure summaries written by legislative staff, and in some cases supporting documentation submitted during committee hearings. See www.oregonlegislature.gov for more information.

We are grateful to all who were involved in preparing this book. We are especially appreciative of the efforts of our volunteer authors, who take time away from their practices to contribute to this publication and without whom this book would not be possible.

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Chapter 1 -- Criminal Law

I. CRIMINAL LAW

1. HB 4008 (Ch. 40) Policing

HB 4008 makes several changes to public safety statutes, including authorizing the Commission on Statewide Law Enforcement Standards of Conduct and Discipline to hire an executive director and support staff.

HB 4008 also significantly rewrites ORS 181A.708, which was amended in 2020 and 2021 to limit the use of tear gas and chemical incapacitants in crowd control. The bill creates new definitions of "crowd management", "handheld chemical incapacitant" and "tear gas". The bill then specifies a number of restrictions on when and how law enforcement may use tear gas and kinetic impact projectiles for crowd management.

2. HB 4050 (Ch. 46) Legal Services Pilot Project

HB 4050 requires the Oregon Department of Corrections to work with the Criminal Justice Commission to establish a pilot program to provide legal services to adults in custody at the Coffee Creek Correctional Facility.

The bill provides that these services would focus on assisting inmates with reentering and reintegrating into local communities, reducing vulnerability to domestic violence and assisting individuals with obtaining employment, housing and other benefits.

HB 4050 took effect on March 23, 2022 and sunsets on December 31, 2024.

3. HB 4075 (Ch. 57) Restitution

HB 4075 modifies the process the state must use to present evidence to determine restitution after a criminal conviction that resulted in economic damages.

Under the bill, the district attorney must either present evidence at sentencing, or file a motion within 90 days of sentencing requesting that the judgment be amended or a supplemental judgement be entered. The DA is required to provide the defendant with any supplemental documentation supporting the motion at least 10 days prior to filing the motion. Any objection to the motion just be made within 15 days of the filing of the motion, and must contain a description of the nature of the objection. The bill also specifies that in a restitution proceeding, damages are presumed reasonable if the damages are documented in

the form of a bill, record, estimate or invoice from a business, health care provider, or public body.

Separately, HB 4075 clarifies the order in which various items within a judgment are satisfied. Under the bill, compulsory fines are the highest priority to be satisfied, with restitution being the second tier down.

HB 4075 will take effect on January 1, 2023.

4. HB 4105 (Ch. 64) Traffic Control Agents

HB 4105 permits duly authorized traffic control agents to review photographs from red light cameras and photo radar cameras, and to sign and authorize citations. Prior to the bill, a police office was required to sign the citation. The bill creates a definition of "duly authorized traffic control agent" and adds the definition to ORS 810.436, ORS 810.437 and ORS 810.444.

The bill also amends ORS 153.083 to permit the duly authorized traffic control agent to appear in trials on violations and present evidence reviewed by the agent as the basis for the citation. The new section is similar to existing language permitting police officers to appear on behalf of the state in violation trials. However, the new section does not permit traffic control agents to examine or cross-examine witnesses nor make arguments to the court.

5. HB 4120 (Ch. 68) Waiver of Fines and Fees; Remote Appearances

HB 4120 allows courts to waive or reduce the statutory minimum fines for violations if the court finds that requiring the fine is inconsistent with justice in the case. The bill allows the court to consider the defendant's financial situation and may allow the defendant to pay a fee in installments.

The bill makes several other changes to either fee amounts, or the process of seeking waiver of fees, including allowing adults in custody to seek a fee waiver based upon a trust account statement. Additionally the bill limits fees in protective proceedings and in small estate probate matters.

Finally, the bill grants the Chief Justice additional authority to direct or permit that designated court proceedings be conducted by telephone or other two-way electronic communication.

The bill took effect upon passage, but most operative portions of the bill do not go into force until January 1, 2023.

6. SB 1510 (Ch. 78) Right to Refuse Consent; General Conditions of Probation

SB 1510 make several changes to Oregon criminal law.

The bill requires that before a police officer can request consent to perform a search of a stopped person or vehicle, the officer must first inform the person of their right to refuse consent. The bill also instructs that an officer who obtains consent, shall ensure that there is a written, video, or audio record that the person gave voluntary and informed consent. The bill does not apply to implied consent searches described ORS Chapter 813. The bill adds substantially the same language to ORS 131.615 and to ORS 810.410.

Additionally, the bill prohibits a police officer from initiating a traffic stop for violation of several traffic violation statutes related to vehicle lighting.

The bill modifies the general conditions of probations stated in ORS 137.540 by eliminating the standard requirement to not use or possess controlled substances except when authorized by prescription. Additionally the bill eliminates the standard requirement to find and maintain gainful employment or approved schooling. The bill eliminates the prohibition on changing jobs without approval of the Department of Corrections, instead requiring the individual to notify the parole or probation officer. The bill permits that these eliminated provisions could be imposed by a judge as special conditions of probation if appropriate.

The bill also makes several changes to statutes related to training requirements for parole and probation officers, including requiring training in trauma-informed care, culturally specific services, and de-escalation techniques. Finally, the bill extends the sunset on the Justice Reinvestment Program, and appropriates money to the program for a variety of designated uses.

7. SB 1543 (Ch. 88) Universal Representation

SB 1543 creates a Universal Representation Program in Oregon which will provide immigration related legal services to financially eligible individuals. Under the bill, funding is allocated to direct providers through a grant process, and clients may not be charged for services received. Funding is also set aside to create a statewide navigation system to connect clients to service providers. In total the bill allocates $15 million toward the program.

SB 1543 took effect on March 23, 2022.

8. SB 1584 (Ch. 105) Wrongful Conviction

SB 1584 creates a process for a person to submit a petition for compensation for wrongful conviction against the State of Oregon. In order to be eligible for compensation under the bill:

- The person must have been convicted of one or more felonies, and imprisoned as a result;
- The conviction must have been reversed or vacated the charges dismissed, OR upon retrial the person was found not guilty, OR the person received a gubernatorial pardon;
- The person did not commit the crime for which they were convicted, and was not an accessory or accomplice to the crime; and
- There person did not commit perjury or falsify evidence leading to their own conviction. A confession or a guilty plea does not constitute perjury or falsifying evidence for this purpose.

All of the above elements must be demonstrated by a preponderance of the evidence. If the court finds that the elements are satisfied, the bill requires the court to enter a judgment in the amount of $65,000 for every year of imprisonment and $25,000 for every year of parole or post-prison supervision as well as for each year the person was required to register as a sex offender.

The bill specifies a variety of procedural and notice requirements related to the claim with which a person seeking to file a claim should be familiar. The bill provides a functional two year statute of limitations on the filing of a claim, which runs from the date of the dismissal of the charges, the finding of not guilty, or the receipt of a gubernatorial pardon.

SB 1584 took effect on March 23, 2022. Notwithstanding the above two year statute of limitations provided in the bill, the bill provides that an otherwise eligible person released from custody before the bill took effect, may file a petition within two years of the effective date of the bill.

Chapter 2 -- Employment and Workers Compensation

Stephen Scott: 2013 Willamette University School of Law. Oregon State Bar member since 2013.

I. EMPLOYMENT AND WORKERS COMPENSATION

1. HB 4059 (Ch. 51) Labor Standards for Utilities and Electric Providers

HB 4086 makes several changes related to HB 2021 passed during the 2021 session. That bill provided a number of targets for utilities and electricity providers to provide carbon free electricity by 2040. The bill also created a number of labor standards related to large scale utility projects.

Among other changes, **HB 4059** redefines "large-scale" projects as "covered projects". The bill also clarifies that the good faith exception provided in HB 2021 applies only to the existing requirement that at least 15% of the work done on covered projects be performed by apprentices. The bill also requires payment of the prevailing wage rate on covered projects.

HB 4059 took effect on March 23, 2022.

2. HB 4086 (Ch. 6) Workers Compensation

HB 4086 makes several changes to Workers Compensation law in Oregon. Significantly, the bill provides that inquiring about workers compensation benefits is a protected activity. The bill also specifies that it may be an unlawful employment practice if a person acting on behalf of an employer discriminates against a worker for engaging in a protected activity. Prior law only prohibited for the employer to do so. The bill also makes several changes to the definitions of dependents throughout the statute.

HB 4086 takes effect on January 1, 2023.

3. HB 4138 (Ch. 73) Temporary Disability Payments

HB 4138 makes several changes to workers compensation law related to temporary disability payments. The bill makes changes to the time loss statutes and establishes additional limits on the recovery of overpayments made to an injured worker by an insurer. The bill also requires insurers and self-insured employers to provide written notice to workers before suspending time loss payments.

The bill expands the timeframe for a medical provider to retroactively authorize time loss from 14 to 45 days and establishes conditions under which a worker, who has received notice that time loss payments will cease, can work with

their provider to authorize time loss back to the date that the worker's eligibility ended.

HB 4138 takes effect on January 1, 2023.

4. SB 1513 (Ch. 22) Mandatory Overtime

SB 1513 prohibits an employer from requiring an employee who works in a bakery or tortilla manufacturing facility from working a mandatory overtime shift, unless the employer has provided the employee with at least 5 days advance notice of the shift.

The bill prohibits the employer from taking any adverse activity against an employee who refuses such a shift and provides that violation is an unlawful practice subject to enforcement by the Bureau of Labor and Industries.

SB 1513 takes effect on January 1, 2023.

5. SB 1514 (Ch. 23) Pay Equity

HB 2818, which was passed in the 2021 session, created a temporarily removed hiring and retention bonuses from the definition of "compensation" for the purpose of Oregon's pay equity law. That bill applied only to complaints filed with the Bureau of Labor and Industries (BOLI) between May 25, 2021 and March 1, 2022.

SB 1514 makes an identical change to the law, but applies the change to BOLI complaints filed during the period that begins on March 1, 2022 and 180 days after the expiration of the state of emergency declared by the Governor on March 8. 2020.

SB 1514 took effect on March 7, 2022. The COVID state of emergency was ended by executive order effective April 1, 2022. The changes made by SB 1514 will therefore remain in force until September 28, 2022.

6. SB 1515 (Ch. 24) Definition of "Benefit Year"

In 2019, the Legislature passed HB 2005, which established the Paid Family and Medical Leave Insurance program. Under that bill, employees are entitled to 12 weeks of benefits per "benefit year", and the Oregon Employment Department was required to both come up with a definition of "benefit year" and determine alternative definitions to give different employers options.

SB 1515 amends the original rules to require a single definition of "benefit year" that would apply to all employers and employees. Under the bill, a "benefit year" is defined as "a period of 52 consecutive weeks beginning on the Sunday

immediately preceding the date on which family leave, medical leave or safe leave commences."

SB 1515 takes effect on January 1, 2023.

7. SB 1586 (Ch. 107) Unlawful Employment Practices

SB 1586 is an extension of the Oregon Workplace Fairness Act passed in 2019. Under that law, employers were prohibited from requiring nondisclosure agreements for most purposes, if the NDAs prohibited the employee from discussing employment discrimination or sexual assault. SB 1586 extend the previous law to cover former employees of both private and public employers. It also expands certain restrictions. It prohibits employers from requesting confidentiality about the amount or facts of any settlement. It also makes it a violation of the act for an employer to make an offer of settlement conditional upon a request by the employee to include any restricted terms. Finally, the bill requires employers provide employees with (That seek to enter into an agreement) a copy of the Oregon Workplace Fairness Compliant anti-discrimination policy. BOLI has a model policy on their website.

SB 1586 takes effect on January 1, 2023.

Chapter 3 – Environmental Law

Michael Eliason: Willamette University School of Law. Oregon State Bar member since 2008.

I. ENVIRONMENTAL LAW

1. HB 4055 (Ch. 31) Forest Products Harvest Tax

HB 4055 reauthorizes the Forest Products Harvest Tax, which failed to pass during the 2021 session, with a new component that will fund habitat improvement projects as part of the Habitat Conservation Plan (HCP), an end result of the Private Forest Accord (HB 1501).

Under the bill, landowners will pay more via the harvest tax, starting at $2.5 million per year until the federal services approve the HCP, at which time the amount will increase to $5 million annually. As part of the Private Forest Accord, Governor Brown committed the state to a $10 million contribution for the life of the HCP. All told, the combined contribution to mitigation projects could reach as high as $750 million over the next 50 years.

HB 4055 took effect on June 3, 2022.

2. HB 4077 (Ch. 58) Environmental Justice

HB 4077 transforms the Environmental Justice Task Force into the Environmental Justice Council and directs the Council to create a mapping tool to better identify environmental justice communities. The bill directs agencies to use the tool in decision making and program development, and requires an inclusive community engagement process to receive input from communities around the state in developing the mapping tool.

The bill increases the membership of the Council from 12 to 13 and states that 8 of the members must have experience in environmental justice while possessing knowledge in other areas such as climate resilience, disability rights, agricultural operations and food systems, water planning, and forest management, among other areas. The bill provides definitions of "environmental justice" and "environmental justice communities".

HB 4077 took effect on June 3, 2022.

3. HB 4139 (Ch. 74) Environmental Product Declarations

Specific to Oregon Department of Transportation (ODOT) projects, **HB 4139** creates an environmental product declaration (EPD) program for greenhouse gas reduction that assesses emissions attributable to materials used in construction

and maintenance of the state's transportation system, conducts life cycle assessments of certain construction activities, and devises strategies for improving pavement and bridge conditions.

The bill requires ODOT to provide grants to bidders that require financial assistance to prepare EPDs. The bill also establishes a broad stakeholder advisory committee and allows for different assessments in different parts of the state.

HB 4139 took effect on June 3, 2022.

4. SB 1501 (Ch. 33) Private Forest Accord

SB 1501 was the enabling legislation for the Private Forest Accord (PFA) and accompanying 196-page Private Forest Accord Report, the product of an historic agreement between the forest products industry and conservation groups. The bill directs the Oregon Department of Forestry to engage in comprehensive, expedited rulemaking to update the Oregon Forest Practices Act to reflect the PFA agreement.

The PFA was developed via an MOU signed between the two sides in early 2020. The first legislation resulting from the MOU was SB 1602, which passed during the first special session in 2021 and addressed the aerial application of pesticides by increasing buffers around schools, residences, and drinking water intakes as well as creating a new notification system for neighboring landowners. SB 1501 addresses a whole series of other challenging forestry issues, including new fish and non-fish bearing stream buffers, forest roads, steep slope logging, and how to address changes that may be needed in the future via an adaptive management program.

SB 1501 took effect on March 17, 2022.

5. SB 1502 (Ch. 34) Small Forestland Owner Tax Credit/Private Forest Accord

SB 1502 is a companion bill to SB 1501 that creates a new tax credit for small forestland owners to obtain value for opting-in to the newly increased standard harvest buffers that apply to larger industrial landowners. The amount of the credit is based on the stumpage value of timber within forest conservation areas or the area between the new small forestland owner minimum harvest buffers and the new standard buffers.

SB 1502 took effect on June 3, 2022.

6. SB 1518 (Ch. 35) Reach Codes/Task Force on Resilient Buildings

The original version of this bill would have allowed local jurisdictions to adopt the state's "Reach" code, an optional energy construction standard designed to reduce greenhouse gas emissions. Throughout the legislative process, concerns were expressed about allowing cities and counties to mandate a standard that is currently optional, potentially creating a patchwork of codes throughout the state.

As a result, the bill was amended late in the session to create the Resilient Efficient Buildings Task Force ("REbuilding Task Force"). The charge of the Task Force is to identify and evaluate policies related to building codes and building decarbonization for new and existing buildings that would enable state to meet greenhouse gas emissions reduction goals (ORS 468A.205), while maximizing certain additional benefits.

SB 1518 took effect on March 17, 2022.

7. SB 1546 (Ch. 89) Elliot State Forest

SB 1546 creates the Elliott Research Forest and decouples the Elliott from the Common School Fund. It develops a new state authority to manage the forest, establishes a board of directors to advise and approve activities of the forest, and creates standards for the hiring of an Executive Director. It will also allow for active management on a small percentage of the forest.

This bill is the result of several years of negotiations and comes on the heels of the State Land Board deciding, after nearly selling the forest in 2017, to keep the forest in public ownership while providing the necessary funding to keep the Common School Fund whole.

SB 1546 took effect on June 3, 2022.

8. SB 1567 (Ch. 99) Seismic Vulnerability Assessments

SB 1567 requires bulk fuel terminals to conduct seismic vulnerability assessments from which the Department of Environmental Quality (DEQ) will develop risk reduction plans and mitigation requirements. As amended, this bill will apply only to facilities in Columbia, Multnomah and Lane counties, which must submit assessments by June 1, 2024.

The bill requires DEQ to review seismic assessments and to require property owners to submit updates every three years under certain circumstances. It requires DEQ to report back to the legislature no later than November 1, 2024 with recommendations for additional legislation based on information received from the seismic assessments, including applying the requirements to additional regions of the state.

SB 1567 took effect on June 3, 2022.

Chapter 4 -- Health Law

Jennifer Baker: 2007 Willamette School of Law. Oregon State Bar member since 2007.

Caitlin Forsyth: 2014 University of Washington School of Law. Oregon State Bar member since 2020.

Megan Lane: 2010 Northwestern School of Law. Oregon State Bar member since 2010.

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Heidee Stoller: 2006 Yale University School of Law. Oregon State Bar member since 2007.

I. ACCESS TO CARE

1. HB 4034 (Ch. 45) Pseudoephedrine, Reproductive Health and Education Programs, COVID-19 Data & Telemedicine

HB 4034 updates and clarifies a number of laws, including clarifying permitted dispensing of pseudoephedrine, expressly allowing implementation of the Reproductive Health Equity Act, extending the sunset related to reporting of certain data related to COVID-19 and clarifying standards for delivery of telemedicine and telepharmacy.

In 2021, the Oregon Legislature passed HB 2468 which allows a pharmacist or pharmacy technician to dispense drugs containing pseudoephedrine without a prescription to persons 18 years of age or older. HB 4034 permits a pharmacy intern to transfer a drug containing pseudoephedrine or ephedrine to persons 18 years of age or older without a prescription. HB 4034 also allows pharmacists, pharmacy technicians and interns to access a pharmacy's electronic database remotely and prohibits the State Board of Pharmacy from establishing standards for telepharmacy that are stricter than standards for in-person delivery of pharmacy services. It defines final verification and permits a pharmacy technician to perform final verification under the supervision of the pharmacist.

In 2017 the Oregon Legislature passed HB 3391 (the Reproductive Health Equity Act) that expanded coverage for eligible Oregonians to access free reproductive health services. HB 4034 permits the Oregon Health Authority (OHA), subject to available funds, to implement the reproductive health services

and education programs and provide funding for reproductive health services and education.

HB 4034 extends the sunset on provisions regulating sharing of COVID-19 data to one year after the date on which the state of emergency declared by Governor on March 8, 2020 for the COVID-19 pandemic and any extension of state emergency is no longer in effect.

HB 4034 defines telemedicine and allows physicians and physicians assistants to use telemedicine to establish a patient-provider relationship, diagnose or treat medical conditions, and prescribe prescription drugs to patients physically located the state. Clarifies that the physician or physician assistant is not required to be physically located in this state when providing health care services via telemedicine.

HB 4034 appropriates general fund dollars for OHA to use towards grants for up to 10 school districts for school-based health centers and 4 grants to school districts or education service districts for mobile school-linked health centers.

HB 4034 took effect on March 23, 2022.

2. HB 4035 (Ch. 29) Establishes Joint Task Force on Bridge Health Care Program

This bill creates a framework for how Oregon will manage Medicaid enrollees who will be redetermined out of the program once the federal Public Health Emergency (PHE) comes to an end. This legislation directs the Oregon Health Authority (OHA), Department of Human Services (DHS) and the Department of Consumer and Business Services (DCBS) to implement a comprehensive outreach program, develop communications and provide navigation services. The bill establishes a joint legislative task force to develop a federally funded “bridge plan” or Basic Health Plan that covers individuals at the 138%-200% federal poverty level who lose their Medicaid eligibility during the redetermination process. The task force shall develop a proposal for a bridge program to provide affordable health insurance coverage and improve the continuity of coverage for individuals who regularly enroll and disenroll (or “churn”) into the Oregon Health Plan. There are several requirements the task force must evaluate, including rising premium impacts to the individual Marketplace.

This bill requires the state agencies to submit a report to the legislature describing the redetermination process, operational timelines for processing

medical redeterminations, risks to that process and how OHA will use state funding to complete redeterminations once the federal PHE ends. The state agencies are also required to convene a community and partner work group to advise on development of outreach and enrollment assistance for Medicaid enrollees who are being redetermined into the commercial market.

OHA must submit a request to CMS for any required federal approval to secure federal financial participation in costs of administering a Basic Health Plan. The agency is authorized to administer the program upon CMS approval.

HB 4035 took effect on March 17, 2022.

3. HB 4095 (Ch. 61) Establishes OHA Veterans Dental Program

HB 4095 establishes the Veterans Dental Program within the Oregon Health Authority (OHA) to provide oral health care to eligible veterans residing in Oregon beginning January 1, 2023. The program will be administered in collaboration with the Department of Consumer and Business Services (DCBS). OHA will contract with dental care organizations throughout the state and with individual oral health care providers in areas of the state that are not served by dental care organizations. Enrollees of the program will receive oral care determined by OHA without copayments, deductibles or cost-sharing. An enrollee must be a veteran, a resident of Oregon, be ineligible for Medicaid and have income below 400% of the federal poverty guidelines.

HB 4095 took effect on June 3, 2022.

4. SB 1529 (Ch. 37) Voluntary Emergency Providers and Primary Care Visit Insurance Coverage

This legislation allows the state Public Health Director to deploy State Emergency Volunteer Health Care Providers upon approval of the Governor. The bill also requires the Oregon Health Authority to provide workers' compensation coverage for the volunteer emergency health care providers who are injured in the course and scope of performing emergency health care services.

Separately, this legislation requires commercial health benefit plans to cover and reimburse the cost of at least three mental or physical primary care visits annually in addition to one annual preventive primary care visit covered without cost-sharing. Insurers must offer one plan in each metal tier covering the three additional primary care visits with no cost sharing. There are limits on prior authorization for health benefit plans. Insurers and coordinated care organizations are required to assign enrollees to a primary care provider, if one is not selected by

the 90th day of their plan year. The Department of Consumer and Business Services will conduct rulemaking to determine the methodology for assignment and attribution of enrollees. These coverage requirements go into effect for the 2024 benefit year.

SB 1529 took effect on March 17, 2022.

5. SB 1538 (Ch. 87) COFA Dental Coverage

SB 1538 creates a program within the Oregon Health Authority (OHA) and appropriates general fund dollars to provide affordable dental coverage and care to citizens of Pacific Islands in Compact of Free Association (COFA) residing in Oregon.

SB 1538 takes effect January 1, 2023.

II. BEHAVIORAL HEALTH

1. HB 4004 (Ch. 39) OHA Grant Program

HB 4004 amends ORS 420A.010 and directs the OHA to administer a grant program permitting behavioral health providers to use grant funds for services reimbursed with state or federal funds. Permitted uses include staff wage increases, retentions bonuses, and the hiring of new staff. The law authorizes OHA rulemaking to implement the program to include provider reporting requirements on the use of the funds. It also directs OHA to contract with adult and child and residential behavioral health facilities to employ nursing professionals to mitigate workplace shortages due to the COVID-19 pandemic. The law also permits OHA to request federal funding if necessary and authorizes the Oregon Youth Authority to grant existing funds allocated to the OYA to local municipalities, nonprofits, and individuals to ensure the adequate support of treatment needs of committed youths. The law repeals the OHA workforce grant program on January 2, 2023.

HB 4004 took effect on March 23, 2022.

2. HB 4071 (Ch. 17) Financial Incentive Eligibility

HB 4071 expands the number of professional behavioral health providers who may be eligible for financial incentives from OHA to improve cultural sensitivity within the workforce. This is accomplished by replacing the requirement that providers be tribal members, or people of color, or residents in rural areas, with a requirement that providers increase access to culturally specific, community and peer-driven services. The law also clarifies the providers'

eligibility for grants from OHA for supervising others gaining the clinical experience necessary to become licensed.

HB 4071 took effect on March 7, 2022.

III. COMMUNITY HEALTH

1. HB 4113 (Ch. 8) Occupational Diseases for Nonvolunteer Firefighters

HB 4113 adds bladder and female reproductive cancers as occupational diseases that the Oregon Workers' Compensation system will presume to result from employment as a nonvolunteer firefighter for more than five years. It also requires the Workers' Compensation Management-Labor Advisory Committee to review and consider NIOSH reports related to cancers presumed compensable for nonvolunteer firefighters.

HB 4113 takes effect on January 1, 2023.

2. HB 4128 (Ch. 9) Reporting on Oregon's Framework for Zoonotic Diseases

Zoonotic diseases are diseases that are transmitted from animals to humans. **HB 4128** directs the Legislative Policy and Research Office to consult with the Oregon Health Authority, Oregon Department of Agriculture, and Oregon Department of Fish and Wildlife and prepare a report concerning Oregon's current framework for monitoring, preventing, and responding to zoonotic diseases. HB 4128 also requires OHA to notify the Fish and Wildlife Commission if a wildlife species poses a significant risk to public health, and requires the Commission to update the list of prohibited species—species that may not be imported, possessed, sold, purchased, exchanged, or transported in Oregon—as necessary to protect the public from zoonotic disease transmission. The Commission is also allowed to institute a suit for damages of $2,500 for a violation of a rule related to prohibited species.

HB 4128 took effect on March 2, 2022.

3. HB 4150 (Ch. 10) Statewide Community Information Exchanges

A community information exchange (CIE) is a network of public or private health care providers, human or social service providers, and community-based organizations that partner using a technology platform that allows authorized access to things like a shared resource directory, "closed loop" referrals, reporting, social needs screening, and other features designed to connect people to multiple

social services and supports efficiency. Use of CIEs in Oregon has largely been driven by health care transformation, with coordinated care organizations and health plans investing and participating in CIEs to assist with the coordination of care across systems. COVID-19 increased the need, and accelerated use of CIEs throughout the state. Communities, community-based organizations, clinics, and local public health authorities have also participated.

HB 4150 directs the Health Information Technology Oversight Council, which is an advisory body within the Oregon Health Authority, to convene stakeholders to study and make recommendations on a statewide community information exchange to coordinate health care and social services across delivery systems. A final report must be provided to the Legislature by January 31, 2023.

HB 4150 took effect on March 2, 2022.

4. SB 1548 (Ch. 91) Establishing "Agency with Choice Principles" For In-Home Direct Care Services

SB 1548 establishes "agency with choice principles" regarding certain persons receiving in-home direct care services. This makes DHS the employer of record, responsible for verifying care providers' qualifications, certifying entities that may deliver services, and performing other employment-related and administrative functions, in coordination with and supportive of the choices made by persons receiving services. SB 1548 also establishes minimum requirements for certification of entities and for their fiscal, organizational, and operational transparency, and adds individuals who provide agency of choice services to the list of mandatory reporters of abuse.

SB 1548 also creates a temporary exception from sprinkler installation requirements impacting certain providers in private homes, to provide relief and allow time for evaluation of the requirement. The exception applies to residential training homes and adult foster homes licensed before July 1, 2024, that operate out of single-family homes that serve five or fewer individuals. The exception ends on January 1, 2026.

Finally, SB 1548 requires DHS to report to the legislature on consumer-direct hiring of personal and direct care workers and on modernizing licensing fees and civil penalties related to the provision of services.

SB 1548 took effect on March 2, 2022.

5. SB 1554 (Ch. 93) Creation of a Report on Oregon's Public Health Response to the COVID-19 Pandemic

SB 1554 directs the Oregon Health Authority (OHA) to contract with a neutral, third-party consultant to study and report on the state's public health response to the COVID-19 pandemic. The initial report, which is to be created no later than November 15, 2022, will address funding, coordination of resources, public health mandates, messaging, health equity, and outcomes. SB 1554 also requires a subsequent report to the Legislature no later than April 1, 2023, reviewing the COVID-19 pandemic broadly, summarizing key lessons learned, investigating specific public health workforce challenges, and identifying areas of the public health system that need improvement, and a final report no later than September 1, 2023, with a final analysis including findings and recommendations.

SB 1554 took effect on March 2, 2022.

IV. HEALTH EQUITY

1. HB 4052 (Ch. 48) Culturally and Linguistically Specific Mobile Health Units

Mobile health units deliver health care directly to communities and leverage existing community assets to address health disparities in vulnerable populations and individuals with chronic diseases. By eliminating barriers to access such as time, geography and trust, mobile health units can improve health outcomes in the communities they serve. **HB 4052** directs the Oregon Health Authority (OHA) to develop and implement a pilot program to establish culturally and linguistically specific mobile health units to serve priority populations, and requires OHA and the Oregon Advocacy Commissions Office to report recommendations for funding programs to address health inequities to the Legislative Assembly.

HB 4052 took effect on March 23, 2022.

V. HEALTH INSURANCE

1. HB 4134 (Ch. 72) Required Insurance Coverage for Labor and Delivery Services

HB 4134 requires commercial health benefit plans in Oregon to cover labor and delivery services, including emergency medical transports, when provided by out-of-network providers because the enrollee was diverted from an in-network provider and facility. Insurers cannot implement cost sharing that exceeds amounts applicable to in-network providers and facilities. Under the bill, out-of-network providers are prohibited from billing a patient who was diverted to their facility due to a state or federal public health emergency. Providers are permitted to bill the enrollee according to their in-network plan benefits.

These changes are effective for health plans renewing on or after March 23, 2022.

2. SB 1555 (Ch. 94) OHA Regulates Reimbursement for Commercial Universal Newborn Home Visit Services

SB 1555 requires commercial health insurers to reimburse all costs of the Universal Newborn Home Visit program services. The Oregon Health Authority, in collaboration with the Department of Consumer and Business Services, is to adopt rule language to dictate reimbursement methodologies.

SB 1555 takes effect on January 1, 2023.

VI. LICENSING/SCOPE OF PRACTICE

1. HB 4003 (Ch. 38) Oregon State Board of Nursing – Nurse Interns, Practice without a License By Nonresident Nurses, Staffing Shortages

HB 4003 directs the Oregon State Board of Nursing to establish a licensure process for nurse interns. Under the bill, licensed nurse interns can perform nursing functions within the limits of their nursing education program, practice nursing under the direct supervision of a registered nurse who has agreed to act as the nurse intern's supervisor, gather information about and administer care to patients, and participate in all aspects of the nursing care process subject to the required supervision and the limitations described. Nurse interns cannot function independently, act in a supervisory role or delegate tasks to licensed practical nurses, nursing assistants or unlicensed persons. Nurse interns also cannot administer chemotherapy, blood or blood products, intravenous medications or controlled substances. Nurse interns cannot carry out procedures on central lines.

Additionally, this bill directs the Health Care Workforce Committee to study, identify and describe the challenges in addressing staffing shortages in the nursing field, and to submit a report including findings and recommendations to an interim committee of the Legislative Assembly related to health care no later than November 5, 2022.

The bill also expands the period of time nonresident nurses licensed in another state but not Oregon may practice in Oregon from 30 to 90 days, and requires a hospital to provide written notice the nurses' exclusive bargaining representative, if any, of a staffing shortage.

The bill also directs the Oregon State Board of Nursing to support an Oregon nonprofit organization that promotes the well-being of Oregon health professionals

through education, coordinated regional counseling, telemedicine services and research.

HB 4003 took effect on March 23, 2022.

2. HB 4096 (Ch. 62) Practitioners Licensed In Other States But Not Oregon

HB 4096 allows certain health care practitioners authorized in another state to practice in Oregon without licensure for 30 days in a calendar year so long as the practitioner is practicing without compensation and in connection with a coordinating organization or other entity. The bill also permits a health professional regulatory board to adopt by rule a duration longer than 30 days each calendar year during which a health care practitioner may practice with Oregon licensure. The bill prohibits hospitals and other health care facilities from using the services of a health care practitioner meeting this 30-day licensure exception in order to meet staffing needs during a labor dispute at the facility.

HB 4096 took effect on June 3, 2022.

3. HB 4106 (Ch. 65) Surgical technology

HB 4106 permits a person employed by a health care facility to practice surgical technology if the person is enrolled in or has completed a registered apprenticeship program or obtained a subspecialty surgical assistant or surgical technologist certification. The person must be directly, adequately supervised at all times while performing surgical technology. This section of the bill becomes operative January 1, 2023.

The bill also directs the State Apprenticeship and Training Council, in coordination with the Bureau of Labor and Industries, to study registered apprenticeship training programs in surgical technology and submit findings to an interim committee of the Legislative Assembly related to health care no later than September 1, 2025.

HB 4106 took effect on March 23, 2022.

4. SB 1549 (Ch. 92) Temporary Staffing Agency Authorization

This bill directs the Health Licensing Office to issue renewable one-year temporary staffing licenses for temporary staffing agencies. A temporary staffing agency provides “temporary work to personnel providing health care services or assistance with activities of daily living for or on behalf of entities that engage the temporary staffing agency.” The bill require agency applicants to submit as a

condition for license issuance and renewal the fingerprints of the agency's officers, directors, and other persons with an ownership interest in the agency for purposes of a state and national criminal records check. This section of the bill becomes operative on July 1, 2023.

This bill also directs the Oregon Health Authority to, in collaboration with specified stakeholders, create and submit a report to an interim committee of the Legislative Assembly related to health care no later than December 31, 2022. The report must include a policy proposal and recommendations to determine annual rates that a temporary staffing agency may charge to or receive from an entity that engages the temporary staffing agency; and prioritization of the compensation of personnel, quality care outcomes for clients, patients and residents of an entity that engages a temporary staffing agency and the fiscal viability of care providers.

SB 1549 took effect on March 23, 2022.

5. SB 1556 (Ch. 95) Direct Care Providers of Home or Community-Based Services

SB 1556 directs the Department of Human Services to adopt criteria for the certification and continuing certification of home or community-based services caregivers. The criteria must include, but are not limited to, requirements that the caregiver be 18 years of age or older, not be excluded from participation in federal health care programs under 42 U.S.C. 1320a-7a, have in effect a satisfactorily completed criminal records check, and complete all basic training requirements that are relevant to the position and to the health and safety of workers and individuals receiving care. The bill also specifies that employers are responsible for initiating the certification of home or community-based services caregivers who they employ.

The bill directs the Department of Human Services to maintain an online home or community-based services caregiver registry accessible to the public.

The bill also directs the Department of Human Services to work with stakeholder groups to design certification requirements for home or community-based services caregivers, explore ways to improve the skill level and training of home or community-based services caregivers, and improve pathways for caregivers to access continued education and advancement. The Department is to report on the implementation of Senate Bill 1556 and its work with stakeholder groups in its report to the Joint Interim Committee on Ways and Means.

SB 1556 took effect on March 23, 2022.

Chapter 5 -- Taxation and Real Estate

I. TAXATION AND REAL ESTATE

1. HB 4021 (Ch. 6) Homestead Property Tax

HB 4021 changes the deadline by which a participant in the homestead property tax deferral program may discontinue participation in the program if they sell the property in the program or, in the case of a manufactured or floating home, move the property out of state. The bill changes the deadline from September 1st to October 31st of the relevant year.

HB 4021 took effect on June 3, 2022

2. HB 4064 (Ch. 54) Manufactured and Prefabricated Homes

HB 4064 make several changes to the law with regard to manufactured and prefabricated homes. Significantly, the bill provides that within an urban growth boundary local governments must allow manufactured homes and prefabricated structures on all land zoned for single-family dwellings. In addition, and with a few exceptions, these structures may not be subjected to requirements that would not also apply to site-build single-family dwellings on the same land.

The bill also makes changes to the manufactured home replacement program through the Oregon Housing Stability Council.

HB 4064 took effect on March 23, 2022.

3. HB 4103 (Ch. 18) Unlicensed Real Estate Activity

HB 4103 increases the penalties for engaging in professional real estate activity without a license. Under the bill, the civil penalty imposed by the Real Estate Commissioner for a first violation is raised from a range of $100 to $500 to a range of $1,000 to $2,500. For a second or subsequent violation, the range is increased from $500 to $1,000 to $2,500 to $5,000.

HB 4103 takes effect on January 1, 2023.

4. HB 4117 (Ch. 67) Tax Services for Low Income Filers

HB 4117 directs the Oregon Department of Human Services to create a grant program to fund services to low income residents. The grants are made available to culturally specific and responsive organizations, tribal governments and under-resourced rural community service organizations. Under the bill, the grants must be used to:

- Provide education about federal earned income tax credits and other tax benefits available to low-income individuals,
- Assist residents in navigating tax systems, and
- File income taxes.

The bill provides $4 million in funding to DHS to establish the program.

HB 4117 took effect on June 3, 2022.

5. SB 1519 (Ch. 79) Community Solar Projects

SB 1519 creates a property tax exemption for community solar projects. The exemption applies to the proportion of the project that is either owned by residential customers, or that is leased by residential subscribers. The bill defines terms and clarifies how to establish the proportion of the project that applies.

SB 1519 applies to property tax years that begin on or after July 1, 2022.

6. SB 1524 (Ch. 82) Miscellaneous Tax Provisions

SB 1524 make several unrelated changes to tax statutes in Oregon. These changes include expanding the reimbursement percentages applicable to the Oregon Production Investment Fund, and requiring estimated payments for the Business Alternative Income Tax.

The bill also exempts pharmacies that have nine or fewer locations under common ownership in Oregon from the Corporate Activities Tax.

SB 1524 took effect on June 3, 2022. Different sections of the bill apply to different tax years, and may have different operative dates. Practitioners should confirm operative dates when relevant.

7. SB 1525 (Ch. 83) Reconnect

SB 1525 is the 2022 "Reconnect" bill. The bill updates the connection date to the federal Internal Revenue Code, as well as various other federal tax laws, from April 1, 2021 to December 31, 2021.

SB 1525 took effect on June 3, 2022.

8. SB 1559 (Ch. 96) Floating Homes

SB 1559 eliminates the requirement to file business personal property tax returns for most manufactured and floating homes. The bill does not change the requirement to pay taxes or the penalty for paying taxes late, and would generally

allow floating homes to be treated similarly to houses and mobile homes for tax filing purposes.

SB 1559 takes effect on January 1, 2023.

Chapter 6 -- Uniform Trial Court Rules

I. OUT OF CYCLE UTCR CHANGES

1. UTCR 3.030 Addressing Jurors

An out of cycle amendment was made to **UTCR 3.030** through Chief Justice Order 21-054. This amendment provides that during voir dire, jurors may no longer be addressed by name. Instead, jurors must be addressed by juror number or by some other means designated by the court.

This change took effect on January 1, 2022.

2. UTCR 21.050 and 21.070 Manufactured and Prefabricated Homes

An out of cycle amendment was made to **UTCR 21.050 and 21.070** through Chief Justice Order 21-051. These are parallel amendment which collectively provide for electronic filing of applications for a fee waiver or deferral.

Prior to this change, the UTCR required that a document that initiated an action, and that was accompanied by an application for a fee waiver or deferral, had to be filed conventionally. Likewise, the rule provided that applications for fee waivers or deferrals themselves could not be filed electronically.

This change allows that both the initiating document and the application for the fee waiver or deferral may be submitted electronically. The rule also clarifies that the document will not be accepted for filing unless the court grants the fee waiver or deferral, or the required fee is paid.

This change took effect on February 1, 2022.

II. IN CYCLE UTCR CHANGES

1. UTCR 1.110 Remote Hearings

The change to **UTCR 1.110** was made to further facilitate the use of remote hearings in Oregon's court system.

UTCR 1.110 was updated to include definitions of "Remote Means" and "Remote Proceeding". This new definition is now used in several sections throughout the UTCR to clarity the application of existing rules to remote proceedings. In its report, the UTCR committee noted the expectation that the number of remote hearings post-pandemic will continue to exceed pre-pandemic levels.

Among the new uses of this definition are changes to UTCR 7.060 (ADA Accommodation) and 7.070 (Foreign Language Interpreters) which now require

additional information be included with a notification to the court requesting the accommodation.

This change takes effect on August 1, 2022.

2. UTCR 1.110, 2.010(6), and 21.090 Electronic Signatures

UTCR 1.110 was also update to add definitions of "Authenticated Signature", "Electronic Signature" and "Original Signature".

Under the new rule, an "Original Signature" refers to a handwritten signature on a physical document. An "Electronic Signature" refers to wither a scan of a handwritten signature or to a signature block used to substitute for a signature. An "Authenticated Signature" refers to a specific type of a electronic signature that is created using specific security procedures.

Rule 2.010(6) has been expanded and clarified to describe what types of signatures may be used on conventionally filed documents. Rule 21.090 has been updated to describe what types of signatures may be used on electronically filed documents.

This change takes effect on August 1, 2022.

3. UTCR 21.070(6) Confidential Documents

UTCR 21.070(6) has been updated and clarified to provide that only documents that are deem confidential by statute or rule may be designated as "confidential" in the eFiling system.

This change was made in response to some users designating documents as "confidential" if those documents contained information that, in the filer's view, was sensitive or not suitable for public disclosure. This often presents a problem for court staff, who are then required to change the designation of the document later, to correctly identify whether the document is legally protected.

This change takes effect on August 1, 2022.

2021

OREGON LEGISLATION HIGHLIGHTS

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Many bills passed during the 2021 session have special effective dates. These dates are noted in the description of each bill.

If a special effective date is not proscribed in a bill, the bill takes effect on January 1, 2022.

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FORWARD

The annual *Oregon Legislation Highlights* offers a timely and authoritative resource to help lawyers catch up on the latest legislative developments.

This book highlights nearly 200 bills and other measures that were passed by both houses of the legislature. This book does not describe all of the enacted legislation. *Unless otherwise noted, all legislation takes effect on January 1, 2022.*

The information in this book is organized into chapters by subject. If a bill has a special effective date, that date is noted at the end of the discussion of that bill. Please note that in some cases a bill may have more than one effective date. If in doubt about the effective date of a law, always check the enacting legislation.

Each bill is identified – in the chapter outline and in the text – by its bill number and its 2021 Oregon Laws chapter number.

The legislature's website offers additional information that the reader of this book may find useful. Individual bills are hyperlinked to that bill's page in the Oregon Legislative Information System, which contains additional information on that bill. This includes measure summaries written by legislative staff, and in some cases supporting documentation submitted during committee hearings. See www.oregonlegislature.gov for more information.

We are grateful to all who were involved in preparing this book. We are especially appreciative of the efforts of our volunteer authors, who take time away from their practices to contribute to this publication and without whom this book would not be possible.

We would also like thank the staff of the Oregon Department of Energy for their contributions to this book, and to the Office of Legislative Counsel, who have for years assisted the ongoing work of the Oregon State Bar.

Chapter 1 -- Business Law

Kara Tatman: 2009 University of Arizona School of Law. Oregon State Bar member since 2010.

I. BUSINESS LAW

1. HB 2131 (Ch. 212) Liability for Certain Unpaid Taxes

House Bill 2131, amends ORS 307.883, 320.325 and 403.225. Under the current version of these statutes, qualified heavy-equipment providers, transient tax lodging collectors, and providers and sellers of certain emergency telecommunications systems are deemed to hold certain taxes collected in trust for the State of Oregon and for payment to the Oregon Department of Revenue.

Under the bill, each applicable law now provides that, upon a deficiency in the payment of these taxes deemed to be held in trust, the Department of Revenue may issue a notice of liability to any officer, employee, or member of the relevant entity. The amendments set out a process, including objection to the notice of liability, request for a conference, and appeals to the tax court. The officers, employees, or members who receive the notice of liability may be held jointly and severally liable for the unpaid taxes.

House Bill 2131 also extends the laws in regard to deemed holding of certain collected taxes in trust—and the new liability provisions —to sellers of petroleum products withdrawn from a bulk facility.

Businesses affected by these amendments should inform their applicable directors, officers, employees, managers, and members of the liability associated with a deficiency in payment of the taxes deemed to be held in trust. Those individuals and the businesses they serve may wish to confirm the entity's indemnification obligations, and the applicability of any insurance policies intended to cover director, officer, employee, manager, or member liability.

HB 2131 took effect on September 25, 2021.

2. SB 169 (Ch. 75) Amendments to Oregon's Noncompetition Agreement Statute

Senate Bill 169 amends ORS 653.295, Oregon's statute governing employee noncompete agreements. Under the bill, employee noncompete agreements entered on or after January 1, 2022 must comply with four notable changes under the modified statute.

Unlawful noncompetition agreements are void instead of voidable

Under the current version of ORS 653.295, a noncompete agreement that fails to satisfy the requirements of the statute is voidable rather than void—meaning that an employee bears the burden of taking some affirmative step to demonstrate their intent to void an unlawful noncompete agreement. Under the new iteration of the statute, noncompete agreements that fail to comply with all of the requirements of ORS 653.295 will be rendered void and unenforceable, regardless of what steps an employee does or does not take to void the unlawful agreement**.**

Revised minimum salary requirements

Currently, for a noncompete agreement to be valid, employees must earn a salary that exceeds the median income for a four-person family, as determined by the U.S. Census Bureau. Moving forward under the amended statute, an employee's annual gross salary must exceed $100,533 at the time of the employee's termination, and this compensation amount will be adjusted annually for inflation.

Reduced limit on post-employment restriction period

The current maximum period for post-employment restrictions in a noncompete agreement is 18 months, and any restricted period that exceeds 18 months is voidable rather than void. With the amendments to the statute, the period for post-employment restrictions is limited to 12 months, and any post-employment restriction period that exceeds 12 months is rendered void and unenforceable.

"Garden leave" option for non-qualifying employees

Under the current statute, an employer can impose a noncompete agreement on an otherwise non-qualifying employee—that is, an employee who is not paid on an exempt, salary basis, or an employee who is not paid the statutory minimum compensation mentioned above—by use of the statute's "garden leave" option. Using this option, an employer may unilaterally enforce a noncompete agreement on a non-qualifying employee by paying the employee during the restricted period a minimum of 50% of the employee's gross annual salary at the time of the employee's termination, or 50% of the median income for a four-person family, as determined by the U.S. Census Bureau. The option to enforce noncompete agreements against non-qualifying employees remains available to employers under the amended statute. To exercise this option an employer will be required to confirm in writing payment to the employee that is the greater rate of either 50% of

the employee's gross annual salary at the time of the employee's termination, or 50% of $100,533, as adjusted for inflation.

What's unchanged in Oregon's statute?

Outside of the amendments, several existing limitations on noncompete agreements will remain unchanged under the new version of ORS 653.295. These continuing limitations include— among others—notifying employees in writing two weeks before the first day of employment that a noncompetition agreement is required as a condition of employment, and providing the employee with a signed, written copy of the terms of the noncompetition agreement within 30 days of termination of employment. Finally, the limitations set out in ORS 653.295 do not apply to all types of restrictive employment agreements. Most notably, under the current and amended statute, the law only applies to employee noncompete agreements and does not apply to confidentiality agreements or agreements not to solicit an employer's customers or employees.

3. SB 220 (Ch. 273) Remote Attestation

Senate Bill 220 permits and establishes forms of declaration for the remote attestation of documents in the "electronic presence" of another. The allowance for remote attestation of documents does not extend to notarial acts, witnessing the execution of a will, or witnessing of signatures by the circulator of a petition pursuant to certain Oregon laws.

SB 220 took effect on June 11, 2021.

4. SB 765 (Ch. 344) Remote Online Notarization

Senate Bill 765 made permanent the 2020 temporary law permitting remote online notarization. The law allows commissioned notary publics to perform notarial acts remotely in certain circumstances, including registering, completing required training, and using an authorized vendor.

SB 765 took effect on June 15, 2021.

Chapter 2 -- Criminal Law

Mae Lee Browning: 2014 Willamette University School of Law. Oregon State Bar member since 2014.

I. OFFENSES

1. HB 2459 (Ch. 357) Recording Conversations

HB 2459 modifies the definitions within ORS 165.535, the statute prohibiting many kinds of recordings, to clarify that interactions that take place over a video conferencing program are "conversations" and not "telecommunications" or "radio communications" for the purpose of the statute. This means that in most case the restrictions on recording video conferencing would be the same as recording in person conversations.

Additionally, the bill provides that the general prohibition on recording conversations if not all of the participants are informed of the recording, does not apply if a person makes the recording intending to capture alleged unlawful activity, and the person reasonably believe the recording may be used in a judicial or administrative proceeding.

HB 2459 takes effect January 1, 2021.

2. HB 3000 (Ch. 542) Unlawful Production of Marijuana

HB 3000 is a large omnibus bill that makes numerous changes related to the laws governing marijuana in Oregon.

HB 3000 creates a new Class A misdemeanor of Unlawful Production of Marijuana. The crime applies if a person produces marijuana in a location or in a quantity that is not authorized by the Oregon Health Authority, Oregon Liquor Control Commission, or the State Department of Agriculture.

The bill also makes a number of changes to definitions, and directs the OLCC to map locations of registered or licensed hemp and licensed marijuana operations.

HB 3000 took effect January 19, 2021.

3. HB 3059 (Ch. 250) Dispersal Unlawful Assemblies

HB 3039 modifies the authority of peace officers to disperse assertedly unlawful assemblies. The bill makes two substantive changes to the existing law.

First the bill changes the word “shall” to “may”, which has the effect of allowing peace to go among the crowd and order dispersal, but not requiring them to do so.

Secondly, the bill clarifies that while officers may arrest those who do not disperse after being ordered to do so, they may only arrest them for “any unlawful activity constituting an offence.” Previously the state seemed to indicate that the failure to disperse was in and of itself cause for arrest.

HB 3059 takes effect on January 1, 2022.

4. HB 3164 (Ch. 254) Interfering with a Peace Officer

HB 3164 makes several important changes to the crime of Interfering with a Peace Officer or Parole and Probation Officer.

First, the bill changes the mental state required from “intentionally” to “intentionally or knowingly” and expands the crime to include acts that interfere with a criminal investigation. Second, the bill deletes the provision that had previously defined refusing to obey a lawful order as a form of interfering with a peace officer. Finally, the bill prohibits a person from being arrested for or charged with this crime, if the person is arrested for or charged with another offense based on the same conduct.

5. SB 398 (Ch. 276) Intimidation By Display of a Noose

SB 398 creates a new Class A misdemeanor of Intimidation By Display of a Noose.

Under the bill, a person commits this crime if:

- They place a noose on public property, or on private property without the written consent of the owner;
- They do so with the intent to intimidate another person, or place the person in fear of imminent bodily harm;
- The other person is intimidated or placed in such fear by the display; and
- A reasonable person would have been intimidated or placed in such fear by the display.

SB 398 takes effect on January 1, 2022.

6. SB 649 (Ch. 403) Sex Abuse in the Second Degree

SB 649 expands the crime of Sex Abuse in the Second Degree to conduct by teachers, as well as conduct by coaches that was already prohibited by the statute. The bill creates a new definition of "teacher" for the purposes of the law.

7. SB 704 (Ch. 84) "Gay Panic" Defenses

SB 704 addresses the use of the so-called "gay panic" defense to a criminal charge of murder in the second degree. Under existing law, a person may assert an affirmative defense to the charge if the person asserts they were under the influence of an extreme emotional disturbance, and that disturbance was objectively reasonable.

Under the bill, the discovery of a victim's actual or perceived gender, gender identity, gender expression, or sexual orientation does not constitute a reasonable explanation for an extreme emotional disturbance.

Additionally, the bill modifies ORS 161.215 – limitations on the use of physical force in defense of a person – to provide that a person may not use physical force against another person but for the discovery of a victim's actual or perceived gender, gender identity, gender expression, or sexual orientation.

8. SB 752 (Ch. 410) Sexual Abuse in the Second or Third Degree

SB 752 creates an affirmative defense in prosecutions for Sex Abuse 2 or 3, in cases where the victim's lack of consent is not based on incapacity of the victim to consent due to age, that the defendant reasonably believed that the victim consented to the sexual contact.

Separately, the bill creates an exception to sex offender registration requirements in cases where the defendant was convicted of sexual abuse in the second degree if:

- The defendant was less than 5 years older than the victim,
- The victim's lack of consent was due solely to age, and
- The victim was at least 14 years old at the time of the offense.

SB 752 takes effect on January 1, 2022.

9. SB 755 (Ch. 591) Ballot Measure 110 Implementation

Ballot Measure 110, which passed in 2020, decriminalized the possession of small amounts of most controlled substances, and classified such possession as a Class E violation.

SB 755 was the legislature's major bill implementing Ballot Measure 110. The bill makes numerous corrections and clarifications to the ballot measure including setting a minimum fine amount of $45 for a Class E violation. The bill clarifies the district attorney's authority to initiate violation proceedings and that municipal and justice courts do not have jurisdiction over Class E violations.

The bill also makes numerous changes to penalties for possession of substantial quantities of various controlled substances. Under the bill, possession of a substantial quantity of a Schedule I controlled substance is a Class B Felony and for Schedule II controlled substances it is a Class C Felony.

SB 755 took effect on July 19, 2021.

II. DUII STATUTES

1. HB 3140 (Ch. 253) Psilocybin

HB 3140 adds psilocybin to several statutes related to Driving Under the Influence of Intoxicants, in order to prohibit operating a vehicle under its influence.

Prior to the passage of Ballot Measure 109, a person could be found guilty of DUII when operating a vehicle under the influence of psilocybin. However, the change in the definition of controlled substance in that ballot measure had the effect of removing psilocybin from the DUII statutes. HB 3140 functionally reverses this change.

HB 3140 took effect on June 11, 2021.

2. SB 201 (Ch. 480) DUI Statute Revisions

SB 201 was intended to address situations where a test to determine a driver's blood alcohol level is conducted sometime after the person is arrested on suspicion of driving under the influence.

The bill adds a new section (d) to ORS 813. 010 that provides that a person commits the offense of DUII if within 2 hours of driving a vehicle, and without consuming alcohol in the interim, has a BAC of 0.08 or more. Under the language of the provision, the state would have to prove the defendant did not consume alcohol between driving and the administration of the test.

Earlier version of the bill included an affirmative defense that the defendant had consumed alcohol after driving and before taking the test, but this language was removed when that requirement was made an element of the crime.

The bill also makes clarifying changes in third-time DUII law related to counting out of state convictions.

SB 201 took effect on July 14, 2021.

III. JUVENILE

1. HB 2939 (Ch. 240) Juvenile Waiver Proceedings and Age of Admissions to Youth Correctional Facilities

HB 2939 clarifies the venue requirements in a juvenile proceeding to provide that if the proceeding is subject to a waiver under ORS 419C.349(1) the proceeding shall commence in the county where the alleged act occurred.

Additionally the bill provides that youth offenders who are less than 20 years old may generally be admitted to a youth correctional facility. The previous requirement was less than 19 years old.

HB 2939 took effect on June 11, 2021.

2. HB 2940 (Ch. 241) Juvenile Waiver Proceedings

HB 2490 creates an exception to the normal 28-day time limit on holding a youth in custody. Under the bill the standard time limits do not apply if the state has filed a motion requesting a waiver under ORS 419C.349, the motion has not yet been resolved, and the court holds review hearings to determine if the detention should continue.

In such cases, review hearings need only be held every 30 days, rather than every 10 days. The bill permits the youth to waive personal appearance at review hearings.

HB 2940 takes effect on January 1, 2022.

3. SB 418 (Ch. 487) Custodial Interviews of Youth

SB 418 creates a rebuttable presumption that a statement made by a person under 18 years of age is involuntary if:

- It was made during a custodial interview by a peace officer,
- Was made in connection with an investigation into a misdemeanor or felony, or into acts that would be a misdemeanor or felony if committed by an adult, and
- The court determines that the peace officer intentionally used information known by the officer to be false to elicit the statement.

In these cases, the state has the burden of overcoming the presumption by clear and convincing evidence.

SB 418 applies to custodial interviews conducted on or after January 1, 2022.

4. SB 562 (Ch. 398) Indian Child Welfare Act

SB 562 makes changes to numerous statutes to incorporate provisions of the federal Indian Child Welfare Act into Oregon laws related to youth offenders, and to laws related to adoptions.

The bill also authorizes the juvenile court to accept and approve a tribal customary adoption, as that term is defined in the bill, if the court determines that it is in the best interests of the child.

SB 562 took effect on September 25, 2021.

5. SB 575 (Ch. 585) Juvenile Expunction

SB 575 makes a number of changes to the process for expunging juvenile court records. Among other changes the bill requires a juvenile department to initiate the expunction process if a person does not have an open referral, and hasn't had a case with the department that resulted in a conviction that was waive to adult court. The bill sets timelines for agencies to comply with the bill and provides liability immunity for an individual who acts in good faith to comply.

The bill also directs the Oregon Youth Authority to develop statewide model forms that can be used for notice of expunction.

SB 575 takes effect on September 25, 2021.

IV. POLICING

1. HB 2162 (Ch. 611) Department of Public Safety Standards and Training Certification

HB 2162 makes requires the Department of Public Safety Standards and Training to create one or more accrediting bodies for law enforcement agencies in Oregon. The bill then provides that by July 1, 2025, all law enforcement agencies with 100 or more officers must be accredited. The requirement is extended to agencies with 35 or more officers on July 1, 2026.

The bill also requires DPPST to report to the legislature by January 1, 2022 on additional instructional hours required to provide expanded equity training as part of the basic training course for police officers.

Finally the bill requires DPPST to deny, suspend or revoke certification for a police officer if that officer has been discharged from employment as a police officer for excessive use of force, for abuse of lawful authority, or for discriminatory policing.

HB 2162 took effect on September 25, 2021.

2. HB 2481 (Ch. 225) Surplus Military Equipment

HB 2481 prohibits Oregon law enforcement agencies from receiving certain types of surplus equipment from the federal government. Prohibited equipment includes armored or weaponized drones, aircraft that are combat configured or combat coded, firearm silencers, grenade launchers, grenades and similar explosives.

The bill further requires that if a law enforcement agency seeks to acquire property not prohibited by this bill, the agency must request permission from the appropriate local or tribal authority, or from the director of the appropriate state agency as provided in the bill.

HB 2481 took effect on September 25, 2021

3. HB 2513 (Ch. 294) Person Suffering Respiratory or Cardiac Distress

HB 2513 requires police officers to have training in airway and circulatory anatomy and physiology and to be certified in CPR.

The bill then further requires that if a police officer encounters a restrained person who is suffering from respiratory or cardiac compromise, the officer must request emergency medical services if the officer has access to communications and it is tactically feasible for the officer to do so.

HB 2513 takes effect on January 1, 2022

4. HB 2527 (Ch. 618) Regulation of Private Security Companies

HB 2527 requires that private security entities in Oregon be licensed by the Department of Public Safety Standards and Training. The bill sets a number of licensure requirements and requires DPPST to investigate the character, competency and reliability of applicants.

The bill makes it a Class A violation both for an entity to provide services if it is not licensed, and for an individual to retain the services of an entity that is not licensed. The bill provides for further sanctions for repeat violations.

HB 2527 took effect July 27, 2021, but the operative provisions do not go into force until January 1, 2024.

5. HB 2928 (Ch. 540) Law Enforcement Tools Used for Crowd Control

HB 2928 makes number of changes regarding police use of chemical incapacitants, kinetic impact projectiles and sound devices.

The bill prohibits the use of kinetic impact projectiles, such as rubber bullets, for crowd control, and further prohibits their use in a manner that targets the head of a person, except in a situation that would have otherwise justified the use of deadly force against the person. The bill additionally prohibits the use of a sound device for crowd control for any purpose other than making announcements.

Additionally, the bill specifies that police may not use chemical incapacitants for crowd control unless two requirements are satisfied:

- First, that "the circumstances constitute a riot, as described in ORS 166.015;" and
- Second that the officer deploying chemical incapacitants reasonably believes that the use is necessary to terminate and prevent further riotous behavior.

ORS 166.015 defines the individual crime of riot, but does not specifically describe circumstances which constitute "a riot". It is not clear from the bill if an officer's belief that they have probable cause to arrest an individual for the crime of riot would render the larger gathering "a riot" but in any case such an arrest would not be required.

Finally, the bill creates a new prohibition on a law enforcement agency, or on a person acting on behalf of the agency, using a proxy law enforcement agency to enact measures or to engage in conduct that has been barred by either the court or by statute.

HB 2929 took effect on July 19, 2021.

6. HB 2929 (Ch. 238) Duty to Report Misconduct

HB 2929 modifies the existing duty that a police officer has to report misconduct of other officers. The new statute expands the duty to include violations of the minimum standards for physical, emotional, intellectual and moral fitness for public safety personal under ORS 181A.410.

The bill also modifies who the misconduct may be reported to and clarifies that if a person receiving such a report does not have the authority to direct an investigation, they must forward the report to a person who does within 72 hours.

HB 2929 takes effect on January 1, 2022.

7. HB 2930 (Ch. 541) Law Enforcement Arbitration

HB 2930 specifies, for the purposes of arbitration proceedings addressing alleged misconduct by law enforcement officers, the burden of proof necessary for a body to show that the law enforcement officer engaged in misconduct, and to show that disciplinary action taken against the officer was done with just cause. The bill establishes the standard of review that the arbitrator is required to use in such a proceeding.

Among other changes, the bill also removes discipline guides or matrixes as mandatory subjects of collective bargaining. Instead the bill requires agencies to comply with uniform standards established by the Commission on Statewide Law Enforcement Standards of Conduct and Discipline, which is created by the bill. This requirement is operative on November 1, 2022, but not sooner than 30 days after the Commission publishes the standards.

HB 2930 took effect on July 19, 2021. Requirements regarding burdens of proof and standards of review used in arbitration proceedings apply to collective bargaining agreements entered into on or after that date.

8. HB 2936 (Ch. 299) Law Enforcement Hiring, Legislative Findings about Racism

HB 2936 makes a number of legislative findings about racism in public safety, including the effects that a law enforcement member's affiliation with hate group and racist organizations has on public trust in law enforcement. The bill then requires the Department of Public Safety Standards and Training to develop a uniform background checklist and standardized personal history questionnaire to be used in hiring applicants as public safety officers.

The bill requires law enforcement agencies to establish set standards for speech and expression by law enforcement officers outside of the course and scope of employment. Additionally the bill exempts law enforcement agencies from the existing prohibition on employers requiring employees to provide them access to personal social media accounts.

HB 2936 takes effect on January 1, 2022.

9. HB 3355 (Ch. 306) Identification Requirements for Law Enforcement Officers

HB 3355 requires that law enforcement officers assigned to crowd control in a city of 60,000 or more, must display specific identifying information on the front and back of their uniforms in a clear manner. The bill additionally requires law enforcement agencies to adopt a specific policy prohibiting the intentional obscuring of this information. The Oregon State Police are exempt from this requirement.

Additionally the bill requires law enforcement officers to identify themselves to a member of the public upon request, assuming that it is practically feasible to do so. The bill requires law enforcement agencies to investigate the identity of an officer upon a request by a member of the public who provides specific required information. The agency is required to provide the identity of the officer to the requester within 14 days, or to provide an explanation of why they were unable to do so.

HB 3355 became operate on September 13, 2021.

10. SB 731 (Ch. 408) Tribal Police Officers

SB 731 was proposed in part to address the possible impacts of other police reform bills on tribal police officers. Under current law, tribal police officers are generally acting under the tribe's own sovereign authority to enforce either tribal law or federal law in Indian Country.

With limited exception, the state does not regulate this activity. In addition, SB 412 (2011) provides a mechanism for tribal police officers to engage in certain law enforcement functions outside of Indian Country.

Because of the interaction between SB 412 and other proposed legislation, there is concern that some police reform bills might impact purely internal tribal law enforcement, which may be a violation of federal law.

SB 731 amends ORS 181A.685 to clarify that the provision does not regulate the activities of tribal police officers occurring within Indian country, nor outside of Indian country when within the tribe's civil or criminal jurisdiction.

Additionally the bill requires that tribal governments or law enforcement agencies provide to the state information related to the dates of hire and separation of tribal law enforcement officers, as well as requiring them to follow certain Department of Public Safety Standards and Training requirements related to age, background checks, psychological evaluations and other matters.

SB 731 will take effect January 1, 2022.

V. EVIDENCE AND PROCEDURE

1. HB 2176 (Ch. 215) Court Imposed Financial Obligations

HB 2176 eliminates the $50 minimum fee that the Oregon Judicial Department was required to assess upon an individual who wished to set up a payment plan for court imposed financial obligations. As many defendants do not have the ability to pay all fees and assessments when they are sentenced, this minimum $50 fee has historically been imposed on a high percentage of defendants.

The bill also gives the Chief Justice additional authority to waive or suspend fees that are generally required to be added to judgments.

Additionally, the bill provides the state with more flexibility in settling outstanding debts. Prior to HB 2176, the state could propose and offer compromises to settle most outstanding debts, but was prohibited from doing so in a criminal judgment if restitution was owed. HB 2176 maintains the prohibition on compromising the restitution itself, but allows the state settle other parts of the debt on the same case.

HB 2176 took effect on September 25, 2021.

2. HB 2539 (Ch. 295) Jurors

HB 2539 simply provides that jurors may not be identified by name in any court proceeding that is open to the public. Parties to the proceeding will still have access to the names of jurors, unless the court determines that there is good cause to prohibit such access.

HB 2539 will take effect on January 1, 2022.

3. HB 3115 (Ch. 370) Sitting, Lying, or Sleeping on Public Property

HB 3115 provides that a local law regulating sitting, lying, sleeping or keeping warm and dry outdoors, while on public property that is open to public, must be objectively reasonable as to time, place and manner with regards to persons experiencing homelessness. The bill allows a person experiencing homelessness to seek injunctive relief to challenge an asserted unreasonable law, and permits any person to claim an affirmative defense against a charge of violating such a law that the law was not reasonable.

The bill took effect upon passage for rulemaking purposes, but the operative sections do not go into force until July 1, 2023.

4. HB 3265 (Ch. 550) Immigration and Public Services

HB 3265 creates several limitations on how law enforcement and public bodies engage with and serve individuals on the basis of federal immigration status.

This prevents a public body, including law enforcement, from denying services to a person based on that person's immigration status. Additionally, the bill prevents such entities from inquiring into an individual's immigration status unless necessary for a criminal investigation or to determine eligibility for services.

The bill prohibits law enforcement and other public bodies from disclosing information about individuals in custody to federal law enforcement agencies unless ordered by the court, or to the extent that the information is already publicly available. The bill further places numerous prohibitions on law enforcement in assisting the federal government with immigration enforcement actions.

HB 3265 took effect on July 19, 2021.

5. SB 177 (Ch. 324) Hearsay Statements

SB 177 adds a new provision to ORS 40.465 (Rule 804 of the Oregon Evidence Code) related to the admissibility of certain hearsay statements when the declarant is unavailable as a witness.

Under the bill, if a proponent of a statement seeks to admit a statement under Rule 804 (3)(f) or (3)(g), the proponent of the statement is not required to issue a material witness order or seek sanctions for contempt against the declarant in order to show that the declarant is "unavailable as a witness".

SB 177 took effect on June 15, 2021.

6. SB 291 (Ch. 577) Criminal Background Checks

SB 291 limits a landlord's ability to consider an applicant's criminal history when screening an applicant for housing. Under the bill, it continues to be the case that the landlord may only consider convictions, or pending charges, but the bill clarifies that the landlord may not consider pending charges for which the applicant is currently in a diversion program.

Importantly, the bill also limits the crimes that the landlord may consider to those that are presently illegal in Oregon. The list of types of crimes that may be considered – including some drug crimes, person crimes, sex offences, and some fraud charges – is not changed.

SB 291 will take effect on January 1, 2022.

7. SB 295 (Ch. 395) Aid and Assist Reform

SB 295 modifies the procedures and criteria for committing a defendant to the state mental hospital, or to another facility in order to gain or regain fitness to proceed. The specific criteria differ depending on whether the defendant was charged with a felony or a misdemeanor.

For felony referrals, a defendant may only be committed if the court finds that the defendant requires hospital level care due to public safety concerns or due to the acuity of symptoms of a defendant's mental disorder, and that appropriate community restoration services are not available. In misdemeanor cases, the referral may also be made upon the recommendation of a certified evaluator and a statement from a community mental health program regarding the availability of community restoration services.

The bill makes additional changes regarding procedures for releasing a defendant from the hospital when the reason for their commitment no longer applies.

SB 295 took effect on June 23, 2021.

8. SB 296 (Ch. 199) COVID Emergency

SB 296 addressed several issues related to changes in court operations that were necessitated by the COVID state of emergency. In general, the provisions of SB 296 are only in force during "a period of statewide emergency". Practitioners should be careful to whether such a state of emergency remains in effect on dates relevant to their cases.

During such a period of time, the bill grants the Chief Justice to extend or suspend most time requirements established by statute or rule. This includes time requirements related to filings with the court.

Of relevance to criminal law practitioners, the bill permitted that criminal citations to appear in court could be scheduled for a date that was more than 30 days after the citation was issued. Normally, all such appearances must be scheduled within 30 days.

Additionally, the bill extended the repeal date on the provisions of HB 4212 (2020) which permitted the court to hold a defendant in custody longer than would otherwise be permitted by Oregon law. Under HB 4212, relevant provisions (Section 6) were to be repealed on December 31, 2021. SB 296 extends these provisions until December 31, 2022.

9. SB 48 (Ch. 643) Pretrial Release

SB 48 requires for the first time that a presiding judge establish a standing pretrial release order within their judicial district. These orders would direct the county sheriff or other appropriate entity on which persons and crimes are subject to release on their own recognizance, to release with special conditions, and which may not to be released prior to arraignment. The bill also requires the Chief Justice to establish release guidelines to provide encourage consistent release decision-making statewide.

The bill makes several other important changes to pretrial release statutes:

- The bill requires release assistance officers to make reasonable efforts to contact crime victims prior to making a release decision, when a defendant is charged with a person felony or a person Class A misdemeanor.
- The bill repeals the minimum bail amounts required for persons charged with Ballot Measure 11 crimes, and eliminates the requirement to reset bail at least $250,000 in cases where a defendant violates a condition of release.
- The bill requires that magistrates make release decisions at arraignment or first appearance, unless good cause to postpone the decision is show. “Good cause” in this case includes circumstances in which the district attorney plans to seek preventative detention or where there is a reasonable belief that additional evidence exists that would be relevant to the decision, but is not currently available.

SB 48 takes effect on January 1, 2022, but most provisions become operative on July 1, 2022.

Chapter 3 -- Elder Law

Christopher Hamilton: 2012 Willamette University School of Law. Oregon State Bar member since 2012.

I. ELDER LAW

1. HB 2105 (Ch. 210) Alternatives to Protective Proceedings

HB 2105 directs school districts to provide to parents of a child with a disability information regarding supported decision-making and strategies to remain engaged in child's secondary education and post-school outcomes.

Practice Notes: This creates a requirement that students and parents involved with the special education system be provided "information and training resources regarding supported decision-making as a less restrictive alternative to guardianship, and with information and resources regarding strategies to remain engaged in the child's secondary education and post-school outcomes." This information is supposed to be provided at every individualized education program meeting at which post-secondary education and transition services are discussed, generally meaning each meeting after the student turns 16 until they graduate or age out of special education at 21. However, it provides no definition of supported decision-making and no context or content for the information and training resources, so it is unclear what will be provided. Attorneys who work with families in establishing guardianships for young adults with disabilities should ask for a copy of any information provided by the district to help the family understand options for supporting such young adults.

HB 2105 takes effect on January 1, 2022.

2. HB 2120 (Ch. 352) State Mortuary and Cemetery Board Death Report Fees

HB 2120 increases the death report fee imposed by State Mortuary and Cemetery Board.

Practice Notes: Death certificates will cost $30 each. Attorneys working on probate matters will need to take this into account when requesting death certificates after January 1, 2022.

HB 2120 takes effect on January 1, 2022.

3. HB 2498 (Ch. 14) Driver's Licenses and Vehicle Registration

HB 2498 requires the Oregon Department of Transportation to provide an option when registering a vehicle that the registration card include information that the vehicle owner is deaf or hard of hearing. Likewise, the bill requires that ODOT include this information on a driver's license or permit, at the request of the individual applying.

The purpose of both provisions is to allow a driver who is deaf or hard of hearing to have an official and convenient method of conveying this information to law enforcement in the event of a traffic stop.

> Practice Notes: Interacting with law enforcement and other emergency services personnel can often involve life threatening communication barriers for Deaf, deaf, and hard of hearing individuals. This law is intended to provide Deaf, deaf, and hard of hearing individuals with a convenient and official way to remind law enforcement, emergency services, and other personnel who may require information provided via vehicle registration or driver's license in to provide legally required interpreting and other accommodations. Attorneys providing services to Deaf, deaf, and hard of hearing clients should ensure they are aware of this tool and use any such indication as a reminder to provide appropriate interpreting and other accommodations themselves.

HB 2498 takes effect on January 1, 2022.

4. HB 2574 (Ch. 296) Disposition of Bodies

HB 2574 permits of human bodies to be disposed of by alternative authorized processes including alkaline hydrolysis and natural organic reduction.

> Practice Notes: This bill codifies the use of alkaline hydrolysis and natural organic reduction as options for the disposition of a deceased person's remains. "Alkaline hydrolysis" or "hydrolysis" means the technical process for reducing human remains by placing the remains in a dissolution chamber that uses heat, pressure, water and base chemical agents, in a licensed hydrolysis facility, to reduce human remains to bone fragments and essential elements. "Natural organic reduction" means the contained, accelerated conversion of human remains to soil. It is important for attorneys engaged in estate planning with clients to help promote awareness of these and other alternatives to traditional burial and cremation that may better meet the needs of clients. Attorneys dealing with probate and trust administration matters also need to be aware of these options in advising

clients and reviewing claims and costs related to the management of decedents' property.

Additionally, this bill changes the form for Appointment of Person to Make Decisions Concerning Disposition of Remains in ORS 97.130(8) to include reference to alternative disposition and attorneys who help clients prepare these documents will need to update their forms accordingly.

HB 2574 took effect on July 1, 2022.

5. HB 2634 (Ch. 535) Disabled and Senior Citizens' Property Tax Deferral Program

HB 2634 makes several changes to the Disabled and Senior Citizens' Property Tax Deferral Program. Importantly, the bill allows a surviving spouse or a disabled heir of the individual participating in the program to continue the deferral even if they have not owned or occupied the house for five years.

> Practice Notes: This bill combines a number of bills that were proposed this session relating to the senior property tax deferral program. This program is a resource that Attorneys should be sharing with clients in estate and long term care planning and a potential complication to be aware of in administering any trust or estate. The official summary captures the changes made, which add up to better protecting the target populations and decreasing the chances of a nonsensical disruption in access to the program. Importantly, the bill allows a surviving spouse or a disabled heir of the individual participating in the program to continue the deferral even if they have not owned or occupied the house for five years.

Additionally, under current law properties over various maximum real market values are ineligible for the deferral. The current maximum is a function of the average real market value of properties in the county in which the property in question is located and is scaled based on how long the applicant has occupied the property. HB 2634 maintains the existing scale but creates an alternative maximum real market value of $250,000. This has the effect of permitting any property with a value of less than $250,000 to be eligible for the program if the applicant is otherwise qualified.

HB 2634 took effect on September 25, 2021.

6. HB 3071 (Ch. 251) Abuse Reporting

HB 3071 expands the list of individuals who are required to report child or elder abuse under Oregon's abuse reporting statutes.

Under each of the statutes, the bill replaces the current reference to a "Member of the Legislative Assembly" with "An elected official of a branch of government of this state or a state agency, board, commission or department of a branch of government of this state or of a city, county or other political subdivision in this state."

Thus, the bill expands the requirement to cover most elected officials in Oregon.

HB 3071 takes effect on January 1, 2022.

7. SB 97 (Ch. 319) Confidentiality of complaints to the office of the Long Term Care Ombudsman

SB 97 prohibits Residential Facilities Ombudsman, the designee of ombudsman or any staff of ombudsman from being compelled to testify or produce documents related to complaint in any judicial or administrative proceeding.

> Practice Notes: This bill tightens the confidentiality rules related to complaints and resultant information and documentation. This could end up blocking information necessary to pursuing certain protective proceedings or injury claims. Attorneys should familiarize themselves with the requirements of new ORS 443.394(3)(b)(G) for court orders to disclose such information, namely explicit findings that (i) The information is essential to litigating an ongoing criminal or civil matter; (ii) The information cannot be obtained from any other source; and (iii) Disclosure of the information will be limited or redacted in such a way as to minimize unnecessary disclosure of confidential information or information that would tend to identify a confidential complainant. Attorneys should also familiarize themselves with the remaining exceptions to the confidentiality rules laid out in new ORS 443.394(3)(b).

SB 97 takes effect on January 1, 2022.

8. SB 182 (Ch. 272) Estate Planning

SB 182 addressed three separate issues. The bill terminates the authority of a spouse as an agent under certain estate planning documents upon annulment, separation or dissolution of marriage. The bill extends liability protections for property held as tenants by the entirety when property is conveyed to certain trusts. And the bill simplifies the process for attorneys to dispose of old wills.

Practice Notes: This bill came from the Oregon State Bar's Estate and Administration Planning Section to address a number of issues relevant to estate planning and elder law practice.

- The bill has added powers of attorney, appointments of health care representatives, advance directives, and declarations for mental health treatment to the list of state planning documents that are automatically altered as a result of a divorce or similar proceeding. Previously, a divorce did not alter the authority of the now-ex-spouse to make decisions under any of these documents. Now, a divorce or similar proceeding revokes all authority of each party to act for the other under any of these instruments. Additionally, the statutory restraining order triggered by a divorce filing now restrains both parties from exercising authority under any of these documents. It is important to note that the bill restricts or terminates the authority of the parties to act for each other, it does not revoke or otherwise alter any of these documents.
- The bill also explicitly provides for termination of an agent's authority under a power of attorney when "(a) The principal dies. (b) The principal or the court revokes the power of attorney. (c) The agent dies, becomes financially incapable or incapacitated or resigns. (d) The power of attorney by its terms provides that the power of attorney terminates." The bill further codifies a court's authority to revoke a power of attorney upon appointment of a conservator.
- The bill provides that all creditor protections enjoyed by spouses who own property as tenants by the entirety continue when the property is conveyed into a joint trust or separate trusts that do include both spouses as current beneficiaries.
- Finally the bill provides updated timelines and procedures for retention and destruction of original wills by attorneys. Previously, a will had to be maintained for 40 years after execution. Now, a will can be destroyed with proper process 5 years after the known death of the testator or 20 years after execution. After the appropriate notices are given, an attorney must sign an affidavit reciting the conditions allowing the destruction of the will, create a complete digital copy of the will and any affidavit of attesting witnesses, and then maintain the

digital copy for at least 20 more years. After the 20 years have elapsed, the digital copy may be destroyed without further notice.

SB 182 takes effect January 1, 2022.

9. SB 190 (Ch. 327) Notice of Appointment of Guardian

SB 190 makes a number of changes regarding how a guardian must notify a protected person of the guardian's appointment.

Practice Notes: After a guardian is appointed, they are required to give notice of the appointment to the Protected Person. Previously, the notice could be, and generally was, mailed. This bill now requires in person "delivery" in "a manner reasonably calculated to be understood by the Protected Person." The delivery must also include an offer to the Protected Person to provide oral notice. The notice can be made by mail if the guardian determines that personal delivery "is unduly burdensome". If the notice is mailed, it must also include the reason why in person delivery is unduly burdensome.

The bill then expands the requirements for the proof of giving notice to include information about the in-person delivery. Additionally, if the protected person is a resident of a mental health treatment facility or a residential facility for individuals with developmental disabilities, or if the guardian intends to place the protected person in such a facility, notice must also be provided to Disability Rights Oregon and that notice must be provided electronically.

This bill follows up on SB 376 from 2019, which required that a newly appointed guardian provide notice to the protected person and other interested parties.

SB 190 takes effect January 1, 2022.

10. SB 199 (Ch. 328) Advance Directive Revision

SB 199 revises the statutory form for executing an advance directive in Oregon.

Practice Notes: This bill started as the result of the work of the Advance Directive Adoption Committee to submit changes to the Advance Directive form pursuant to HB 4135 from the 2018 legislative session. The new form is a substantial revision to the previous form and is intended to provide additional options and clarity for those wishing to execute an advance directive.

The bill also renames the committee as the Advance Directive Advisory Committee and provides that in the future, the committee will no longer be required to adopt a revised form but will report to the legislature on recommendations for revisions.

Attorneys who assist clients in preparing Advance Directives will need to update their forms accordingly. Samples in .docx and .pdf format can be found on the links page of the Elder Law Section's website at https://elderlaw.osbar.org/elder-law-links. There is a more in-depth coverage of this subject in the Elder Law Section's October Newsletter.

SB 199 took effect September 25, 2021.

11. SB 220 (Ch. 273) Remote Attestation

SB 220 provides for a process to remotely attest to a witness signature when ordinarily a signature in the presence of a witness would be required.

Practice Notes: This bill provides formalities and requirements for the remote attestation of most documents to help deal with the difficulties of in-person witnessing in an era of COVID-19 and to continue the modernization of the practice of law. The bill allows for the witnessing of the execution of a document by electronic presence which allows the witnesses and the signer to be in different locations as long as they are communicating in real time to the same extent as if they were physically together, so long as additional requirements are met:

- The witness must have evidence of the identity of the person executing the document,
- The document must be executed while in the electronic presence of the witness, and then the person must provide the witness with an electronic copy,
- The person must be in the United States, and
- The person must complete a declaration of electronic presence and a declaration of remote attestation under penalty of perjury.

The form and content declarations that the signer and the witness(es) have to are set out in the bill.

However, notarial acts and execution of wills are excluded. Notarial acts are excluded because remote online notarization is already provided for in section 20, chapter 12, Oregon Laws 2020 (first special session), the sunset clause of which

was removed by SB765, discussed below. Wills are excluded because ORS 112.238 already provides for exceptions to will execution formalities that cover remotely witnessed wills.

SB 220 took effect on June 11, 2021.

12. SB 221 (Ch. 390) Revisions to Wills

SB 221 makes a small change to ORS 112.238 to clarify the process for determining if a writing was intended to be a new will, a revocation of an existing will, or an addition to an existing will.

Under prior law, if a writing was not executed in compliance with 112.235, a proponent of that writing may file it in court and argue that it was intended to be a will or an alteration to an existing will. SB 221 simply clarifies the existing language of the statute to make it clear that ORS 112.238(2) addresses the process for determining if the writing is a new will, and that ORS 112.238(3) addresses the process for determining if the writing is intended to be a revocation, addition, or alteration to an existing will.

SB 221 took effect on June 23, 2021.

13. SB 572 (Ch. 399) Vulnerable Youth

SB 572 creates a new class of persons, "vulnerable youth", who may be subject to a protected proceeding.

> Practice Notes: The bill creates a definition of "vulnerable youth" as a person who is between 18 and 21 and who may be eligible for Special Immigrant Juvenile status, but who cannot be reunited with a parent due to past abuse, neglect, or abandonment. This corrects an inconsistency between immigration law and protective proceedings law that was impairing the use of the certain immigration protections.

Under the bill, the vulnerable youth must consent to the guardianship, and can later move to terminate it. The guardianship will automatically terminate when they turn 21. The bill also provides some specific limitations on the powers of the guardian in these cases, such as preventing the guardian from possessing or controlling the vulnerable youth's identity documents.

SB 572 took effect on September 25, 2021.

14. SB 578 (Ch. 400) Appointment of Counsel in Protective Proceedings

SB 578 establishes a pilot program to provide for court appointed counsel to protective proceeding cases.

Practice Notes: This bill amends 125.080 to establish a pilot program to provide for court appointed counsel to respondents and protected persons in protective proceeding cases. The bill does not require appointed counsel in all cases but permits the court to appoint by request of the protected person, upon the recommendation of a court visitor, if an objection is filed by another person, or upon the court's own determination.

The bill requires that funds to pay attorney fees come from the estate of the protected person if funds are available. Publicly provided funds are made available if adequate funds are not available from the protected person's estate.

The drafting of the bill also appears to have caused the unintended side effect of removing the requirement that a hearing be held on the objection of anyone other than the respondent or protected person. This is unlikely to have a practical impact because the court will still have the authority to require a hearing on any petition or motion.

The bill applies to cases in Multnomah and Lane Counties beginning January 2, 2022 and to Columbia County beginning January 2, 2023. The bill will apply to all counties beginning January 2, 2024.

15. SB 765 (Ch. 344) Remote Online Notarization

Practice Notes: This bill removes the sunset provision of section 20, chapter 12, Oregon Laws 2020 (first special session), providing for remote online notarization. The bill also provides for tangible copies of electronic records to be authenticated.

In 2020, as the restrictions and safety concerns related to COVID-19 made face-to-face interactions much less common, HB 4212 was passed in order to provide a temporary solution for notarizing documents. The bill authorized remote online notarization, which is an expansion of the existing electronic notarization rules to allow notaries who meet certain requirements to perform notarial acts for parties in different physical locations. SB 765 made these changes permanent.

SB 765 took effect on June 15, 2021, but the provisions of HB 4212 were already in effect at that time.

Chapter 4 -- Energy and Environmental Law

Riley Peck: 2017 Northwestern School of Law. Oregon State Bar member since 2017.

Chisty Splitt: Oregon Department of Energy.

I. ENERGY AND TRANSPORTATION

1. HB 2021 (Ch. 508) Clean Energy Standard

House Bill 2021, known as the "100% Clean Energy for All" bill, continues Oregon's leadership introducing a broad range of targets, programs, and studies to transition Oregon to a clean, resilient, equitable electricity grid, including:

- **100% Clean Electricity Targets:** Oregon's large investor-owned utilities (IOUs) and electricity service suppliers must reduce greenhouse gas emissions associated with electricity sold in Oregon compared to a 2010 baseline – 80% emissions reductions by 2030, 90% by 2035, and 100% by 2040 – effectively requiring emission-free electricity by 2040. The legislation provides exemptions from meeting those goals if compliance would affect system reliability or lead to excessive rate increases. The Oregon Department of Environmental Quality will track greenhouse gas emissions and progress toward targets through the existing greenhouse gas reporting program, while the Oregon Public Utility Commission will oversee electricity company clean energy planning and compliance.
- **Natural Gas Plant Restrictions:** Restricts the Oregon Energy Facility Siting Council, which is staffed by ODOE, from issuing new or amended site certificates for fossil-fueled energy facilities that emit greenhouse gases into the atmosphere.
- **Community Resilient Renewables Investment Fund:** Creates a $50 million fund at ODOE to provide competitive grants for planning or developing community renewable energy projects less than 20 megawatts in capacity that promote energy resilience, increase renewable energy generation or storage capacity, and provide economic or other benefits to communities.
- **Study on Small Scale Renewable Energy Development:** Directs ODOE to convene a work group to develop and publish a study on the barriers, opportunities, and benefits of small-scale renewable energy projects by September 30, 2022.

- **Green Energy Tariffs:** Permits IOUs to collaborate with local governments to develop PUC-approved green electricity rates in alignment with local government renewable or clean (non-emitting) energy goals to serve retail electricity customers within the geographical boundaries of the local government.
- **Responsible Contractor Labor Standards:** Requires renewable project developers and contractors to document and meet specific labor standards when constructing renewable energy generating or storage facilities with capacity of 10 megawatts or greater.
- **RPS Community-based Renewable Energy Project Target Changes:** Increases the RPS community based renewable energy target from 8% of aggregate electrical capacity by 2025 to 10% of aggregate electrical capacity by 2030 for Oregon's large IOUs.

Under HB 2021, the Oregon Department of Energy is responsible for developing and implementing the new Community Resilient Renewables Incentive Program, leading the small scale renewable energy study, implementing restrictions on new fossil fuel plants, storing attestations and documents around the new labor standards, and making any necessary changes to RPS rules to support implementation of HB 2021's clean energy targets.

HB 2021 took effect on September 25, 2021.

2. HB 2062 (Ch. 108) Energy Efficiency Standards for Consumer Products

In 2020, as part of Executive Order 20-04 implementation, the Oregon Department of Energy adopted efficiency standards for 11 different products through administrative rule. HB 2062 conforms statute to those recently adopted rules. These standards will save Oregonians money, promote energy conservation in Oregon, reduce energy and water use, reduce greenhouse gas emissions, and align West Coast market standards. ODOE estimates that the energy efficiency standards established and increased in HB 2062 represent a greenhouse gas reduction of nearly 50,000 metric tonnes of annual CO2 emissions in 2025 and a reduction of over 100,000 metric tonnes of CO2 emissions in 2035 to contribute to Oregon's greenhouse gas reduction goals. They would also lead to nearly $30 million of annual energy cost saving for Oregonians in 2025, increasing to nearly $100 million in savings by 2035.

The measure also implements housekeeping measures to remove from statute those existing state standards that have been preempted by federal standards since originally established in Oregon. Finally, HB 2062 provides ODOE, in consultation with DCBS Building Codes Division Advisory Boards, limited authority to administratively update standards to a more recent version only for products with existing Oregon standards. Subsequent legislation would not be required if the updates maintain alignment with another state.

The standards already established by rule and to be added to statute include:

- High CRI fluorescent lamps
- Commercial steam cookers
- Computers and computer monitors
- Residential ventilating fans
- Faucets
- Electric storage water heaters
- Shower heads
- Commercial fryers
- Portable electric spas (update to existing standard)
- Water coolers (update to existing standard)
- Commercial dishwashers

SB 829 takes effect on January 1, 2022.

3. HB 2109 (Ch. 60) Local Renewable Energy Facilities

In 2019, the Oregon Legislature passed HB 2329, which changed the definition of energy facilities by raising the jurisdictional threshold for certain renewable energy projects subject to the Energy Facility Siting Council's siting certificate requirements. An unintended consequence of HB 2329 is that it triggered a requirement for written notification to landowners by the Oregon Department of Land Conservation and Development Commission (DLCD) as required by Measure 56.

According to DLCD's website, "the measure requires cities and counties to provide affected property owners with notice when there is a change in the zoning classification for their property."

HB 2109 modifies the definition of "renewable energy facilities" within ORS 215.446 to clarify that the review criteria applies only to solar projects of a certain size located on exclusive farm lands or geothermal and wind projects that generate a specific range of power, which will alleviate the need for the notifications.

SB 2109 took effect on May 21, 2021.

4. HB 2165 (Ch. 95) Transportation Electrification Package

As noted in the Oregon Global Warming Commission's 2020 Biennial Report to the Legislature, "almost 36 percent of Oregon's total GHG emissions derive from transportation, and almost 25 percent of that comes from light-duty vehicles (cars and small trucks)." In recent years, the Legislature and Governor Kate Brown have prioritized transportation electrification in both legislation and executive orders to reduce those emissions. HB 2165 is a package of policies continuing those efforts, targeting two challenges to electric vehicle (EV) adoption: charging infrastructure and consumer costs.

The bill requires Oregon's two largest investor-owned utilities, PGE and Pacific Power, to collect one quarter of a percent of total revenues collected from retail electricity consumers to go toward transportation electrification efforts. It also allows IOUs to recover costs of certain transportation electrification-related infrastructure measures from electric retail consumers.

Toward consumer costs, HB 2165 removes the expiration date for the Oregon Clean Vehicle Rebate Program. It also changes eligibility requirements for the Charge Ahead Rebate Program for low- and moderate-income households to 400 percent of federal poverty guidelines and increases the incentive from up to $2,500 but not less than $1,500 to up to $5,000 but not less than $2,500. Finally, the bill raises the purchasing cap for fuel cell vehicles from $50,000 to $60,000 for eligibility of receiving a rebate in the Oregon Clean Vehicle Rebate Program.

HB 2165 take effect on January 1, 2022.

5. HB 2180 (Ch. 152) EV-Ready Building Codes

This measure requires the director of DCBS to adopt amendments to the state building code to require certain newly constructed buildings to provide electrical service capacity for charging electric vehicles (EVs). The bill requires provisions for electrical service capacity at no less than 20 percent of the vehicle parking spaces in the garage or parking area for the building (rounded up to nearest whole number).

The bill requires the DCBS director to make these EV-ready requirements apply only to commercial buildings under private ownership, multifamily buildings with five or more residential dwelling units, and mixed-use buildings consisting of privately owned commercial space and five or more residential dwelling units; the code requirements will not apply to townhouses.

For these building types covered in the bill, this measure also specifies that a municipality may require that a newly constructed building exceed the minimum bill requirements and provide electrical service capacity to accommodate greater than 20 percent of spaces, as specified by the municipality, through a process concerning land use. This ability for local municipality amendments is notwithstanding ORS 455.040, which is the section of statute that provides for a statewide, uniform building code.

HB 2180 requires the director of DCBS to ensure initial amendments to the state building code as required under section 1 take effect on July 1, 2022, and apply to new construction for which a person first applies for a building permit on or after July 1, 2022.

6. HB 3141 (Ch. 547) Public Purpose Charge Modernization

HB 3141 changes many elements of the Public Purpose Charge. The PPC has funded both energy efficiency and renewable energy projects in the territories served by Oregon's two largest investor-owned utilities since the passage of SB 1149 in 1999.

Among the changes, HB 3141:

- Extends the public purpose charge for 10 years, through January 1, 2036.
- Reduces the PPC from 3 percent of revenues to 1.5 percent of revenues collected from ratepayers of PGE and Pacific Power.
- Modifies but maintains PPC support for renewable energy, low-income weatherization, low-income housing, and energy-related projects in schools.
- Moves most cost-effective energy efficiency work from the Public Purpose Charge and funds those programs within the rates paid by PGE and PacifiCorp customers instead.
- Adds language in renewables section to allow PPC funds to be used for distribution system-connected technologies that support reliability,

resilience, and integration of renewable energy with the distribution system, and adds this same language for self-direct large customers.

- Adds language for PUC to set rates to collect at least $20 million a calendar year from all electric companies to go to the Oregon Housing and Community Services Low-Income Electric Bill Payment Assistance Program.
- Requires the PUC to establish equity metrics for environmental justice for PPC programs administered by nongovernmental entities.

The Oregon Department of Energy administers two programs using funds raised by the public purpose charge: the Public Purpose Charge Schools Program and the Large Electric Consumer Public Purpose Program (often called "Self-Direct"). Changes to each program are included in the bill and will require subsequent rulemaking for the Large Electric Consumer Public Purpose Program to conform with HB 3141. Each program relies on aging databases that will be upgraded to carry out the programs for another decade.

HB 3141 takes effect on September 25, 2021.

II. ENVIRONMENTAL JUSTICE

1. HB 2475 (Ch. 90) Energy Affordability

Energy burden is the percentage of household income spent on energy and transportation costs. It's used as an indication of energy affordability, and anyone paying more than 6 percent of their household income on energy is considered energy burdened. According to the 2020 Biennial Energy Report's Energy 101: Equity and Energy Burden, about 25 percent of Oregon households are energy burdened – and that's based on numbers from before the COVID-19 pandemic.

To help those struggling to pay their energy bills, HB 2475 gives the Oregon Public Utility Commission the ability to consider "differential energy burdens on low income customers and other economic, social equity or environmental justice factors that affect affordability for certain classes of customers" in the ratemaking processes for electric and natural gas utilities. In addition to the use of rates and bill credits, the PUC can mitigate energy burdens through bill reduction measures or programs such as demand response or weatherization.

This new law also requires retail electricity consumers purchasing electricity from electricity service suppliers (ESSs) to pay the same amount to address the mitigation of energy burdens as retail electricity consumers that are not served by ESSs (i.e. investor-owned utilities).

It also allows the PUC to provide up to $500,000 in financial assistance, in aggregate, to organizations that represent residential utility customers that are either low-income or members of environmental justice communities in regulatory proceedings conducted by the PUC. It also directs PUC to establish a process for evaluating and approving agreements to these organizations – and requires these agreements to be in place before financial assistance is provided.

HB 2475 takes effect on January 1, 2022.

2. HB 2842 (Ch. 622) Healthy Homes Program

HB 2842 establishes the Healthy Homes Program at the Oregon Health Authority. The program will provide grants to entities that provide financial assistance to persons in low-income households to repair and rehabilitate their residences and to landlords to repair and rehabilitate properties inhabited by low-income households. Repair and rehabilitate is defined in the bill and includes: energy efficiency, radon, lead and mold abatement, air filtration systems, and measures to improve fire and seismic resilience.

The bill also establishes the Interagency Task Force on Healthy Homes. The task force will consist of up to nine members appointed by the Governor and representatives of the Oregon Health Authority, the Housing and Community Services Department, the Department of Environmental Quality, the State Department of Energy, the Department of Land Conservation and Development, and the Department of Human Services. Together, they will consider ways to improve the health and safety of homes.

HB 2842 took effect September 25, 2021.

3. HB 2993 (Ch. 463) Public Participation and Equity in Rulemaking

HB 2993 encourages agencies to appoint a rulemaking advisory committee to represent interests of persons likely to be affected by a proposed rule whenever possible. If there has not been a rulemaking advisory committee appointed and 10 or more persons likely to be affected by the rule object to the agency's fiscal impact statement, or an association with at least 10 affected members objects, agencies must appoint a fiscal impact advisory committee to make recommendations on whether the rule will have fiscal impacts and the extent of those impacts. HB 2993 requires that fiscal impact advisory committees include representation from those likely to be affected by the rule. The bill also requires a statement identifying how adoption of a rule will affect racial equity in this state.

HB 2993 takes effect on January 1, 2022.

III. WILDFIRE RECOVERY

1. HB 2289 (Ch. 217) Wildfire Rebuilding Process

HB 2289 is meant to create a more affordable and streamlined rebuilding process for those who sustained property damage during the 2020 Labor Day wildfires. If certain criteria are met, a property owner may alter, restore, or replace a nonresidential use without further application with the local government. Local and state governments are directed to approve applications and permits in most cases. The new construction must comply with applicable building codes that were in effect on the later of 1/1/2008 or the date of the former dwelling's construction.

For residences, the applicable building code will be the 2005 Oregon Residential Specialty Code. For commercial buildings, the applicable building code will be the 2007 OSSC/Energy Code. As part of HB 5006, the budget reconciliation bill, $10 million was directed to the Oregon Department of Energy to provide energy efficiency incentives for the same structures being rebuilt or repaired as a result of the 2020 wildfires.

HB 2289 took effect June 11, 2021.

2. SB 762 (Ch. 592) Wildfire Prevention and Response

SB 762 establishes several new programs and requirements relating to wildfire prevention and response. This bill implemented a number of recommendations included in the Final Report of the Governor's Council on Wildfire Response published in November 2019, provisions from proposed legislation that were not enacted during the 2020 session (SB 1536), and provisions that were included in Executive Order 20-04.

The part of the bill most directly related to energy is a requirement for electric utilities to prepare and comply with a wildfire protection plan. Each plan must:

- Identify high-risk areas in the utility's service area and transmission corridors;
- Identify preventive actions, such as inspections, vegetation management, and de-energization of power lines the utility will use to minimize and mitigate the risk of utility facilities causing a wildfire; and
- Identify community outreach efforts that the public utility will use before, during, and after a wildfire season.

Each investor-owned utility is required to submit its plan for approval by the Oregon Public Utility Commission by December 31, 2021. Each consumer-owned utility must submit a plan approved by its governing board to the PUC by June 30, 2022. The PUC commenced rulemaking to establish specific requirements for the plans in early 2020 as part of its implementation of Executive Order 20-04.

The bill also requires the Oregon Department of Forestry, in consultation with Oregon State University, to develop and maintain a wildfire planning and risk classification mapping tool. It requires the State Fire Marshall to develop minimum defensible space requirements for wildland-urban interface zones ("defensible spaces" are buffers around homes and other buildings where vegetation and flammable materials are managed to provide a safe space for firefighting activities to occur in the event of a wildfire), and the bill requires the Land Conservation and Development Commission to identify updates to the statewide land use planning program needed to incorporate these requirements. The bill also requires the Department of Consumer and Business Services to adopt building codes to mitigate the risk of wildfire in high-risk areas.

The bill increases resources for state and local wildfire planning and response by incorporating wildfire into the Statewide Emergency Plan and establishing new programs within various state agencies to respond to the health impacts of wildfire smoke and other poor air quality events; to reduce fuel loads near communities and critical infrastructure; and enhance wildfire detection and response capacity. These new programs will receive additional support from a new Oregon Conservation Corps Program and an interagency Wildfire Programs Advisory Council.

SB 762 took effect July 19, 2021.

Chapter 5 -- Family Law

Ryan Carty: 2009 Willamette University School of Law. Oregon State Bar member since 2009.

I. HOUSEKEEPING

1. SB 298 (Ch. 274) Stalking Protective Orders, Name Changes, Notarization

SB 298 was the Oregon Judicial Department's (OJD) housekeeping bill for the 2021 session. The bill contains various minor changes to statutes intended to facilitate and streamline proceedings, many of which involve a significant percentage of self-represented litigants. This summary addresses only the parts of the bill that relate to family law.

Section 1 of the bill makes minor changes to ORS 30.866, which is the statute addressing civil Stalking Protective Orders. Under the prior version of the statute, there were a variety of terms referring to the parties involved in the matter – including "person," "other person," "victim," and "plaintiff." SB 298 changes those various terms to "petitioner" and "respondent" so that parties are referred to consistently throughout the statute. This change in statutory wording brings Stalking Protective Orders in line with the wording in other forms of protective orders (e.g., Family Abuse Prevention Act, Elderly Persons and Persons with Disabilities Abuse Prevention Act, and Sexual Abuse Protection Orders).

Practice Tip 1: Form Change

SB 298 requires that child support money awards identify whether the place of payment is through the Department of Justice (i.e., "pay to DOJ"). Practitioners should update their money awards similar to the following:

Judgment Amount: **Child Support**

Father shall pay Mother $___ per month for the support of the parties' child beginning on _____ and continuing on the first day of each month thereafter until a child attains the age of eighteen (18) years or ceases to qualify as a "child attending school" as defined in ORS 107.108, whichever shall last occur.

Pay to Department of Justice (DOJ): ☐ Yes ☐ No

Section 3 of the bill amends ORS 33.460 which addresses applications for legal change of sex. HB 2673 (2017) enacted various changes to how courts handle

legal changes of sex and legal name changes. HB 2673 amended ORS 33.460 so that an application for change of sex may be heard and determined by any circuit court in Oregon. That is the same authority already provided in legal name changes. Courts were given the authority to determine a combined request for change of name and change of sex in the same proceeding. But the 2017 legislation did not clarify that such combined matters could be determined by any circuit court in Oregon. SB 298 makes clear that individuals seeking both a change of sex and change of name in a single proceeding may do so in any circuit court in Oregon.

Section 4 of SB 298 amends ORS 18.042, which is the statutory framework for the requirements in a civil action that includes a money award. The bill requires that the money award section of a judgment for child support states whether the judgment requires payment through the Oregon Department of Justice (DOJ) under Title IV-D of the federal Social Security Act. All money awards are already required to identify the inclusion of child support, but following SB 298 those child support money awards must identify whether the dollars are "Pay to DOJ" or not. This can be accomplished by adding a box to money award forms – if the box is selected, it's Pay to DOJ. If the box isn't selected, it's not. Practitioners should update their judgment forms accordingly.

Section 5 of the bill amends ORS 107.174 to remove the requirement that a stipulation for modification of a parenting time order be notarized. Parties are now authorized to submit such stipulations with an accompanying declaration. This change is consistent with other implementations of the declaration instead of notarization and removes a potential barrier for self-represented litigants.

SB 298 took effect on September 25, 2021.

Practice Tip 2: Form Change

Although not required by statute it is best practice to include an optional application for full child support program services in any judgment that includes a child support money award that will be paid through the DOJ. Doing so eliminates the necessity for one of the parties to apply for program services following entry of the judgment and ensures the case qualifies for inclusion in the Title IV-D federal funding program. For example:

Optional: **APPLICATION FOR FULL CHILD SUPPORT PROGRAM SERVICES**
By signing below, I apply for child support services, including enforcement, from the Child Support Program (CSP). If you never received TANF, tribal TANF or AFDC in any state, an annual $35 fee will apply if over $550 is collected and distributed to the family each year.

_____	_____
Petitioner Signature	Date
_____	_____
_____	_____
Respondent Signature	Date
_____	_____
Adult Child Signature	Date

Practice Tip 3: Form Change

A stipulation for modification of a parenting time order no longer need be notarized. A declaration from a party is sufficient. Practitioners should update relevant provisions in their parenting plan forms to provide:

> **Changes to the Parenting Schedule**. The parents are encouraged to be flexible and work together to agree to changes to this plan as their children get older or family circumstances change. Agreed upon changes will be temporary and will not be enforced by the court unless the change is written down, dated, signed by both parents under penalty of perjury or made under oath or affirmation, and submitted to the court to make the stipulation a part of the court's file.

If the parties prefer to waive the requirement for the declaration, instead state that "the requirement of ORS 107.174 that the parents' signatures on the stipulate be declared under penalty of perjury or made under oath or affirmation is hereby waived.

II. DIVORCE AND ESTATE PLANNING

1. SB 182 (Ch. 272) Divorce and Powers of Attorney

ORS 107.093 provides the framework for a statutory restraining order after a petition for marital annulment, separation, or dissolution is filed and upon service

of summons and the petition upon the respondent.[1] The statute has historically restrained both parties from:

- Canceling, modifying, terminating, or allowing to lapse for nonpayment of premiums any insurance policies (i.e., health, homeowner, renter, or automobile) that one party maintains to provide coverage for the other party or a minor child of the parties, or any life insurance policy that names either of the parties or a minor child of the parties as a beneficiary.
- Changing beneficiaries or covered parties under any policy of insurance (i.e., health, homeowner, renter, or automobile insurance) that one party maintains to provide coverage for the other party or a minor child of the parties, or any life insurance policy.
- Transferring, encumbering, concealing, or disposing of property in which the other party has an interest without written consent of the other party or an order of the court except in the usual course of business or for necessities of life.[2]
- Making extraordinary expenditures without providing written notice and an accounting of the extraordinary expenditures to the other party.[3]

With the passage of SB 182, parties will be further restrained under the terms of ORS 107.093 from:

> "(e) Exercising authority as an agent for the other party under a power of attorney as described in ORS 127.005 to 127.045, a health care representative for the other party under a form appointing a health care representative described in ORS 127.505 to 127.660 or an attorney-in-fact for the other party under a declaration

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[1] The statutory restraining order that goes into effect in Chapter 109 proceedings (e.g., petition to establish parentage, actions to establish custody and parenting time between unmarried parents, etc.) is found in ORS 109.103.

[2] This provision does not apply to payment by either party of attorney fees ***in the existing action***, real estate and income taxes, mental health therapy expenses for either party or a minor child of the parties, or expenses necessary to provide for the safety and welfare of a party or a minor child of the parties.

[3] This provision does not apply to payment of expenses necessary to provide for the safety and welfare of a party or a minor child of the parties.

for mental health treatment described in ORS 127.700 to 127.737, unless the power of attorney, form appointing a health care representative or declaration for mental health treatment otherwise provides."

Practice Tip 4: Form Change

Practitioners should update their ORS 107.093 statutory restraining orders to include:

Restraining Order – Authority as Agent. Husband and Wife are restrained from exercising authority as an agent for the other party under a power of attorney, a health care representative for the other party, or an attorney-in-fact for the other party unless the legal document granting authority to act as the other party's agent specifically provides that such authority shall continue notwithstanding the statutory order of restraint set forth in ORS 107.093.

Additionally, ORS 107.115 is amended to provide that a judgment of annulment or dissolution of a marriage ***shall:***

"Terminate the authority of an agent under a power of attorney pursuant to ORS 127.156, a health care representative pursuant to ORS 127.545 (5)(c)(B) or an attorney-in-fact pursuant to ORS 127.722.

This termination is in addition to the revocation of any will or transfer on death deed that was already required by statute. With the passage of SB 182, Oregon joins ten other states in providing a default rule that the authority of an ex-spouse granted under a power of attorney would be automatically revoked upon divorce.

Practice Tip 5: Form Change

Practitioners should update their dissolution judgments to provide:

Termination of Authority of Agent. Any authority granted to the now former spouse as an agent of the other party pursuant to a power of attorney, a health care representative, or an attorney-in-fact shall be deemed revoked. ORS 127.156, ORS 127.545 (5)(c)(B), and ORS 127.722.

Estate planning statutes are also amended by SB 182 to affirm the automatic revocation of these estate planning documents upon divorce. ORS 127.015 is specifically modified to provide that the authority of an agent to act under a power of attorney terminates upon the occurrence of any of the following: (1) the

principal dies, (2) the principal or the court revokes the power of attorney, (3) the agent dies, becomes financially incapable or incapacitated, or resigns, (4) the power of attorney terminates according to its own terms, or (5) an action is filed for the dissolution or annulment of the principal's marriage or registered domestic partnership to the agent, or for the separation of the principal and agent, unless otherwise provided by terms of the power of attorney, agreement of the parties, or order of the court.

Additionally, SB 182 grants authority to the court to order that a power of attorney is revoked upon appointment by the court of a conservator for the principal.

Under the new legislation, a principal's spouse's authority as attorney-in-fact may survive the filing of a petition for dissolution or annulment if (1) the principal has legal capacity, and (2) reaffirms the appointment after the petition is filed.

SB 182 provides new rules for when attorneys may dispose of wills. While outside the scope of this update, practitioners who have custody of original wills should carefully read the provisions of the new legislation.

III. CHILD SUPPORT

1. SB 817 (Ch. 597) Removes right for Oregon Youth Authority to Receive Child Support

SB 817 is a comprehensive reform bill that removes the right for the Oregon Youth Authority (OYA) to receive child support for any child in its custody. Any ongoing or past child support due OYA under existing statutes will no longer be in effect. Existing OYA contingency orders will be considered satisfied and paid in full. Any existing support orders will revert to the creditor (i.e., parent receiving support).

SB 817 took effect on September 25, 2021, but is not operative until January 1, 2022.

2. SB 821 (Ch. 500) Presumption of Inability to Pay Support

In its present form, ORS 25.247 provides that an obligor who is incarcerated for a period of 180 or more consecutive days shall be rebuttably presumed unable to pay child support. Further, the statute mandates that the child support obligation will not then accrue for the duration of the incarceration unless the presumption is rebutted. This law went into effect following the 2017 legislative session as a result of SB 682 (2017).

ORS 25.247 does not, however, specify any sort of process for rebutting the presumption if an incarcerated parent's financial circumstances change while the order is suspended. For example, let's say the order is suspended at the outset of the obligor's (i.e., party ordered to pay support) incarceration based on an inability to pay. But then during the incarceration the obligor inherits or otherwise receives funds that would allow the obligor to resume paying support. This situation could go the other way as well. An incarcerated individual might have resources with which to pay support when first incarcerated. In that scenario the presumption might be rebutted. But after a period of years in incarceration the obligor might run out of financial resources.

SB 821 clarifies that a party objecting to the presumption may do so after the suspension and sets forth a specific framework for doing so. As currently in effect, the statute provides that a party making the objection prior to the suspension of the child support obligation must send an objection to the entity that served notice of the intent to suspend services (this will presumably be the Division of Child Support) within 30 days after the date of service of the notice. The objection must describe the resources of the obligor (i.e., party ordered to pay support) or other evidence that rebuts the presumption of inability to pay child support. The entity receiving the objection shall then cause the case to be set for hearing before either a court or an administrative law judge. The only issue at the hearing is whether the presumption has been rebutted. In other words, this is not a de facto modification action.

If a party wishes to object to the suspension after the suspension has occurred, that party must send an objection to the entity that served notice of the intent to suspend services. But in this case, the objection must describe the evidence of ability to pay that was not available at the time the order was suspended. In other words, this change in the law is not about providing an opportunity to challenge the presumption to a party who simply slept on their rights. If the objecting party could have raised the objection prior to the suspension and simply failed to do so the objection will fail in a post-suspension hearing. The court or administrative law judge in a post-suspension hearing remains limited to the issue of whether the presumption has been rebutted. But in the post-suspension hearing, the finder of fact is specifically directed to consider any evidence presented by a party of the expenses an obligor will incur reintegrating into society following their release from incarceration.

Additionally, if the finder of fact in a post-suspension proceeding finds that the presumption has been rebutted, by law the support order will be reinstated at

only 50% of the previously ordered support amount on the first day of the first month following the finding by the court or administrative law judge.

Reinstatement of support after an order has been suspended pursuant to ORS 25.247 is considered a substantial change of circumstances for purposes of child support modification proceedings. The Division of Child Support will initiate a modification action within 60 days of any reinstatement to ensure the correct support amount is being paid.

Practitioners should note that once SB 821 takes effect on January 1, 2022, release from incarceration, on its own, does not rebut an inability to pay during the 120 days after release. Rather, a significant change in the obligor's financial resources must be demonstrated in order to rebut the presumption prior to an order being reinstated.

3. SB 822 (Ch. 415) Consolidating Unpaid Child Support

SB 822 was a product of a request from the Division of Child Support to streamline collection services in cases involving multiple child support judgments. Parents in the Oregon Child Support Program sometimes establish child support orders through the court when a prior administrative order already exists. If there is an arrearage associated with the prior administrative order that is not included in the subsequent court order, the Division of Child Support is in a position of having to collect support in multiple cases. SB 822 amends ORS 25.095 to provide for the automatic consolidation of arrearages that accrued under multiple court cases into a single case when a judgment entered in that single case terminates and replaces all other judgments. The arrearage need not be specifically mentioned in the subsequent judgment for the Division of Child Support to consolidate it with the new judgment. The arrearage becomes enforceable in the court case in which the later-issued court judgment was entered.

Chapter 6 -- Health Law

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I. ACCESS TO CARE

1. HB 3035 (Ch. 543) Health Access for Adults in Custody

This bill establishes the Task Force on Corrections Medical Care to address comprehensive access to health care for adults in custody. The task force will conduct a review of the way adults in Department of Corrections ("Department") custody file grievances concerning access to and the provision of medical care to determine the level of accountability and transparency the process provides to community-level medical care. The task force shall submit a report to the Legislature by September 15, 2022 and must include a recommended prioritized list of medical care, including mental and oral health, (similar to the Medicaid prioritization list) that meets community standards, and include a recommendation of meaningful access timelines for each type of care that must be equitably available to all adults in custody in all Department facilities. The task force must also review timelines and goals for the adoption of an electronic health record (EHR) system by the Department. The Task Force sunsets on 6/30, 2023.

By 12/31/21, and every six months thereafter, this bill requires the Department to report to the interim committees of the Legislative Assembly related to judiciary and health care the following information: (1) progress on adoption of EHR system; (2) the number of grievances filed by adults in custody concerning the provision of medical care; (3) the medical services available to adults in custody within Department facilities; and if applicable (4) the progress and impact of a Department program that assigns health care navigators to adults in custody. Furthermore, the Department, in consultation with the Oregon Health Authority, must report to the Legislature by 12/31/22, the health outcomes including health trends and any information the Department determines relevant to the effectiveness of the Task Force.

Effective date is July 1, 2021.

2. HB 3057 (Ch. 92) Individual Data Related to COVID-19

HB 3057 authorizes the Oregon Health Authority (OHA) to disclose to certain persons individually identifiable information related to COVID-19 that is reportable under ORS 433.004 and rules adopted by OHA if disclosure is necessary for the evaluation, treatment or care coordination of individuals who have been tested for COVID-19 or who have had substantial exposure to COVID-19, or is necessary for the state's COVID-19 response and recovery efforts. Sunsets June 30, 2022.

Effective date is May 24, 2021.

3. HB 3159 (Ch. 549) REALD + SOGI Patient Data

HB 3159 expands upon existing requirements to collect race, ethnicity, language and disability (REALD) data for every COVID-19 encounter, to require collection of REALD data and sexual orientation and gender identity (SOGI) data for all patients annually. The bill requires CCOs, health care providers, and health insurers to collect from patient, client or member data on race, ethnicity, preferred spoken and written languages, disability status, sexual orientation and gender identity. The Oregon Health Authority is required to set-up an electronic data collection system prior to requiring action by all licensed providers in the state. Rulemaking is forthcoming, which will provide the final timeline for compliance.

Effective date is September 25, 2021

4. HB 3352 (Ch. 554) Cover All People

HB 3352 expands eligibility for children up to age 26 and parents of children enrolled in the program who would qualify for medical assistance but for immigration status. The bill includes $100 million to fund the program for two years and directs the Oregon Health Authority to develop an implementation plan.

Effective date is September 25, 2021.

5. HB 3398 (Ch. 639) Delay of Implementation on Family Medical Leave

This bill delays implementation requirements and extends deadlines related to family and medical leave benefits created by HB 2005 (2019). HB 2005 (2019) created an insurance program administered by the Oregon Employment Department (OED) to provide employees with a portion of wages while on family, medical, or safety-related leave. HB 3398 extends deadlines for OED to adopt

rules, submit reports to the Legislature, and reimburse the General Fund for start-up costs. The start date for employer and employee contributions is now 1/1/23 instead of 1/1/22. Employees will be eligible for benefit payments beginning 9/3/23 instead of 1/1/23. Employer assistance grants (ORS 657B.200) become operative on 9/3/23 instead of 1/1/23.

Effective date is September 25, 2021.

6. SB 110 (Ch. 271) Repeal of Sunset of Early Discussion and Resolution Program

This bill repeals the sunset date of 12/31/23 and makes permanent the Early Discussion and Resolution (EDR) program for resolving adverse health care incidents that have resulted in serious injury or death to a patient. SB 483 (2013) established a process for more transparency, communication and reconciliation outside of the court system. Within this process, a patient or patient's representative, or a health care facility or provider, may notify the Oregon Patient Safety Commission (OPSC) of an "adverse event," which means a negative consequence of patient care that is unanticipated, is usually preventable and results in or presents a significant risk of patient injury. ORS 742.407(1)(a). The notice is not a claim for compensation or payment. However, the parties can coordinate a discussion regarding the incident, outcomes and resolution, if any. These discussions are confidential and do not constitute an admission of liability. Parties in EDR report the outcome of the discussion to OPSC. The EDR process allows for open conversation and opportunity to learn from the adverse event, which may lead to closure, but does not prevent the option of pursuing a legal strategy.

Effective date is January 1, 2022.

7. SB 199 (Ch. 328) Advance Directive Form

Oregon's advance directive form had not been updated since 1993, when it is was originally established in statute. SB 199 makes important changes to the Advance Directive for Health Care form, including providing increased opportunity to outline health care instructions and a section on values and spiritual beliefs. For example, the health care instructions differentiate circumstances when an individual has a terminal condition, an advanced progressive illness or is permanently unconscious. Also, the new form allows individuals to write specific wishes and requires the appointed health care representative (and an alternate) to accept appointment.

Effective date is September 25, 2021.

II. BEHAVIORAL HEALTH

1. HB 2086 (Ch. 667) Establishment of Culturally Responsive Behavioral Health Services

HB 2086 is a complex bill that codifies the recommendations of the Governor's Behavioral Health Advisory Council established by Executive Order in October 2019. It declares a state of emergency related to behavioral health treatment and provides funding to study, further understand, and attempt to remedy the state of the crisis and funding provisions. The bill requires the Oregon Health Authority to report on Medicaid rates paid for behavioral health services and asks care providers to collect data on children and adolescents with behavioral health needs. It also directs OHA to ensure payment parity.

The bill also requires OHA to establish culturally responsive behavioral health services driven by people of color, tribal communities, and people of lived experience. Finally, the bill directs the Oregon Health Policy Board to establish a Behavioral Health Committee to establish metrics that improve the quality of behavioral health services.

HB 2086 is effective August 6, 2021.

2. HB 2315 (Ch. 114) Suicide Risk Continuing Education

Oregon saw an increased rate of suicide in 2019 and now has the 9th highest rate of suicide in the country. Once HB 2315 goes into effect on September 25, 2021, licensees regulated by the Oregon Health Authority will be required to complete continuing education at specified intervals to learn about suicide risk assessment, treatment and management. The required education is two hours every two years or three hours every three years.

The effective date is September 25, 2021.

3. HB 2316 (Ch. 521) Behavioral Health Housing Incentive Fund

For people facing mental health and substance use challenges, housing can be an essential part of recovery and wellness. HB 2316 establishes the Behavioral Health Housing Incentive Fund and redirects interest and funds from the Housing for Mental Health Fund, which is set to be repealed in 2022. The bill directs the Oregon Health Authority to oversee the fund. Funding will be continuously appropriated a will be used for the development of community-based housing, including licensed residential treatment centers, for individuals with mental illness and/or substance use disorders, and for supportive housing-related services.

The effective date is July 19, 2021.

4. HB 2333 (Ch. 220) Psychotropic Medications and Foster Care

ORS 418.517 provides the Department of Human Services guidelines for use of psychotropic medication for children in foster care. HB 2333 directs DHS to submit a quarterly report to the legislature regarding the use of such medication by children in foster care starting April 1, 2022.

The law is effective January 1, 2022.

5. HB 2417 (Ch. 617) Expansion of Crisis Stabilization Services

HB 2417 is a package of laws intended to create a system of prevention and intervention for behavioral health crises. It provides funds for counties and cities to establish and maintain mobile crisis intervention teams across the state. The bill also provides for the creation of a crisis hotline center that will receive calls, texts and chats from the 9-8-8 suicide prevention and behavioral health crisis hotline. The hotline center is the first step toward implementing the National Suicide Hotline Designation Act in Oregon. Finally, the bill outlines requirements for crisis stabilization centers, including the requirement that such facilities accept patients brought in or referred by first responders, be able to assess physical health needs of individuals, and screen individuals for suicide risk.

The law is effective July 27, 2021.

6. HB 2469 (Ch. 116) CCO Coverage of Mental Health Wellness Appointments

HB 2469 amends ORS 414.766 by adding mental health wellness appointments as a behavioral health service that coordinated care organizations are required to provide to members.

The law is effective January 1, 2022.

7. HB 2949 (Ch. 677) Mental Health Workforce Recruitment

HB 2949 seeks to curb one of the leading causes of limited access to behavioral health care: workforce instability. To ensure that the workforce reflects the needs of Oregonians seeking behavioral health care, the bill directs the Oregon Health Authority to provide incentives to increase recruitment and retention including scholarships, loan repayments and grants, particularly for providers who can provide culturally responsive health services to tribal members, people of color, LGBTQ+ individuals, individuals with limited English proficiency and other

underserved communities. The bill includes additional programs to address workforce shortages, and appropriates $200 million for these programs.

The law is effective August 6, 2021.

8. HB 3037 (Ch. 185) Youth Suicide Data Collection

Suicide is now the leading cause of death for Oregonians aged 10-24. HB 3037 creates requirements for cross-system communication and reporting after the suspected suicide of person 24 years of age or younger, and prescribes reporting timelines for medical examiners, medical-legal death investigators, local mental health authorities, and educational institutions.

The law is effective September 25, 2021.

9. HB 3045 (Ch. 628) OHA Reimbursement of Mental Health Drugs

In 2017, the Legislature created the Mental Health Clinical Advisory Group to implement treatment policies to standardize treatment and improve access to therapies and medications. Originally set to expire in 2022, HB 3045 extends the sunset provision until January 2, 2026, to allow the Advisory Group to finish its work and adopt an implementation plan. The bill also prohibits the Oregon Health Authority from requiring prior authorization for mental health drugs in certain conditions.

The law is effective September 25, 2026.

10. HB 3046 (Ch. 629) Mental Health Reimbursement Mandate

Behavioral health parity requires payers to provide insurance coverage for mental health and substance use disorder treatment that is no less favorable than coverage for medical conditions. Parity has been part of federal law since passage of the Mental Health Parity and Addiction Equity Act in 2008 but enforcement has lagged. HB 3046 incorporates behavioral health parity into Oregon law by amending the Insurance Code (ORS chapter 731) and the Oregon Health Plan (ORS chapter 414). The bill contains many provisions that apply to health insurers, group plans, and coordinated care organizations and includes directions to OHA and DCBS regarding rulemaking and compliance.

This law is effective on January 1, 2022, with most laws operative January 1, 2023.

11. SB 4 (Ch. 670) Requirements for System of Care Advisory Council

The System of Care Advisory Council was created in 2019 to improve systems of care that provide mental health services to youth. To continue the on-

going development of the Council, SB 4 directs the Council to appoint an executive director and submit regular reports on expenditures and the council's budget.

The law is effective August 6, 2021.

III. COMMUNITY HEALTH

1. HB 2077 (Ch. 49) OHA Lead-Based Paint Program Authority

Oregon's Lead-Based Paint Program regulates the activities of businesses, agencies, and individuals who work with lead-based paint. It is also charged with overseeing professional training and certification and responding to concerns regarding lead exposure health effects. HB 2077 grants the Lead-Based Paint Program additional authority to address lead-based paint hazards by modifying standards related to best practices for conducting lead-based paint inspections, authorizing Oregon Health Authority (OHA) to contract with a third party to obtain a lead-based paint risk assessment or control paint hazards and by modifying the statutory process and increasing authority to impose civil penalties related to lead-based paint activities including abatement or control.

HB 2077 took effect September 25, 2021, however the bill is not operative until January 1, 2022.

2. HB 2081 (Ch. 51) Health Care Cost Growth Target Program

In 2019 the Oregon Legislature passed SB 889 that established the Health Care Cost Growth Benchmark program and the Health Care Cost Growth Benchmark Implementation Committee to control the growth of health care expenditures in the state. HB 2081 renames these to the Health Care Cost Growth Target Program and Health Care Cost Growth Target Implementation Committee. It directs OHA to conduct rulemaking to adopt criteria for waiving the requirement to undertake a performance improvement, and for imposing financial penalties on providers or payers that fail to report cost growth data or fail to develop and implement performance improvement plans. It also prohibits OHA from imposing penalties on providers or payers before January 1, 2026 for performance during calendar years 2021 to 2025.

HB 2081 is effective January 1, 2022.

3. HB 2108 (Ch. 59) Independent Residence Facilities

Independent residence facilities provide independent housing arrangements for certain residents between the ages of sixteen and twenty years of age. Currently

all independent residence facilities with six or more occupants are required to be licensed by the Department of Human Services (DHS) as child-caring agencies. HB 2108 clarifies that DHS has discretion whether to require an independent residence facility to be licensed as a child-caring agency based applicable criteria.

HB 2108 is effective January 1, 2022.

4. HB 2139 (Ch. 449) Rural Veterans Healthcare Transportation Grant

HB 2139 establishes the Rural Veterans Healthcare Transportation Grant Program within the Oregon Department of Veterans' Affairs to help veterans in eligible areas access transportation to receive services for physical, mental or behavioral health care.

HB 2139 is effective January 1, 2022.

5. HB 2359 (Ch. 453) Health Care Interpreters

Health care interpreters facilitate communication between patients with limited English proficiency (LEP) and health care providers. HB 2359 requires health care providers to work with health care interpreters (HCI) from the HCI registry administered by the Oregon Health Authority (OHA) except in specific circumstances and updates other requirements related to health care interpreter registration and use. It directs OHA to adopt rules to ensure health care providers that serve medical assistance program recipients utilize and are reimbursed for the use of HCI. It requires OHA to study the best model for online HCI platform and to report to the Legislature by July 1, 2022. HB 2359 authorizes health professional regulatory boards, OHA and the Department of Human Services (DHS) to enforce HCI requirements.

HB 2359 is effective July 14, 2021 with operative provisions effective September 1 and July 1, 2022.

6. HB 2397 (Ch. 616) Senior Emergency Medical Services Innovation Program

HB 2397 establishes the Senior Emergency Medical Services Innovation Program and a corresponding advisory body, the Senior Emergency Medical Services Advisory Council in the Department of Human Services (DHS) to support pilot projects directed toward providing emergency medical services to aging residents in long term and residential care facilities. It requires DHS to submit a report to legislature regarding the pilot projects and prohibits local governing

bodies from taking specified local action impacting long term or residential care facilities within their jurisdictions.

HB 2397 is effective January 1, 2022 and operative provisions sunset January 2, 2027.

7. HB 2591 (Ch. 619) Planning Grants for School-Based Health Services

School-based health centers (SBHCs) provide comprehensive physical, mental and preventive health services to youth and adolescents. HB 2591 requires the Oregon Health Authority (OHA) to provide planning grants to 10 school districts or education service districts to evaluate the need for and develop plans for school-based health services. It also requires OHA to develop requirements for up to three school districts or education service districts to receive grants for planning and operation of mobile school-linked health centers and for three school districts or education service districts to receive grants to expand access to mental and physical health care services through use of telehealth. It extends the sunset on current program for school planning grants and technical assistance from January 2, 2026 to January 2, 2028.

HB 2591 is effective July 27, 2021.

8. HB 2842 (Ch. 622) Healthy Homes Programs

HB 2842 establishes the Healthy Homes Program and the Healthy Home Repair Fund within the Oregon Health Authority (OHA) to award grants to eligible entities that provide financial assistance to low-income households and communities impacted by environmental justice issues and to landlords to repair and rehabilitate residential dwelling units. It also establishes the Interagency Task Force on Healthy Homes (staffed by OHA) to propose and evaluate solutions to address health hazards present in housing and make recommendations to the Legislature. The Interagency Task Force sunsets January 2, 2023.

HB 2842 is effective September 25, 2021.

IV. HEALTH EQUITY

1. HB 3353 (Ch. 467) CCO Budget to Improve Health Equity

HB 3353 requires the Oregon Health Authority (OHA) to seek federal approval of an amendment to state Medicaid demonstration projects to permit coordinated care organizations (CCOs) to use a portion of global budgets to improve health equity by addressing preventable differences experienced by

socially disadvantaged populations, address social determinants of health, diversify care locations, or enhance payments to providers who advance health equity or who can demonstrate increased funding will improve health services provided to the community as a whole. The expenditures can be counted as medical expenses for purposes of required medical loss ratio in the CCO's base medical budget and in calculation of the global budget and flexible spending for a given year.

Effective date is September 25, 2021.

2. SB 70 (Ch. 645) OHA Work with Regional Health Equity Coalitions

SB 70 requires the Oregon Health Authority (OHA) to work with regional health equity coalitions, which are autonomous, community-led, cross-sector groups that address health inequities experienced by priority populations, with the leading priority being communities of color. Regional health equity coalitions are independent of coordinated care organizations (CCOs) and are supported by a federally recognized Indian tribe in Oregon or a community-based nonprofit entity. This legislation appropriates moneys to fund additional grants for organizations seeking to build regional health equity coalitions and provides additional staff support from OHA.

Effective date is July 27, 2021.

3. HR 6 (Resolution) Racism is a Public Health Crisis

HR 6 is a resolution declaring racism to be a public health crisis in Oregon. Adopted by the House on 6/25/21 and filed with the Secretary of State on 6/30/21.

V. HOSPITAL AND MEDICAL OPERATIONS

1. HB 2362 (Ch. 615) Mergers, Acquisitions, Affiliations and Contracts

HB 2362 gives the Oregon Health Authority ("OHA") authority to review and approve certain transactions such as mergers, acquisitions, affiliations, and select contracts involving health care entities. HB 2362 requires health care entities in Oregon to provide 180 days' advance written notice of any specified "material change transaction" to OHA. Notice of certain material change transactions should be provided to the Department of Consumer and Business Services ("DCBS").

A "material change transaction" includes many health care mergers, acquisitions, affiliations, and some contracts. HB 2362 defines this term as transactions in which one party had an average revenue of $25 million or more in

the preceding three fiscal years and the other party had an average revenue of at least $10 million in the preceding three fiscal years, or in the case of a new entity, is projected to have an average revenue of at least $10 million in the first full year of operation as described in more detail in the bill. A material change transaction may also involve a health care entity in this state and an out-of-state entity when certain conditions are met. The bill covers certain contracts that "eliminate or significantly reduce . . . essential services."

HB 2362 also specifies what "material change transaction" does not include. For example, "material change transaction" does not include certain clinical affiliations for research or medical education, medical service contracts, specified affiliations, or certain management and administration agreements, and certain value-based payment arrangements.

HB 2362 does not apply to long term care facilities, FQHCs and certain other specified facilities.

Once the required notice has been provided, OHA will conduct a preliminary review to determine if the transaction should be approved, approved with conditions, or moved into a more extended comprehensive review process that must be completed within 180 days of receipt of notice unless the parties to the transaction agree to an extension of time. The more comprehensive process may involve the appointment of a review board of stakeholders and public hearings. Once that review process is complete, OHA can approve the transaction, approve the transaction with conditions, or disapprove the transaction. Certain transactions involving emergency situations are exempt from review.

If the entities involved receive approval or conditional approval, HB 2362 requires them to notify OHA upon completion of the transaction. OHA then undertakes follow-up reviews one, two, and five years after approval. The review process requires OHA to analyze the parties' compliance with any conditions imposed upon them during the approval process, the cost trends and cost growth trends of the parties, and the impact of the transaction on the health care cost growth target established under Oregon law. Violations of the conditions or other provisions of bill may result in injunctions and civil penalties of up to $10,000 per offense.

HB 2362 also directs OHA to engage in rulemaking and to adopt by rule certain criteria approved by the Oregon Health Policy Board.

HB 2362 takes effect on January 1, 2022. Section 2 of HB 2362 becomes operative on March 1, 2022.

2. HB 2622 (Ch. 362) Surgical Smoke Evacuation

HB 2622 requires hospitals and ambulatory surgery centers to policies that require use of smoke evacuation system during surgical procedures likely to generate surgical smoke.

HB 2622 takes effect on January 1, 2023.

3. HB 2650 (Ch. 122) Emergency Services for Police Dogs

HB 2650 allows emergency medical services providers to provide emergency transportation for treatment to police dogs injured in line of duty, as long as the transportation does not interfere with emergency transportation of humans.

HB 2650 took effect on September 25, 2021.

4. HB 2910 (Ch. 623) Emergency Medical Transport Fee

HB 2910 requires the Oregon Health Authority (OHA), upon receipt of approval by CMS, to assess a fee on emergency medical services providers to enhance federal financial participation in the cost of providing ground emergency medical services in Oregon. OHA may use the fee, interest, penalties assessed on providers and associated federal financial participation less any costs incurred by authority to administer program to reimburse emergency medical services providers for costs of emergency medical services transports.

HB 2910 takes effect on July 27, 2021.

5. HB 2965 (Ch. 243) Public Health Modernization

HB 2965 extends the deadline set by the Oregon Health Authority pursuant to ORS 431.131 for local public health authorities to submit plans to apply the foundational capabilities necessary to protect and improve the health of the residents of this state and to achieve effective and equitable health outcomes for the residents of this state. HB 2965 extends the previous deadline of December 31, 2023, by two years, to December 31, 2025.

HB 2965 takes effect on January 1, 2022.

6. HB 3016 (Ch. 248) Nurse Staffing During State of Emergency

HB 3016 allows a hospital to deviate from a hospital nurse staffing plan upon declaration of a national or state emergency. If this occurs, the hospital must report on nurse staffing needs, including developing a contingency staffing plan that includes crisis standards of care. HB 3016 also requires approval from the

hospital nurse staffing committee if a deviation from the hospital nurse staffing plan is in effect for more than 90 days.

HB 3016 takes effect on January 1, 2022.

7. HB 3234 (Ch. 373) School District Instruction on Organ and Tissue Donation

HB 3234 requires each school district to provide instruction on organ and tissue donation that is designed to develop a knowledge of the lifesaving potential of organ and tissue donations.

HB 3234 takes effect on January 1, 2022; the districts must provide instruction by July 1, 2025.

8. HB 3284 (Ch. 305) Protecting Personal Health Data

HB 3284 requires companies engaged in contact tracing, including through the use of mobile apps, to obtain affirmative and clear express consent before collecting, using, or disclosing information about a person's exposure to or infection by COVID-19. The law does not apply to data (1) obtained in the context of an employment relationship, (2) collected to comply with a legal obligation, or (3) that was publicly available for reasons other than COVID-19 or has been de-identified.

Contact tracing companies must also provide a way to revoke consent and must delete information 65 days after it has been collected (except for de-identified information used for statistical purposes). HB 3284 prohibits use of collected information for commercial advertising or marketing algorithms. HB 3284 also requires contact tracing companies to take reasonable measures to ensure the accuracy of the data, provide a method for correcting inaccuracies, and establish safeguards to protect the data from a data breach, and establish and implement policies that prevent the data from being used for a discriminatory purpose.

A violation of the requirements of HB 3284 constitutes a violation of the Unlawful Trade Practices Act, ORS 646.607.

HB 3284 took effect on June 15, 2021 and sunsets 180 days after the Governor terminates the declaration of emergency related to the COVID-19 pandemic.

9. HB 5024 (Ch. 668) OHA Budget Allocation

HB 5024 fully funds OHA.

HB 5024 took effect on July 1, 2021.

10. SB 567 (Ch. 584) Civil Rights Includes Provider Discrimination

SB 567 is an anti-discrimination law specific to healthcare. It amends ORS 659A.142 by adding a prohibition against discrimination by healthcare providers based on protected classes, and makes it an unlawful practice to deny, limit or restrict treatment to a patient based on their protected status. The law is based on the concepts of the Americans with Disabilities Act and Section 1557 of the Affordable Care Act, but may have a broader reach which will need to be developed by administrative enforcement and case law. A provider is not required to provide treatment that "is prohibited by state or federal law." Because of its inclusion in ORS chapter 659A, BOLI will have enforcement authority and there is a private right of action with attorney fee entitlement.

The law is effective July 19, 2021.

11. SB 703 (Ch. 655) Direct Care Worker Representative on Quality Measurement Council

SB 703 adds a direct care worker or a representative of a direct care worker who works in a residential care facility to the Residential Care Quality Measurement Council. SB 703 also requires a residential care facility to submit an updated statement to the Department of Human Services any time there is change in management or ownership, and directs the Department to conduct a study of cost of care in, sufficiency of reimbursement paid to, and average compensation paid to staff in residential care facilities.

SB 703 takes effect on January 1, 2022.

VI. INSURANCE

1. HB 2010 (Ch. 507) Oregon Public Option Proposal

HB 2010 directs the Oregon Health Authority (OHA) to work in collaboration with the Department of Consumer and Business Services to establish an implementation plan for a public health plan made available to individuals and families seeking health insurance coverage through the Oregon Health Insurance Marketplace and to small employer groups. The agencies are required to analyze various considerations when designing the plan which include federal waivers, need for new coverage, impact on the health insurance market in Oregon, impact of the American Rescue Plan Act, role of a possible state-based exchange platform, potential adverse consequences, possible subsidies, and strategies developed by Task Force on Universal Health Coverage.

OHA and DCBS are permitted to rely upon previous studies conducted for the state by Manatt, Phelps and Phillips, stemming from passage of SB 770 (2019) and any other relevant public option studies or reports within the last five years. The agencies are permitted to contract with outside expertise, if necessary. OHA and DCBS must report to the legislature with an implementation proposal no later than January 1, 2022.

OHA is also directed to develop recommendations for a global budget health care delivery model pilot with recommendations to the Legislature due no later than July 1, 2022.

Effective date is July 19, 2021.

2. HB 2046 (Ch. 205) Health Insurance Regulatory Requirements and APAC Access

The Department of Business and Consumer Services (DCBS) initiates an "ACA Reconnect" bill every two years to update health insurance regulation for Oregon consumers and to align with federal standards. This bill implements defines a short-term, limited duration (STLD) policy and requires these policies to include a notice to insureds that could be prescribed by DCBS through rulemaking. The bill requires individual health benefit plans in Oregon to establish a due date for a first premium no earlier than 15 days after the data coverage begins or 15 days after the first invoice, whichever is later. Health plans are required to offer individual health plans a minimum 30 day grace period for premium payment and a notice to members within a specified timeframe. Adverse benefit determinations must be communicated in a culturally and linguistic appropriate manner; be consistent with federal law; and include certain required information. Health plans are required to provide in their policies whether authorization is required for release of medical information for external review.

This bill allows DCBS to gain access to the OHA managed All Payer All Claims (APAC) data reporting system for use in carrying out their duties and defines personally identifiable information from APAC as confidential and not subject to public disclosure.

Effective date is January 1, 2022

3. HB 2508 (Ch. 117) Telehealth Parity Mandate for Health Insurance

HB 2508 requires Coordinated Care Organizations (CCOs) and commercial health plans to reimburse providers for telemedicine visits at the same rate as in-

person visits. This mandated reimbursement includes “audio only” visits but does not include the use of facsimile, electronic mail or text messaging. The bill requires health plans to ensure access to telemedicine during a public health emergency and to reimburse interpreters at the same rate as in-person visits. Specific health plan utilization management and credentialing requirements are prohibited. There is not a sunset to this requirement.

Effective date is June 1, 2021

4. HB 2517 (Ch. 154) Prior Authorization and Independent Review Requirements

Health insurers implement utilization management and step therapy protocols to ensure quality care and control excessive health care costs often known as prior authorization requests. HB 2517 requires Coordinated Care Organizations (CCOs) and commercial health plans to report certain data related to prior authorization requests to providers. The bill also modifies grievance and appeal procedures to require an independent review organization to have at least one reviewer be a clinician in the same or similar specialty as the provider who prescribed the treatment at issue. Health insurers are required to post online their utilization requirements for treatments, drugs or devices subject to prior authorization for coverage by June 1, 2022. Insurers must provide a 60-day notice before making changes to their prior authorization requirements. The Department of Consumer and Business Services (DCBS) can engage in rulemaking to prescribe the reporting requirements for health plans and CCOs.

Effective date is January 1, 2022

5. HB 2623 (Ch. 160) Cost Sharing Limits for Coverage of Insulin

HB 2623 is aimed at controlling out-of-pocket costs for Oregon consumers who require a regular prescription of insulin for the treatment of diabetes. HB 2623 prohibits commercial health benefit plans from applying cost-sharing or out-of-pocket costs in excess of $75 for a 30-day supply or $225 for a 90-day supply of insulin. The Department of Consumer and Business Services (DCBS) is required to annually increase the maximum out-of-pocket cost by the percentage increase in the cost of living for the previous calendar year. Health plans cannot subject insulin coverage to a policy deductible. These requirements apply to health plans issued, renewed, or extended on or after January 1, 2022.

Effective date is January 1, 2022

6. SB 2 (Ch. 384) Proton Beam Therapy Requirements

SB 2 prohibits commercial health plans from implementing prior authorization or other utilization management requirements on coverage of proton beam therapy for prostate cancer that are more restrictive than prior authorization or utilization management requirements for coverage of radiation therapy.

Effective date is January 1, 2022

7. SB 3 (Ch. 312) Emergency Medical Transport Requirements

SB 3 defines emergency medical service "transport" as transportation of an individual to the "nearest medical facility capable of meeting the needs of the individual." The bill requires coverage of emergency medical service transports.

Effective date is January 1, 2022

8. SB 65 (Ch. 569) Oregon Health Insurance Exchange Moved from DCBS to OHA

The Department of Consumer and Business Services (DCBS) currently administers the Oregon Health Insurance Marketplace (OHIM) or Exchange to allow Oregon consumers to purchase individual health plans designed and required by the Affordable Care Act (ACA). SB 65 moves administration of OHIM to the Oregon Health Authority (OHA) on June 30, 2021. Requires OHA to report annually on the progress of integration to the Legislature.

Effective date is September 19, 2021.

9. SB 358 (Ch. 650) Delay of Sunset on Coverage for Applied Behavior Analysis

SB 358 extends the sunset requirement for health insurance coverage for applied behavior analysis services from January 2, 2022 to January 2, 2030.

Effective date is January 1, 2022.

10. SB 428 (Ch. 579) Task Force on Universal Health Care

SB 428 extends the requirement for the Task Force on Universal Health Care to submit a report to the Oregon Legislature to the 2022 regular session.

Effective date is July 19, 2021.

11. SB 558 (Ch. 339) Prohibition on Mail Order Rx for Insureds in Medical Assistance

When an insured individual is also enrolled in a medical assistance program, SB 558 prohibits health benefit plans and prescription drug coverage contracts

from prohibiting that prescriptions be filled at a local pharmacy or from requiring prescriptions to be filled at a mail order pharmacy.

Effective date is January 1, 2022.

12. SB 699 (Ch. 281) Pre-Existing Condition Requirements Prohibited for Grandfathered Plans

Grandfathered health benefit plans are plans introduced prior to passage of the federal Affordable Care Act (ACA) in March 2010. These insurance plans are exempt from many ACA requirements including the prohibition on imposing exclusions for treatment for pre-existing conditions. SB 699 prohibits grandfathered plans from applying pre-existing condition exclusions. This applies to grandfathered plans renewed or extended on or after the effective date of the bill.

Effective date is September 25, 2021.

13. SB 748 (Ch. 342) PEBB/OEBB, Commercial Health Plans Must Cover Adult Disabled Children

SB 748 requires the Public Employees' Benefit Board (PEBB), Oregon Educators Benefit Board (OEBB), along with commercial individual and small group health benefit plans to provide health insurance coverage for adult disabled children of insureds when the disability prevents the adult child from engaging in self-sustaining employment; the adult child had insurance coverage immediately before exceeding the age requirements for eligibility; and the insured claims the disabled adult child as a dependent for tax purposes. For purposes of this legislation, a child is defined as an individual who is disabled and 26 years of age or older.

Effective date is January 1, 2022.

VII. LICENSING/ SCOPE OF PRACTICE

1. HB 2072 (Ch. 447) Fee Increase for Home Health Agency License

HB 2072 amends ORS 443.035 by increasing licensing fees for home health agencies upon initial licensure, renewal and change of ownership.

HB 2072 takes effect on January 1, 2022.

2. HB 2075 (Ch. 513) Establishment of License and Fee for Radiation Devices and Equipment

HB 2075 modifies registration fees for certain radiation devices and equipment and establishes vendor and annual fees for radiation devices and equipment, including tanning devices. This measure increases registration fees for tanning devices. HB 2075 requires that persons engaged in selling, leasing, installing, repairing, servicing, marketing, inspecting, calibrating or providing consultation services regarding radiation devices or equipment, including X-ray machines and tanning devices, must obtain a vendor license from OHA.

HB 2075 takes effect on January 1, 2022.

3. HB 2078 (Ch. 50) Repeal of Common Credentialing Program and Other Technical Fixes

HB 2078 includes technical changes that include repeal of the Common Credentialing program; elimination of the Pain Management Commission's requirement to perform curriculum reviews; revision of requirements for licensed professionals to periodically complete a pain management education program; and amends the Public Employee Benefits Board (PEBB) statute to align with the Affordable Care Act regarding the coverage of temporary employees.

Effective date is January 1, 2022

4. HB 2088 (Ch. 514) Tribal Health Worker Qualification Criteria

HB 2088 defines a "tribal traditional health worker" and adds tribal traditional health worker to the Oregon Community Health Workers Association.

HB 2088 takes effect on January 1, 2022.

5. HB 2113 (Ch. 94) Geographic Diversity Requirements for Oregon Medical Board

HB 2113 expands the geographic diversity requirements for all members of the Oregon Medical Board.

HB 2113 took effect on September 25, 2021.

6. HB 2117 (Ch. 211) Psychologist Associate Licensing

HB 2117 amends ORS 675.850 regarding psychologist associates due to reduced demand for psychologist associate licenses. Although the Board of Psychology will continue to regulate psychologist associates who were licensed before the operative date of this measure, HB 2117 repeals the Board of Psychology's regulatory authority over new psychologist associates.

HB 2117 took effect on September 25, 2021.

7. HB 2528 (Ch. 530) Dental Therapist Licensing

HB 2528 creates dental therapy licensure through the Oregon Board of Dentistry. Dental therapists are required to dedicate at least 51 percent of their practice to serving underserved populations or in dental health professional shortage areas. This measure specifies the education program and examination requirements for dental therapists to become licensed. The Oregon Board of Dentistry is allowed to charge licensure fees to dental therapists. Dental therapists are only allowed to practice pursuant to a collaborative agreement with a supervising dentist. HB 2528 defines the scope of practice for dental therapists and the permitted supervision ratios for supervising dentists.

HB 2528 took effect on September 25, 2021.

8. HB 2619 (Ch. 231) Licensure for Genetic Counseling

HB 2619 established licensure requirements for genetic counselors. This measure defines genetic counseling and prohibits a person from practicing genetic counseling unless licensed by the Health Licensing Office (HLO). The HLO will regulate licensure for genetic counselors. HB 2619 defines the scope and practice for genetic counselors and requires them to refer patients to qualified health care providers if they become aware of a medical condition or disease outside the scope of practice for genetic counseling.

HB 2619 took effect on September 25, 2021.

9. HB 2627 (Ch. 69) Dental Hygienist Scope of Practice

HB 2627 amends ORS 680.205 by adding that an expanded practice dental hygienist may perform interim therapeutic restoration after diagnosis by a dentist. This measure defines “interim therapeutic restoration.” HB 2627 specifies the training course required before an expanded practice dental hygienist may perform these procedures, unless exempted by practicing through the OHA dental pilot project and having already completed the training to perform interim therapeutic restorations. This measure requires that interim therapeutic restorations must be added to the practice agreement between an expanded practice dental hygienist and the supervising dentist.

HB 2627 took effect on September 25, 2021.

10. HB 3036 (Ch. 349) Physician Assistant Supervision

HB 3036, also known as the Physician Assistant Modernization Bill, greatly increases the autonomy of physician assistants. This measure amends ORS

677.510 to remove supervision requirements for physician assistants (PA) as part of a national movement for PAs to practice in collaboration with physicians rather than under a physician's supervision. HB 3036 removes required "practice agreements" between PAs and supervising physicians, and instead sets forth requirements for "collaboration agreements."

HB 3036 provides that a PA licensed in Oregon may provide care if the PA enters into a collaboration agreement with a physician, podiatric physician or employer. A PA will be permitted to provide medical services within their scope of practice and for which the PA has obtained informed consent. The degree of autonomous judgment of the PA is determined by community standards of the PA's primary location of practice and the PA's education, training, and experience. The PA must engage in collaboration with the appropriate health care provider, as indicated by the condition of the patient, the standard of care and the PA's education, experience, and competence.

This broad statutory policy directive will be implemented by the Oregon Medical Board. The amendments setting forth requirements for collaboration agreements will be operative as of July 15, 2022. Unlike practice agreements, collaboration agreements do not assign responsibility to supervising physicians. Instead, collaboration agreements describe the manner in which the PA collaborates with the physician and do not represent that the physician accepts legal responsibility for the PA. This framework aligns with changes to the practice of PAs in general, in which PAs exercise autonomous judgment.

If a practice agreement is in place, the PA has the option to enter into a collaboration agreement on or after July 15, 2022 or continue to practice pursuant to the practice agreement. If the PA continues to practice under an existing practice agreement, the PA must enter into a collaboration agreement by the date that the PA's license is up for renewal or December 31, 2023, whichever is later.

HB 3036 took effect on June 23, 2021.

11. SB 39 (Ch. 189) Modifications to Oregon Nurse Practice Act

SB 39 amends Oregon statutes relating to the Nurse Practice Act. This measure redefines the "practice of nursing" and the rules for delegation of nursing care to nursing assistants and unlicensed personnel. SB 39 clarifies controlled substances an advanced practice nurse may prescribe. This measure also clarifies timing of licensure renewal for nurses.

SB 39 took effect on September 25, 2021.

12. SB 40 (Ch. 131) Clinical Requirements in Nursing Education for Licensure

SB 40 amends ORS 678.040 and requires that a nurse graduate from a nursing education program that includes a clinical component in its curriculum. This measure allows the Oregon State Board of Nursing to define the "clinical component" required.

SB 40 took effect on September 25, 2021.

13. SB 438 (Ch. 102) Physician Assistant Authorized to Receive Test Results

SB 438 expands ORS 431A.570 by allowing a physician assistant to receive results of an inmate's court-ordered communicable disease test.

SB 438 takes effect on January 1, 2022.

14. SB 763 (Ch. 593) Licensing for Pharmaceutical Sales Representatives

SB 763 establishes required licensure of pharmaceutical representatives through the Department of Consumer and Business Services (DCBS). A person cannot engage in the business of a pharmaceutical representative without first obtaining a license unless the person engages in that business in Oregon for less than 15 days a year. This measure specifies what professional education a pharmaceutical representative must complete to obtain a license along with the licensure fees. This measure outlines what reporting and documentation a pharmaceutical representative must provide DCBS regarding education and contacts with health care providers. SB 763 prohibits a pharmaceutical representative from engaging in deceptive or misleading marketing of pharmaceutical products. This measure also prohibits a pharmaceutical representative from using a title or designation that could reasonably lead a person to believe they are a health care provider if they are not a licensed health care provider or not authorized to provide health care services. SB 763 prohibits pharmaceutical representatives from attending a patient examination without the patient's consent. The Director of DCBS is authorized to suspend or revoke a license for violations and may impose civil penalties.

SB 763 took effect on September 25, 2021.

15. SB 86 (Ch. 316) Expansion of Licensing Agency Authority

SB 86 gives authority to DHS and OHA to revoke, suspend, or impose conditions on the license of residential training facility or home if the facility or home is out of compliance, there is evidence of abuse or neglect of a resident or there is a threat to the health, safety or welfare of a resident. If the danger to a resident is imminent, the license may be suspended immediately. SB 86 adds a requirement for DHS and OHA to consider an applicant's past regulatory and safety compliance and operational experience in Oregon or other jurisdictions. This measure requires identification on the license of any person with 5% or more ownership interest.

SB 86 takes effect on January 1, 2022.

16. SB 98 (Ch. 132) Board of Medical Imaging Disciplinary Authority

SB 98 expands ORS 688.525 by giving additional disciplinary authority to the Oregon Board of Medical Imaging (OBMI). This measure authorizes OBMI to issue a letter of reprimand or impose probation. SB 98 also clarifies acts subject to discipline.

SB 98 took effect on September 25, 2021.

17. SB 99 (Ch. 133) Board of Medical Imaging Inspection Authority

SB 99 expands ORS 688.595 and adds a designee of OBMI to the list of authorized persons to perform inspections of medical imaging and X-ray machine operators.

SB 99 took effect on September 25, 2021.

VIII. MEDICAID/CCO

1. HB 2360 (Ch. 96) Prohibition on Medical Assistance Screening

In Oregon, nonprofit hospitals and health systems are required to establish financial assistance policies that provide free or discounted cate to patients based on their household income. HB 2360 prohibits nonprofit hospitals and health systems from requiring an individual to apply for Medicaid as part of its financial assistance eligibility screening process.

HB 2360 is effective May 26, 2021.

2. HB 2981 (Ch. 462) Palliative Care Services for CCOs

HB 2981 requires the Oregon Health Authority (OHA) to administer a program to provide palliative care services to Medicaid members enrolled in

coordinated care organizations (CCOs). It requires that the palliative care services be provided through an interdisciplinary team approach and directs OHA to adopt rules determining eligibility and provider qualification requirements. Residential care facilities and skilled nursing facilities are not subject to the rules adopted by OHA for the provision or arrangement of palliative care services for residents of the facilities.

HB 2981 is effective January 1, 2022.

IX. PHARMACY

1. HB 2074 (Ch. 512) Oregon Prescription Drug Monitoring Program Fee Increase

The Oregon Prescription Drug Monitoring Program collects prescription data for all Schedule II, III, and IV controlled substances dispensed to Oregon residents. HB 2074 increases their fee for individuals licensed by the Oregon Board of Pharmacy from $25 to $35.

Effective date is September 25, 2021.

2. HB 2648 (Ch. 297) Sale of Pseudoephedrine Allowed Without Prescription

HB 2648 allows a pharmacist or a pharmacy technician to sell a drug containing pseudoephedrine, ephedrine, or a similar drug without a prescription to an individual 18 years of age or older with a valid government-issued photo identification. The relevant drugs must be stored behind the pharmacy counter that is closed to the public. The pharmacy dispensing the drug must use an electronic tracking system. The data collected must be retained by the pharmacy for at least two years from the date of the transaction. Law enforcement are permitted to obtain information contained in the electronic system through a subpoena accepted by the State Board of Pharmacy.

Effective date is September 25, 2021, but the substantive language goes into effect on January 1, 2022.

3. HB 2958 (Ch. 365) Dispensation and Coverage of Antiretroviral Therapies

HB 2958 allows a licensed pharmacist to administer preexposure and post-exposure prophylactic (PEP) and prescribe, dispense, and administer a 30-day supply of preexposure prophylactic (PrEP) antiretroviral drugs in accordance with

rules codified by the State Board of Pharmacy. Pharmacists are permitted to order a human inmmunodeficiency virus (HIV) test and retrieve the results.

Health insurers are required to reimburse for the prescription, dispensation, and administration of preexposure and post-exposure prophylactic antiretroviral therapies, including a pharmacist patient consultation. Insurers are also prohibited from implementing prior authorization requirements during the first 60 days of treatment for medication therapy prescribed for opiate withdrawal or antiretroviral drugs. Health maintenance organizations (HMOs) are exempt from the prior authorization prohibition. Insurance requirements are effective for plans issued, renewed or extended on or after the effective date of the bill.

Effective date is September 25, 2021.

4. SB 629 (Ch. 340) Pharmacist Use of Telepharmacy for Remote Patients

SB 629 defines telepharmacy as the delivery of pharmacy services by a pharmacist by use of electronic and telecommunications technologies to a patient at a remote location staffed by a pharmacy technician. The legislation allows pharmacists to use telepharmacy to dispense prescription drugs to a patient. The State Board of Pharmacy is permitted to adopt rules on supervision of pharmacy technicians and the types of permitted telepharmacy services. The substance of this bill becomes operational on January 1, 2022.

Effective date is September 25, 2021.

5. SB 711 (Ch. 407) DCBS Study of Hormone Replacement Drug Costs

SB 711 requires the Department of Consumer and Business Services (DCBS), as part of the prescription drug transparency program, to conduct a study of disparities in the cost of hormone replacement drugs utilized by men to the drugs utilized by women. DCBS is required to report their findings to the legislature no later than September 15, 2022.

Effective date is September 25, 2021.

6. SB 844 (Ch. 598) Establishment of Prescription Drug Affordability Board

SB 844 establishes a Prescription Drug Affordability Board in the Department of Business and Consumer Services (DCBS) to study and identify opportunities to reduce the cost of prescription drugs in Oregon. The Board will

evaluate pharmaceutical spending trends, generic drugs and strategies to lower drug list prices. The Board will review prices for nine drugs and at least one insulin product that cause high out-of-pocket costs from the list of drugs reported to the Prescription Drug Price Transparency Program by drug manufacturers and health insurer.

Effective date is January 1, 2022.

Chapter 7 -- Housing and Consumer Law

Tony Kullen: 2006 St John's University School of Law. Oregon State Bar member since 2009.

Joel Shapiro: 1999 Northwestern School of Law. Oregon State Bar member since 2000.

David Venables: 2007 Drake University School of Law. Oregon State Bar member since 2008.

I. HOUSING

1. HB 2009 (Ch. 106) Oregon Foreclosure Moratorium

HB 2009 provided a retroactive renewal of portions of the foreclosure moratorium enacted in Oregon during the 2020 First Special Legislative Session (HB 4204) in response to the COVID-19 pandemic. HB 4204 expired by its terms on December 31, 2020, after the authorized extension by the Governor ended.

HB 2009 retroactively created a new "Emergency period" to run from 11:59 p.m. on December 31, 2020, to 11:59 p.m. on June 30, 2021, with two authorized extension period. The Governor exercised both extensions, so the bill will expire at 11:59 p.m. on December 31, 2021, unless further legislative action is taken.

The major distinctions between HB 2009 (2021) and HB 4204 (2020) are:

1. The new bill does not apply to commercial properties (it continues to cover residential properties including properties where the landlord owns not more than five properties);

2. There is no longer a requirement that certain borrowers prove financial difficulty related to COVID-19 (a notification alone, including by telephone, triggers the protections); and

3. The bill does not apply to personal property used as a domicile (RVs, mobile homes).

In addition to the ban on foreclosures, HB 2009 also provides several other notable protections for borrowers during the emergency period. First, if a borrower notifies the lender that the borrower cannot make a payment because of lost income from the COVID-19 pandemic, the lender cannot treat the borrower's non-payment of any amount due to the lender during the period as a default. After such notification and, unless otherwise agreed by lender and borrower, the lender must defer collecting payment and must permit the borrower to pay the amount deferred during the emergency period to the loan's maturity date. Further, once the borrower gives that notice to the lender, a lender may not:

1. Impose charges, fees, penalties, attorney fees or other amounts that the lender might have otherwise imposed or collected from a borrower for failing to make payment;

2. Impose a default rate of interest that the lender might have imposed or collected from a borrower for failing to pay an amount otherwise due during the emergency period;

3. Treat the borrower's failure pay any amount due during the period as an ineligibility for a foreclosure avoidance measure; or

4. Require or charge for an inspection, appraisal or broker opinion of value during the emergency period.

The new law also creates a private right of action for borrowers to recover damages for an ascertainable loss of money or property due to the prohibited actions of a lender or trustee and allows the borrower to recover attorney's fees and costs as well. A lender is not liable for damages for acts taken before the lender receives the lost income notice from the borrower.

HB 2009 took effect on June 1, 2021.

2. HB 2842 (Ch. 622) Healthy Homes Program

HB 2842 establishes the Healthy Homes Program at the Oregon Health Authority. The program will provide grants to entities that provide financial assistance to persons in low-income households to repair and rehabilitate their residences and to landlords to repair and rehabilitate properties inhabited by low-income households. Repair and rehabilitate is defined in the bill and includes: energy efficiency, radon, lead and mold abatement, air filtration systems, and measures to improve fire and seismic resilience.

The bill also establishes the Interagency Task Force on Healthy Homes. The task force will consist of up to nine members appointed by the Governor and representatives of the Oregon Health Authority, the Housing and Community Services Department, the Department of Environmental Quality, the State Department of Energy, the Department of Land Conservation and Development, and the Department of Human Services. Together, they will consider ways to improve the health and safety of homes.

HB 2842 took effect September 25, 2021.

3. SB 829 (Ch. 326) Right to Possession after Judicial Foreclosure

SB 829 provides clarifications to ORS Chapter 18 to confirm that a purchaser at a sheriff's execution sale arising from a judicial foreclosure, or a redemptioner who redeems from that purchaser or a subsequent redemptioner, is entitled to possession of the subject real property after the sale, including during the redemption period. In order to enforce that right, the bill provides that the purchaser or redemptioner may use the forcible entry and detainer ("FED") process provided for under ORS 105.105 to 105.168 to obtain possession and evict the occupants.

The bill added clarifying language to changes originally passed in 2009 under SB 241, which provided the same cross references for FED actions after foreclosures. The bill addresses the exceptions to the usual rule that an FED action may only be used to remove a party wrongfully holding the property by force.

The bill arose due to an anomalous decision from the Oregon Court of Appeals, and to clarify the law for practitioners, parties, and the Courts.

On January 2, 2020, the Oregon Court of Appeals issued an opinion that inadvertently overlooked the provisions of ORS Chapter 105 and held that eviction actions after a foreclosure could only be maintained in non-judicial foreclosures. (*Bank of New York Mellon v. Lash*, 301 Or App 658, 457 P3d 345 (2020) ("*Lash I*")). The opinion was subsequently reviewed under a Motion for Reconsideration, withdrawn, and the court subsequently held that eviction actions could be maintained following judicial as well as non-judicial foreclosures. (*Bank of New York Mellon v. Lash*, 303 Or.App. 456 (2020) ("*Lash II*")).

In an effort to avoid similar confusion in the future, SB 829 added a cross reference in ORS 18.946 to ORS 105.105 through 105.168. The bill did not change current law regarding when a person may be evicted from property, but only clarified the law to avoid confusion like that which resulted in the original Nash decision.

Practice Note: The *Nash I* case provides practitioners with a good reminder to carefully select forms, and to exercise independent judgment when completing form pleadings. The discussion in footnote 1 of Nash I suggests the attorney for the purchaser might have avoided the anomalous decision if the correct boxes had been checked to more accurately describe the nature of the action, though the Court says in dicta the form would have been the incorrect choice either way.

SB 829 takes effect on January 1, 2022.

II. CONSUMER LAW

1. SB 181 (Ch. 510) Pro Bono Representation

SB 181 is intended to expand the number of clients who have access to *pro bono* representation. For certain statutory claims – including many claims commonly pursued in consumer cases – the court may award reasonable attorney fees to successful parties' lawyers. However, judges sometimes view *pro bono* representation as not meriting the same level of hourly fee award as legal work performed for a paying client, even though pro bono work entails the same diligence and skill.

When an attorney offers to undertake *pro bono* representation for a client who cannot afford to pay an hourly fee, or in a case with a value too small to justify a contingent fee agreement, that does not mean the attorney is agreeing to forego the opportunity to seek a reasonable hourly fee as the prevailing party in the case.

SB 181 directs the court to consider, among other factors, whether the attorney performed the services on a *pro bono* basis or whether the award of attorney fees otherwise promotes access to justice. In this way, SB 181 clarifies that the fact that a case is undertaken *pro bono* should not be deemed by the court as a basis to reduce the reasonable attorney fee that is awarded. Encouraging judges to award the full reasonable attorney fees sought in *pro bono* cases is intended to increase the incentive for lawyers to take on *pro bono* cases and thereby expand the number of low-income Oregonians who have access to legal representation.

SB 181 applies to cases in which a statement seeking attorney fees is filed on or after January 1, 2022.

Chapter 8 -- Indian Law

Kristen Winemiller: 1986 Northwestern School of Law. Oregon State Bar member since 1986.

I. INDIAN LAW

1. HB 2055 (Ch. 510) Tribal Early Learning Hub

Oregon currently has 16 early learning hubs that work to coordinate delivery of early learning services in local regions. HB 2055 creates a Tribal Early Learning Hub that is specifically tasked with serving Oregon's nine federally recognized Indian tribes. The Tribal Early Learning Hub is required to be separate and distinct from the existing early learning hubs.

The bill also requires the Early Learning Division to establish a tribal advisory committee, made predominantly of representatives of the nine federally recognized tribes in Oregon. The advisory committee will advise the Early Learning Council on the delivery of services to tribal communities.

2. SB 183 (Ch. 326) Tribal Court Judgments

SB 183 addresses two separate issues affecting tribes and tribal members in Oregon. The first is to afford broad and comprehensive recognition of judgments, decrees and orders emanating from tribal courts, essentially to place the tribal judiciary on the same footing as the courts of other jurisdictions afforded Full Faith and Credit. The second goal is specific to restraining orders and is intended to provide an effective mechanism to ensure proper recognition and enforcement of tribal protection orders for individuals when they are outside the issuing tribe's jurisdiction.

Section 1 of SB 183A utilizes the framework of ORS Chapter 24 by amending the definitional section, ORS 24.105, to include recognition of tribal judgments, decrees and orders. The intent is to afford this recognition in the same manner that Full Faith and Credit is afforded to the federal government and other states. By taking this approach, the bill incorporates an existing framework that is familiar to judges and legal practitioners.

Sections 2 through 4 of SB 183A provide a new framework for enforcing tribal restraining orders beyond the jurisdiction of the issuing court. These sections harmonize Oregon law with federal law, resolving a conflict between state and federal law that now exists, and expand the geographic reach of the protection afforded. Petitioners of tribal orders (included in Oregon's definition of "foreign restraining") often encounter barriers to proper enforcement of orders when violated outside of the tribal jurisdiction. Gaps in the requirements of the system

and varied interpretations of the existing statute have resulted in inadequate and improper recognition and enforcement of these foreign restraining orders. SB 183A identifies clear steps for the courts and sheriffs' offices to take when there is a voluntary request to have an order registered and entered into the court and law enforcement databases. SB 183A also clarifies the requirements related to law enforcement responding to a report of a violation of a foreign restraining order, to assure that petitioners of tribal orders are afforded the same protections as petitioners of state orders.

SB 183 takes effect on January 1, 2022.

3. SB 562 (Ch. 398) Indian Child Welfare Act

SB 562 makes changes to numerous statutes to incorporate provisions of the federal Indian Child Welfare Act into Oregon laws related to youth offenders, and to laws related to adoptions.

The bill also authorizes the juvenile court to accept and approve a tribal customary adoption, as that term is defined in the bill, if the court determines that it is in the best interests of the child.

SB 562 took effect on September 25, 2021.

4. SB 731 (Ch. 408) Tribal Police Officers

SB 731 was proposed in part to address the possible impacts of other police reform bills on tribal police officers. Under current law, tribal police officers are generally acting under the tribe's own sovereign authority to enforce either tribal law or federal law in Indian Country. With limited exception, the state does not regulate this activity. In addition, SB 412 (2011) provides a mechanism for tribal police officers to engage in certain law enforcement functions outside of Indian Country.

Because of the interaction between SB 412 and other proposed legislation, there is concern that some police reform bills might impact purely internal tribal law enforcement, which may be a violation of federal law.

SB 731 amends ORS 181A.685 to clarify that the provision does not regulate the activities of tribal police officers occurring within Indian country, nor outside of Indian country when within the tribe's civil or criminal jurisdiction.

Additionally the bill requires that tribal governments or law enforcement agencies provide to the state information related to the dates of hire and separation of tribal law enforcement officers, as well as requiring them to follow certain

Department of Public Safety Standards and Training requirements related to age, background checks, psychological evaluations and other matters.

SB 731 will take effect January 1, 2022.

Chapter 9 -- Judicial Administration

Amy Zubko: 2007 University of Oregon School of Law. Oregon State Bar member since 2007.

I. JUDICIAL ADMINISTRATION

1. HB 3011 (Ch. 678) Program Changes Bill

HB 3011 implements statutory changes necessary to support the 2021 - 2023 biennial budget. Statutory changes affecting the Oregon Judicial Department and the Department of Justice among others were made in the bill.

Public Defense Services Commission

Section 7a and 7b of the bill makes technical changes to ORS 151.225 and addresses the Public Defense Services Account with an effective date of January 1, 2022.

Note that Section 7 of the bill would have amended ORS 151.225 if Senate Bill 817 did not pass. Since SB 817 passed, Section 7 will not go into effect.

New Judgeships

Section 8 adds two new statutory judgeships and additional position authority. The judgeships will be located in Deschutes County, increasing the total number of judges in the county to nine. Funding for the positions is included in HB 5006, the budget reconciliation bill.

Litigation

Section 15 requires the Oregon Department of Justice to submit an annual report on litigation involving the state to the standing or interim Joint Committee on Ways and Means.

Effective date August 6, 2021.

2. SB 5505 (Ch. 658) Bonding Limits and Courthouse Construction

Senate Bill 5505 establishes bonding limitations for state agencies, including the Oregon Judicial Department. The bill addresses a number of projects, including:

- **Benton County Courthouse.** Section 1(m)(A) approves approximately $21 million for the construction of a new facility to replace the Benton County Courthouse.
- **Clackamas County Courthouse.** Section 1(m)(B) approves approximately $95 million for the construction of a new facility to replace the Clackamas County Courthouse.

- **Crook County Courthouse.** Section 1(m)(C) approved almost $12 million to construct a new facility to replace the Crook County Courthouse.
- **Linn County Courthouse.** Section 1(m)(D) approved just over $16 million to construct a new facility to replace the existing Linn County Courthouse.
- **Oregon Supreme Court Building Renovation.** Section 1(m)(E) approved almost $22 million to renovate the Oregon Supreme Court building, including seismic updates, energy efficiency improvements, and various systems and safety upgrades.

Effective date July 27, 2021

3. SB 5506 (Ch. 659) Courthouse Construction Expenditure Limitations

SB 5506 establishes the expenditure limitations for the next six years. The bill addresses a number of projects, including the Oregon Supreme Court. The bill provides approval for $21,700,000 for the Oregon Supreme Court Building Renovation.

Effective date July 27, 2021.

4. SB 5533 (Ch. 661) Lottery Allocation

SB 5533 makes and adjusts a number of allocations of the net proceeds of the Oregon State Lottery, the Criminal Fines Account, and the Oregon Marijuana Account.

Ballot Measure 110 Implementation

This biennium, with the passage of Ballot Measure 110 in November of 2020, approximately $321 million from the Oregon Marijuana Fund will be directed to the new Drug Treatment and Recovery Fund. For additional information on Ballot Measure 110 implementation, please review SB 755 found in the Criminal Law Section.

Security and Emergency Preparedness for State and County Courts

Section 20 allocates just over $4 million from the Criminal Fines Account for state court security and emergency preparedness. This is a 9.6% increase from the 2019-2021 Legislatively Approved Budget. In addition, the legislature allocated approximately $3 million to county court facilities security, a 4.3% increase.

State Court Technology Fund

In Section 21, $3,887,500 was allocated from the Criminal Fine Account to the State Court Technology Fund. This maintains the state funding level from the 2019-2021 legislatively approved budget.

Effective date July 27, 2021

5. HB 5006 (Ch. 669) Budget Reconciliation

HB 5006 is the omnibus General Fund budget reconciliation bill for the 2021 legislative session. Funding for projects and programs within the Oregon Judicial Department, the Oregon Department of Justice, and the Public Defense Services Commission were appropriated in this bill.

In addition, this bill contains the American Rescue Plan Act (ARPA) funding distributed throughout Oregon. A full list of ARPA fund projects, as well as other appropriations by bill section, can be found here: (https://olis.oregonlegislature.gov/liz/2021R1/Downloads/CommitteeMeetingDocument/246325).

Judgeships

Sections 26 and 27 allocates approximately $1.6 million for two new statutory circuit court judgeships (1.5 FTE) in the eleventh Judicial District and Deschutes County as well as six permanent full-time support staff. Statutory modifications for the new judgeships can be found in HB 3011.

Family Treatment Courts

Section 34 allocates $10 million to state agencies for family treatment court programs. In addition, a Budget Note attached to SB 5006 directs the Oregon Judicial Department, as well as other stakeholders to convene a statewide Family Treatment Court Conference with a focus on best practices.

Pretrial release

Section 35 allocates $2.5 million to the Oregon Judicial Department for the implementation of pretrial release modifications authorized under SB 48 (2021). See the Criminal Law Section for a discussion of SB 48.

Expungements

Section 164 allocates $1.2 million for limited duration positions for the expungement of criminal records for marijuana infractions.

Oregon Law Center

Section 84 provides a one-time allocation of $1,000,000 for disbursement to Oregon Law Center to provide legal help related to housing issues.

Effective date August 6, 2021

6. HB 5012 (Ch. 557) Oregon Judicial Department

HB 5012 is the budget bill for the Oregon Judicial Department (OJD). The 2021 - 2023 total funds budget for OJD is $636,811,376. This is a 3.6% increase from the 2019-2021, notwithstanding the one-time funds for capital construction projects.

Effective date July 19, 2021

II. OREGON STATE BAR BILLS

1. SB 180 (Ch. 140) Payee Notification

Senate Bill 180A establishes a process for insurance companies to notify claimants when a payment is made to an attorney for settlement of a case. The measure requires the claimant's attorney to provide contact information for the client SB 180A makes explicit that an insurer's attorney is permitted to communicate directly with the attorney's client for the sole purpose of providing the notice, either by (1) having the insurance company copy the client on the settlement letter to the attorney or (2) forwarding specific information to the client. The language clarifies that nothing in the bill affects the validity of any settlement, nor does it create new causes of action or a defense.

Effective Date is January 1, 2022.

2. SB 768 (Ch. 497) Oregon State Bar Act

SB 768A addresses several issues regarding the organization and governance of the Oregon State Bar:

- Section 2 clarifies that Client Security Fund staff and committee member immunity applies not only to pending claims but also to any awards to victims of lawyer theft that may result from a claim to Fund.
- Section 3 - 10 allows the court when it needs to take jurisdiction over a law practice and appoint a custodian to appoint either the Oregon State Bar to act as a custodian or another attorney. Further, the bill allows either the Oregon State Bar or an attorney to petition the court to appoint a custodian. Additionally, if the Bar declines the

appointment as custodian, the court may appoint another attorney to act as the custodian instead.

- Section 11 clarifies that courthouse staff and court volunteers, under the supervision of a providing judge or a program authorized by the presiding court, who provide guidance on court forms, basic assistance and general legal information to court users are not engaged in the unlawful practice of law.
- Section 12 allows the Oregon State Bar House of Delegates to vote via electronic ballot, so long as the vote of each member is recorded and published after the meeting.
- Section 13 provides a mechanism for the Oregon Supreme Court to adopt rules to permit the admission of associate members of the bar without the requirement of a bar exam.
- Section 14 provides an additional mechanism for the Oregon State Bar Board of Governors (BOG) to remove a member from the board. Currently, the statute allows for removal of a bar member by a vote of the region. This adds an additional mechanism for BOG member removal.
- Section 15 exempts the Oregon State Bar from the requirement in HB 4212 (First Session of 2020) to record all meetings.
- Section 16 adds a cross reference to clarify the Professional Liability Fund is not subject to the Oregon Insurance Code.

Effective date July 14, 2021.

3. HB 2128 (Ch. 353) Tax Security Breach

Establishes reporting requirements of tax professionals to the Department of Revenue (DOR) in the event of a breach of security that compromises taxpayer information. Requires that the notification to DOR occur within 5 days and include the name, address, and tax identification number of consumer(s) whose information was compromised during the breach.

Effective date September 25, 2021. Applies to tax years beginning on or after January 1, 2022.

Chapter 10 -- Labor and Employment Law

Stephen Scott: 2013 Willamette University School of Law. Oregon State Bar member since 2013.

I. LABOR AND EMPLOYMENT LAW

1. HB 2168 (Ch. 201) Juneteenth

Establishes Juneteenth as legal state holiday.

This bill is effective as of September 25, 2021.

2. HB 2420 (Ch. 293) Updated Statute of Limitations for Workplace Safety Claims

This bill extends timeline for filing complaint with the Oregon of Bureau of Labor and Industries alleging retaliation or discrimination for reporting of workplace safety complaints. This bill amended the prior statute of limitations to better align with the statute of limitations of other claims.

3. HB 2474 (Ch. 182) OFLA Expansion

This bill makes several changes to the Oregon Family Leave Act (OFLA) which provides unpaid protected leave for employees employed by employers with 25 or more employees.

OFLA and Reemployed Employees: Employees reemployed or returning within 180 days who were eligible for OFLA leave at the time of their separation from employment or the beginning of their temporary cessation of work will be eligible to take OFLA leave immediately upon reemployment or return. Conversely, employees reemployed or returning within 180 days who were not yet eligible for OFLA leave at the time of their separation from employment or the beginning of their temporary cessation of work will receive credit for time worked for the employer prior to the break in employment for the purpose of establishing eligibility. Any OFLA leave taken by an employee who has been reemployed or who has returned to work within any one-year period will continue to count toward the employee's OFLA leave entitlement.

This new provision is permanent.

Pregnant Employees: This bill also allows pregnant employees, regardless of gender identity, to use pregnancy leave.

This new provision is permanent.

OFLA Eligibility During Periods of Public Health Emergency: For purposes of OFLA leave, "public health emergency" means a public health emergency declared under Oregon Revised Statute (ORS) 433.441, or an emergency declared under ORS 401.165, if related to a public health emergency as defined in ORS 433.442. During this time, OFLA leave may be taken for any qualifying reason (including but not limited to allowing leave to be used when an employee's child's childcare or school is closed due to a public health emergency), and the eligibility requirements are expanded as follows:

- the employer has employed them for at least 30 days (reduced from 180 days standard) immediately before the leave begins; and
- they worked an average of at least 25 hours per week during the 30 days immediately preceding the leave.

This new provision is only triggered during periods of Public Health Emergency.

This bill is effective January 1, 2022.

4. HB 2818 (Ch. 363) Pay Equity Clarification

While the primary focus of this bill was to allow BOLI access to the Wage Security Fund, the bill provided additional clarification related to pay equity. First, it exempts vaccine incentives during a public health emergency from the definition of compensation under the Pay Equity law. This exemption applies to claims filed on or after April 29, 2021. Second, it temporarily exempts hiring and/or retention bonuses from the definition of compensation under the Pay Equity law.

This exemption is effective May 25, 2021 through March 1, 2022.

5. HB 2935 (Ch. 239) Discrimination Based on Protective Hairstyles

This new bill makes changes related to discrimination based on race and clarifies that discrimination based on certain hair types, styles, or textures violates the prohibition of discrimination on the basis of race. Employers should be aware of the new protected definitions which are as follows: "'Protective hairstyle' means a hairstyle, hair color or manner of wearing hair that includes, but is not limited to, braids, regardless of whether the braids are created with extensions or styled with adornments, locs and twists"; and "'Race' includes physical characteristics that are historically associated with race, including but not limited to natural hair, hair texture, hair type and protective hairstyles."

This bill is effective January 1, 2022.

6. HB 3041 (Ch. 367) Gender Identity Definition

Separates "gender identity" from the definition of "sexual orientation" within the definitions chapter of the Oregon Revised Statutes. The statute defines gender identity as "an individual's gender-related identity, appearance, expression or behavior, regardless of whether the identity, appearance, expression or behavior differs from that associated with the gender assigned to the individual at birth." The statute further adds the term "gender identity" to all statutes that previously included sexual orientation, including but not limited to ORS 659A *et seq*.

This bill was effective as of June 23, 2021.

7. HB 3398 (Ch. 693) Delayed Implementation of Oregon's Paid Family Medical Leave

This bill delays the implementation requirements for paid family and medical leave program. It also extends the deadlines required for administrative rules related to this leave. Under the bill, contributions will begin Jan. 1, 2023 and employees will be eligible to use benefits on or after Sept. 3, 2023. The intent of the bill was to ensure that proper systems were in place before employers are required to submit contributions from employers and employees.

The effective date of this bill is September 25, 2021.

8. SB 169 (Ch. 75) The Continued Reining in of Restrictive Covenants

This bill modifies the requirements for an enforceable noncompetition agreement as follows:

- The "voidable and may not be enforced by a court of this state" language in ORS 653.295 is replaced by the more restrictive "void and unenforceable";
- The maximum length of a restricted period is reduced from 18 months to 12 months; and
- With limited exceptions, an employee subject to the agreement must earn at least $100,533 (which will be adjusted annually for inflation) instead of using the Census Bureau's data as an income basis;
- The new law also tightens the definition of a noncompete agreement. The statute used to define a noncompete as an agreement that is "written or oral, express or implied." However, the definition is now

limited to written agreements, as the "oral, express or implied" language has been eliminated from the statute.

This bill is effective January 1, 2022. The bill is not retroactive.

9. SB 483 (Ch. 336) Workplace Safety Report Rebuttable Presumption

Creates rebuttable presumption that person violated prohibition against retaliation or discrimination if Company takes certain action against employee or prospective employee within 60 days after employee or prospective employee has engaged in any of the following protected activities:

(a) Opposed any practice forbidden by ORS 654.001 to 654.295, 654.412 to 654.423 and 654.750 to 654.780;

(b) Made any complaint, or instituted or caused to be instituted, any proceeding under or related to ORS 654.001 to 654.295, 654.412 to 654.423, and 654.750 to 654.780, or has testified or is about to testify in any such proceeding;

(c) Exercised on behalf of the employee, prospective employee, or others, any right afforded by ORS 654.001 to 654.295, 654.412 to 654.423, and 654.750 to 654.780; or

(d) In good faith, reported an assault that occurred on the premises of a health care employer as defined in ORS 654.412 or in the home of a patient receiving home health care services.

To rebut that presumption, an employer must prove by a preponderance of the evidence that the adverse action was unrelated to the protected activity. Moreover, if a specified action is taken beyond the 60-day window, that action does not create the aforementioned presumption.

This bill was effective on passage.

10. SB 569 (Ch. 279) Unlawful Employment Action Related to Driver's License

This new bill prohibits employers from requiring employees to have a driver's license unless driving is an essential job duty or related to a legitimate business purpose. While employers are not prohibited from accepting a voluntarily-offered driver's license, employers must also accept other valid identification documents deemed acceptable for purposes of the federal I-9 verification form.

This bill is effective January 1, 2022.

Chapter 11 -- Tax Law

Nikki Dobay: 2003 University of Oregon School of Law. Oregon State Bar member since 2007.

I. CORPORATE ACTIVITY TAX (CAT)

1. SB 164 (Ch. 572) Full Fiscal Year Filing Option

SB 164 provides for a full fiscal year filing option for fiscal year filers starting January 1, 2022. For 2021, fiscal year filers will be required to file a short year return from January 1, 2021 through the end of the taxpayer's fiscal year. SB 164 also clarifies that foreign and alien insurers that are subject to Oregon's retaliatory tax (ORS §§ 731.854 and 731.859) are exempt entities for purposes of the CAT; exempts from commercial activity groceries sold on consignment; modifies the exclusion from commercial activity for transfers of new vehicles; changes the filing deadline for business closure or sales; and amends the penalty provisions.

SB 164 is effective on September 25, 2021 and applies to tax years beginning on or after January 1, 2021.

II. CORPORATE INCOME TAX

1. HB 2457 (Ch. 456) Reconnect

HB 2457 updates the connection date to the Internal Revenue Code (IRC) from December 31, 2018 to April 1, 2021.

HB 2457 is effective on September 25, 2021.

2. SB 136 (Ch. 74) Sales Factor Requirements for Broadcasters

SB 136 amends the sales factor requirements for broadcasters. SB 136 requires broadcasters to use third party ratings or books and records to determine the numerator of the sales factor, and, where such information is not available, Oregon population may be used. For licenses of subscription services or advertising on subscription services, SB 136 provides that the numerator of the sales factor is equal to 0.6% multiplied by the taxpayer's receipts from licensing to subscription services and advertising on subscription services where sufficient information on the location of the taxpayer's audience is not available. SB 136 also provides broadcasters with an option to elect to apply their apportionment ratio to their total gross receipts as opposed to sales from broadcasting services only.

SB 136 repeals ORS §§ 314.680, 314.682, 314.684, 314.686, 314.688 and 314.690.

SB 136 is effective on September 25, 2021 and applies to tax years beginning on January 1, 2020.

III. PERSONAL INCOME TAX

1. HB 2129 (Ch. 8) Charitable Checkoff Program

HB 2129 makes various changes to the Charitable Checkoff Program. Specifically, HB 2129 designates that the vice chairperson is responsible for certain duties if the chairperson is unable to perform duties on a temporary basis. Additionally, the bill provides that a qualified charity will remain on the list of charities for six years and may only be removed after the six year period.

Among other changes, the bill:

- Provides that charities applying for re-approval do not need to collect signatures;
- Allows charities that have obtained at least 10,000 electoral signatures to be eligible for the program;
- Clarifies when initial applications for consideration are due;
- Clarifies the timing for other reporting requirements;
- Adds a statutory list of eligible charities;
- Requires the Oregon Charitable Checkoff Commission to examine charities included on the list every two years;
- Specifies where donation funds are held; and,
- Updates connection date to the Internal Revenue Code.

HB 2129 repeals ORS §§ 305.705, 305.710, 305.723, 305.727, 305.729, 305.735, 305.751, 305.799, 316.490, 316.491, 316.493 and 496.380.

HB 2129 is effective on September 25, 2021, and the amendments and sections repealed apply to tax years beginning on or after January 1, 2021.

2. HB 2130 (Ch. 9) Emancipation Day

HB 2130 extends the filing due date for estimated tax payments where the due date falls on Emancipation Day (April 16th).

HB 2130 is effective on September 25, 2021 and applies to tax years beginning on or after January 1, 2022.

3. SB 139 (Ch. 570) Pass Through Income

SB 139 amends the reduced pass through rates enacted in 2013. SB 139 reduces the tax rate for pass-through income of $250,000 to $500,000 from 7.2 percent to 7.0 percent and the tax rate for pass-through income of $500,001 to $1 million from 7.6 percent to 7.5 percent. Other reduced rates for qualifying entities were not amended. SB 139 limits the reduced rates for pass-through income to S corporations and partnerships with ordinary business income not in excess of $5 million.

SB 139 is effective on September 25, 2021 and applies to tax years beginning on or after January 1, 2022.

4. SB 727 (Ch. 589) SALT Cap

SB 727 creates a state and local tax cap (SALT Cap) workaround similar to (but not exactly the same as) those provided in other states. Specifically, SB 727 creates a new, voluntary entity-level income tax on "qualified pass-through entities." Qualifying entities are pass-through entities whose owners are individuals subject to the Personal Income Tax or other pass-through entities whose owners are subject to the Personal Income Tax.

For those pass-through entities that qualify for and make the election, the first $250,000 of income is taxed at a 9 percent rate while income above $250,000 is taxed at 9.9 percent. The tax is elective and, where the election is made and the pass-through entity pays the tax, the pass-through entity owners are allowed an offsetting dollar for dollar tax credit to claim on their Oregon Personal Income Tax returns. Each owner would be allowed a tax credit for their pro rata share of the entity tax. Whether another state recognizes this credit as tax paid to another state will be based on the law of that state and is not dictated by SB 727.

SB 727 is effective September 25, 2021 and applies to tax years 2022 and 2023. SB 727 provides that the tax and corresponding credit will be repealed if Congress were to repeal the SALT cap.

IV. TAX CREDITS/INCENTIVES

1. HB 2433 (Ch. 525) Tax Credit Extensions

HB 2433 extends the sunsets of several tax credits by six years, including the:

- Child with a disability credit,
- Severe disability credit,
- University Venture Development Fund contributions credit,

- Oregon Life and Health Insurance Guaranty Association credit,
- Oregon Veterans' Home physician credit, and
- Greenlight Oregon film production labor rebate subtraction.

The bill also extends sunsets and modifies several tax expenditures, including the:

- Rural medical providers credit,
- Working family household and dependent care credit,
- Individual development account contribution credit, and
- Film production and development contributions credit.

HB 2130 is effective on September 25, 2021 and applies to tax years beginning on or after January 1, 2022 and before January 1, 2026.

2. SB 119 (Ch. 36) Donations of Art

SB 119 requires taxpayer-creator to obtain an appraisal report to substantiate the fair market value of an art object for purposes of a subtraction allowed for donation of an art object.

SB 119 is effective on September 25, 2021 and applies to tax years beginning on or after January 1, 2022.

V. PROPERTY TAX

1. HB 2247 (Ch. 452) Delinquent Property Taxes

HB 2247 authorizes Oregon counties to adopt an ordinance or resolution authorizing the waiver of interest ordinarily charged for failure to pay taxes when due. HB 2247 applies only to interest on taxes imposed on real property used in taxpayer's business for the 2020-2021 property tax year for, provided no uncontested delinquent property taxes were outstanding on such property as of February 15, 2020, and to delinquencies substantially due to effects of COVID-19 pandemic or 2020 Oregon fire season. HB 2247 provides criteria for making this determination.

HB 2247 is effective on September 25, 2021, applies only to the 2020-2021 property tax year, and sunsets on January 2, 2023.

2. HB 2331 (Ch. 421) Television and Radio Stations

HB 2331 excludes from the meaning of "communication," for purposes of central assessment for property taxation, television and radio stations licensed by

the FCC that use primarily earth based-transmitters to broadcast programing via radio waves to television or radio receivers that use indoor or outdoor antennas for reception.

HB 2331 is effective on September 25, 2021 and applies to property tax years beginning on or after July 1, 2021.

3. HB 2341 (Ch. 356) Property Damaged by Fire or Act of God

HB 2341 authorizes tax collectors in counties covered by a state of emergency, who know or have reason to believe property has been destroyed or damaged by fire or an act of god, to prorate imposed property taxes. HB 2341 aligns the methodology for proration of taxes on property destroyed and property damaged by fire or act of god, changes the property tax proration to include month of disaster rather than commencing month after disaster, and provides a new computation for proration of taxes for property other than specially assessed property.

HB 2341 is effective on September 25, 2021 and applies to property tax years beginning on or after July 1, 2021.

4. HB 2438 (Ch. 527) Newly Constructed Dwellings

HB 2438 authorizes counties with a population of less than 15,000 to adopt an ordinance or resolution that provide a property tax exemption for newly constructed single-family dwellings built and occupied as primary residences by individuals with annual taxable income of not more than $75,000 if filing separately or not more than $150,000 if filing jointly.

HB 2341 is effective on September 25, 2021 and is repealed January 2, 2032.

5. HB 2446 (Ch. 455) Low Income Housing

HB 2446 extends to July 1, 2028 the sunset for the property tax exemption for property of nonprofit corporation offered, occupied or used as low-income housing.

HB 2446 is effective on September 25, 2021.

6. HB 2634 (Ch. 535) Homestead Deferral

HB 2634 allows a surviving spouse or disabled heir of an individual whose homestead was granted deferral under homestead property tax deferral program to continue deferral without having owned or occupied the homestead for five years. HB 2534 also sets an alternative maximum allowable real market value of

$250,000 on participating property for program eligibility and adjusts allowable income cap by the All Urban Western Consumer Price Index.

HB 2634 is effective on September 25, 2021.

7. HB 3275 (Ch. 466) Affordable Housing

HB 3275 exempts land owned by certain holders of land subject to permanent affordable housing covenants if improvements on land constitute owner-occupied housing. HB 3257 also provides an exemption for 27 percent of assessed value of an owner-occupied condominium unit burdened by affordable housing covenant.

HB 3275 is effective on September 25, 2021 and generally applies to property tax years beginning on or after July 1, 2022.

8. SB 464 (Ch. 580) September 2020 Wildfires

SB 464 authorizes counties covered by a state of emergency declared in response to September 2020 wildfires to adopt an ordinance or resolution directing tax collector to prorate and cancel property taxes imposed on taxable property that the tax collector knows suffered loss in real market value as result of wildfires. This may be done without an application from property owner.

SB 464 is effective on September 25, 2021 and applies to the property tax year beginning on July 1, 2020 and will sunsets January 2, 2023.

VI. PRACTICE AND PROCEDURE

1. HB 2128 (Ch. 353) Security Breach of Taxpayer Information

HB 2128 requires tax professionals within five days of discovery to report an actual or believed breach of security regarding taxpayer information. HB 2128 provides a “tax professional” will include tax preparers or consultants licensed and certified pursuant to ORS §§ 673.605 to 673.740, attorneys, CPAs, enrolled agents or any other licensed professionals.

HB 2128 is effective on September 25, 2021 and applies to breaches of security occurring on or after January 1, 2022.

2. HB 2178 (Ch. 451) Tax Court Filing Fees

HB 2178 modifies the tax court filing fees. Specifically, HB 2178 reduces the filing fee for complaints or petitions filed in the Magistrate Division of the Oregon Tax Court from $281 to $50, but maintains the filing fee of $281 for complaints or petitions filed in the Regular Division of the Oregon Tax Court. HB

2178 also clarifies the date for the filing of a complaint or petition if the tax court grants a fee waiver or deferral, or the plaintiff/petitioner pays the filing fee within 14 days from the date of the court's denial of a fee waiver or deferral.

HB 2178 applies to complaints and petitions filed in the Oregon Tax Court on or after January 1, 2022.

VII. OTHER LEGISLATION

1. HB 2131 (Ch. 212) Miscellaneous Business Taxes

HB 2131 applies to heavy equipment rental taxes, state lodging taxes, emergency communication system taxes, and petroleum load fees. Specifically, HB 2131 specifies the timing of notices of liability, assessment payments, and appeals in cases of tax assessments and/or failure to file, and provides owners, officers, employees, or members an entity may be held personally liable where entity had unpaid amounts of tax or fees collected by the entity and held in trust.

HB 2131 is effective on September 25, 2021 and applies to amounts due on or after January 1, 2022.

2. HB 2434 (Ch. 526) Jet Fuel Tax

HB 2434 removes the sunset on the tax rate increase of jet fuel and aviation gasoline that was set to occur on January, 1, 2022.

HB 2434 is effective on September 25, 2021.

3. HB 2456 (Ch. 528) Corrections and Update

HB 2456 makes technical corrections and updates various tax provisions. In addition to updating certain corporate excise tax statutory references to the Internal Revenue Code (and although not an exhaustive list), HB 2456:

- Updates the ABLE account connection date to the Internal Revenue Code, from December 31, 2017 to April 1, 2021;
- Makes various changes to low-income rental and nonprofit low-income rental property tax exemptions;
- Allows Oregon Film and Video Office and Higher Education Coordinating Commission to issue tax credit certifications for the current or immediately preceding tax year if a taxpayer has not filed an associated tax return, applicable to tax years 2021 through 2023;
- Allows Department of Revenue to share information with Department of Motor Vehicles for purposes of the vehicle privilege tax; and,

- Amends the definition of “authorized agency” to allow a municipal tax collection agency to request federal background checks.

HB 2456 repeals ORS §§ 315.601 and 315.606 and is effective on September 25, 2021.

4. HB 2521 (Ch. 156) Transient Lodging Taxes

HB 2521 requires a transient lodging tax collector to provide an invoice, receipt or other similar document that clearly sets forth sum of all transient lodging taxes charged for occupancy of transient lodging.

HB 2521 is effective on September 25, 2021.

5. HB 3373 (Ch. 555) Office of the Taxpayer Advocate

HB 3373 establishes the Office of the Taxpayers Advocate in the Oregon Department of Revenue. Driven by the Oregon Department of Revenue, HB 3373:

- Establishes functions, powers and duties of the office;
- Authorizes the Taxpayer Advocate to issue orders directing action by the department if a taxpayer experiences significant hardship due to administration of tax laws by department;
- Requires Taxpayer Advocate to report biennially on operation of office to committee of Legislative Assembly related to revenue.

HB 3373 also requires the magistrate division of Oregon Tax Court to order attorney fees if the opposing party disobeys a court order or makes an assertion without an objectively reasonable basis.

HB 3373 is effective September 25, 2021 and the provisions related to attorney’s fees apply to judgments entered into after that date. The provisions related to the Office of the Taxpayers Advocate are operative January 1, 2022.

Chapter 12 -- Civil Procedure

Hon. Mark Peterson: 1976 University of Toledo Law School. Oregon State Bar member since 1982.

I. ORCP CHANGES

1. <u>ORCP 15</u> Time for Filing Pleadings or Motions

Rule 15 was amended in the 2017-2019 biennium, partly at the request of the Oregon State Bar's Procedure and Practice Committee, to clarify that the rule applied to all pleadings subsequent to the complaint and to better specify the timing for filing responsive pleadings. A concern that was not then resolved was the phrasing of section D that appeared to allow the court to extend the time for the filing of all pleadings and motions. The only hint that section D did not authorize extensions of the time in responding to all pleadings and motions was the phrasing, "after the time limited by the procedural rules . . . ." Some deadlines are substantive, and a court is without authority to allow an extension, e.g., a motion for judgment notwithstanding the verdict pursuant to Rule 63 or a motion for new trial pursuant to Rule 64. In some instances, the deadline imposed by a rule is made subject to the court's discretion to modify that deadline, e.g., Rule 15 B, Rule 43 B(2), and many others. Compiling a list of deadlines that can, or cannot, be modified was considered unwieldy for inclusion in Rule 15. Further, whether a deadline can be modified may not be clear in a given case. To alert readers that section D will not allow for an extension in all cases, the first sentence now begins, "[e]xcept as otherwise prohibited by law . . ." as a "red flag" to warn readers that it would be wise to research whether a particular request for an extension is available.

The lead line in section D was amended in keeping with the title of Rule 15 and the other sections. The rule covers the time for filing pleadings and motions. The "or do other acts" phrase in the lead line, long present in earlier formulations of the rule, was deleted; the rule governs the timing of the filing of pleadings and motions. The unintentional limitation of section D's applicability to answers and replies was amended to make clear that the section applies to all pleadings (subsequent to the complaint), and to motion practice. Although UTCR 5.030 provides the timing for motion practice, section D authorizes the court to modify the time for responses and replies. Rather than an expansion of the court's authority, the amendment is in keeping with how the courts, and the parties, handle modifications of the schedule for filing pleadings and for motion practice.

2. <u>ORCP 21</u> Defenses and Objections

It is not uncommon for a party, usually a plaintiff, to amend the party's pleading shortly prior to trial, once discovery is completed and the issues have sometimes narrowed and come into clearer focus. Such amendments often update the amount of damages sought. It is then incumbent on the opposing party to respond to the amended pleading. A concern was raised that the amending party can be at a disadvantage when the response to the amended pleading does not simply respond as necessary to the new or modified allegations in the amended pleading but, instead, raises defenses that were not previously raised, sometimes even denying liability for the first time. Either the trial must be postponed, or the amending party is proceeding to trial on new issues. There may be a request to re-open discovery and expert witnesses may need to be rescheduled. As provided in Rule 21, the amending party is required to obtain consent from the opposing party or from the court to file the amended pleading; the opposing party is entitled to file a responsive pleading and may do so without the need for obtaining consent from the amending party or the court.

The amendment adding subsection E(3), is intended to give the court authority to strike any part of the response to the amended pleading that raises new issues that will unfairly prejudice the amending party or that will delay the trial. The new language in section E allowing motions to strike "any response to an amended pleading, or part thereof, that raises new issues, when justice so requires . . . " incorporates the factors to be considered in allowing amendments expressed in Ramsey v. Thompson, 162 Or App 139 (1999), rev den, 329 Or 589 (2000). The right to amend "shall be freely given when justice so requires." ORCP 23 A. The same should be true for a response to an amendment. However, if the response to an amendment raises new issues, the most significant factor in determining whether the response should be stricken will generally be the amount of time from the filing of the new pleading until the scheduled start of the trial.

The more visible change to Rule 21 is a reorganization of section A, which was previously one long block of text that included quasi-subsections (1) through (9) that were inconsistent with the manner in which the rules are organized. That monolith is now broken into two subsections, and those subsections are further broken into correctly formatted paragraphs, enabling improved citation to that part of the section that is relevant. Lead lines are added to read in a more logical sequence. The amendments to section A are not meant to affect the meaning or operation of the section.

Section C was amended to make the references to the defenses in section A correspond with the new organization of section A. Also, the word "shall" was

replaced with “must” in keeping with modern drafting standards. The word “application” was replaced with “motion,” as a request for relief from the court is a motion.

Changes in section D include moving a comma and adding three commas to improve readability. The word “upon” is replaced with “on” three times to improve language usage. The word “charge” is replaced with “claim,” as we have claims (see Rule 18), not charges in civil litigation. Finally, the use of the word “such” in the last sentence is avoided, as that word is overused in stilted legal prose and is often imprecise.

Section E also contained quasi-subsections that were not formatted in a manner consistent with the rules. The subsections are now formatted consistently and, of course, the new basis for a motion to strike, as discussed in the opening two paragraphs of this comment, is added. Also, the word “upon” is replaced four times with the more standard usage term “on.”

Section F Includes a grammar-influenced substitution of the word “that” for “which,” as well as a substitution of “cannot” for “shall not” in keeping with modern drafting conventions.

Section G again contained quasi-subsections not formatted in a manner consistent with the rules, and reformatting the subsections required deleting the sentence prohibiting raising the enumerated defenses by amendment. Instead, the bar to raising these defenses by amendment is included in a sentence preceding the subsections. The word “shall” is replaced by “will” on two occasions and by the word “must” on one occasion in keeping with modern drafting conventions. The word “upon” is replaced with the more standard word, “on.” The word “such” is replaced with a more precise “the” and two commas are added and the disjunctive “or” is deleted to improve readability.

The amendments, other than the addition of subsection E(3), are technical changes in part to improve clarity and consistency within the rules and are not meant to affect the meaning or the operation of Rule 21.

3. <u>ORCP 27</u> Minor or Incapacitated Parties

The primary change to Rule 27, in section A, is to clarify, for non-lawyers attempting to use the rules, the purpose and role of a guardian ad litem and to distinguish a guardian ad litem who acts for a minor or incapacitated party in a particular legal action from a guardian appointed under ORS 125.300-125.330 to act generally for a ward.

The other changes are found in the title of the rule, the lead line for section B, and the first sentence of section B where the word "unemancipated" is added as an adjective modifying the word "minor," as an emancipated minor would not require appointment of a guardian ad litem. Also, the word "mandatory" is added to the lead line in section B. Appointment of a guardian ad litem is mandatory for unemancipated minors, incapacitated persons, and financially incapable persons. This is in contrast to a discretionary appointment of a guardian ad litem for a litigant who is disabled but who is not an unemancipated minor or an incapacitated or financially incapable person.

4. <u>ORCP 31</u> Interpleader

Issues with Rule 31 were raised as to whether interpleader may be used by defendants in litigation as well as by a plaintiff seeking to resolve potentially conflicting claims that may be brought by multiple defendants. The rule does allow a complaint, a counterclaim, or a crossclaim to be filed in interpleader. However, section C appeared to authorize an award of attorney fees only to plaintiffs filing the suit or action in interpleader. Section C was completely rewritten and amended to make clear that a plaintiff, a counterclaimant, or a cross-claimant would be eligible for an award of attorney fees. However, an automatic award of attorney fees to a litigant filing a claim in interpleader appeared misplaced. In some cases, the party utilizing the interpleader device may be an innocent stakeholder. In other cases, the party filing an interpleader claim may be far from disinterested and far from blameless in the dispute. Since the award of attorney fees is paid from the property or funds ordered interpled, there is incentive for the competing parties to resolve their claims as expeditiously as possible. But, if the party filing an interpleader claim is responsible for the dispute, it is unclear why that party should profit from filing the claim while depleting the corpus available for distribution to the rightful owners. Therefore, the court is given discretion to utilize the ORS 20.075 factors as well as three additional factors noted in the literature of interpleader in determining whether to deny a claim for attorney fees in whole or in part. Those factors, identified in paragraphs C(1)(a) through C(1)(c), require to the court to inquire into issues of exposure, fault, and equity in determining whether fees should be awarded and the amount of fees to be awarded.

In section A the words "a" and "are" added as well as two commas to improve readability. A superfluous use of the word "such" is deleted. The amendments to section A are to improve clarity and consistency within the rules and are not meant to affect the meaning or operation of section A.

5. <u>ORCP 55</u> Subpoena

A complete re-write of Rule 55 was undertaken in the 2017-2019 biennium. In order to explain the Rule 55 amendments promulgated this biennium, some recent history from the 2017-2019 biennium is helpful. Rule 55 was overly long, and a series of amendments over time had resulted in a rule that had little organizational flow and contained redundancies. In an attempt to successfully replace the former rule, a conscious effort was made to maintain all of the elements of that prior rule and to avoid changing what parties and their attorneys relied on in Rule 55, even if they could not readily locate that portion of the rule that authorized their reliance on it. Certain opportunities for improving practice under Rule 55 were noted and deferred until the re-written rule successfully made it through the promulgation process and became effective.

This biennium two small but noteworthy improvements were approved. One issue was addressed with an amendment concerning witness fees and mileage that is found in a new subparagraph A(1)(a)(v). A subpoenaed witness is not required to obey the subpoena and appear to testify or to produce documents unless a witness fee and mileage are tendered when the subpoena is served. The witness may be an occurrence witness having no interest in the litigation, and with no lawyer with whom to consult. Such a witness would likely be unaware that compliance with the subpoena is contingent on the tender of a witness fee and mileage. There have been examples of self-represented litigants arguably abusing the use of subpoenas to seemingly compel attendance of witnesses without the tender of fees. Subparagraph A(1)(a)(v) requires the form of the subpoena to alert the person served that attendance is contingent on payment of those fees.

The other improvement, found in subsection B(5), relates to serving an opposing party with a subpoena. If a party has already appeared in a case (clearly the plaintiff, but also a defendant who has already been served with summons or who has entered an appearance), Rule 7-type service and the tender of the witness fee and mileage are no longer required. Efficiency and economy are served by eliminating the need to locate a party to effect service of a subpoena and to tender the witness fee and mileage when that party is already subject to the jurisdiction of the court. Service of such witnesses can be effected as provided in Rule 9. The amendment is based in part on Illinois Supreme Court Rule 237(b) and Washington State Superior Court Civil Rule 43.

Various technical amendments were also made. In subsection A(7), a redundancy from the previous re-write is addressed by deleting the words “as

provided.” The lead line for section B is amended to add “parties” to account for the new procedure to subpoena parties as provided in the new subsection B(5). The word “nonparty” is added to the lead line for subsection B(2) for the same reason. Also, in subsection B(2), “required” is replaced with “specified in the subpoena” for clarity in referring to the location of the deposition. In subparagraph B(2)(c)(iii), “the” is replaced with “than” to correct a drafting error from the previous amendment. In paragraph B(2)(d), a potential inconsistency was remedied by making clear that subpoenas directed to nonparty organizations must be accompanied with the appropriate witness fee and mileage. In subsections B(3)(a) and B(3)(b), the statement of fees and mileage is modified to be consistent throughout the rule and to eliminate any concern that a different meaning should be attributed between the various provisions of the rule because of minor differences in the phrasing of the requirement to tender fees and mileage. In part B(3)(b)(ii)(8), “identified” is replaced with “specified,” as in subsection B(2). In subsection C(3), “do” is replaced with “comply with” for clarity. The foregoing technical amendments are not meant to affect the meaning or operation of the rule.

2020

OREGON LEGISLATION HIGHLIGHTS

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FORWARD TO 2020 EDITION

The *Oregon Legislation Highlights* is published annually to provide both attorneys and the public with a high-level overview of major legislation passed by the Oregon Legislature each session. This special 2020 edition exists to address bills passed during the first two 2020 Special Sessions.

2020 was a unique year with regard to the passage of legislation in Oregon. The 2020 Regular Session convened for the final time on March 5th, having passed almost no legislation. If not for the pandemic, there likely would have been no 2020 edition of this publication. However, the session was followed 3 days later by Governor Brown's Declaration of Emergency Due To Coronavirus. That emergency declaration, and the various executive and judicial orders that followed set the stage for two, soon to be three, special sessions during 2020.

The first special session convened June 24th through 26th, and addressed issues related to the pandemic, unfinished business from the 2020 regular session, and several bills broadly related to policing. A second special session convened for a single day on August 10th, and addressed primarily budget matters relating to the pandemic, as well as one additional bill relating to the policing. As of this writing, a third special session is expected before the end of the year.

Several bills passed during the special sessions, in particular HB 4212, could be referred to as "omnibus bills" in that they covered a wider variety of subjects than would normally be found in a single bill. While these bills are covered in this publication, it does not cover all subjects addressed by these bills.

The legislature's website offers additional information on the bills contained in this report that the reader may find useful. Individual bills are hyperlinked to that bill's page in the Oregon Legislative Information System,

which contains additional information on that bill. This includes measure summaries written by legislative staff, and in some cases supporting documentation submitted during committee hearings. See www.oregonlegislature.gov for more information.

We are grateful to all who were involved in preparing this book, especially given the condensed timeframe under which they were asked to work. We are especially appreciative of the efforts of our volunteer authors, who take time away from their practices to contribute to this publication and without whom this book would not be possible.

We would also like thank the staff of the Oregon Office of Legislative Counsel, who have for years assisted with this publication as well as supporting the ongoing work of the Oregon State Bar.

NOTE: Most legislation of the passed during the second special session were modifications to Oregon's budget. This legislation is not addressed in this publication. The most significant of these bills may have been SB 5723 which appropriated money to numerous departments and agencies include the Oregon Health Authority, the Oregon State Hospital, the Oregon Department of Justice, Oregon Business Development Department, and the Oregon Judicial Branch

Chapter 1 -- First Special Session

1. SB 1604 Police Arbitration

SB 1604 modifies the law regarding arbitration between police officer unions and the public entities (e.g. State of Oregon, cities and counties) that employ such officers.

Under ORS 243.706(1), police officer unions (as well as other public employee unions) and their employer may enter into written contracts with dispute resolution procedures that culminate in binding arbitration for disputes regarding the terms and conditions of employment. In such cases, an arbitration award re-instating a terminated employee or modifying the discipline imposed by the employer shall comply with clearly defined public policy and judicial decisions.

This bill adds a new section to ORS 243.706 that applies only to police officers. For officers, any arbitration award where the employer alleges misconduct by the officer, if the arbitrator finds that misconduct did occur as alleged by the employer; then the arbitrator may not change the discipline imposed. However, this limitation only applies if the union and the employer develop a disciplinary guide or matrix regarding misconduct through the collective bargaining process and such guide or matrix is part of the employer's disciplinary policies and procedures.

SB 1604 took effect on July 7, 2020.

2. SB 1606 Prohibition on Conditioning Hospital Admission on Advance Directive

SB 1606 has two important effects both of which are aimed at protecting individuals who may be unable to communicate when hospitalized.

First, it forbids hospitals from requiring an Advance Directive, POLST, or similar document prior to treatment. Second, it ensures access for guardians, parents, children, and other supporters of such individuals to emergency rooms and hospitals to ensure that the individuals are able to make and communicate decisions to the best of their ability and not be isolated in such settings.

The bill also allows hospitals to place reasonable restrictions on the access of support people, such as requiring they pass health screenings and use personal protective equipment provided by the hospital, to protect the safety of all parties. This bill does not include a sunset provision, allowing these new protections to continue indefinitely.

Effective date, July 7, 2020.

3. HB 4201 Committee on Transparent Policing

House Bill 4201 includes multiple legislative resolutions acknowledging the historical and current disparate treatment of black, indigenous, and people of color, both by law enforcement and within the criminal legal system. It establishes the Joint Committee on Transparent Policing and Use of Force Reform. It also establishes the committee's membership, rules, and subject matter. It directs the committee to report back to the House and Senate Judiciary Committees with policy recommendations by December 31, 2020.

HB 4201 took effect on June 30, 2020.

4. HB 4202 Corporate Activities Tax

Effective September 25, 2020, HB 4202 made several changes to the Oregon Corporate Activity Tax (Oregon CAT), which was enacted in 2019 and effective January 1, 2020. The most significant changes made by HB 4202 are as follows:

- For purposes of determining the Oregon CAT filing group, the bill allows a taxpayer to elect to exclude certain foreign (non-U.S.) entities with no commercial activity sourced to the state (either directly or indirectly). The Oregon Department of Revenue (DOR) was also provided rule making authority for purposes of determining the process by which a taxpayer may make this election.
- For purposes of determining the statutory subtraction pursuant to ORS 317A.119, HB 4202 clarifies that taxpayers marketing multistate sales (*i.e.,* selling both within and without Oregon) may use the apportionment provisions as provided in ORS 314.650 to 314.655 (Oregon's general UDITPA apportionment provisions), the alternative apportionment provisions (including special industry rules) provided in chapter 314, or any other apportionment formula provided by the DOR by rule. Although the amendments in HB 4202 appear substantial, the main purpose was to clarify the original intent of the Oregon CAT legislation passed in 2019 and to provide some additional insight into the ordering of the various aspects of the statutory subtraction.
- Eliminates the annual registration requirement for taxpayers with more than $750,000 in Oregon commercial activity.

- Provides returns and allowances as determined pursuant to IRC section 448 shall be allowed to offset a taxpayer's commercial activity during the calendar year in which the return or allowance is made.
- Updates penalty provisions.

HB 4202 also includes several special rules for farming operations:

- Excluded receipts from the sale of "fluid milk" sold by dairy farmers that are not members of an agricultural coop.
- For purposes of calculating "cost inputs," farming operations that do not report cost of goods sold for federal purposes may use their total operating expenses less labor costs.
- Provides the sourcing rules for taxpayers engaged in farming operations that sell agricultural commodities to brokers or at wholesale.

Finally, manufactured dwelling park nonprofit cooperatives organized under ORS chapter 62 were also added to the list of excluded persons in ORS 317A.100(4).

HB 4202 took effect on September 25, 2020.

5. HB 4203 Prohibits Peace Officers' Use of Choke Holds

House Bill 4203 creates a new provision that prohibits peace officers from using choke holds unless the circumstance is one in which the officer may use deadly physical force as provided in ORS 161.239. It defines choke hold as "physical force that impedes the normal breathing or circulation of the blood of another person by applying pressure on the throat or neck of the other person." The bill also requires the Board on Public Safety Standards and Training to adopt rules that prohibit training officers to use choke holds, except as a defensive maneuver.

Section 2 of HB 4203, the choke hold ban, was operational from June 30, 2020, to September 1, 2020. This section was superseded by provisions of HB 4301, which passed during the second special session.

6. HB 4204 Foreclosure Moratorium

HB 4204 makes a number of temporary changes to Oregon law to address concerns that large numbers of borrowers could default as a result of loss of income due to the COVID-19 pandemic.

The major effect of the bill is that it prohibits a lender, during the emergency period, from declaring a borrower to be in default on a loan secured by real property (or personal property intended as a dwelling) if the borrower informs the lender that they will be unable to make payments due to the COVID-19 pandemic. Instead, the borrower may request forbearance throughout the duration of the emergency period and the missed payments become due at the end of the loan period. The lender is also generally prohibited from applying late charges, default interest, or charges for inspections unless such default provisions were already in place prior to the emergency period.

For most residential properties, all the borrower must do is attest that the failure to pay is a result of a loss of income due to the COVID-19 pandemic. No specific process for notification is required, and notification must only be given once during the emergency period. In the case of commercial property or of residential properties with more than 4 units, the notice must include financial statements or other evidence demonstrating the loss of income.

Additionally, the bill generally prohibits conducting a foreclosure sale or entry of a foreclosure judgment during the emergency period.

These prohibitions currently run from March 8, 2020 December 31, 2020. HB 4204 took effect immediately upon being signed by the Governor and is automatically repealed 90 days after the state of emergency ends.

> PRACTICE NOTE: Practitioners should be aware that other levels of government, including the Federal Government and the City of Portland, have put in place their own COVID-related restrictions on foreclosures.

7. HB 4205 Police Officer Duty to Intervene

House Bill 4205 begins with multiple legislative resolutions, including a declaration that Black Lives Matter, and acknowledges the historical and current experiences of people of color with law enforcement.

HB 4205 creates a new provision requiring police officers or reserve officers to prevent or stop another officer from engaging in misconduct, unless the officer cannot intervene safely.

The bill requires police officers or reserve officers who witness another officer engaged in misconduct to report the misconduct within 72 hours. It also provides that failure to intervene or report is grounds for disciplinary action against the police officer or reserve officer. The bill provides an extensive definition of

misconduct, which includes among other things the use of unjustified or excessive force.

HB 4205 also prohibits an employer from retaliating or discriminating against an officer who intervenes or reports, as required.

HB 4205 took effect on June 30, 2020.

8. HB 4208 Use of Tear Gas by Police

House Bill 4208 prohibits law enforcement from using tear gas for purposes of crowd control except in "circumstances constituting a riot, as described in ORS 166.015". That statute creates the crime of riot in Oregon, but does not include a definition of "circumstances constituting a riot". The bill does not require that a person be accused of the crime of riot in for circumstances constituting a riot to exist.

House Bill 4208 also requires law enforcement agencies to announce their intent to use tear gas and to provide individuals sufficient time to evacuate an area before tear gas is deployed.

HB 4208 took effect on June 30, 2020.

9. HB 4210 Suspension of Driving Privileges

House Bill 4210 amends multiple statutes and eliminates the court ordered suspension of a person's driving privileges for failure to pay fines. It repeals ORS 809.210, which authorized the court to take certain actions if a person convicted of a traffic offense (violation or crime) failed to a pay a fine or comply with a condition in lieu of a fine. Specifically, ORS 809.210 authorized courts to issue a notice of suspension to the Department of Transportation, directing it to suspend a person's driving privileges. It also authorized courts to restrict a person's driving privileges. HB 4210 repeals both provisions.

HB 4210 took effect on June 30, 2020. The bill prohibits new suspensions from being imposed on or after October 1, 2020.

10. HB 4212 Remote Online Notarization

As the restrictions and safety concerns related to COVID-19 have made face-to-face interactions much less common, Sections 19 through 32 of HB 4212 have provided a temporary solution for notarizing documents. The bill authorizes remote online notarization (RON), which is an expansion of the existing electronic notarization rules to allow notaries who meet certain requirements to perform notarial acts for parties in different physical locations.

In practice, RON is accomplished through the notary's choice of a number of vendors but the process generally runs as follows:

1. Notary uploads and prepares documents by marking signature, initial, and notary fields.

2. Notary notifies signers that documents are ready and schedules a video call for signing.

3. Notary initiates video call through vendor.

4. The first signer uses a link in an email sent by vendor to sign in and, if not personally known to the notary or identified by oath or affirmation of credible witness who has been identified, verify identity through two different types of identity proofing such as knowledge-based authentication (i.e. questions based on credit history) and document verification (e.g. driver's license or passport).

5. Once identified the signer opens the document and shares their screen in the video call.

6. While screen sharing, the signer completes the signature and initial fields for that signer.

7. Once all fields are completed the signer closes the documents and the vendor emails a link to the next signer, with the process repeating for all signers, then finally the notary.

8. The vendor then compiles the document into an encrypted file with all of the signatures and the notary and tamper evident code that will indicate if anything is changed after the signatures and notary are affixed.

9. This file then constitutes the notarized document and can be recorded or otherwise used like a physically notarized document.

HB 4212 took effect on June 30, 2020 and sunsets on June 30, 2021.

For more information, review the Secretary of State's landing page and FAQ for RON. https://sos.oregon.gov/business/pages/remote-online-notarization.aspx, https://sos.oregon.gov/business/Pages/remote-online-notarization-faq.aspx.

11. HB 4212 Public Meetings, Garnishment, Court Timelines

In addition to the changes related to Remote Online Notarization described above, HB 4213 had several other important provisions worth noting.

Section 1 of the bill permits local government and special government bodies to hold most meetings by telephone or video conferencing technology

during the COVID-19 state of emergency that Governor Brown declared on March 8, 2020. Among other requirements, this section requires that a government body make available some method by which the public can observe the meeting, and requires that the meeting be recorded in some circumstances.

These provisions took effect on June 30, 2020 and are automatically repealed 30 days after the Governor's declaration of emergency is no longer in effect.

Section 3 of the bill largely prohibits the garnishment of funds received under the federal CARES Act.

Sections 6 and 7 of the bill provide authority to the Chief Justice to provide extensions to deadlines for numerous court filings and appearances. Additionally, the bill permits that a criminal citation may be issued which requires a person to appear in court more than 30 days after the date on which the citation is issued. Previously, the court date on a citation was required to be within 30 days of issuance. Additionally, these sections provide limited authority for the court to permit a defendant to be held in custody for more than 180 days before trial, if the court makes certain findings.

These provisions took effect on June 20, 2020. Sections 6 and 7 of the bill are repealed on December 31, 2021.

12. HB 4213 Moratorium on Evictions

House Bill 4213 prohibits landlords, in most circumstances, from terminating a rental contract or evicting a tenant from a rental unit for nonpayment of rent during the emergency period. The "emergency period" is defined in the bill as running from April 1 to September 30, 2020. Additionally the landlord many not assess penalties or late fees for nonpayment during this period.

Tenants continue to owe any rent that accrues during the emergency period, but the amounts owed do not become due until September 30, 2020. Additionally, tenants are entitled to a six month grace period to repay the balance that ends on March 31, 2021. After the emergency period ends, and if the landlord complied with the notice provisions in the bill, a tenant is required to notify the landlord of their intention to repay the nonpayment balance by the end of the grace period. Failure by a tenant to notify the landlord entitles a landlord to recover damages equal to 50% of one month's rent.

PRACTICE NOTE: HB 4213 does not affect evictions for causes other than nonpayment.

Additionally, the Chief Justice issued a number of orders during the Governor's declared state of emergency. Practitioners should check these orders to see if any are still in effect that effect an individual case. Additionally, practitioners should note that other levels of government, including the Federal Government and the City of Portland, have taken action related to evictions during the COVID-19 pandemic.

HB 4213 took effect June 30, 2020. Most provisions of the bill are repealed on March 31, 2021.

13. HB 4214 Oregon Indian Child Welfare Act

HB 4214, titled the Oregon Indian Child Welfare Act (ORICWA), incorporates the federal Indian Child Welfare Act (ICWA) and key federal regulations related to ICWA into the Oregon Juvenile Code. It also incorporates unique provisions into Oregon law that promote continued connection to culture, family, and tribe for Indian children under the jurisdiction of the Juvenile Court.

Specifically, HB 4214 provides essential definitions, clarifies when and how ORICWA applies during each dependency or termination of parental rights hearing, and describes in detail the various protections ORICWA provides at various hearings, including: inquiry, notice, active efforts, placement preferences, qualified expert witnesses, and best interest of the Indian child.

HB 4214 takes effect on January 1, 2021.

Chapter 2 -- Second Special Session

1. HB 4301 Use of Force By Police Officer

House Bill 4301 amends section 2 of House Bill 4203, which passed during the first 2020 special session. Sections 1 through 5 of House Bill 4301 became operative on September 1, 2020 and remain operative until January 1, 2021.

Section 2 prohibits peace officers or corrections officers from using choke holds except in circumstances in which physical force is justified under ORS 161.209 and 161.215. It defines corrections officer as a "guard, peace officer or other official employed in a jail, prison or correctional facility, including a youth correction facility, who primarily performs the duty of custody, control or supervision of individuals charged with or convicted of a crime or otherwise confined under a court order." In sections 3 through 5, the bill makes conforming amendments to ORS 161.205, ORS 161.239, ORS 161.265, and ORS 161.267.

Sections 6 through 17 of the bill become operative on January 1, 2021. Section 6 provides that sections 7 and 8 are added to ORS 161.195 and ORS 161.275.

Section 7 provides that a peace officer may use physical force upon another person only when it is objectively reasonable, under the totality of the circumstances, for the peace officer to believe that the person:

1. Poses an imminent threat of physical injury to the peace officer or to a third person, or

2. The use of physical force is necessary to (a) make a lawful arrest based on probable cause that the person has committed a crime, or (b) prevent the person's escape from custody, when the officer has probable cause to believe that the person has committed a crime.

Section 7 also provides that a peace officer may use physical force upon another person only to the degree that the officer reasonably believes necessary to (1) prevent physical injury or (2) make a lawful arrest or prevent a person's escape from custody. Before using physical force on a person, the section requires a peace officer to (1) consider alternatives such as verbal de-escalation, waiting, or using other available techniques if reasonable, safe, and feasible; and (2) give a verbal wanting to the person upon whom physical force may be used and provide the person with a reasonable opportunity to comply.

Section 8 provides that a peace officer may use deadly physical force upon another person only when it is objectively reasonable, under the totality of the

circumstances, for the peace officer to believe that the person poses an imminent threat of death or serious physical injury to the officer or a third person, and the use of deadly force is necessary to:

1. Make a lawful arrest based on probable cause that the person has committed a violent felony,

2. Defend the officer or a third person from the imminent threat of death or serious physical injury, or

3. Prevent the person's escape from custody when the officer has probable cause to believe that the person has committed a violent felony.

Before using deadly physical force on a person, if the officer has reasonable time to do so, the section requires the officer to:

1. Consider alternatives such as verbal de-escalation, waiting, using other available resources and techniques if reasonable, safe, and feasible, or use a lesser degree of force; and

2. Give a verbal warning to the person upon whom deadly physical force may be used and provide the person with a reasonable opportunity to comply.

Nothing in section 8 justifies an officer's reckless or criminally negligent conduct constituting an offense against or with respect to innocent persons whom the officer is not seeking to arrest or retain in custody. Lastly, for purposes of Section 8, "violent felony" has the meaning given to the term in ORS 419A.004.

Section 9 amends ORS 161.245 and defines for Section 7 and 8, a reasonable belief that a person has committed an offense as "a reasonable belief in facts or circumstances which, if true, would constitute an offense."

Section 10 further amends HB 4203, which passed during the first 2020 special session. The changes prohibit under all circumstances a peace officer or corrections officer's knowing use of physical force that impedes the normal breathing or circulation of the blood of another person by applying pressure on the throat or neck of the person except in circumstances in which physical force is justified under ORS 161.209 and ORS 161.215.

Section 11 of the bill amends ORS 161.265 to permit a guard or other peace officer working in a correctional facility to use physical force, including deadly physical force on a person, if that person poses an imminent threat of physical injury, or if the guard or peace officer reasonably believes that it is necessary in order to prevent a prisoner from escaping from a correctional facility. The guard or

peace officer may use physical force under this section only to the degree that they reasonably believe necessary to prevent the physical injury or escape.

HB 4301 took effect on September 1, 2020. Different parts of the bill have different operative dates, including those described above. Lawyers who are interested in when specific provisions take effect should always check the bill.

2019
OREGON
LEGISLATION HIGHLIGHTS

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Many bills passed during the 2019 session have special effective dates. These dates are noted in the description of each bill.

If a special effective date is not proscribed in a bill, the bill takes effect on January 1, 2020.

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FORWARD

The annual *Oregon Legislation Highlights* offers a timely and authoritative resource to help lawyers catch up on the latest legislative developments.

This book highlights nearly 300 bills and other measures that were passed by both houses of the legislature. This book does not describe all of the enacted legislation.

Unless otherwise noted, all legislation takes effect on January 1, 2020.

The information in this book is organized into chapters by subject. If a bill has a special effective date, that date is noted at the end of the discussion of that bill. Please note that in some cases a bill may have more than one effective date. If in doubt about the effective date of a law, always check the enacting legislation.

Each bill is identified – in the chapter outline and in the text – by its bill number and its 2019 Oregon Laws chapter number. A table of bill numbers and Oregon Laws chapter numbers appears at the end of the book.

The legislature's website offers additional information that the reader of this book may find useful. Individual bills are hyperlinked to that bill's page in the Oregon Legislative Information System, which contains additional information on that bill. This includes measure summaries written by legislative staff, and in some cases supporting documentation submitted during committee hearings. See www.oregonlegislature.gov for more information.

We are grateful to all who were involved in preparing this book. We are especially appreciative of the efforts of our volunteer authors, who take time away from their practices to contribute to this publication and without whom this book would not be possible.

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Chapter 1 -- Administrative Law

Matthew Barber: 2004 Willamette University School of Law. Oregon State Bar member since 2004.

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I. ADMINISTRATIVE LAW

1. HB 2011 (Ch. 186) Regulatory Boards

Cultural competency is the "life-long process of examining the values and beliefs and developing and applying an inclusive approach to health care practice in a manner that recognizes the content and complexities of provider-patient communication and interaction and preserves the dignity of individuals, families, and communities." OAR 943-090-0010(3).

HB 2011 will add such cultural competency to the continuing education classes that certain professional regulatory boards require. These are primarily health care professionals such as doctors, nurses, and emergency medical service providers.

HB 2011 took effect on September 29, 2019.

2. HB 3030 (Ch. 142) Temporary Licenses for Spouses of Armed Forces

Roughly one-third of active duty military spouses in the United States are underemployed.

In an effort to mitigate that figure, the Legislature passed into law HB 3030 (Ch. 142).

This bill allows a professional licensing board to issue a non-renewable temporary authorization to a person who is the spouse of a member of the Armed Forces of the United States and who is stationed in Oregon. The bill applies to spouses who hold a current out-of-state authorization to provide occupational or professional services, are in good standing with the out-of-state regulatory body that issued the authorization, and have demonstrated competency in the occupation or profession.

HB 3030 took effect on September 29, 2019, but becomes operative January 1, 2020.

3. HB 3218 (Ch. 114) Appraiser Certification

HB 3218 limits the time in which the Appraiser Certification and Licensure Board may commence disciplinary proceedings.

Predicated in part on the five-year recordkeeping rule under the Uniform Standards of Professional Appraisal Practice, this law lowers the statute of repose to actions arising out of a real estate appraisal activity or review and clarifies that disciplinary action by the Board is the later of five years (rather than six) after the activity was completed or the expiration of time for record retention.

This law will take effect on January 1, 2020, and will apply to real estate appraisal activity and appraisal reviews occurring on or after that date.

4. SB 43 (Ch. 125) Continuing Education

SB 43 authorizes the State Board of Geological Examiners to adopt rules prescribing continuing education requirements. The current requirements for continuing education do not apply to renewals of a certificate of registration; this law clarifies that registered geologists must certify their compliance with the Board's continuing education requirements when renewing their certificates.

This law will take effect on January 1, 2020

5. SB 854 (Ch. 468) Alternative to Social Security Numbers

At present, Oregon's professional licensing boards generally accept only social security numbers on applications for issuance or renewal of authorization to practice an occupation or profession.

SB 854 (Ch. 468) expands that requirement by directing such boards to accept a person's individual taxpayer identification number or other federally-issued identification number in lieu of a SSN. This will primarily affect construction contractors, landscape contractors, athletic trainers, cosmetologist, and nursing assistants.

SB 854 took effect on September 29, 2019, and will first apply to applications for issuance or renewal received on or after, January 1, 2020.

6. SB 935 (Ch. 682) Landscape Contractors

After three fallow years, the legislature has again turned its attention to the formerly fruitful field of regulating landscape construction professionals. SB 935 prohibits the State Landscape Contractors Board from issuing a limited or specialty license that has certain restrictions to the holder of a residential or commercial general contractor endorsement.

SB 935 took effect on September 29, 2019.

II. PUBLIC RECORDS

1. HB 2430 (Ch. 107) Public Records Advisory Council

The Public Records Advisory Council was established in 2017. The Council meets to evaluate public records issues and to makes recommendations to the legislature on changes to public records law. The Council also nominates the Public Records Advocate, who is appointed by the Governor.

There once was a temporal limitation on Oregon's Public Records Advisory Council – but there will not be after December 31, 2019. HB 2430 eliminates the sunset date of the council.

This law will take effect on January 1, 2020.

2. HB 2353 (Ch. 205) Penalties For Failing To Comply With A Public Records Request

If a public body fails to respond to a public record request within the prescribed period, provides a time frame for responding that the requestor deems unreasonably long, or doesn't comply with ORS 192.329, the requestor can treat those actions as a denial of the public records request and appeal the public body's action (or inaction) to the Attorney General, to a district attorney, or to a court.

HB 2353 (Ch. 205) adds new teeth to ORS 192.407 by authorizing the Attorney General, a district attorney, or a court to require that the public body pay the requestor a penalty of $200 if the public body failed to respond to a request for public records, or responded with undue delay, and order the public body to either waive or reduce a fee imposed for collecting the public records sought by the requestor.

HB 2353 took effect on June 4, 2019.

3. SB 25 (Ch. 311) Forensic Evaluations

SB 25 (Ch. 311) directs public bodies and private medical providers in possession of relevant records to comply, within a specified time period, with a court order for release of records to the state mental hospital or other facility designated by the Oregon Health Authority for purposes of forensic evaluation.

SB 25 took effect on June 11, 2019.

III. OTHER LEGISLATION

1. HB 2488 (Ch. 50) Prohibition On The Use Of Cryptocurrency

Cryptocurrency has been a hot topic in the news and in the Legislature. HB 2488 defines cryptocurrency, and provides that state agencies will no longer be permitted to accept payments using cryptocurrency under unless authorized by the State Treasurer.

The bill also prohibits making political contributions using cryptocurrency. Previously the Secretary of State had permitted campaign contributions using cryptocurrency, while prohibiting expenditures using cryptocurrency.

These prohibitions will take effect January 1, 2020.

2. SB 290 (Ch. 245) Good Samaritan Firefighters

SB 290 is an extension of other Good Samaritan laws Oregon has adopted. The law provides volunteers fighting wildfires with civil immunity for any for injury to persons or property resulting from good faith performance of firefighting efforts. This includes private lands such as private cropland, pasture, or rangeland. The law's protections do not apply to trained members of a volunteer fire department or district.

The bill till take effect on January 1, 2020.

3. SB 933 (Ch. 352) Self-Identification

According to the Pew Research Center, nearly 7% of the U.S. population could be considered mixed-race in 2015 – and this figure increases annually. SB 933 provides that when a public body asks a person to select a race or ethnicity on a form, that person must be allowed to select multiple races or ethnicities – rather than just one.

SB 933 will take effect on January 1, 2020.

Chapter 2 -- Animal Law

Maral Cavner: 2018 Northwestern School of Law. Oregon State Bar member since 2018.

I. ANIMAL LAW

1. HB 2227 (Ch. 137) Animal Control Officers as Mandatory Reporters of Child Abuse

Any public or private official must immediately report suspected child abuse when the official has reasonable cause to believe that a child with whom the official comes in contact has suffered abuse or that any person with whom the official comes in contact has abused a child. See ORS 419B.015.

House Bill 2227 identifies animal control officers as public officials and extends to them the duty to report child abuse. This designation is especially significant for reporting purposes given what has come to be known as "The Link," – a reference to the proclivity of those who harm animals also to harm humans.

This link is so substantial that beginning in 2016, the Federal Bureau of Investigation began tracking crimes against animals in the National Incident-Based Reporting System, in the same way it tracks other serious criminal offenses. This tracking helps to paint a clearer picture of who is committing crimes against animals and will thus also help indicate where humans are also at risk. HB 2227 will assure that animal control officers take steps to protect all survivors of abuse.

HB 2227 takes effect on January 1, 2020.

2. HB 2500 (Ch. 161) Private Right of Action for Veterinary Care of Abused Animals

HB 2500 creates a private right of action for an individual to recover expenses incurred for the veterinary care of an abused domestic animal against the person responsible for the abuse (be it abuse by act or by omission). In the State of Oregon a domestic animal is defined as animal other than livestock or equines and is owned or possessed by a person. See ORS 167.310.

The bill requires the expenses incurred by the veterinary treatment and/or via attorney fees to be reasonable, a determination made by the court. HB 2500 also prohibits a court from considering the availability of this private action during criminal restitution hearings.

HB 2500 takes effect on January 1, 2020.

3. HB 2076 (Ch. 154) Aquatic Invasive Species

HB 2076 requires a person to remove or open boat devices to drain water removed from state waters before transporting the boat within the state. The legislation is explicit in its demands for removal or opening of all drain plugs, bailers, valves or other devices used to control the draining of water from ballast tanks, bilges, livewells, and motorwells before transporting the boat within the state of Oregon.

HB 2076 provides a number of exceptions to the aforementioned requirements, namely for marine sanitation devices, persons holding permits to transport live fish, individuals involved in certain authorized fishing activities, and boats operated by peace officers or emergency responders.

HB 2076takes effect on January 1, 2020.

4. HB 3035 (Ch. 274) Penalties for Violating Wildlife Laws

HB 3035 increases the maximum penalty for certain wildlife law offenses committed without a culpable mental state to a $2,000 fine. The bill also increases the maximum penalty for several categories wildlife law offenses committed intentionally, knowingly or recklessly to five years' incarceration, $125,000 fine or both, penalties meant to reduce instances of poaching in the state. Lastly, the bill adds an additional type of offense that can be reported to the Wildlife Division's "TIP" Program.

HB 3035 takes effect on January 1, 2020 and applies to offenses committed on or after this date.

5. SB 1019 (Ch. 686) Cage Free Hens

SB 1019 mandates that commercial farms with 3,000 or more chickens give birds in their care room to move around and stretch their wings. Most estimates state that approximately four million egg-laying hens in Oregon will be impacted by SB 1019.

By 2024, SB 1019 requires that all eggs produced or sold in the state must come from cage- free hens. This change was deemed necessary to protect the health and welfare of consumers, to promote food safety stemming from the intense confinement of animals, to advance animal welfare, and to protect Oregon against the negative fiscal impacts associated with a lack of effective regulation of egg production and sales of eggs and egg products.

This legislation is nearly identical to laws in other states along the West coast, namely California and Washington, as well laws in Massachusetts.

Challenges in other states under the Commerce Clause of the United States Constitution to their similar legislation have been unsuccessful.

SB 1019 takes effect on January 1, 2020. However, most provisions of the bill do not become operative until January 1, 2024. Attorneys working in this industry should carefully check the bill for relevant operative dates.

6. SB 580 (Ch. 81) Cyanide Devices to Control Wildlife

SB 580 prohibits the use of an M44 cyanide device, cyanide trap, cyanide gun or other similar device used to propel a dose of sodium cyanide into an animal for the purpose of taking the animal.

These M44 cyanide devices have resulted in a number of severe injuries in Oregon to humans and their four-legged pets alike. This is because the devices are planted in the ground, allowing little to no notice for an unsuspecting child or dog to avoid them.

SB 580 takes effect on January 1, 2020.

7. SB 638 (Ch. 374) Adoption of Research Animals

SB 638 requires research facilities that use dogs or cats for laboratory research to offer dogs or cats no longer used for research up for adoption prior to euthanasia.

Further, the bill provides that a research facility is immune from civil liability for, or resulting from, the transfer of a dog or cat if the research facility acted in good faith concerning the health and physical condition of dog or cat. It also requires certain research facilities to submit annual reports to Secretary of State which provide specific information regarding the release of dogs and cats, as well as the animal shelters with which facilities have entered into written agreements. These reports are confidential and exempt from disclosure except through the release of aggregate data by the Secretary upon public request.

SB 638 takes effect on January 1, 2020.

Chapter 3 -- Business, Consumer and Debtor Creditor Law

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Susan Gary: 1981 Columbia University School of Law. Oregon State Bar member since 1989.

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Special thanks to Chris Mertens for his assistance with this chapter.

I. DEBTOR AND CREDITOR RIGHTS

1. HB 2425 (Ch. 402) Recording of Instrument Containing Electronic Signatures

HB 2425 amends ORS 93.804 to allow the county clerk to record an electronic instrument, and/or an instrument containing an electronic signature, by expanding the definition of an "Instrument" to include an "electronic record," and the definitions of "original certification" and "original signature" to include an "electronic signature."

PRACTICE TIP: See ORS 84.004 (Oregon's Uniform Electronic Transactions Act) for more on electronic records and signatures.

HB 2425 was a presession bill introduced at the request of the NW Credit Union Association, to clarify what qualifies as a recordable instrument when presented for recording as electronic images or by electronic means, due to differing interpretations between the various county clerks as to which electronic records or signatures were recordable, as the prior law lacked a definition for the term "original signature." The bill also permits county clerks to charge the same fee for electronic delivery of images of records as is charged for hard copy records.

HB 2425 takes effect on January 1, 2020.

2. HB 2459 (Ch. 140) Senior Lien Payoffs

HB 2459 amends ORS Chapter 105 by adding a provision under which the holder of a lien that is an encumbrance on real property (a term defined to mean the holder of a "claim, lien, charge or other liability… or a reservation of title…under a land sales contract") may request an itemized payoff statement from the holder of another encumbrance against the same real property. The person who receives the request (generally a senior lienholder) may provide the statement without the permission of the obligor unless state or federal law requires such consent.

HB 2459 was proposed by the Oregon State Bar Debtor-Creditor Law Section to allow lienholders to satisfy senior lien obligations after junior lien

foreclosures or to otherwise evaluate relative amount and priority of real property liens. The bill was proposed and advanced to address lienholders' compliance concerns by providing an safe harbor under Gramm-Leach-Bliley Act (15 USC §6802(e)(8)) for the disclosure of nonpublic personal information by providing an applicable state law exception. Without the exception provided for by HB 2459, many senior lienholders would not release payoff information to non-borrowers without a signed third party release, even when the requesting party was the fee title owner (i.e., the winning purchaser after a junior lien foreclosure). Foreclosed borrowers would not generally cooperate to sign a release to issue a payoff for the party who just purchased the borrower's former collateral, so the new owners were sometimes compelled to commence litigation against the senior lender to simply to obtain a payoff.

Special thanks go to Debtor-Creditor Section Legislative Committee for their work on drafting the original version of the proposed bill (particularly, to Pat Wade for the heavy lifting on the first draft), and with additional thanks to Erich Paetsch for providing testimony to the legislature on two occasions on behalf of the Debtor-Creditor Section in support of HB 2459.

HB 2459 takes effect on January 1, 2020.

3. HB 2530 (Ch. 405) Additional Notices in Foreclosure and Eviction Matters

HB 2530 amends the form of notice under ORS 86.756 (Notice of Default to grantor for residential trust deed foreclosure) and 105.113 (statutory form of summons in residential FED action) to require additional information regarding available services for veterans of the armed forces. This includes contact information for each county's veterans' service officer or community action agency, and for the statewide "211" information system, which provides free information and referrals to benefits and social service organizations available to anyone (not just veterans) in need.

The additional information must also be included in a notice of termination of tenancy issued under any provision of ORS Chapter 90, and in any summons issued in any action brought under ORS 88.010 to foreclose a residential trust deed.

HB 2530 was substantially amended from its original form, which proposed the creation of an eleven member "Task Force on Innovative Housing Strategies for Veterans," to study proposals to address housing shortages for veterans, and to

study the creation of a "housing purchasing authority" to buy up vacant housing developments during recessions, to be repurposed for veterans' housing projects.

The final enrolled bill instead asks the Department of Veterans' Affairs and the Housing and Community Services Department to file a joint annual report on veterans' housing issues to a House Veterans committee, but the bulk of the law impacts foreclosure and eviction notices that were nowhere mentioned in the original proposal.

HB 2530 takes effect on January 1, 2020.

4. SB 11 (Ch. 309) Sale of Redemption Rights

SB 11 amends and supplements ORS 18.924 and 88.010, to address sales of statutory redemption rights and other interests in real property during foreclosure proceedings.

Specifically, SB 11 requires a purchaser of rights in real property during a pending judicial foreclosure to provide a proscribed "notice in clear and conspicuous type" advising the seller that the transfer of an interest in real property during a foreclosure may include the transfer of redemption rights and the right to claim surplus funds arising from the foreclosure sale. The purchaser is further required to record an affidavit of compliance with the notice provision prior to, or concurrently with, recording the deed that transfers the interest in the foreclosure property.

SB 11 also amends ORS 18.924 to require that a sheriff's notice of execution sale include a notice to the judgment debtor regarding the sale of redemption rights and the potential impact of selling any rights to a property in foreclosure on potential rights to claim surplus funds.

SB 11 amends ORS 88.010 by adding a new provision requiring the inclusion of a statutory notice to lien debtors advising them to carefully consider offers to purchase "redemption rights" or "all rights under ORS chapter 18." The new notice includes a recommendation that the party speak with a lawyer or consumer rights nonprofit organization for assistance, and requires that the notice include the contact information for the OSB Lawyer Referral Service and for additional resources to be proscribed by rule by the Department of Consumer and Business Services.

SB 11 takes effect on January 1, 2020, and applies to transactions occurring and to notices given on or after the effective date.

5. SB 519 (Ch. 263) Exemption from Garnishment

SB 519 amends ORS 18.385, 18.840, 18.845, and 18.896, to increase the minimum net disposable earnings payable to an individual that are exempt from garnishment. The exemption amounts are modified under SB 519 for weekly, bi-weekly, semi-monthly, and monthly payment periods, and the related statutory exemption forms (which must be served with a notice of garnishment) are adjusted accordingly.

The minimum net disposable income numbers were increased under SB 519 for the first time since 2011, to increase the minimum take-home pay for a garnished debtor by approximately 16.5% per pay period. Under current law on garnishments, at least 75% of disposable wages are exempt from garnishment, but additional amounts are exempt under ORS 18.385(2), if the net take home pay would be below the statutory minimum for the pay period.

The statute provides a floor for net take home pay that only can be crossed by federal tax claims and orders of a bankruptcy court.

SB 519 takes effect on January 1, 2020, as the emergency provisions of the introduced bill were dropped during amendments prior to passage.

6. SB 79 (Ch. 359) Collection by Dept. of Revenue (Tax Refund Offsets)

SB 79 expands and clarifies the powers of the Collections Unit of the Department of Revenue (DOR) to collect delinquent debts for state and local government agencies. In addition to state agencies, the bill permits DOR to assist with collection on behalf of:

- Oregon Health Sciences University,
- Public universities and community colleges,
- The Oregon State Bar – for the exclusive purpose of collecting assignments to the Client Security Fund, and
- Local governments, along with semi-independent state agencies listed in ORS 182.454.

SB 79 permits (but does not require) the DOR to collect such delinquent debts on behalf of government agencies, by offsetting such delinquent debts against tax refunds otherwise owing to the taxpayer-debtor.

SB 79 takes effect on January 1, 2020.

II. BUSINESSES AND CORPORATIONS

1. SB 359 (Ch. 325) Correction of Defective Corporate Actions

Numerous new provisions in SB 359 provide structure and procedures by which business corporations and nonprofit corporations may validate, ratify, and approve defective corporate actions. "Defective corporate action" means an overissue of stock, or an action that is and would have been within the corporation's power to take at the time of the validation and at the time the action was taken. The bill provides for filing Articles of Validation with Secretary of State under certain circumstances.

SB 359 takes effect on January 1, 2020.

2. SB 360 (Ch. 174) Nonprofit Corporations Code

This summary identifies some of the more significant provisions of SB 360. For a detailed explanation of the bill and discussion of the purposes behind some of the changes, see the Report on the Nonprofit Organizations Law website: https://nonprofitlaw.osbar.org/files/2019/05/SB360report.pdf.

Shell Entities. In 2017 changes to the corporation code addressed problems posed by shell entities. SB 360 adds these changes to Chapter 65.

Notice. ORS 65.034 now provides rules for effective notice for all purposes under Chapter 65. Notice may be delivered orally (in person or by telephone) or in writing (electronically, by mail or by private carrier). The statute includes effective date rules for each type of notice:

- Oral notice is effective when communicated;
- Electronic notice is effective on the earlier of when it is received or two days after it is sent; and
- Written notice delivered by mail or private carrier is effective on the earlier of five days after it is mailed or the date of receipt if sent by certified or registered mail.

Notice is considered to be correctly addressed if it is addressed to the address shown on the records of the corporation for the director or member. The corporation can provide in the Articles and Bylaws for alternative notice rules for members or directors, if the alternative notice provisions are more stringent than the rules required by ORS 65.034.

Members. SB 360 changes ORS 65.137 to reverse the default rule for whether a nonprofit corporation has members. A corporation will not have members unless the articles state that the corporation does have members.

Voting Rights. In current law, provisions regarding voting rights are spread throughout Chapter 65. ORS 65.144 now lists voting rights of members in one place. The list is non- exclusive, but captures most of the rights members have, unless the corporation provides otherwise in its articles or bylaws.

A member is now defined as someone who has one or more of the rights enumerated in ORS 65.144. Two rights are mandatory and cannot be changed by the articles and bylaws: (1) the right to vote on an action that would reduce or eliminate a member's right to vote, and (2) the right to inspect and copy the corporation's records, as provided (and limited) in ORS 65.774. Other than those two rights, ORS 65.144 gives each nonprofit corporation control over its structure and the rights of members. An existing corporation that wants to limit any of the rights members currently have would need to do so with a vote of the members, under ORS 65.144(2).

Removal. A member can be removed without a hearing for failure to pay dues, and otherwise a member can be removed through a procedure that is fair and reasonable. The statute provides two ways of structuring a procedure to be fair and reasonable.

Member Action by Email. Under current law members can take action without a meeting if they act unanimously. SB 360 adds a provision authorizing action taken by email, and if the requirements are followed, the decision need not be unanimous. If ballots are submitted electronically, the number of votes cast constitutes a quorum if the number of members present at a meeting would constitute a quorum.

Super-majority Removed. Under current law, several actions by members require action by the lesser of two-thirds of the votes cast or a majority of the voting power. Because many public benefit corporations have a large number of inactive members, meeting this requirement can be difficult. SB 360 removes the super-majority requirement for member voting in public benefit corporations and permits those members to take action with a majority of the votes cast.

Changing to a Nonmember Corporation. SB 360 addresses the not infrequent problem of a nonprofit corporation that was set up to have voting members but no longer has a record of members, has not had member action for some years, and has no way to determine who members are. The legislation makes it easier for a corporation to convert to a corporation with no voting members, while still protecting the rights of any members that exist. The proposal adds two new mechanisms.

Section 6 of SB 360 provides that if a nonprofit corporation has voting members, but for at least three years no meeting of the members has been held and no members have actively participated in the corporation, then the directors can amend the Articles to convert the corporation to one without voting members. The corporation must provide notice to known members and post notice on its website. The corporation cannot proceed using this process if a member objects within 30 days of the date of the notice.

Section 16 of the bill amends ORS 65.038. If the corporation cannot identify its members, delegates, or directors or is unable to call a meeting of members, delegates, or directors or otherwise obtain consent from any of them for actions on behalf of the corporation, a director, officer, delegate, member or the Attorney General can petition the court for relief. The court can direct the corporation to call a meeting of the members, delegates, or directors, as under current law, and in addition the court can determine who the members or the directors are, or the court can amend the articles to state that the corporation does not have members.

Members' Right to Inspect List of Members. Under ORS 65.224 a nonprofit corporation must maintain a list of its members, and each member has the right to inspect the list. Due to concerns about personal safety and privacy, SB 360 permits a member to provide an email address as contact information.

Boards of Directors. The bill makes several changes specifically relating to Boards of Directors described below.

Board Action Using Email. A new provision permits a board of directors to take action using electronic mail, if the board follows a procedure set forth in the statute. The new section also states that directors can use email to discuss matters that come before the board, without following the requirements for taking board action. With this amendment, a board can take action in three ways: a meeting at which the board votes, a unanimous written consent signed by all directors under ORS 65.341, or a vote by email.

Election of Directors. A new subsection added to ORS 65.311 clarifies that if a corporation has no directors and no members who can elect directors, the Attorney General can ask a court to appoint one or more directors. Occasionally a nonprofit corporation will have assets or liabilities remaining, but all directors will have resigned or are facing removal. Rather than require dissolution, the court can appoint a new board of directors at the request of the Attorney General. An analogous provision for charitable trusts can be found at ORS 130.615(4).

Meetings of Directors. Under ORS 65.337 a nonprofit corporation can permit a director to participate in a meeting if all directors can simultaneously communicate with each other. SB 360 did not change this rule, because "simultaneously communicate" should cover changes in technology. Under current technology, a director can participate by conference call or Skype, but not by email, because email does not permit simultaneous communication.

Quorum. SB 360 amends ORS 65.351 to provide that a quorum consists of a majority of directors in office immediately before the meeting begins. The articles or bylaws can provide otherwise but cannot provide for a quorum of less than one-third of the directors in office immediately before the meeting.

Board Committees. A change clarifies language in ORS 65.354. All voting members of committees exercising the authority of the board must be directors. The board can create committees that do not exercise the authority of the board, with members who are not directors or members of the corporation.

Conflict of Interest Transaction. A corporation can enter into a conflict of interest transaction with a director, without risk that the transaction will be voidable or the director will be liable, if the transaction is fair to the nonprofit corporation. The statute creates a presumption of fairness if certain procedures are followed. SB 360 amends ORS 65.361 to clarify that to avoid liability the transaction must in fact be fair to the nonprofit corporation.

The process outlined in the statute creates a presumption of fairness but not a safe harbor. A new subsection clarifies that a director has an indirect interest in a transaction involving a person related to a director or a business associate of a director.

Officers. SB 360 amends ORS 65.371 to require that each nonprofit corporation have a treasurer, adding treasurer to president and secretary, the two officers required under the prior statute. The same individual may simultaneously hold more than one office, but may not serve simultaneously as the president, secretary and treasurer. An officer need not be a director.

Dissolution. When a public benefit corporation dissolves, the assets that had been held by the corporation must be used to pay creditors and then must be distributed to another public benefit corporation. Amendments to ORS 65.627 strengthen the ability of the Attorney General to protect charitable assets when a corporation dissolves. The time period for notice to the Attorney General is increased, and the information provided to the Attorney General showing persons receiving property on dissolution must include creditors.

Definitions. SB 360 improves and adds a number of definitions. New definitions are created for "appointed director" and "designated director," and the definition of director is amended to include the new terms. The term "contact address" is changed to "contact information" and is updated to reflect the ways a member or director can receive notice from the corporation, including email.

Under current law, a member is someone who can vote for a director. SB 360 changes the definition and provides that a member is someone entitled to exercise one or more of the rights identified in ORS 65.144. Under the amended definition a corporation could, for example, decide to give its members the right to vote to dissolve the corporation, but not to elect directors.

Several changes reflect the use of electronic tools. A new definition for "document" provides for both tangible documents and electronic documents. A new definition of "written" explains that written means embodied as a document, so reading the definitions together, something written can be written electronically. A new definition of "sign" includes electronic signatures.

SB 360 took effect on May 24, 2019.

3. SB 684 (Ch. 180) Data Breaches

SB 684 was the product of a work group formed after a major data breach in 2017 and makes a number of updates and modifications to Oregon's Consumer Identity Theft Protection Act.

The bill defines a "covered entity" under the Act as one that "licenses, maintains, stores, manages, collects, processes, acquires or otherwise possesses personal information in the course of the person's business, vocation, occupation or volunteer activities." The bill further defines a "vendor" as "a person with which a covered entity contracts to maintain, store, manage, process or otherwise access personal information for the purpose of, or in connection with, providing services to or on behalf of the covered entity."

Among the bill's major provisions is a new requirement that a vendor must notify a covered entity as soon as possible, but no more than ten days after discovering a data breach. This requirement also applies to vendors who subcontract with other vendors. Further, the bill requires a vendor to notify the Attorney General if the breach involves personal information of more than 250 consumers, or if the vender cannot determine the number of consumers involved.

SB 684 takes effect on January 1, 2020.

Chapter 4 -- Civil Procedure and Litigation

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I. INTRODUCTION

This chapter contains Oregon legislation that made changes to either the Oregon Rules of Civil Procedure, or otherwise impacted civil practice in Oregon. Additionally, this chapter includes changes to the ORCP that were promulgated by the Council on Court Procedures, as well as changes to the Uniform Trial Court Rules. All changes to the ORCP promulgated by the Council will go into effect on January 1, 2020. Changes to the Uniform Trial Court Rules took effect on August 1, 2019. Effective dates for all legislation are indicated with the bill.

II. OREGON LEGISLATION

1. HB 3293 (Ch. 448) Actions Relating to Sexual Assault

HB 3293 extends the statute of limitations on civil actions relating to sexual assault from the normal two years to five years from the date the person discovers, or should have discovered, the relationship between the sexual assault and the injury.

HB 3293 applies to actions commended on or after September 29, 2019, including actions that would have been barred by the prior limitation period.

2. SB 186 (Ch. 12) Oregon Tort Claims Act

SB 186 is one of several bills during 2019 that changed references to the Consumer Price Index to account for the Bureau of Labor Statistics discontinuing certain indexes. This bill changes the cost of living index used to make adjustments to the Oregon Tort Claims Act.

Previously the statute referenced the Portland-Salem, OR-WA Consumer Price Index for All Urban Consumers for All Items. The new language references the Consumer Price Index for All Urban Consumers, West Region (All Items)

SB 186 took effect on March 27, 2019.

3. SB 834 (Ch. 182) Apologies Made by Licensed Dentists

In 2003, the Oregon Legislature passed HB 3361, which prohibited the use of expressions of regret or apology made by licensees of the Oregon Medical Board as admissions of fault in legal proceedings.

SB 834 provides similar restrictions against the use of such statements against a person licensed by the Oregon Board of Dentistry or against dental offices, clinics and similar institutions. The bill also provides that listed individuals and entities may not be examined by deposition with respect to such statements.

SB 834 takes effect on January 1, 2020.

III. CHANGES TO THE OREGON RULES OF CIVIL PROCEDURE BY ORCP CHAPTER

1. ORCP 7 Summons

This significant change to Rule 7 relates to service by alternative means [ORCP 7 D (6)], often referred to as service by publication or service by posting. When the defendant or respondent cannot readily be found so that personal service, substitute service, office service, or service via other procedures spelled out in ORCP 7 D can be effected, the plaintiff or petitioner may file a motion to allow service of the summons and complaint or petition on the defendant by use of an "other method."

> PRACTICE TIP: It should be noted that seeking an order to serve the summons and complaint by use of an "other method" is not appropriate unless the defendant cannot be served "by any method otherwise specified in these rules [the ORCP] or [any] other rule or statute." Further, the "other method" proposed should meet the ORCP 7 D(1) constitutional standard, i.e., that the "method or combination of methods [chosen] . . . under the circumstances is the most reasonably calculated to apprise the defendant of the existence and pendency of the action" so as to afford the defendant a reasonable opportunity to appear and defend.

> PRACTICE TIP: It also should be noted that a successful motion that gains a court's approval to serve by an "other method" does not protect the plaintiff from a collateral attack, typically under ORCP 69 or ORCP 71, alleging that the plaintiff's attempts to locate or to serve the defendant, or the "other means" of service chosen, were inadequate and that any judgment is void, personal jurisdiction never having been established. See, *In re Marriage of Dhulst*, 61 Or App 383, 657 P2d 231 (1983).

The previous version of the rule, [ORCP 7 D(6)(a)] described publication, posting, and mailing as "other methods" of obtaining service. Although some direction was provided regarding the requirements for publishing and for mailing

the summons for the purpose of service, oddly, subsection 7 D(6) offered no guidance as to how service by posting should be accomplished.

The tools for service by alternative means described in the previous version of Rule 7D have proven to be inadequate. Publication is an established alternative method of service, despite the relatively high cost. However, Council members expressed the view that service by publication has little likelihood of providing actual notice to a defendant. Council members essentially agreed with the sentiments expressed in *Dickenson v. Babich*, 213 Or 472, 476, 326 P2d 446, 448 (1958): "Service of process by publication is at best a harsh and technical substitute for personal service of summons . . . even being described as a 'miserable substitute' for personal service. . . ." Some Council members did believe that service by publication might be more effective in rural counties.

Alternative service by mail (first class and another mailing, e.g., certified, that requires a signature from the recipient) is uncertain, as the mailing requiring a signature is often unclaimed or refused. Even when a recipient signs a return receipt, the signature is often undecipherable. Therefore, service has been effected but the plaintiff cannot be confident that a subsequent attack on the validity of that service will not ensue. That said, the primary shortcoming of mailing as an alternative service method is that a reliable address for the defendant often cannot be located.

Although subsection 7 D(6) of the previous version of the rule offered no direction as to where and how to serve by posting, such service is generally understood to be accomplished by posting a copy of the summons and complaint at the local courthouse or at a specific location where the posting might attract the defendant's attention. The amendment provides better direction on where the summons and complaint are to be posted and includes posting at the courthouse in all cases. If the plaintiff knows of no physical address where the defendant might be found, posting at the courthouse likely provides only the form of service, not the substance.

The Council's rewrite of subsection 7 D(6) authorizes, if approved by the court, service of the summons and complaint by the methods provided in the previous version of the rule and, also, by e-mail, text message, facsimile transmission, or posting to a social media account. This array of methods of alternative service by electronic means is believed to be the most comprehensive codification that has been put into effect in any jurisdiction in the United States.

The inclusion of alternative service by electronic means in the amendment is considered to represent a reliable improvement over the current rule.

The inclusion of alternative service by electronic means was undertaken due to suggestions from the bar. Some defendants have historically been difficult to locate and that problem has been exacerbated by changes in communications and technology. Geography – where a person is physically located – may be less relevant to getting notice to a defendant than is the defendant's location in cyberspace. For example, many households have abandoned their traditional "land line" telephones and rely solely on cellular telephones.

In addition to providing guidance as to the content of an affidavit or declaration seeking an order to allow alternative service by electronic means, subparagraphs 7 D(6)(b)(i) and 7 D(6)(b)(ii) of the amendment provide direction on the content and placement of the information to make it more likely that the recipient will be notified that he or she is being sued. Finally, paragraph 7 D(6)(b) requires that the certificate of service in cases of alternative service by electronic means must be amended if, subsequent to that service, "it becomes evident that the intended recipient did not personally receive the electronic transmission."

> PRACTICE TIP: It should be noted that alternative service by electronic means would essentially foreclose establishing ORCP 4 personal jurisdiction based on the defendant's presence at a geographical location at the time of service. See, *Pennoyer v. Neff*, 95 US 714, 24 LEd 565 (1877).

> PRACTICE TIP: An additional requirement is made applicable to all methods of alternative service. If the plaintiff has knowledge of or can ascertain a current or last-known address for the defendant, the alternative service by mail method must also be used, e.g., the summons and complaint must be mailed to the defendant by both first class mail and by certified mail or another mailing that requests a return receipt.

The amendment's subsection 7 D(6) as a whole provides practical measures for providing notice of the filing of actions to defendants while satisfying defendants' constitutional rights to receiving notice:

- Alternative service is only available when the primary forms of service enumerated in subsection 7 D(2) through subsection 7 D(5) are not possible;
- Alternative service is directed by a judge;

- Safeguards for service by electronic means are written into the amendment; and
- Judge members on the Council are currently using text messages and other forms of electronic communication to communicate future proceedings in cases, e.g., notifying criminal defendants of upcoming hearings.

In cases where alternative service was made by publication, paragraph 7 D(6)(f) of the previous version of the rule authorized a defendant (or a defendant's personal representative) to, on motion with sufficient cause, appear and defend in a case at any time prior to entry of a judgment and, as allowed by the court's discretion, to be allowed to defend after entry of judgment for a further period of one year. Oddly, the same right to appear and defend after a default or after entry of judgment did not extend to cases where the service was by some other alternative means, e.g., posting, that would generally be thought to be at least as unreliable as service by publication. The amendment, in new paragraph 7 D(6)(d), affords any defendant served by any of the alternative service methods the same opportunity to seek leave to defend after default and after entry of judgment.

> PRACTICE TIP: Many plaintiffs' attorneys mail the follow-up mailing to complete substitute service or office service. Section E generally makes plaintiffs' attorneys ineligible to serve the summons and complaint. An amendment, in section 7 E, clarifies that a plaintiff's attorney, in addition to being authorized to mail the summons and complaint to effect service by mail as authorized in paragraph 7 D(2)(d), is authorized to complete service for substituted service [paragraph 7 D(2)(b)], office service [paragraph 7 D(2)(c)], and service on a tenant of a mail agent [part 7 D(2)(a)(iv)(B)] by mailing copies of the summons, complaint, and a statement detailing the earlier delivery to the defendant.

There are other amendments to Rule 7 that are of a technical nature; these are not expected to affect the meaning or operation of the rule.

2. ORCP 15 Time for filing pleadings or motions

The primary impetus for an amendment to Rule 15 was to clarify and to correct the previous version of the rule's deadline [at section 15 A] for filing an answer to a cross-claim. That previous language was expressed as the time to respond to a summons. As a cross-claim is not accompanied by a summons, it seemed appropriate to specify the deadline for an answer to a cross-claim as 30

days from the date of service. The clarification was suggested by the Oregon State Bar's Procedure and Practice Committee.

In revising the deadline for responding to pleadings, the time specified for filing a motion or an answer to a complaint or to a third-party complaint is 30 days as specified in the accompanying summons. Rule 7 C(2)'s deadline for responding when the summons is served by publication is restated in section 15 A.

An answer to a cross-claim or motion directed against a cross-claim is required within 30 days of service of the cross-claim. The same is true for a reply to (or a motion responsive to) a counterclaim.

The section's last amendment [the 1994 promulgation] intended to clarify that replies to counterclaims were due within 30 days, not 10 days as the then-existing section seemed to specify. However, the 10-day deadline remained in the section for "any other motion or responsive pleading." In light of Rule 13, that would by default apply only to a "reply to assert any affirmative allegations in avoidance of any defenses asserted in an answer," i.e., a reply to an affirmative defense. A reply to an affirmative defense is not automatically appropriate in every case and the Council was persuaded that the deadline for responding to all pleadings should be uniform – 30 days. Accordingly, the last sentence of section 15 A referring to a 10-day deadline for "any other motion or responsive pleading" is deleted.

> PRACTICE TIP: Motions or pleadings responsive to pleadings are due 30 days following service.
>
> PRACTICE TIP: It should be noted that Rule 15 D does not entitle the movant to seek enlargement of the time for numerous "substantive" motions available to the parties throughout the ORCP. The time for a party to exercise some rights, e.g., motions for judgment notwithstanding the verdict under Rule 63 and motions for a new trial under Rule 64 cannot be enlarged. Before relying on Rule 15 D to obtain more time in which to exercise a right or remedy, counsel must consult case law surrounding the specific right or remedy to determine whether any timeline that is involved is inflexible.

There are other amendments to Rule 15 that are of a technical nature; these are not expected to affect the meaning or operation of the rule.

3. ORCP 16 Form of pleadings

An amendment was made to Rule 16, adding a new section B and re-designating the previous section 16 B, section 16 C, and section 16 D as section 16

C, section 16 D, and section 16 E, respectively. The amendment was in response to a comment from a judge noting that supplemental local rules in Multnomah County (SLR 2.035) and in Clackamas County (SLR 2.016) appeared to authorize known parties to engage in litigation under fictitious names. The comment noted that Rule 26 A appears to prohibit the practice: "Every action shall be prosecuted in the name of the real party in interest." The comment observed that Rule 16 A also appeared to require the use of the parties' names. (ORCP 20 H authorizes the use of fictitious names "[w]hen a party is ignorant of the name of an opposing party"; such parties are generally designated as "John Doe" or "Jane Doe.") Further, Article I, Section 10, of the Oregon Constitution seems to mandate open courts: "No court shall be secret, but justice shall be administered openly. . . ." The judge's comment observed that, contrary to the rules, litigants are seemingly filing and litigating cases using identifiers other than their true names, particularly when the subject matter of the cases is of a personal or embarrassing nature.

The Multnomah and Clackamas counties' supplemental local rules, nearly identical, allow parties to litigate cases under fictitious names, but only on motion. Council members noted that, when parties file cases using a name other than their true name, they frequently simply file the case and serve the complaint.

The Council determined that, if litigants are filing civil actions using names other than the plaintiffs' true names, and if the practice is not clearly prohibited by Article 1, Section 10, of the Oregon Constitution, there should be a procedure for the practice. The Council, in part based on Appellate Rule 2.25(4), determined that the practice is not strictly barred by Article I, Section 10. (Also, ORCP 26 A appears to be directed more as a prohibition on the use of proxies in litigation.) Therefore, the Council addressed the issue as procedural. If a party wishes to commence and litigate a case under a name other than his or her true name, a motion seeking leave to proceed under a pseudonym is appropriate. (The Council elected to refer to the practice as the use of a pseudonym, not a fictitious name; fictitious names are for unknown parties.)

> PRACTICE TIP: If the intent is to protect the identity of the plaintiff, presumably such a motion would be presented ex parte, contemporaneously with filing the action. Section 16 B creates a procedure for seeking leave to litigate using a pseudonym; it does not create a substantive right to litigate using a pseudonym. It will be the litigant's responsibility to establish a basis to be granted leave to proceed using a pseudonym.

PRACTICE TIP: The amendment likewise is neutral as to whether a plaintiff is required under Rule 3.5(b) of the Oregon Rules of Professional Conduct and Rule 3.9(A) of the Oregon Code of Judicial Conduct to give notice to the opposing party prior to presenting a motion to proceed using a pseudonym.

There are other amendments to Rule 16 that are of a technical nature; these are not expected to affect the meaning or operation of the rule.

4. ORCP 22 Counterclaims, cross-claims, and third-party claims

One clarifying amendment was made to subsection 22 B(3). Council members observed that instances had occurred where a cross-claim seeking additional relief had been filed by a co- defendant but not served on the opposing defendant because that opposing defendant was in default. Such a failure to serve appears to be based on a misreading of ORCP 9 A: "[n]o service need be made on parties in default for failure to appear . . . ." Indeed, the balance of the sentence reads: ". . . except that pleadings asserting new or additional claims for relief against them shall be served . . . in the manner provided . . . in Rule 7." The amendment to subsection 22 B(3) makes clear that, if a cross-claim seeks relief against another defendant, it must be served on that defendant, even though that party is in default for the party's failure to appear and defend.

There are other amendments to Rule 22 that are of a technical nature; these are not expected to affect the meaning or operation of the rule.

5. ORCP 38 Persons who may administer oaths for depositions

Rule 38 was amended in subparagraph 38 C(2)(c)(i) to make the reference to the completely revised Rule 55 more specific.

There are further technical amendments to Rule 38; these are not expected to affect the meaning or operation of the rule.

6. ORCP 43 Production of documents

Section A is amended by moving the phrase "Any party may serve any other party" from immediately following the section lead line and inserting it at the beginning of each of the two subsections to improve clarity and readability.

There are other amendments to Rule 43 that are of a technical nature; these are not expected to affect the meaning or operation of the rule.

7. ORCP 44 Physical and mental examination of persons

Rule 44 required an amendment in section 44 E to replace "individually identifiable health information" where that phrase appeared three times with "confidential health information," to reflect the concurrent rewrite of Rule 55. Also, two references to "Rule 55 H" are amended to read "Rule 55 D" to be an accurate reference to the completely redrafted Rule 55.

8. ORCP 55 Subpoena

Rule 55 has been the subject of criticism as being overly long, organizationally deficient, and lacking in clarity. Rule 55 is completely rewritten in an effort to remedy its flaws while maintaining, to the degree possible, its operation and meaning.

The previous version of the rule was made up of eight sections; the new rule contains four. Section 55 A is an introductory guide to the basics of all subpoenas: 1) the form and contents of a subpoena; 2) from what court a subpoena may be issued; 3) who may issue a subpoena; 4) who may serve a subpoena; 5) how proof of service is made; and 6) the duties of a recipient of a subpoena.

Section 55 B governs subpoenas that require an appearance and testimony. Subsection 55 B(1) describes the kinds of proceedings to which a witness may be subpoenaed to provide testimony. Subsection B(2) specifies particular requirements for service on individuals and organizations as well as offering or tendering a witness fee. Subsections 55 B(3) and 55 B(4) specify requirements for subpoenaing peace officers and prisoners.

Section 55 C specifies timing and service requirements for subpoenas that require only the production of records (other than confidential health information) and things. Section 55 D replaces section 55 H of the previous rule and details the particularized requirements when confidential health information is the subject of a subpoena.

The Council endeavored to redraft Rule 55 in a manner that would not change the rights, obligations, and procedures contained in the previous version of the rule. However, with the improved organization, some inconsistencies became apparent. At least one correction was made in paragraph 55 C(3)(a) and paragraph 55 D(6)(a) to make clear that, in accord with ORCP 9 A, copies of subpoenas need not be served on parties who are in default.

9. ORCP 65 Referees

Rule 65 required an amendment in subsection 65 D(2). A reference to "Rule 55 G" is amended to "Rule 55 A(6)(d)" to be an accurate reference to the completely redrafted Rule 55.

IV. CHANGES TO THE UNIFORM TRIAL COURT RULES

The 2019 Uniform Trial Court Rules (UTCR) took effect on August 1, 2019. You can find the complete rules: http://www.courts.oregon.gov/programs/utcr/Pages/currentrules.aspx.

Some important changes of special note are included below. As always, attorneys should consult the full text of the rule if any of these changes appear relevant to your cases.

- **2.010 – Form of Documents**
  - Subsection 7 of this rule was amended to remove the Certificate of Document Preparation requirement. That section previously required an unrepresented litigant to indicate whether they received assistance in completing the document and whether they paid for that assistance. The original purpose of the requirement was to detect and deter the unauthorized practice of law, but testimony indicated the data has not been used for this purpose.
- **2.100, 2.110 – Protected Personal Information, Not Contact Information, Requirements And Procedures To Segregate When Submitting**
  - This change simply removes references to an "affidavit" and uses the term "request" in order to align the wording in the rule with the titles of the forms used for this purpose.
- **2.130 – Confidential Personal Information In Family Law And Certain Protective Order Proceedings**
  - The purpose of this change was to conform the wording in 2.130 to Forms 2.130.1 and 2.130.2. In 2017 those forms were changed to require entry of "Any other names used, now or in the past," rather than "Former Legal Name(s)." This change updates the UTCR to use the same wording.
- **5.150 – Streamlined Civil Jury Cases**

- This proposal was submitted by the Civil Justice Improvements Task Force, on behalf of Chief Justice Martha L. Walters. The purpose of this proposal is to amend the expedited trial rule to encourage utilization of the streamlined civil jury trial process. Among other changes, it changes the name to "Streamlined" rather than "Expedited" Civil Jury Cases. Lawyers who use this rule should review the change and familiarize themselves with new timelines.

- **5.180 – Consumer Debt Collection**
  - This proposal was submitted by the Civil Justice Improvements Task Force (CJI) on behalf of Chief Justice Martha L. Walters, on August 23, 2018. The CJI, and this proposal, arose from a 2016 report to the national Conference of Chief Justices.
  - The CJI grouped consumer debt collection cases into two categories: those filed by debt buyers (and debt collectors acting on their behalf); and those filed by debt collectors. The CJI studied House Bill 2356 (2017), which established requirements for legal actions filed by debt buyers (or by debt collectors acting on their behalf) to collect on purchased debt. This UTCR changel is meant to provide consumers and the court with necessary information about the claim. This is particularly important if a default judgment is sought by the plaintiff.
  - Among other changes, the new rule contains pleading requirement that are specific to debt-buyer collection actions. Attorneys who practice in this area should familiarize themselves with the new language.

- **6.050, 6.120, 11.110, 11.120, 21.020, 21.070 – Submission Of Trial memoranda And Trial Exhibits**
  - This proposal was submitted on behalf of the Juvenile Exhibits Work Group. The purpose of this proposal is to develop statewide rules to aid litigants and the circuit courts in complying with changes to ORS 419A.255 that require trial courts to maintain a "record of the case" and a "supplemental confidential file," including hearing and trial exhibits, for each

juvenile case. The proponent explained that the Oregon Department of Justice, the Office of Public Defense Services, and the Appellate Commissioner have continued to report issues in the appellate process caused by delay in the transmission of exhibits from the trial courts to the Court of Appeals. The rule requires each judicial district to establish a process by SLR or presiding judge order for the submission of exhibits in juvenile proceedings. The UTCR committee discussed the possibility of implementing one statewide rule but determined that courts need flexibility according to their budget and staffing availability. Therefore, the rule allows counties to choose whether to require attorneys in juvenile cases to electronically file exhibits, or to require court staff to scan the exhibits and return the hardcopies to litigants.

- **8.010 – Actions For Dissolution Of Marriage, Separate Maintenance And Annulment, And Child Support**
  - The purpose of this proposal is to allow the use of a declaration as an alternative to an affidavit for filings in certain family law proceedings. In recent years, the committee has moved away from affidavit requirements in favor of declarations. Affidavit requirements make it difficult for litigants to complete and use the electronic interactive forms offered on the OJD website. Use of a declaration in place of an affidavit allows a filer to use the online forms without taking a hard copy of the form to a notary.
- **8.040 – Prejudgment Relief Under ORS 107.095(1)**
  - One purpose of this proposal is to allow a party seeking prejudgment relief under ORS 107.095(1) to file a declaration as an alternative to an affidavit. Another purpose is to reduce the filing of duplicative Uniform Support Declarations (USD). The proposal amends the rule to no longer require a party filing a motion seeking temporary support to file a USD with the motion if the same party is simultaneously filing a pleading under UTCR 8.010(4) that attaches a USD, or filed such a pleading within the prior 30 days and the circumstances have not changed.

- The UTCR Committee received a large number of public comments on this proposal, and the final adopted changes include important changes from the original proposal. Attorneys who practice in this area should familiarize themselves with the new rules.

- **10.020, 20.170, 21.020 – Preparation And Delivery Of DMV Records On Review** ○ Prior to this rule change, the Department of Motor Vehicles record was exempt from electronic filing requirements and had to be filed conventionally. The purpose of this change is to require the DMV to electronically file the record when a final order of suspension is appealed to a circuit court.

- **21.070 – Special Filing Requirements – Extreme Risk Protection Orders**
  - This change adds extreme risk protection order (ERPO) petitions to the list of documents that must be conventionally filed. The proponents explained that ORS 166.527(2) requires circuit courts to issue or deny ERPO orders on the day the petition is filed or on the judicial day immediately following. This proposal aids the circuit courts in compliance because courts can often respond more quickly to emergency requests that are conventionally filed.

Chapter 5 -- Construction Law

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I. CONSTRUCTION LAW

1. HB 2306 (Ch. 397) Building Permits

HB 2306 prohibits a city or county from denying a building permit allowing the construction of residential dwellings in a subdivision for which the construction of civil engineering improvements and utility improvements have not reached final completion, so long as they have reached substantial completion and the developer posts a bond or other financial guarantee.

HB 2306 will take effect on January 1, 2020.

2. HB 2415 (Ch. 486) Retainage For Contracts Over $500,000

HB 2415 requires that for any public improvement contract that exceed $500,000 and for private construction and home improvement contracts that exceed $500,000, the owner or contracting agency must place any retainage into an interest-bearing escrow account.

HB 2415 applies to contracts entered into on or after January 1, 2020.

3. HB 2769 (Ch. 55) Public Procurements

HB 2769 provides that for public procurements for architectural, engineering, photogrammetric mapping, transportation planning, and land surveying services, local contracting agencies are permitted to provide in their initial notice that they intend to use a two-step process which will include price as a factor in evaluating proposals.

The first step will be as a traditional, qualification-based procurement, with up to three finalists invited to a second step including submission of price, with a weighting up to 15% of the final determination.

HB 2769 takes effect on September 29, 2019.

4. HB 3193 (Ch. 444) Claims for Unpaid Wages

HB 3193 requires the Bureau of Labor and Industries ("BOLI") to notify the Construction Contractors Board ("CCB") within 30 days of the receipt of any

valid wage claim against a contractor for a construction debt. If the contractor or business fails to pay the wages due within 60 days, the Commissioner will notify the CCB. Under the bill the CCB may use notification of a final order in determining whether to revoke, suspend, or refuse to issue a license, or other relief.

HB 3193 applies to wages owed for labor performed after January 1, 2020.

5. SB 369 (Ch. 327) Definition of Substantial Completion

Actions relating to the construction, alteration, or repair of improvements to real property generally must be commenced within 10 years of the "substantial completion" of the project.

SB 369 adds the date when a public body issues a certificate of occupancy or the date when the owner uses or occupies the improvement for its intended purpose as possible triggers of substantial completion of a construction, alteration, or repair of improvement to real property.

SB 369 applies causes of action arising on or after January 1, 2020.

6. SB 455 (Ch. 549) Higher Education Qualified Contracts

Under SB 455, public universities and community colleges may award construction contracts of more than $200,000 only to a contractor who:

1) Employs apprentices for at least 15 percent of qualified work,

2) Plans outreach efforts to women and minority individuals to work, and

3) Requires subcontractors to do the same.

Previous law applied this rule only to the University of Oregon. An apprentice is one engaged with a local joint committee and the Apprenticeship and Training Division of the Bureau of Labor and Industry.

SB 455 takes effect on January 1, 2020. Some provisions of the bill apply to contracts entered into on or after January 1, 2021.

Chapter 6 -- Criminal Law

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Special thanks to Timothy Sylwester for his assistance with this chapter.

I. CRIMES AND VIOLATIONS RELATING TO VEHICLES

1. HB 2079 (Ch. 413) Boating Offenses

House Bill 2079 modifies and adds laws related to boating offenses.

Section 1 amends ORS 830.315, the crime of reckless operation of a boat. Section 1 renames that crime, replaces obsolete language, and defines "recklessly."

Section 2 reduces the penalty of failing to carry a personal flotation device from a Class B violation to a Class D violation.

Section 3 amends ORS 830.994 by requiring suspension of an individual's boating safety education card for one year upon conviction of reckless boating or operating a boat while under the influence of intoxicating liquor, cannabis, or a controlled substance.

Section 13 amends ORS 830.325, which prohibits a person from operating a boat while under the influence of intoxicating liquor, cannabis, or a controlled substance. HB 2079 amends ORS 830.325 by adding a prohibition against operating a boat while under the influence of an inhalant.

Sections 6 and 18 amend ORS 830.545 and ORS 830.315 to comply with the Oregon Supreme Court's decision in *State v. Banks*, 364 Or 332 (2019). Sections 6 and 18 create a bifurcated process for a peace officer to follow when the officer requests consent and physical cooperation for a breath sample, urine sample, or field sobriety tests. First, the officer must ask for consent to take the test. If the person refuses, the officer then can ask only for physical cooperation, and the person will be informed of the consequences of failing to physically submit to those tests.

HB 2079 also creates a new provision suspending a person's boating safety education card for three years, if a person's conviction for boating under the influence shows that the person willfully refused to physically submit to breath, urine, or nontestimonial field sobriety testing.

HB 2079 takes effect on January 1, 2020.

2. HB 2328 (Ch. 530) Unauthorized use of a vehicle

House Bill 2328 amends the crime of unauthorized use of a vehicle (UUV) contained in ORS 164.135. There are three ways to commit UUV. Two of the ways involve a person in possession of a vehicle with the agreement of the owner, who then exceeds the scope of said agreement to such a degree that it constitutes a gross deviation from the agreement. The third manner occurs when a person takes, operates, exercises control over, rides in, or otherwise uses another's vehicle, aircraft, or boat without the consent of the owner. UUV is a Class C felony.

In prosecutions for UUV, which usually involve allegations of a stolen car, the state must prove beyond a reasonable doubt that the defendant knows the vehicle is being operated without the owner's consent. While a judge or jury may base a conviction on reasonable inferences drawn from circumstantial evidence, the Court of Appeals has concluded that certain fact patterns "require[] the stacking of inferences to the point of speculation." *State v. Korth*, 269 Or App 238 (2015) and *State v. Shipe*, 264 Or App 391 (2014).

HB 2328 modifies the mental state in ORS 164.135. The bill specifies that the person must knowingly take, operate, exercise control over, or otherwise use another's vehicle, aircraft, or boat and the person is aware of and consciously disregards a substantial and unjustifiable risk that the owner does not consent to this action. A person being "aware of and consciously disregarding a substantial and unjustifiable risk" that the vehicle is stolen is a reduced mental state. HB 2328 retains the knowing mental state for those riding in (passengers) a vehicle without the consent of the owner. The bill applies to offenses committed on or after the effective date.

HB 2328 takes effect on January 1, 2020.

3. HB 2347 (Ch. 398) Exemptions to safety belt requirements

House Bill 2347 amends ORS 811.215, which provides exceptions to the requirement in ORS 811.210to wear a seatbelt. There is a current exemption for persons delivering newspapers or mail in the regular course of work. HB 2347 clarifies this exemption by specifying that it applies to any person who is driving a vehicle while on a newspaper or mail route for the purpose of delivering newspapers or mail in the regular course of work.

HB 2347 takes effect on January 1, 2020.

4. HB 2682 (Ch. 120) Bicycle lanes in intersections

HB 2682 clarifies that a bicycle lane exists and continues through an intersection if the bicycle lane is marked on opposite sides of the intersection in the same direction of travel.

HB 2682 takes effect January 1, 2020.

5. HB 3005 (Ch. 200) Ignition interlock devices

In 2017, the legislature passed HB 2638, which set standards for the installation and maintenance of interlock ignition devices (IID). IIDs are installed in a person's car when a person is convicted of driving under the influence of intoxicants or enters a DUII diversion program. If the IID detects alcohol in a person's breath, the device prevents a person starting his or her car, and it triggers a negative report that is sent to the device service center and ultimately to the court. IIDs are installed by private companies with oversight from the Oregon Department of Transportation.

HB 3005 defines the responsibilities of an IID manufacturer's representative and service center. It also changes the alcohol blood level that triggers a negative report from .00 percent to .02 percent. It clarifies the background check standards for IID technicians, expands the Department of State Police ability to assess fees to fund the program, and it directs the State Police to develop a process for individuals to contest negative reports.

HB 3005 declared an emergency and took effect on July 1, 2019.

6. HB 3214 (Ch. 215) Hardship driver permits

ORS 807.240 authorizes the Department of Transportation to issue hardship driver permits to people whose driver's licenses have been suspended or revoked because they are habitual offenders. People whose licenses have been revoked due to a traffic crime may not receive a hardship permit. People may obtain hardship permits to drive to and from work, to get to and from an alcohol or drug treatment or rehabilitation program, to drive a family member to and from required medical treatment on a regular basis, or to get to and from a gambling addiction program.

HB 3214 extends the purposes justifying a hardship permit to include when a person must drive to provide necessary services for the person or to a member of the person's family.

Necessary services include, but are not limited to, grocery shopping, driving the person or person's children to school, driving to medical appointments, and caring for elderly family members. HB 3214 also requires the Oregon Department

of Transportation to adopt a rule clarifying what will be considered necessary services.

HB 3214 takes effect January 1, 2020.

7. SB 509 (Ch. 80) Repeals the crime of unlawfully transporting hay

ORS 164.815 provided that a person committed the crime of unlawfully transporting hay if the person knowingly transported more than 20 bales of hay on a public highway without having in his or her possession a transportation certificate signed by the producer. SB 509 repealed the crime of unlawfully transporting hay.

SB 509 takes effect January 1, 2020.

8. SB 581 (Ch. 337) Increased penalty for improper use of unmanned aircraft

ORS 837.374 defines reckless interference with an aircraft. It prohibits recklessly using an unmanned aircraft to direct a laser at an aircraft while the aircraft is in the air, to crash into an aircraft while the aircraft is in the air, or to prevent the takeoff or landing of an aircraft. SB 581 amends ORS 837.374 and changes the offense from a Class A violation to a Class A misdemeanor if the person engages in the prohibited conduct using an unmanned aircraft with an intentional or knowingly mental state. It also provides that a person commits a class A misdemeanor if the person recklessly engages in the prohibited conduct using an unmanned aircraft and the person has one or more prior convictions for interference with an aircraft.

Upon a person's second or subsequent conviction, SB 581 directs the court, at sentencing, to declare the unmanned aircraft system used in the offense to be contraband and order that it be forfeited.

ORS 837.360 imposes restrictions and requirements on the use of unmanned aircraft systems by public bodies. SB 581 excludes educational institutions from much of these restrictions. It modifies ORS 837.360 and requires educational institutions to register as a user of unmanned aircraft systems with the Oregon Department of Aviation (department), and the department may not charge a fee for that registration. SB 581 also requires educational institutions to maintain records of their use of unmanned aircraft systems.

SB 581 takes effect January 1, 2020.

9. SB 810 (Ch. 349) Modifies definition of "vulnerable user of a public way"

ORS 801.608 defines "vulnerable user of a public way" to include a pedestrian, a highway worker, a person riding an animal, or a person operating various equipment on a public way, crosswalk, or highway shoulder. SB 810 amends ORS 801.608 and adds a person operating a moped or a motorcycle to the definition of a vulnerable user of a public highway.

SB 810 takes effect January 1, 2020.

10. SB 998 (Ch. 683) Permits bicyclists to roll through stop signs

ORS 814.410 to ORS 814.480 govern the operation of bicycles. SB 998 adds to those statutes and permits a person operating a bicycle who is approaching a stop sign or an intersection where traffic is controlled by a flashing red signal to do any of the following, without stopping, if the person slows the bicycle to a safe speed:

1) proceed through the intersection,

2) make a right or left turn into a two-way street, or

3) make a right or left turn into a one-way street in the direction of traffic upon the one- way street.

SB 998 provides that a person commits the offense of improper entry into an intersection if the person proceeds through the intersection without stopping as the bill permits and:

1) fails to yield the right of way to traffic lawfully within the intersection,

2) disobeys the directions of a police officer or a flagger,

3) fails to exercise care to avoid an accident, or

4) fails to yield the right of way to a pedestrian in an intersection or crosswalk. SB 998 takes effect on January 1, 2020.

II. SEX CRIMES AND SEX OFFENDER REGISTRATION

1. HB 2045 (Ch. 430) Sex offender assessments and reporting

House Bill 2045 makes several changes to sex offender reporting requirements. In 2013, the Legislative Assembly enacted House Bill 2549. HB 2549 directed the Department of Corrections (DOC) to adopt a sex offender risk assessment tool for classifying sex offenders based on individual risk to reoffend.

In 2015, the State Board of Parole and Post-Prison Supervision (Board) assumed the task of classifying sex offenders from DOC. HB 2045 extends the current deadline for classification of existing sex offender registrants from December 1, 2022, to December 1, 2026.

Section 2 of HB 2045 requires the Board to report biennially to the Legislative Assembly on the progress made in classifying registrants.

HB 2045 also restores, until January 1, 2022, statutory references to predatory sex offenders for adult offenders who have not yet been classified.

Several statutes govern the circumstances under which a registered sex offender must report, such as within ten days of a change of residence. HB 2045 amends those statutes to require that a registered sex offender must report within ten days of a legal name change and at least 21 days prior to any travel outside of the United States. Failure to make one of those reports will also now constitute the crime of failure to report as a sex offender.

Section 17 of HB 2045 also modifies ORS 163A.030 by clarifying that a juvenile court must ensure that a person who waives the right to a hearing on the issue of reporting as a sex offender complete the notice of registration form. The bill requires the court to send a copy of the form, as well as any order concerning sex offender reporting, to the Oregon State Police.

ORS 163A.105 governs when risk assessments are performed. A person may petition for review of their level two or three sex offender classification within 60 days of notice of the classification. Section 19 of HB 2045 modifies that provision, allowing a good cause exception to the 60 day deadline for the petition for review. It also defines "good cause" and the length of the extension.

HB 2045 took effect on June 20, 2019.

2. HB 2393 (Ch. 304) Unlawful dissemination of an intimate image

House Bill 2393 modifies ORS 163.472, which is the offense of unlawful dissemination of an intimate image. The Legislative Assembly created that offense in 2015. It prohibits the unlawful dissemination, through an internet website, of an identifiable image of another person whose intimate parts are visible or who is engaged in sexual conduct with the intent to harass, humiliate, or injure the other person. This offense is a Class A misdemeanor, but it is elevated to a Class C felony if the person has a prior conviction for the same offense.

HB 2393 removes the requirement that the image be disclosed through an internet website, allowing prosecution of offenses that occur through any distribution method. The bill also defines "identifiable."

HB 2393 also creates a civil cause of action for victims of the offense, regardless of any criminal prosecution. The bill specifies the types of damages available and limits liability of minors or their parents to $5,000. It also specifies that an award of statutory damages under this provision is not evidence of the existence or amount of economic damages for restitution in a criminal case.

Finally, HB 2393 amends ORS 166.065, which is the crime of harassment. Prior to HB 2393, one way to commit the crime of harassment was to distribute a visual recording of a minor engaged in sexually explicit conduct or in a state of nudity. HB 2393 removes this manner of committing the crime of harassment because this offense is now subsumed in the unlawful dissemination of an intimate image.

HB 2393 takes effect on January 1, 2020.

3. HB 2428 (Ch. 365) Public Indecency

House Bill 2428 amends ORS 163.465, which defines the offense of public indecency.

Currently, a person commits the offense by performing an act of sexual intercourse, an act of oral or anal sexual intercourse, or exposing the person's genitals with the intent of arousing the sexual desire of the person or another person while in, or in view of, a public place. Public indecency is a class A misdemeanor, but it is elevated to a class C felony if the person has a prior specified conviction.

HB 2428 expands the offense of public indecency to include masturbating while in, or in view of, a public place.

HB 2428 took effect on September 29, 2019.

4. SB 596 (Ch. 179) Reports of person felonies inadmissible in prostitution cases

ORS 167.007 provides that a person commits the crime of prostitution if the person engages in, or offers to engage in, sexual conduct or sexual contact in return for a fee. SB 596 provides protection from criminal liability for prostitution when a person reports that another person committed a felony against them. It provides that if a person contacts an emergency communications system or law

enforcement and reports the commission of a person felony, any statements or other evidence related to the crime of prostitution obtained as a result of the report cannot be used to prosecute that person for prostitution or attempted prostitution.

SB 596 takes effect January 1, 2020.

5. SB 597 (Ch. 338) Use of pseudonyms or initials for victims in indictments

ORS 132.540 governs the sufficiency of indictments and ORS 132.580 governs names of grand jury witnesses on indictments. SB 597 amends ORS 132.540 and ORS 132.580. The bill provides that an indictment may use a pseudonym, initials, or other signifier instead of the victim's name if one of the crimes alleged is a sex crime. A separate document with the name of the victim and the corresponding pseudonym, initials, or signifier is filed at the same time as the indictment, and a copy of that document is provided to the defendant's lawyer or, if the defendant does not have a lawyer, to the defendant.

The defendant's attorney may orally inform the defendant of the victim's name, but may not provide a copy of the document containing the victim's name to the defendant. If the defendant is not represented by counsel, the district attorney must provide the defendant with a copy of the document containing the victim's name, but the court must also enter an order prohibiting the defendant from copying the document or providing it to anyone else. SB 597 requires that the document containing the victim's name remain confidential during the pendency of the case.

SB 597 takes effect January 1, 2020.

6. SB 995 (Ch. 353) Sexual abuse protection order (SAPO)

Senate Bill 995 makes several changes to the statutes governing Sexual Abuse Protective Order (SAPO).

ORS 163.763 establishes the criteria for obtaining a SAPO. A SAPO is available in certain cases where a person was subjected to sexual abuse by another person who is not a family member or intimate partner. A petitioner may ask for a SAPO as long as the respondent is 18 or older. If a petitioner is under the age of 12, a parent or guardian must file for the petitioner. A guardian ad litem can also be appointed. To be eligible for a SAPO, the respondent must not already be prohibited from contacting a person by a restraining order from another state, Indian tribe, or territory; a stalking protective order; an Elderly Persons and Persons With Disabilities Abuse Prevention Act restraining order; a no contact order

entered in a criminal case; or a restraining order entered in a juvenile court dependency case. To grant a SAPO, the court must find that the person who sexually abused or assaulted the petitioner made the petitioner have sexual contact without the person's consent or made the person have sexual contact when the person was not capable of consenting. The abuse must have happened in the last 180 days and the petition must establish that the person is in reasonable fear for their physical safety. A person is not required to have called the police in order to get a SAPO.

The respondent has 30 days from the date of service to ask for a hearing contesting the SAPO. If the respondent does not ask for a hearing, the SAPO will stay in effect for one year from the date it was issued. If the respondent does ask for a hearing, the court will schedule it within 21 days of the request. At the hearing, a petitioner must prove that they have been sexually abused and that they reasonably fear for their physical safety. A SAPO lasts for one year from the date the judge signs it or until a judge terminates it. It can be renewed for one year at a time if the judge finds it is objectively reasonable for a person to fear for their physical safety if the order is not renewed. A respondent may request a modification to an order at any time after 30 days from service.

Section 2 of SB 995 amends ORS 163.765, which specifies the contents of the protection order and service of the order. Previously, these protection orders were effective for one year. Section 2 now provides that the protection order is effective for five years or, if the petitioner is a minor, until the petitioner turns age 19, whichever occurs later. A provision is also added allowing the court to enter a permanent protection order if the respondent has been convicted of a specified crime committed against the petitioner or if the court makes a finding that it is objectively reasonable for a petitioner to fear for their physical safety and the passage of time or a change in circumstances would not dissipate that fear.

> **Practice Tip:** Section 2 of the bill adds a provision allowing the court to order service of the petition and the protection order by alternative method in accordance with Oregon Rules of Civil Procedure 7D(6)(a), if the petitioner exercised due diligence in attempting to effect service. SB 995 takes effect on January 1, 2020.

III. SENTENCING AND REFORM LEGISLATION

1. HB 2462 (Ch. 86) Service members and the criminal justice system

House Bill 2462 creates new criminal procedural protections for servicemembers facing criminal charges. For the last several years Oregon has worked on addressing the needs of veterans in the criminal justice system. In 2010, ORS 135.886 was modified to allow district attorney's greater discretion in referring members of the armed services or veterans into diversion programs when charged with certain crimes. At the same time, a definition for "servicemember" was created in ORS 135.881. In 2013, Oregon specified in ORS 137.090 that a defendant's status as a servicemember is evidence the court may consider in mitigation of sentence.

HB 2462 requires courts to inform defendants at arraignment on a criminal charge that a defendant's status as a servicemember may make the defendant eligible for treatment programs, specialty courts, or mitigated sentencing. The bill also prohibits the defendant's status as a servicemember from being used as an aggravating factor in sentencing.

> **Practice Tip:** HB 2462 provides a definition of "servicemember" that is more expansive then the definition of "servicemember" found in ORS 135.881. Practitioners may want to discuss with their clients whether their own service qualifies.

HB 2462 takes effect on January 1, 2020.

2. HB 2932 (Ch. 437) Immigration Consequences of Criminal Conviction

ORS 135.385 requires courts to advise criminal defendants of the rights that they waive before accepting a guilty plea or a plea of no contest. HB 2932 amends ORS 135.385 and requires courts to provide defendants with additional time to consider the decision to enter a guilty or no contest plea after informing the defendant of the potential immigration consequences to criminal convictions. It adds to the required notice of immigration consequences that a criminal conviction may result in removal proceedings for non-citizens of the United States. Finally, HB 2932 prohibits courts from inquiring into a defendant's immigration status at the time of a plea or at any time during a criminal proceeding.

HB 2932 declared an emergency and took effect on June 20, 2019.

3. HB 3201 (Ch. 445) Conditional discharge agreements

ORS 475.245 allows a defendant charged with certain drug offenses to enter into a diversion agreement, with the district attorney's consent, and be placed on probation. Oregon law requires that a defendant, prior to entering a diversion,

deferred resolution, or conditional discharge agreement, to plead guilty or to stipulate to certain facts establishing guilt to a criminal charge. If the defendant fulfills the obligations of the agreement, the court will dismiss the charges. If the defendant violates probation, the court may enter an adjudication of guilt.

HB 3201 prohibits agreements for conditional discharge from requiring the defendant to admit guilt or facts that establish the defendant's guilt. Instead, it provides that the defendant enter into a probation agreement. As part of that agreement the defendant waives his or her constitutional rights to

1) a jury trial,

2) a speedy trial,

3) present evidence,

4) contest evidence, and

5) appeal a judgment resulting from an adjudication of guilt, unless the appeal is based on an allegation that the sentence exceeds the maximum allowable by law or is cruel and unusual punishment.

The bill also prohibits the admission of police reports and other documents associated with the criminal charges into evidence and their use as a factual basis for finding the defendant guilty. If the defendant violates the probation agreement, HB 3201 authorizes the court to resume the criminal proceedings and find the defendant guilty of the charges in the charging instrument in accordance with the defendant's waiver of rights in the probation agreement. If the defendant fulfills the terms and conditions of the probation agreement the court must discharge the defendant and dismiss the proceedings.

HB 3201 took effect on June 20, 2019, and it applies to criminal proceedings initiated on or after January 1, 2020.

4. SB 1002 (Ch. 684) Plea negotiation

Senate Bill 1002 modifies a prosecuting attorney's authority to require a defendant to waive certain rights as a condition of a plea offer.

Several statutes govern the terms of plea agreements in criminal cases. In 2013, it was specified that a plea offer could not be conditioned on the defendant waiving the right to receive exculpatory evidence. In 2017, the Legislative Assembly expanded this prohibition to include the right of the defendant to receive audio recording of grand jury proceedings. In 2018, it was again expanded to

prohibit prosecutors from conditioning plea offers on the defendant stipulating that an existing law is unconstitutional.

SB 1002 expands this list by prohibiting prosecuting attorneys from conditioning plea offers on the defendant's waiver of eligibility for transitional leave, sentence reductions, or other programs.

SB 1002 takes effect on January 1, 2020.

5. SB 1013 (Ch. 635) Aggravated Murder

Senate Bill 1013 modifies the crimes of murder and aggravated murder. ORS 163.095 defines the crime of aggravated murder.

SB 1013 limits the definition of aggravated murder to:

- intentionally and with premeditation killing at least two people with a terroristic intent,
- commiting murder in the second degree while in custody after previously being convicted in any jurisdiction for murder in the first degree or for aggravated murder,
- the premediated and intentional homicide of a person under age 14,
- the premeditated and intentional homicide of a police officer that is related to the performance of the victim's official duties, or
- the premediated and intentional homicide of a correctional or parole and probation officer that is related to the performance of the victim's official duties.

Section 3 of the bill creates a new offense of murder in the first degree. Murder in the first degree is defined as murder in the second degree when it is accompanied by certain specified aggravating factors. The specified aggravating factors mirror those that were previously encompassed within the definition of aggravated murder. Section 3 also establishes the penalty of life imprisonment without the possibility of parole for 30 years, if the person was at least 15 years of age at the time of the murder. The court may sentence the person to life imprisonment without the possibility of parole if the person was at least age 18 at the time of the murder, and the court states the reasons for the sentence on the record. Finally, section 3 establishes the parole board process for murder in the first degree.

The bill also contains sections 3a, 3b, 3c, 3d, and 3e, which are conforming amendments to Senate Bill 1008. SB 1008 is the juvenile justice reform bill that, in

part, provides that a youth is eligible for parole after serving 15 years of imprisonment.

Section 4 amends ORS 163.115, which defines the crime of murder. Section 4 renames this offense murder in the second degree.

Section 5 of SB 1013 amends ORS 163.150. ORS 163.150 concerns sentencing proceedings for persons convicted of aggravated murder. Under ORS 163.150, a person convicted of aggravated murder is subject to a separate sentencing proceeding to determine whether the person should receive a sentence of life imprisonment with a minimum confinement of 30 years, life imprisonment with the possibility of release, or death. In order to be subject to the death penalty, a jury must render affirmative findings on four questions following the presentation of evidence at the separate sentencing proceeding. One of those four questions requires the jury to render an opinion on the offender's future dangerousness. Section 5 removes that question as a factor for the jury to consider when deciding on a sentence of death.

One of the remaining three questions for the jury to impose death is whether the defendant should receive a death sentence. Section 5 specifies that the state must prove this issue to the jury beyond a reasonable doubt. The remaining questions were already required to be proven beyond a reasonable doubt.

Section 15a amends ORS 161.405, which defines and classifies the crime of criminal attempt. Section 15a specifies that attempted aggravated murder is a Class A Felony. Section 30 of the bill specifies that it applies to crimes committed before, on, or after the effective date that are subject to sentencing proceedings occurring on or after the effective date.

SB 1013 takes effect on September 29, 2019.

> **Practice Tip:** The application of this bill to sentences imposed before its enactment is unclear. This issue is partially addressed in SB 1005, but recent court decisions and statements made by the Oregon Department of Justice call this into question.

6. SB 321 (Ch. 368) Post-conviction DNA testing

Senate Bill 321 modifies procedures related to post-conviction DNA testing.

Section 2 of the bill defines key terms for post-conviction DNA testing. For example, it defines "exculpatory results" and "exculpatory evidence" as those results or evidence that are material to a determination of the identity of the person

who committed the crime or to a determination as to whether a crime had been committed.

Section 3 of the bill amends ORS 138.690, which previously set out the process for filing a motion for post-conviction DNA testing. Section 3 substantially modifies ORS 138.690 by specifying that a person may now petition the commencement of a DNA testing proceeding and request counsel for the purpose of determining whether to file a motion for the testing of DNA on specific evidence. It also removes the requirement that the DNA evidence is relevant to an element of the offense and replaces it with the DNA evidence is "related to the investigation or prosecution that resulted in the judgment of conviction." It specifies that a petitioner may dismiss a petition for post-conviction DNA testing without prejudice, procedures for discovery, victim notification, and it specifies that the court may not impose a filing fee for those motions. ORS 138.692 previously specified court procedures following a motion filed under ORS 138.690. Section 4 substantially amends that section by establishing the requirements for a petitioner to file a motion for post-conviction DNA testing following the petition under ORS 138.690. It specifies how the state must respond to the motion and creates both a mandatory and a permissive standard for when the court can order post-conviction DNA testing. It also eliminates the requirement that the petitioner make a prima facie showing that DNA testing would lead to a finding of actual innocence. In its place, Section 4 requires an explanation of how there is a reasonable probability that, if exculpatory DNA results had been available at the time of prosecution, the petitioner would not have been prosecuted or convicted of the offense, or the petitioner would have obtained a more favorable outcome. Finally, Section 4 modifies ORS 138.692 by placing certain discovery obligations on the petitioner and specifying that a motion may be filed even if the petitioner has given a confession or entered a plea of guilty or no contest.

Section 8 of SB 321 creates a process for the court to order, upon motion, an unidentified DNA profile produced following a motion for post-conviction DNA testing to be compared against DNA profiles in the State DNA Index System or the National DNA Index System, when certain standards have been met.

ORS 138.694 establishes petitioners' eligibility for appointed counsel in these proceedings.

Section 5 of the bill amends ORS 138.694 by specifying a person's eligibility for appointed counsel at the proceedings following the finding of an unidentified DNA profile, as outlined in Section 8.

SB 321 takes effect on January 1, 2020.

IV. JAILS AND CORRECTIONAL INSTITUTIONS

1. HB 2515 (Ch. 489) Feminine hygiene products provided at no cost in correctional facilities

HB 2515 requires all correctional facilities, including youth correctional and juvenile detention facilities, lockup facilities, and Department of Corrections' institutions to provide tampons, sanitary pads, postpartum pads, and panty liners at no cost to all confined detainees and prisoners. The bill requires correctional facilities to maintain a sufficient supply of those products and to store, dispense, and dispose of them in a sanitary manner. Finally, HB 2515 requires the facilities supply of products to include: (1) regular absorbent tampons, (2) regular absorbent and super absorbent sanitary pads, (3) postpartum pads, and (4) regular absorbent panty liners.

HB 2515 takes effect January 1, 2020.

2. HB 2631 (Ch. 481) Pilot program for legal services for women incarcerated at Coffee Creek Correctional Facility

HB 2631 directs the Department of Corrections, in cooperation with the Oregon Criminal Justice Commission, to establish a pilot program to provide legal services that assist women who are incarcerated at Coffee Creek Correctional Facility to reenter and reintegrate into local communities, to reduce their vulnerability to domestic violence, and to obtain employment, housing services, and other benefits. It directs the Oregon Justice Resource Center to evaluate the program and report the results of that evaluation to the legislative interim committee on corrections no later than September 15, 2021.

HB 2631 declared an emergency and took effect on June 25, 2019.

3. HB 2910 (Ch. 596) Oregon Promise Program for students in correctional facilities

The Oregon Promise is a grant program that began in 2016. The grants cover the cost of tuition at Oregon community colleges for recent high school graduates or General Education Development (GED) graduates. To enroll in the Oregon Promise program, students apply for the program within six months of completing their high school diploma or their GED. The program is available to students in correctional facilities, and they are subject to the same six- month deadline.

HB 2910 provides that students incarcerated in a correctional facility are no longer required to apply for the Oregon Promise program within six months of completing their education. It gives incarcerated students a deadline of six months after their release date to apply for the program.

HB 2910 takes effect January 1, 2020.

4. HB 3146 (Ch. 213) Reference to persons in custody

HB 3146 replaces the term "inmate" with "adult in custody" in all statutes in the Oregon Code that refer to inmates.

HB 3146 takes effect January 1, 2020.

5. SB 488 (Ch. 550) Influenza vaccine for incarcerated persons

Senate Bill 488 was crafted to ensure that every individual incarcerated in the Department of Corrections (DOC) has the option to receive the influenza vaccine. SB 488 requires DOC to offer each inmate in the physical custody of DOC immunizations against influenza at no charge each year. SB 488 does not apply to persons incarcerated at a local correctional facility.

SB 488 took effect on July 15, 2019.

6. SB 495 (Ch. 333) Use of dogs in cell extraction

ORS 161.205 and ORS 161.267 authorize jail, prison, and correctional facility officers to use physical force when and to the extent that the officers think is reasonably necessary for a variety of specified reasons. SB 495 amends ORS 161.205 and ORS 161.267 by prohibiting the use of dogs to extract inmates from their cells. It allows the use of dogs in correctional facilities to track and locate inmates, detect contraband, quell disturbances, prevent inmate escape, and address immediate health or safety risks to inmates or staff members. It also permits the use of dogs in correctional facilities as part of an inmate dog training program for purposes related to rehabilitation, treatment, vocational education, and skill building of inmates.

SB 495 takes effect January 1, 2020.

7. SB 498 (Ch. 335) Department of Corrections contracts with inmate telephone service providers

SB 498 prohibits the Department of Corrections (DOC) from entering into contracts with telephone service providers in which DOC receives a fee or a commission. It allows DOC to enter into contracts with telephone service

providers in which the provider reimburses DOC for internal and external oversight and management costs or payment to a third party provider.

SB 498 limits the fee or commission that an inmate telephone service provider may provide to a correctional facility to five cents per minute or less. It requires correctional facilities to deposit any fee or commission received into the Inmate Welfare Fund Account and prohibits certain uses of those funds.

SB 498 requires correctional facilities that issue requests for proposal to procure inmate telephone services to consider call quality when evaluating proposals. Finally, it requires that all contracts between correctional facilities and inmate telephone service providers include a requirement that the provider submit a monthly report to the correctional facility that contains: revenue earned, fees charged, money paid to the correctional facility, the number of completed calls, the number of dropped calls, and the number of complaints concerning call quality.

SB 498 declared an emergency and took effect on July 1, 2019.

8. SB 980 (Ch. 474) Procedures for collecting money from DOC inmates for court-ordered financial obligations

In 2017, the legislature enacted SB 844, codified as ORS 423.105, which created procedures for the Department of Corrections (DOC) to collect money from an inmate's trust account for a transitional fund and payment of court-ordered financial obligations. ORS 423.105 requires the Department of Justice (DOJ) and Oregon Judicial Department (OJD) to provide DOC with an accounting of each inmate's court-ordered financial obligations, and DOJ and OJD are required to apply the money received from DOC to the inmate's court-ordered financial obligations.

ORS 423.105 provided for three levels of priority for the application of collected money to court-ordered financial obligations, with Level I obligations having the highest priority and Level III obligations having the lowest priority. SB 980 adds a Level IV obligation. It changed what were Level III obligations to Level IV obligations. Level IV obligations are civil judgments resulting from an action for the inmate's assault or battery of a DOC or Oregon Correction Enterprises employee. It changed what were Level II obligations to Level III obligations, which are child support obligations. SB 980 also removed from Level III obligations money awards for crime victims entered against an inmate. Finally, SB 980 added as Level II obligations civil judgments that include a money award in which DOJ is a judgment creditor.

SB 980 takes effect January 1, 2020.

V. MARIJUANA OFFENSES

1. SB 420 (Ch. 459) Setting aside qualifying marijuana convictions

Senate Bill 420 creates procedures for setting aside a conviction for a qualifying marijuana conviction.

ORS 137.225 specifies what offenses are eligible to be set aside. ORS 137.226 governs when certain marijuana convictions may be set aside.

In 2014, Oregon voters approved Ballot Measure 91. Ballot Measure 91 and subsequent legislation decriminalized recreational marijuana and allowed for homegrown marijuana production, delivery, and use of marijuana.

SB 420 allows for persons convicted of marijuana offenses prior to July 1, 2015, that are no longer considered criminal under ORS 475B.301 or for possession of less than one ounce of marijuana to apply to the court for an order setting aside the conviction. The prosecuting attorney may object to the application, but only on the basis that the person's conviction is not a qualifying conviction. SB 420 details the procedures for the application process, hearing, and defines key terms. The procedures created in SB 420 are distinct from those in ORS 137.225 and ORS 137.226.

SB 420 takes effect on January 1, 2020.

2. SB 975 (Ch. 473) Reducing offense classification for marijuana convictions

SB 975 establishes that a person may file a motion requesting that the court reduce the offense classification for his or her marijuana conviction if, since entry of the judgment of conviction, the marijuana offense has been:

1) reduced from a felony to a misdemeanor,

2) reduced from a higher level felony to a lower level felony,

3) reduced from a higher level misdemeanor to a lower level misdemeanor, or

4) reduced from a crime to a violation.

Prosecutors must file any objection to a motion filed under SB 975 within 30 days. A prosecutor may object only on the basis that the person's conviction is not eligible for reduction or that the person has not completed and fully complied with or performed the sentence originally imposed. If the prosecutor does not object to

the motion, SB 975 directs the court to grant the motion and enter an amended judgment of conviction, if the conviction is eligible for reduction and the petitioner has fully complied with or performed the sentence.

SB 975 provides that if the prosecutor files an objection, the court must hold a hearing on the motion. At the hearing, the petitioner has the burden of establishing by a preponderance of the evidence that the conviction is eligible for reduction and that he or she has completed and fully complied with or performed the sentence. If the court determines that the conviction is eligible for reduction and the petitioner completed and fully complied with or performed the sentence, the court must grant the motion and enter an amended judgment.

SB 975 takes effect January 1, 2020.

VI. JUVENILES

1. HB 2042 (Ch. 48) Disclosure of juvenile records

House Bill 2042 makes permanent an existing law allowing the Oregon Youth Authority and county juvenile departments to disclose reports and other materials relating to a child, ward, youth, or youth offender to the Department of Corrections for specified purposes.

This record sharing was first authorized in 2015 by House Bill 2313 and was scheduled to sunset on June 30, 2017. The sunset was extended to January 1, 2020 in 2017 in House Bill 2248. HB 2042 removes the sunset and makes the law permanent.

HB 2042 took effect on May 2, 2019.

2. HB 3261 (Ch. 216) Custodial interviews of minors

ORS 133.400 requires that custodial interrogations conducted in a law enforcement facility in connection with an aggravated murder investigation be electronically recorded. It also requires the electronic recording of custodial interrogations of minors conducted in a law enforcement facility in connection with felony investigations.

HB 3261 expands ORS 133.400 and requires the electronic recording of all custodial interviews of minors conducted by a peace officer, a school resource officer, or a special campus security officer, inside a law enforcement facility or outside of a law enforcement facility if the officer is equipped with a body camera, and if the interview is in connection with an investigation into a felony or a misdemeanor.

HB 3261 takes effect January 1, 2020.

3. SB 1005 (Ch. 685) Omnibus public safety bill

Senate Bill 1005 is an omnibus public safety bill that addresses two issues. In 2014, the Legislative Assembly created the Task Force on School Safety. The Task Force is focused on strengthening safety in schools. Section 1 of SB 1005 expands the Task Force on School Safety from 16 to 18 members by adding a member of the Oregon Health Authority and a member of the Office of Emergency Management. Section 2 of the bill extends the sunset of the Task Force to December 31, 2021.

The final portion of the bill amends Senate Bill 1008, which was enacted earlier in the 2019 session. SB 1008 makes several changes to prosecution and sentencing of juveniles charged with criminal offenses. Section 32 of SB 1008 states that it applies to sentences imposed on or after January 1, 2020. SB 1005 amends section 32 of SB 1008 by adding that it does not apply to persons who were originally sentenced before January 1, 2020, and who are resentenced on or after January 1, 2020, as the result of an appeal or post-conviction relief.

SB 1005 took effect on July 1, 2019.

4. SB 1008 (Ch. 634) Omnibus juvenile justice bill

Senate Bill 1008 is an omnibus juvenile justice bill that makes several substantive changes to juvenile delinquency and criminal proceedings.

Section 1 of the bill amends ORS 137.071, which specifies what must be included in a criminal judgment. The bill adds a requirement that the court, if it sentences the defendant to a term of incarceration, indicate in the judgment the age of the defendant at the time of committing the offense, if the physical custody of the defendant will be determined based on the age of the defendant at the time of committing the offense. Section 1 also specifies how the court is to determine the defendant's age at the time of the offense when the defendant is convicted of two or more offenses occurring on different days or when the offense occurred within a range of dates.

Section 2 of the bill amends ORS 137.124, which governs where a defendant will serve their physical place of confinement. ORS 137.124(5)(a) currently allows a youth who has been committed to the Department of Corrections under ORS 137.707 and who was under age 18 at the time of committing the offense and under age 20 at the time of sentencing to serve their sentence in the physical custody of the Oregon Youth Authority until age 25. SB 1008 adds an additional provision to

this section allowing a youth to be transferred to the Oregon Youth Authority (OYA) if the person was under age 18 at the time of the offense, but the criminal proceedings were initiated after the person turned age 18.

Section 3 contains conforming amendments to ORS 420.011 based on Section 1 and Section 2.

Sections 4 through 21 of the bill address the waiver of juveniles to adult court. Youth who commit what would be a crime if committed by an adult are in juvenile delinquency court. One common exception to that is Measure 11 for persons aged 15, 16, or 17 contained in ORS 137.707. Under prior law, a youth charged with an offense contained in ORS 137.707 is automatically waived into adult court. Other youth charged with certain serious offenses can be waived into adult court following a court hearing pursuant to ORS 419C.349 and ORS 419C.352.

SB 1008 eliminates the automatic waiver provisions contained in ORS 137.707, requiring that a court hold a waiver hearing pursuant to ORS 419C.349 in order for a youth to be charged as an adult with the crimes specified in ORS 137.707. A court must hold a waiver hearing for these youth when the state files a motion requesting one. If a youth is waived to criminal court for an offense listed in ORS 137.707, the youth is subject to the mandatory minimum sentence specified in ORS 137.707.

Section 6 of the bill also amends the waiver hearing process contained in ORS 419C.349. The bill specifies that the victim has a right to appear at the hearing and to provide the court with information, that the youth has a right to counsel at the hearing, and that the state has the right to have the youth examined by a psychiatrist or psychologist.

Sections 22 and 23 address second look for youth. ORS 420A.203 specifies who is eligible for second look. Second look allows youth who meet eligibility requirements to receive a second look hearing, or conditional release hearing, after the person has served half of their sentence. SB 1008 amends ORS 420A.203 by allowing youth sentenced under ORS 137.707 or ORS 137.712 to receive a second look hearing. It also adds a provision providing a second look hearing for youth who were under age 18 at the time of the offense, are in the physical custody of OYA, and have a projected release date on or after the person's 25th birthdate and before the person's 27th birthdate.

Sections 24 through 30 address sentencing issues for youth subject to life sentences or the equivalent of life sentences. The U.S. Supreme Court has placed

limits on when a youth may be subject to a life sentence. See *Miller v. Alabama*, 567 U.S. 460 (2012). Several states have enacted legislation addressing life and life equivalent sentences for youth following *Miller*.

Section 24 of the bill prohibits the imposition of a life sentence without the possibility of parole for a person who was under age 18 at the time of the offense. It specifies factors for the court to consider in determining an appropriate sentence for a person under age 18 at the time of the offense, such as age and psychological examinations. It also prohibits the use of age as an aggravating factor, when the person was under age 18 at the time of the offense.

Section 25 of the bill provides that a person who was under age 18 at the time of the offense is eligible for parole after the person has served 15 years of imprisonment. The eligibility for parole after 15 years applies even if the person was sentenced to consecutive sentences or mandatory minimum sentences. It also specifies factors for the parole board to consider that are similar to the sentencing factors referenced in section 24. A youth has the right to counsel at board expense at a parole hearing under this section.

Section 30 of SB 1008 directs the Department of Justice to adopt model policies for providing victim notification concerning second look and waiver hearings. It also directs district attorneys' victim assistance programs to provide services that are culturally specific, where available.

SB 1008 takes effect on September 29, 2019. However, it applies to sentences imposed on or after January 1, 2020.

VII. INSANITY AND FITNESS TO PROCEED

1. SB 184 (Ch. 318) Omnibus fitness to proceed bill

Senate Bill 184 is an omnibus bill relating to fitness to proceed in criminal cases.

ORS 161.309 defines "certified evaluator." A certified evaluator includes psychiatrists or psychologists who are qualified to perform fitness to proceed evaluations. SB 184 replaces the terms "psychiatrist or psychologist" in ORS 161.365 and ORS 161.370 with the term "certified evaluator."

Criminal proceedings are suspended when a defendant is found unfit. The defendant is then committed or released on supervision to attempt to restore the defendant's fitness to proceed. Pursuant to ORS 161.370, a court may dismiss the criminal charge if so much time elapses during commitment or release that it would be unjust to resume the criminal proceeding. In so doing, the statute allows

the court to initiate a civil commitment proceeding. Section 2 adds a provision allowing the court to initiate a commitment proceeding under ORS 426.701.

In *Sell v. United States*, 539 US 166 (2003), the United States Supreme Court articulated stringent standards for when a criminal defendant can be involuntarily medicated for the sole purpose of restoring the defendant's fitness to proceed. The Oregon Supreme Court followed those standards in *State v. Lopes*, 355 Or 72 (2014). Section 4 of SB 184 codifies *Sell* and *Lopes* by creating a process for the court to order the involuntary medication of a defendant in order for the defendant to gain or regain fitness to proceed.

SB 184 takes effect on January 1, 2020.

2. SB 24 (Ch. 536) Procedures for criminal defendants lacking fitness to proceed

Under current law, a person cannot be prosecuted for a crime unless that person is able to "aid and assist" in his or her defense. Thus, the person must meet a certain bar of competency before the person's criminal case moves forward. In order to help defendants to achieve this level of competency people accused of low-level crimes, including misdemeanors, are often sent to the state hospital when community-based restoration would be more appropriate.

SB 24 amends the processes that relate to the court ordering defendants to the Oregon State Hospital (OSH). It incentivizes processes that require the court to review whether a defendant could receive restorative services safely in the community. The legislation seeks to separate and divert people charged with misdemeanors and felonies (who do not need a hospital level of care) to be restored to competency in the community rather than sending those people to OSH. SB 24 requires the court to consult with community mental health program (CMHP) directors and designees. CMHP and designees must provide consultation and recommendations to the court related to whether services and supervision are available to allow a defendant to be safely restored to competency in the community.

Section 1a

This section of the bill amends ORS 161.365, which governs the process for when a court has reason to doubt a defendant's fitness to proceed. It permits the court to consult with any local entities that would be responsible for supervising the defendant if the defendant were to be released in the community to determine whether the defendant can gain fitness to proceed in the community. It limits the

duration of time that OSH can retain custody of a defendant to the time necessary to complete the examination, which may include a period of observation, but not to exceed 30 days.

The bill provides that at the conclusion of the examination, OSH may return the defendant to the facility from which the defendant was transported, or inform the court and the parties that the defendant requires a hospital level of care due to the defendant's dangerousness and the acuity of the defendant's symptoms, and request that the defendant remain at the hospital pending a hearing or order under ORS 161.370. The bill provides that if both parties consent, the court may, without holding a hearing, enter an order under ORS 161.370 based on the report generated from the aid and assist examination.

The bill further requires that the report from an aid and assist examination include a determination of whether a hospital level of care is required for the defendant to gain capacity based on the defendant's dangerousness and acuity of symptoms. It requires the examiner to file the aid and assist report with the court and provide copies of the report to the appropriate CMHP director or designee.

Section 2a

Section 2a of the bill amends ORS 161.370, which governs the court's determination of whether a defendant is fit to proceed. It provides that once a court determines that a defendant is unfit to proceed, the court must consider a recommendation from a CMHP director or designee and any local entity that would be responsible for supervising the defendant in the community to determine whether services and supervision necessary to safely allow the defendant to gain fitness to proceed are available in the community.

The bill requires that the court to determine the appropriate action in the case at a hearing based on:

1) the release criteria defined in ORS 135.230,
2) the least restrictive option appropriate for the defendant,
3) the needs of the defendant, and
4) the interests of justice.

The court may, but is not limited to, order commitment for the defendant to gain fitness to proceed under subsection (3) or (5) of this section, community restoration as recommended by the CMHP director or designee, release on

supervision, commencement of a civil commitment proceeding, commencement of protective proceedings, or dismissal of the charges.

The bill further provides that if, for any defendant in custody, the court determines that the defendant does not require a hospital level of care, but that the services and supervision necessary for the defendant to gain fitness to proceed are not available in the community, the court must set a review hearing seven days from the date the court determined that the defendant lacked fitness to proceed. At the hearing the court must consider all relevant information and determine an appropriate action in the case. If the defendant remains in custody following the initial review hearing, the court must hold additional review hearings every seven days thereafter until the defendant is no longer in custody.

The bill provides that if the court determines that a hospital level of care is necessary due to the defendant's dangerousness and acuity of symptoms, and if the services necessary to allow the defendant to gain fitness to proceed are not available in the community, the court must commit the defendant to the custody of the superintendent of a state mental hospital or director of a facility designated by the Oregon Health Authority.

It new language requires that if the defendant is committed under this subsection, the CMHP director shall, at regular intervals, review available community resources and maintain communication with the defendant and the director of OSH to facilitate transition of the defendant to the community when ordered. The bill provides that if the court does not commit the defendant to OSH, the court may order a CMHP director providing treatment to the defendant in the community to provide the court with status reports on the defendant's progress in gaining fitness to proceed and requires a CMHP director to notify the court if the defendant gains fitness to proceed.

Importantly, this section prohibits the court from committing a defendant to OSH if the most serious offense in the charging instrument is a misdemeanor, unless there is a finding that the defendant requires a hospital level of care due to the defendant's dangerousness and acuity of symptoms, and that finding is based on a recommendation by a certified evaluator as defined in ORS 161.309 or a CMHP director. If at the time the court is determining the appropriate action in the case, the court has not received a recommendation as to whether the defendant requires a hospital level of care due to the defendant's dangerousness and acuity of symptoms, the court must order a certified evaluator or CMHP director to make a recommendation. If the court does not order commitment to the state mental

hospital or other facility, the court must hold a hearing to determine and order an appropriate action.

The bill provides that if the director of the state mental hospital or facility to which the defendant is committed determines that the defendant no longer requires a hospital level of care based on the defendant's dangerousness and acuity of symptoms or that the services necessary to allow the defendant to gain fitness to proceed are available in the community, the director shall file notice of that with the court. Within five judicial days of receipt of that notice, the court must order that a CMHP director consult with the defendant and any local entity that would supervise defendant if the defendant were released into the community and provide the court and the parties with recommendations from the consultation.

Within 10 judicial days of receiving that recommendation, the court must hold a hearing to determine an appropriate action and, after consideration of the defendant's dangerousness, acuity of symptoms, and whether services are available in the community to allow the defendant to regain fitness, make findings and continue the commitment, or not make findings and terminate the commitment and set a review hearing seven days from the date of the termination. At that review hearing, the court must consider all relevant information and determine an appropriate action. If the defendant remains in custody, the court must hold review hearings every seven days until the defendant is no longer in custody.

Finally, the bill protects the confidentiality of fitness to proceed examinations and mental health defense reports by making those reports available only to the court, the prosecuting and defense attorneys and their agents, the defendant, and the CMHP director of any facility in which the defendant is housed.

Section 3a.

This section of the bill amends ORS 161.315, which governs the right of the state to obtain mental examinations of defendants asserting a guilty except for insanity defense. This bill provides that if a court has committed a defendant to OSH or another facility, the facility can retain custody of the defendant for the time necessary to complete the examination, which may include a period of observation, but not to exceed 30 days.

The bill provides that if during an examination on the issue of insanity of the defendant, the examiner determines that the defendant's fitness to proceed is in doubt, the examiner must report the issue to the court and the superintendent of OSH or the director of the facility to which the defendant is committed. The superintendent or director may either return the defendant to the facility from

which the defendant was transported, or inform the court and the parties that the defendant should remain at the facility for an examination pursuant to ORS 161.365. If neither party objects, the court may order an examination under ORS 161.365 without holding a hearing.

This section likewise protects the confidentiality of reports of examinations made under the section by making those reports available only to the court, the prosecuting and defense attorneys and their agents, the defendant, and the CMHP director of any facility in which the defendant is housed.

3. SB 362 (Ch. 326) Notice requirement to assert insanity defense

Senate Bill 362 amends the notice requirement contained in ORS 161.309 for asserting an insanity defense in a criminal case.

In *State v. Robinson*, 288 Or App 194 (2017), the Oregon Court of Appeals interpreted the notice requirement contained in ORS 161.309. The Court held that a defendant may provide notice of this defense at any time prior to trial, if the defendant had just cause for failing to provide notice at the time the defendant enters a plea of not guilty. In so holding, the Court noted that this could make trial preparation difficult for the state or require the state to request a continuance.

SB 362 modifies the notice requirement by specifying that it must be given at least 45 days prior to trial. SB 362 also provides a good cause exception to the 45 day notice requirement.

SB 362 takes effect on January 1, 2020.

4. SB 375 (Ch. 329) Guilty except for insanity

Senate Bill 375 modifies statutes pertaining to guilty except for insanity findings. ORS 161.309, in part, addresses when a court may accept a plea of guilty except for insanity in a felony case. SB 375 adds a provision to ORS 161.309 requiring the court to inform the defendant of the potential for commitment or conditional discharge, and the maximum length of commitment or conditional discharge, prior to accepting a plea of guilty except for insanity to a felony.

ORS 161.325 addresses the entry of judgment in guilty except for insanity cases. SB 375 adds a requirement to the statute that if the court enters an order of commitment or conditional discharge of a person found guilty except for insanity of a felony, the court shall state on the record the maximum period of commitment or conditional discharge to which the person is subject.

SB 375 takes effect on January 1, 2020.

VIII. OTHER LEGISLATION

1. HB 2013 (Ch. 201) Relinquishment of firearms and court protective orders

Current Oregon law prohibits certain individuals from knowingly possessing firearms or ammunition. Among those excluded are persons subject to a court order, such as a Family Abuse Prevention Act (FAPA) order and Elderly Persons and Persons with Disabilities Abuse Prevention Act (EPPDAPA) order, and individuals convicted of a qualifying misdemeanor against a family or household member.

Prior to the passing of House Bill 2013, to be prohibited based on a qualifying protective order a respondent must have had actual notice and the opportunity to be heard in a hearing on the order. Oregon law authorizes judges to grant ex-parte protective orders to petitioners based on sworn affidavits without a hearing. Therefore, in practice, respondents choosing not to contest an order entered ex-parte were not prohibited from possessing firearms having not had an opportunity to be heard as required.

House Bill 2013 elimina3tes the requirement that a person be present in court to establish that an order is valid in restricting the possession of firearms. Instead, an order restricting possession of firearms under ORS 166.255 is valid if a person has received notice of the opportunity to request a hearing in which to be heard and the person did not request a hearing. House Bill 2013 also establishes protocols to dispossess individuals of firearms when a court has made findings associated with a conviction or court order described in the measure prohibiting an individual from possessing firearms. It establishes procedures under which a person convicted of a qualifying offense, or subject to an order described in ORS 166.255, must provide proof of transferring the person's firearms to a local law enforcement agency or a third party as directed. The person must transfer the firearms as directed within 24 hours of becoming subject to a court order, during which time the person may possess the firearm, unloaded, for the purpose of transferring the firearm in compliance with the court order. The bill directs a party ordered to transfer firearms under this section to submit a declaration, within 48 hours of the court's order, attesting that all firearms in the person's possession have been transferred in accordance with the court's order.

The bill also provides that a district attorney may initiate contempt proceedings if a respondent does not file a declaration as required by the measure. It requires the Department of Justice to notify a petitioner of a receipt of a request

to return a firearm relinquished pursuant to a court order. Finally, it requires law enforcement to hold any firearm for 72 hours after receiving a request for return and confirm the person receiving the firearm is the lawful owner and may legally possess firearms under state or federal law.

HB 2013 took effect on June 4, 2019.

2. HB 2227 (Ch. 137) Mandatory reporters of child abuse

House Bill 2227 amends ORS 419B.005. ORS 419B.005 defines key terms for the statutes governing the reporting of child abuse.

In Oregon, any public or private official must immediately report suspected child abuse when the official reasonably believes that a child the official has come into contact with has suffered abuse or that any person the official has come into contact with has abused a child. SB 2227 makes animal control officers mandatory reporters by adding them to the definition of public or private official in ORS 419B.005.

HB 2227 takes effect on January 1, 2020.

3. HB 2399 (Ch. 399) Omnibus criminal procedure bill

House Bill 2399 is an omnibus bill that makes several technical fixes to a number of statutes. Section 1 of the bill amends ORS 138.261, which provides for expedited state's appeals in felony cases where the defendant is in custody, and the appeal is from a pretrial order dismissing a count or a pretrial order suppressing evidence. Section 1 of the bill adds a provision allowing expedited review for a state's appeal from a demurrer when the defendant is in custody charged with a felony.

Section 2 of HB 2399 amends procedures in post-conviction relief (PCR) cases. Currently, in a PCR where the petitioner is in Department of Corrections' custody, on parole, or on conditional pardon, the defendant is the superintendent of the institution where the petitioner is or was most recently confined, and the Attorney General represents the defense. Section 2 amends ORS 138.560 to include a person on post-prison supervision within this provision, thus requiring the Attorney General to assume responsibility for these cases.

Section 3 corrects terminology in ORS 138.625 by replacing "defense" with "petitioner." ORS 138.625 governs testimony and contact with a victim in PCR proceedings. The statute erroneously referred to the defense, which, at the PCR stage, is the State of Oregon.

Section 4 of the bill amends ORS 138.650 by setting time limits for filing a notice of cross- appeal in a PCR proceeding. It also specifies that the Attorney General represents the defendant on appeal of a PCR case.

Section 5 amends ORS 164.115, which establishes how to value property for certain criminal offenses. Previously, in theft cases, if the value of property could not be ascertained, the value was presumed to be under $50. Section 5 provides that it is now presumed to be less than $100.

Section 6 modifies the procedures for financial institutions to disclose certain account information to law enforcement contained in ORS 192.603. Section 6 defines "secure electronic message" and requires financial institutions to use secure electronic messaging whenever law enforcement makes a request for account information by sending a secure electronic message.

Section 7 amends ORS 133.545 by allowing an affiant to electronically sign a search warrant affidavit, when the affiant swears to the affidavit by telephone.

HB 2399 takes effect on January 1, 2020.

4. HB 2400 (Ch. 400) Extends deadline to appeal civil commitment cases

House Bill 2400 amends ORS 19.255, which governs the deadline for filing a notice of appeal. A notice of appeal must be filed within 30 days of the entry of judgment. However, Oregon law allows for a late appeal in criminal, delinquency, dependency, and post-conviction relief cases when the failure to timely file an appeal is not attributable to the person appealing. HB 2400 amends ORS 19.255 by extending the deadline to appeal civil commitment cases when the person establishes, by clear and convincing evidence, that the failure to timely file a notice of appeal is not attributable to the person, and there is a colorable claim of error.

HB 2400 took effect June 17, 2019.

5. HB 2401 (Ch. 305) Statistical Transparency of Policing (STOP)

House Bill 2401 amends ORS 131.930, which is one of the definition statutes for the law enforcement profiling statutes. In 2017, the Legislative Assembly enacted House Bill 2355, which requires law enforcement agencies to collect certain data on officer-initiated pedestrian stops.

HB 2401 broadens the definition of "officer-initiated pedestrian stop," by removing the requirement that the stop result in a citation, arrest, or search.

HB 2401 took effect on June 11, 2019.

6. HB 2480 (Ch. 306) Hearsay

Hearsay is a statement, other than one made by the declarant while testifying at the trial or hearing, offered in evidence to prove the truth of the matter asserted. In *State v. Montoya- Franco*, the Court of Appeals of Oregon held that an out-of-court translation of a non-English speaker's statements to a third party constitutes hearsay because the interpreter's translation constitutes an assertion of the English meaning of the original translation. *State v. Montoya- Franco*, 250 Ore. App. 665, (2012). Interpreted statements are only been admissible under the residual hearsay exception under ORS 40.460 if the proponent has provided necessary notice and satisfies the statutory requirements for admissibility pertaining to relevance and necessity.

House Bill 2480 provides an exception to this rule when the interpreter is present at trial and subject to cross examination, allowing the underlying statement to be introduced as non- hearsay if it was otherwise admissible but for the interpretation of the statement.

HB 2480 took effect on June 11, 2019.

7. HB 3035 (Ch. 274) Wildlife offenses

House Bill 3035 increases the maximum penalties for certain wildlife offenses.

ORS 496.992 establishes penalties for violating wildlife laws. Section 1 of HB 3035 amends ORS 496.992 by specifying that a violation of certain wildlife laws without a culpable mental state is a Class A violation. It also adds a provision that the intentional, knowing, or reckless violation of wildlife laws, or a rule adopted pursuant to the wildlife laws, is a Class C felony under several specified conditions including unlawfully taking threatened or endangered species, and unlawfully taking wildlife with the intent to sell, import, or export the wildlife.

The bill also amends ORS 497.112 by adding another type of offense to be included in either a preference point or reward program for reporting violation of certain wildlife laws.

HB 3035 takes effect on January 1, 2020.

8. HB 3117 (Ch. 144) FAPA Order Required Findings

Oregon's Family Abuse Prevention Act (FAPA) restraining order statutes are set out in ORS 107.700 et.seq. Prior to the passage of HB 3117, the law under ORS 107.710 and 107.718 provided that a victim of abuse may apply for and

receive an ex parte emergency protection order if: the petitioner has been a victim of qualifying abuse by a family or household member within the 180 days before filing the order; the petitioner is in imminent danger of further abuse; and the respondent represents a credible threat to the physical safety of the petitioner or the petitioner's child.

The emergency order becomes a final order good for one year if the order is upheld at a contested hearing, or if there is no contested hearing requested within the 30-day response time. If there is a contested hearing after the issuance of the emergency order, ORS 107.716 currently requires that the petitioner meet the immanency that was required on issuance.

A recent decision by the Court of Appeals, *M.A.B. v. Buell, (March 6, 2019)* found that the immanency requirement was not met in a case where a trial court found that the Respondent had sexually assaulted the victim twice, threatened to kill her and take their child, and subsequently repeatedly intimidated and threatened her during ongoing divorce mediation proceedings. The Court of Appeals reasoned that because a victim had not experienced additional sexual abuse after moving out of the respondent's home and in with her parents, she was not in imminent danger of the same form of abuse even when the respondent had conceded the finding of abuse.

House Bill 3117 eliminates the imminent danger requirement when a court is considering continuing an existing FAPA order and requires the court find that the respondent represents a credible threat to the physical safety of the petitioner or the petitioner's child.

9. HB 3224 (Ch. 446) District Attorney Policies

HB 3224 requires the district attorney in each county to develop and adopt written policies regarding the following subject areas:

1) pretrial discovery,

2) prosecutorial ethics and compliance with the rules of professional conduct,

3) the obtaining and handling of confidential information,

4) the use of certified law students,

5) charging decisions,

6) the decision of whether to present evidence for the purpose of seeking the death penalty,

7) plea offers,

8) civil compromise,

9) diversion programs,

10) requests for the imposition of fines and fees,

11) eligibility and standard disposition recommendations for early disposition programs,

12) eligibility and standard disposition recommendations for treatment courts,

13) eligibility for any pre-arrest diversion programs,

14) the consideration of collateral consequences of a conviction,

15) (14) sentencing programs – including alternative incarceration programs, conditional release, work release, earned time, and short-term transitional leave,

16) the filing of an affidavit and motion for a change of judge,

17) victim engagement and involvement, and

18) pretrial release.

The district attorneys must make their policies available on their websites, and they must review their policies every five years to make revisions and readopt the policies. They must make their initial policies available to the public no later than December 1, 2020.

HB 3224 takes effect January 1, 2020.

10. HB 3249 (Ch. 169) Client confidentiality

HB 3249 establishes that clients have the right to communicate privately with their lawyers and representatives of their lawyers. It also prohibits the admission of any evidence that is derived from a confidential communication between a client and the client's lawyer or a representative of the lawyer, if the confidential communication was obtained or disclosed without the consent of the client.

HB 3249 takes effect January 1, 2020.

11. SB 25 (Ch. 311) Forensic evaluations

Senate Bill 25 pertains to forensic evaluations in criminal cases.

Section 2 of SB 25 creates a provision directing all public bodies and private medical providers in possession of relevant records of a defendant to comply with a court order for release of those records to the state mental hospital or other designated facility for the purpose of conducting a fitness to proceed examination.

Section 3 amends ORS 161.315, which governs the right of the state obtain an examination of the defendant when the defendant has given notice of an insanity defense. Section 3 specifies that a report from that examination may be electronically filed with the court and is confidential.

Similarly, Section 4 amends ORS 161.365 by specifying fitness to proceed reports of an examination may also be electronically filed and are likewise confidential. Section 5 contains a similar amendment to ORS 161.370, which addresses fitness proceedings. Section 4 and 5 specify timelines for courts to deliver orders relating to fitness to proceed to specified persons and entities.

SB 25 took effect on June 11, 2019.

12. SB 388 (Ch. 369) Pardons

Senate Bill 388 creates procedures for sealing criminal records following a pardon and amends ORS 144.650, which is the statute outlining the pardon process. Article V, Section 14, of the Oregon Constitution gives the Governor power to grant pardons following conviction, subject to regulations that may be provided by law.

ORS 144.650 establishes the process for a person to apply for a pardon and allows the Governor to request documents from certain persons or agencies, such as the Department of Corrections. SB 388 amends ORS 144.650 by requiring the district attorney of the county of conviction to notify the victim of the crime at issue in the pardon application. It also gives the victim the right to provide the Governor with any information relevant to the pardon decision. The bill specifies information that the district attorney must provide to the governor, such as police and investigative reports.

SB 388 also creates a process for sealing the record of conviction for a person granted a pardon. It requires the Governor to notify the presiding judge and district attorney of the circuit court of the county of conviction within ten days of granting the pardon. The presiding judge must than issue an order sealing the record of conviction and other official records in the case. The district attorney must notify the victim of the pardon and the sealing of the records. SB 388 also

creates a process to seal the records for those persons who were pardoned prior to the bill's enactment.

SB 388 takes effect on June 13, 2019.

13. SB 490 (Ch. 679) Individuals prohibited from providing child care

Child care providers in Oregon must be licensed, registered, or certified with the Office of Child Care (OCC) within the Early Learning Division (ELD) of the Department of Education. ORS 329A.030 requires all staff and any individual who may have unsupervised access to children, such as adults living in the home, volunteers, maintenance staff, office staff, and regular visitors to enroll in the Central Background Registry (registry) administered by OCC. Registry applicants undergo a background check to determine whether they are permitted on the premises.

SB 490 expands the list of individuals prohibited from providing child care for five years to include those who have a suspended certification, registration, or enrollment in the register, and those whose certification or registration has been revoked. It permanently prohibits people from providing child care or enrolling in the registry who are required to report as sex offenders or who have been the subject of a substantiated report of child abuse in which the victim suffered serious harm or death in any state. SB 490 also requires individuals who have been the subject of a substantiated report of child abuse to apply and enroll in the registry prior to providing child care, and it requires OCC to remove from the registry individuals who are prohibited from enrolling.

SB 490 took effect August 9, 2019.

14. SB 522 (Ch. 297) Prohibition on refund for beverage containers sold out of state

ORS 459A.705 provides for refunds on beverage containers that are purchased in Oregon with a deposit. SB 522 creates a new offense and prohibits a person, with the intent to defraud, from returning for the refund value specified in ORS 459A.705, during one day, 50 or more individual beverage containers that the person knows were not sold in Oregon. SB 522 provides that a violation of the act is a Class D violation and that each day a violation occurs is a separate offense.

SB 522 takes effect January 1, 2020.

15. SB 577 (Ch. 553) Renames crime of intimidation to bias crime

ORS 166.155 and ORS 166.165 define the crimes of intimidation in the second and first degree respectively. Intimidation in the second degree constitutes a variety of conduct one person engages in against another based on the actor's perception of the other person's race, color, religion, sexual orientation, disability, or national origin. Intimidation in the first degree constitutes two or more persons acting together to engage in a variety of conduct against another person based on the actors' perception of the other person's race, color religion, sexual orientation, disability, or national origin.

SB 577 renames the crime of intimidation to a bias crime. It adds gender identity to the list of traits that serve as a basis for the commission of both first and second-degree bias crimes. It defines gender identity as an individual's gender-related identity, appearance, expression, or behavior regardless of whether the identity, appearance, expression, or behavior differs from that associated with the gender assigned to the individual at birth. SB 577 removes the requirement from what was intimidation in the first degree that two or more people act together to commit the crime and requires only one person to engage in the prohibited conduct for the commission of a bias crime in the first degree.

SB 577 directs the Oregon Criminal Justice Commission (CJC) to add gender identity, as it is defined in the bill, to the rules of the CJC concerning sentencing departure factors as a characteristic of the victim that constitutes an aggravating factor when the characteristic was the motivation, entirely or in part, for the commission of the crime. It requires the CJC, in consultation with the Oregon District Attorneys Association and the Department of State Police, to develop and implement a standardized method for district attorneys to record data relating to investigations, arrests, prosecutions, and sentencing of crimes motivated in whole or in part by bias of the actor. It requires the CJC to report its analysis of the data it receives to the legislature no later than July 1, 2021.

SB 577 requires the Department of Justice (DOJ) to establish and staff a hate crimes telephone hotline to respond to reports of bias crimes and incidents. It also requires the department to establish a Hate Crimes Response Coordinator position to respond to all reports of bias crimes and incidents and provide culturally competent assistance to victims of bias crimes and incidents. SB 577 requires the DOJ to collect data concerning the character, location, and impacted protected class of any bias crime or incident and report that data to the CJC quarterly.

SB 577 requires the CJC to review all data pertaining to bias crimes and incidents that is submitted to it from the district attorneys, the Department of State

Police, and the department, analyze that data, and report the results of that analysis annually to the governor, the legislature, the attorney general, the Oregon District Attorneys Association, the Department of State Police, and the Department of Public Safety Standards and Training.

SB 577 took effect on July 15, 2019.

16. SB 725 (Ch. 423) Background checks for those who provide care

ORS 181A.195 authorizes state agencies to request that the Department of State Police conduct a criminal records check on a person for non-criminal justice purposes. Under that statute, the Department of Human Services (DHS) makes fitness determinations for people under consideration for employment by entities that provide care or placement services or that license or certify others to provide care or placement services for children, elders, and dependent persons.

SB 725 amends ORS 181A.195 and requires DHS to inform an entity requesting a criminal records check to evaluate the fitness of an employee, contractor, or volunteer, if the employee, contractor, or volunteer has a conviction or pending indictment for certain crimes that would prohibit their employment in positions dealing with vulnerable populations. It prohibits DHS from considering criminal convictions that are more than 10 years old, arrests without conviction, a charge relating to marijuana if the charge is no longer a criminal offense, and participation in deferred sentencing or diversion programs. It also prohibits DHS from considering a conviction for driving under the influence of intoxicants if it is a single conviction and over five years have passed since the conviction. Lastly, SB 725 prohibits DHS from completing a criminal records check more than once during a two-year period, subject to certain exceptions.

SB 725 took effect on September 29, 2019.

17. SB 962 (Ch. 472) Certifying victim's assistance to US Citizenship and Immigration Services

The U Nonimmigrant Visa (U visa) is available to victims of certain crimes who have suffered mental or physical abuse and who are helpful to law enforcement or government officials in the investigation or prosecution of criminal activity. SB 962 codifies procedural requirements for certifying agencies to certify U visas, provides uniform data collection requirements, and centralizes analysis to ensure equitable distribution of U visa certifications.

SB 962 requires the certifying official to certify in writing to the United States Citizen and Immigration Services that a victim of a qualifying criminal

activity has been helpful, is being helpful, or is likely to be helpful to the detection, investigation, or prosecution of the qualifying criminal activity. SB 962 provides for a rebuttable presumption that a victim is helpful, has been helpful, or is likely to be helpful. The certifying agency must grant or deny a request for certification within 90 days of the date of the request or within 14 days of the date of the request if the victim is in removal proceedings. If the certifying agency denies certification, it must notify the petitioner in writing of the reason for the denial. After receiving a notice of denial, a petitioner may provide supplemental information to the certifying agency and request that the denial be reviewed by the certifying agency.

SB 962 also requires certifying agencies to report annually to the Criminal Justice Commission (CJC) beginning June 1, 2021, and directs the CJC to submit a comprehensive report to the committees of the Legislative Assembly related to judiciary. The reporting requirements of SB 962 sunset on January 2, 2023.

SB 962 takes effect January 1, 2020.

Chapter 7 -- Domestic Relations

Ryan Carty: 2009 Willamette University School of Law. Oregon State Bar member since 2009.

I. CUSTODY AND PARENTING TIME

1. SB 318 (Ch. 288) Detailed Parenting Plans

Senate Bill 318 is not a joint custody bill. It does not create a presumption of joint custody or equal parenting time. Courts are neither required nor encouraged as a matter of law to order joint custody or 50/50 parenting time in every (or any) case as a result of SB 318.

ORS 107.102 provides guidance to courts when implementing parenting schedules in cases involving minor children. A judgment establishing or modifying parenting time with a child must include a parenting plan. The plan may be general or detailed.

A general parenting plan may include a general outline of how parental responsibilities and parenting time will be shared and may allow the parents flexibility to develop more detailed arrangements on an informal basis. But all general parenting plans must include the minimum amount of parenting time and access a noncustodial parent is entitled to have. This is exactly why many judgments include the following provisions:

> *1.1.* ***Parenting Schedule****. Marcia, Jan, and Cindy shall be with Father at such times as the parties may mutually agree, but in no event less than is set forth in the attached Exhibit 2, the specifics of which by this reference are made a part of this judgment.*
>
> *1.2.* ***Parental Rights****. Pursuant to ORS 107.154, each parent shall have, to the same extent as the other parent, the following authority:*
>
> *1.2.1. To inspect and receive school records and to consult with school staff concerning Marcia, Jan, and Cindy's welfare and education;*
>
> *1.2.2. […]*

Detailed parenting plans, meanwhile, may include (but need not be limited to) provisions relating to:

- Residential schedule;
- Holiday, birthday, and vacation planning;
- Weekends, including holidays, and school in-service days preceding or following weekends;
- Decision-making and responsibility;

- Information sharing and access;
- Relocation of parents;
- Telephone access;
- Transportation; and
- Methods for resolving disputes.

The court must develop a detailed parenting plan when either parent requests or the parents are unable to develop a parenting plan on their own or through the mediation process.

Senate Bill 318 clarifies that courts continue to have the discretionary authority to order equal parenting time. The only new requirement imposed on courts by the passage of SB 318 is that if a parent requests that the court order equal parenting time and the court declines to so order, the denial must be supported by written findings in the judgment that equal parenting time is not in the best interests of the child or endangers the safety of the parties.

SB 318 takes effect on January 1, 2020.

2. SB 356 (Ch. 289) Notification Required by Parenting Plans

Senate bill 356 authorizes a judge to require a parent with legal custody to notify the other parent of specific child related matters and to provide an opportunity for comment. In practice, many judges, attorneys, and mediators regularly include these sorts of required notice provisions in their judgments and parenting plans. However, SB 356 now codifies that authority for judges.

The specific statutory wording is: "A detailed parenting plan may include one or both of the following requirements:

a) That the custodial parent notify the noncustodial parent regarding specified matters concerning the child.

b) That the custodial parent provide the noncustodial parent with an opportunity to comment regarding specified matters concerning the child.

SB 356 takes effect on January 1, 2020.

3. SB 385 (Ch. 293) Optional Alternative Dispute Resolution Process

Senate Bill 385 provides authority to the presiding judge in each judicial district to establish a procedure in custody and parenting time modification and enforcement proceedings for an informal, non-recorded conference with a trained

mediator, attorney, or court staff to identify problems, suggest trial solutions, report back progress, and if necessary, report a recommendation to the judge.

This informal process is intended to be a step following mediation, if mediation is unsuccessful and is an option for courts rather than a requirement.

Conference officers must have specific training in mediation, child development, and domestic violence as prescribed by the presiding judge or local rules and must be either an employee of the Judicial Department or an attorney or trained mediator appointed by the court.

This alternative dispute resolution conference must, at a minimum:

- Require advance notice to the parties that the conference will be conducted in an informal manner and will not use the rules of evidence;
- Provide each party with a full opportunity to present that party's position;
- Accommodate safety concerns of the parties;
- Allow a party's attorney to be present; and
- Notify the parties that if no agreement is reached, the conference officer may make a recommendation to the court, but that neither party will lose the right to a judicial hearing as a result of the conference.

SB 385 takes effect on January 1, 2020. Courts interested in enacting this sort of informal alternative dispute resolution conference should review the full text of SB 385.

II. SPOUSAL SUPPORT

1. SB 1011 (Ch. 354) Conviction for Murder or Attempted Murder

ORS 107.135 provides generally that a spouse seeking to modify or terminate a spousal support award must demonstrate a substantial change in economic circumstances. Failure to do so is a bar to any change in the underlying support award. As a practical matter, a conviction for attempted murder or conspiracy to commit murder is not in and of itself a substantial change in economic circumstances. That means the spouse paying support would have no basis to return to court to modify the support award even if the spouse receiving support had been convicted of either attempted murder or a conspiracy to commit murder.

Senate Bill 1011 makes an obligee's conviction for the attempted murder or conspiracy to commit the murder of the obligor a sufficient change in circumstances for reconsideration of support provisions in a judgment.

The court retains discretion in any such filed modification proceeding to determine whether it is appropriate to modify or terminate an ongoing award of spousal support in the aftermath of a conviction for attempted murder or conspiracy to commit murder.

III. DOMESTIC VIOLENCE

1. HB 2013 (Ch. 201) Prohibitions on Possessing Firearms

Current Oregon law prohibits certain individuals from knowingly possessing firearms or ammunition. This prohibition extends to individuals subject to certain court orders such as a Family Law Prevention Act (FAPA) order, Sexual Abuse Protective Order (SAPO), and Elderly Persons and Persons with Disability Abuse Prevention Act (EPPDAPA) order, so long as the order restrains the person from stalking, intimidating, molesting, or menacing an intimate partner or child, and includes a finding of a credible threat to the physical safety of the other party. Prior to enactment of HB 2013, however, a person subject to such an order must have had actual notice and opportunity to be heard in a hearing on the order. Otherwise, the order would not be valid in restricting the possession of firearms.

House Bill 2013 eliminates the requirement that a person be present in court in order to establish that an order is valid in restricting the possession of firearms. Instead, an order restricting possession of firearms will be valid if a person has received notice of the opportunity to request a hearing in which to be heard and the person did not request a hearing.

The bill also establishes protocols to dispossess individuals of firearms when a court has made findings associated with a conviction or court order described in the bill prohibiting an individual from possessing firearms.

HB 2013 took effect on June 4, 2019.

2. HB 3117 (Ch. 144) FAPA Orders

The requirements for issuance of a Family Abuse Prevention Act Restraining Order are:

- The petitioner must have been a victim of qualifying abuse by the respondent within 180 days preceding the filing of the petition;

- There must be an imminent danger of further abuse to the petitioner by the respondent; and
- The respondent must represent a credible threat to the physical safety of the petitioner.

A number of recent Court of Appeals decisions could be read to support an argument that the petitioner must demonstrate the "imminent danger of further abuse" factor ***at the time of the contested hearing*** and that a failure to do so is fatal to the underlying protection order.

That is, if a respondent does not have any contact with the petitioner during the period between issuance of the protection order and the contested hearing, that should be taken as support for the assertion that no imminent danger of further abuse to the petitioner by the respondent exists.

HB 3117 amends ORS 107.716 to make clear that at a contested hearing on the FAPA order, a petitioner need not prove imminent danger as of the date of the hearing. At the hearing, the court must find that:

- Qualifying abuse has occurred within 180 days preceding the filing of the petition;
- The petitioner reasonably fears for the petitioner's physical safety; and
- The respondent represents a credible threat to the physical safety of the petitioner or the petitioner's child.

This change to the FAPA statute removes the need for a petitioner to prove that the petitioner remains in imminent danger of further abuse at the time of the contested hearing.

HB 3117 took effect on July 1, 2019.

3. SB 995 (Ch. 353) Sexual Assault Protection Orders

Oregon law provides for Sexual Assault Protection Orders (SAPO) in certain cases where a person was subjected to unwanted sexual abuse by another person and the relationship between the two people does not meet the definition of family member or intimate partner under the Family Abuse Prevention Act, and who is not covered by any other form of protection order.

Changes to the SAPO requirements and protections brought about by Senate Bill 995 include:

Prior law:	**SB 995:**
A petitioner must seek relief within six months of the alleged assault. Failure to do so makes a petitioner ineligible for relief.	No time restriction for requesting relief.
Length of SAPO is 1 year unless terminated earlier by the court.	Length of SAPO is five years, except if: • Petitioner is under 18 years of age at the time of entry, SAPO continues either five years or until Petitioner turns 19, whichever is later; or • SAPO *shall* be permanent if the respondent is convicted of a sexual Assault crime (ORS 163.355 to 163.445) against the petitioner; or • SAPO ***may*** be permanent if the court finds it is objectively reasonable for a person in the petitioner's situation to fear for the person's physical safety and that the passage of time or a change in circumstances would not dissipate that fear (i.e., serious indicators of lethality); or • Circuit court still has authority to renew, modify, or terminate SAPOs.
Personal service of SAPO required on the respondent.	The court may order service by an alternative method in accordance with ORCP 7 D(6)(a) upon a showing by the petitioner of due diligence in attempting to effect personal service.

IV. JUVENILES

1. SB 905 (Ch. 561) Resident School District

Senate Bill 905 clears up unintended confusion created by an amendment to ORS 339.133 passed in 2017. That statute was amended to reflect federal law requiring that school residency for children in foster care would be their district of origin (i.e., the district in which they resided prior to placement in foster care).

The problem with the 2017 amendments to the law was that they dealt with involuntary placements only. That is, a child involuntarily placed in foster care would attend their original school unless enrolling in another school district would be in the child's best interest. The amendments were silent, however, on where the child would go to school in the case of a voluntary placement.

Senate Bill 905 requires that the default school district or a child voluntarily placed in foster care will be the district in which the child is voluntarily placed. The change makes sense because children voluntarily placed in foster care typically reside in that system longer than children involuntarily placed.

There are specific criteria in ORS 339.134 by which a child voluntarily placed in foster care may remain in the district of origin. SB 905 adds staff from the school of origin as being able to demonstrate a reason for the child to maintain residency in the district of origin.

The bill also clarifies that the district in which the child attends school, whether the district of placement or origin, is responsible for the child's transportation to and from school.

SB 905 took effect on July 1, 2019.

2. SB 994 (Ch. 631) Placement With Noncustodial Parent

A child may be taken into protective custody when the child's conditions or surroundings reasonably appear to jeopardize the child's welfare, when a court has ordered that the child be taken into protective custody, or when it reasonably appears that the child has run away from home. Absent a court order that the child be taken into protective custody or facts that suggest the welfare of the child or others may be jeopardized, the child must subsequently be released to the custody of their parent or other responsible person.

The issue Senate Bill 994 aims to address is when a child is removed from a custodial parent and subsequently placed with a noncustodial parent. Prior to enactment of SB 994, there was no requirement for any sort of background check on the noncustodial parent prior to placement.

SB 994 requires the person who receives the child into protective custody to request a criminal records check from the Department of Human Services (DHS)

on the noncustodial parent and all adults in the noncustodial parent's home prior to releasing the child to the noncustodial parent.

In many situations, placement with the noncustodial parent will continue to be appropriate.

But SB 994 provides a mechanism to better ensure the child is released into an environment that will not jeopardize the child's welfare.

The bill also requires Department of Human Services to comply with requests for criminal records checks in these situations.

Chapter 8 -- Elder Law

Christopher Hamilton: 2012 Willamette University School of Law. Oregon State Bar member since 2012.

I. GUARDIANSHIPS AND LONG TERM CARE

1. HB 2524 (Ch. 117) Notification Regarding Long Term Care Ombudsman

HB 2524 accomplishes two goals relevant to elder law. First, it provides that persons who move into long term care facilities, residential facilities, or adult foster homes must be informed of the existence and services of the Long Term Care Ombudsman (LTCO). This will help elder law attorneys in helping clients assert and protect their rights as needed in care settings. The bill also removes a potential conflict between federal and state law regarding the LTCO being a mandatory reporter for elder abuse.

HB 2524 took effect on May 14, 2019.

2. HB 2601 (Ch. 198) Guardian Authority to Limit Access to Protected Persons

HB 2601 places some limits on a guardian's authority to limit protected person's preferred associations with third parties.

This bill is the result of a few years of back and forth over promoting self-determination for protected persons and protecting against guardians improperly denying access to protected persons. It makes a number of procedural changes and codifies many things that guardians were generally already doing, but it does so in a manner that is vague and increases the exposure of guardians to litigation. The changes made by this bill include, but are not limited to:

- Prohibiting a guardian from limiting "a protected person's preferred associations" unless specifically allowed by a court or if "necessary to avoid unreasonable harm to the protected person's health, safety or well-being." The bill provides no definition of "preferred associations," but does state that, for protected persons who cannot communicate, "preferred associations" will be presumed based on prior relationships.
- Creating a motion process to challenge restrictions on association with a mandatory hearing, which can result in removal as guardian and an award of attorney fees and costs associated with the motion if a guardian is found to have unreasonably limited association.

- Requiring the guardian to
  - "Become or remain personally acquainted with the protected person, and maintain sufficient contact with the protected person, including through regular visitation, to know the protected person's abilities, limitations, needs, opportunities and physical and mental health."
  - Get to know, to the extent practicable, the protected person's values and preferences and including the protected person in decision making.
  - Make "reasonable efforts to identify and facilitate supportive relationships and services."
  - Make the decision they reasonably believe the protected person would make, based on previous or current instructions, preferences, opinions, values, and actions, to the extent known or reasonably ascertainable, unless that decision would unreasonably harm or endanger the protected person.
  - Decide in the protected person's best interest based on information from professionals and interested persons, information the guardian believes the protected person would consider, and other factors a reasonable person would consider, including consequences for others, only if the guardian is unable to make a decision the protected person would make.
- Adding an item to the annual guardian's report regarding any limitations on association.

Practice Tip - Given the extensive nature of these changes, attorneys should review the statute in detail, update the letter sent to newly appointed or prospective guardians regarding their duties as guardian, update guardian report forms, and send a letter to all existing guardian clients to advise them of these changes before they go into effect on January 1, 2020.

HB 2601 takes effect on January 1, 2020.

3. SB 20 (Ch. 276) Services for Individuals with Developmental Disabilities

SB 20 makes a number of changes regarding eligibility for services provided to children and adults with developmental disabilities.

Practice Tip - The changes in this bill may come into play for attorneys helping implement special needs planning and other supports for adults with developmental disabilities. The bill grants individuals receiving developmental disability services through the Department of Human Services the right to be informed about their services and to be included to the greatest extent practicable in the decision-making process for these services, including decisions about where to live, who to receive services from, and what is important in quality assurance for those services.

SB 20 takes effect on January 1, 2020.

4. SB 31 (Ch. 96) Oregon Public Guardian

SB 31 codifies and expands the Oregon Public Guardian and Conservator's (OPGC) screening process, using high-risk teams of area service providers to identify those most in need of intervention and working to find appropriate interventions, up to and including use of the OPGC and state hospital if no less restrictive alternatives are viable.

Practice Tip - Elder law attorneys should identify the entities involved in the high-risk team in their area both as a resource for clients whose needs have grown to exceed their resources and to consider making themselves available in cases where a guardian is necessary but the OPGC is unable to intervene due to service priorities and budget constraints.

SB 31 takes effect on January 1, 2020.

5. SB 178 (Ch. 239) Health Care Representatives Election of Hospice Treatment

SB 178 clarifies the powers of an unappointed health care representative to elect hospice treatment. An unappointed health care representative can act under ORS 127.635 if an individual is incapable, does not have a health care representative appointed in an advance directive or appointment of health care representative, and:

- has a terminal condition,
- is permanently unconscious,
- has a condition in which life support would cause permanent and severe pain without causing meaningful improvement, or
- has a progressive illness that will be fatal and has reached a stage where the individual is consistently and permanently unable to

communicate by any means, swallow food or drink, care for themselves, and recognize family and others, when that condition is very unlikely to substantially improve.

Under those circumstances, the first available of the following becomes the unappointed healthcare representative:

- guardian,
- spouse,
- adult chosen by others on this list,
- majority of adult children,
- either parent, or
- any adult relative or friend.

Under the new provisions of this bill, the unappointed heath care representative may elect hospice treatment, which focuses on palliative care, including care for acute pain and symptom management, rather than curative treatment, provided to an individual with a terminal condition.

SB 178 will take effect on January 1, 2020.

6. SB 376 (Ch. 77) Notice of Appointment of Guardians

SB 376 adds a notice requirement after the appointment of a guardian similar to the notice of appointment of a personal representative. After a guardian is appointed, the guardian must send notice to the entities listed in ORS 125.060 (3) (and therefore ORS 125.060 (8)) and file proof of service within 30 days of appointment. The notice must include:

- Title of court and case number;
- Name and address of protected person, guardian, and the attorney for each, if any;
- Date of appointment;
- Description of guardian's authority and limitations; and
- Statement advising recipients that protected person has the right to seek removal of guardian and/or termination of guardianship.

SB 376 also adds requirements related to the annual guardian's report. If a guardian indicates a guardianship should not continue or does not provide "adequate information in the report supporting the continuing need for the

guardianship," the court shall order the guardian to provide supplemental information or move to terminate the guardianship. If the guardian fails to provide information or file the motion to terminate within 30 days, such failure is made grounds for removal of the guardian, and the court is required to hold a show cause hearing.

The court is required to send notice of any order issued under these new provisions.

> **Practice Tip** - These changes likely mean attorneys should be advising guardian clients to provide greater detail in annual reports indicating why a guardianship should continue. It is unclear exactly what information will be required and attorneys would be well advised to reach out to their local probate departments for guidance on how each county intends to implement this provision as there is no standard articulated in the bill.

SB 376 takes effect on January 1, 2020.

7. SB 815 (Ch. 554) Notice Requirements for Residential Care Facilities

SB 815 creates a number of new notice requirements applicable to residential care facilities.

> **Practice Tip** - The notice required by this statute will be helpful in explaining to guardian and Medicaid clients the limits on what a given facility can provide and are something attorneys should draw attention to when working with clients to facilitate placements.

SB 815 took effect on September 29, 2019.

8. SB 1039 (Ch. 477) Health Care Advocates

SB 1039 provides for appointment of a "health care advocate" as an alternative to guardianship for making health care decisions for individuals with developmental disabilities who receive developmental disability services under an individualized written service plan (IWSP). An individual can have a health care advocate named for them if they are incapable of making medical decisions according to a court or treating physician and have no guardian and no health care representative. A health care advocate must initially be approved by two-thirds of the IWSP team, including the individual for whom decisions will be made. A health care advocate serves for one year and can be reappointed by a majority of the IWSP team.

The bill specifies a number of decisions that the advocate is not allowed to make, such as withholding life support, most experimental treatments, and use of seclusion or restraint. The bill also provides that any treatment requiring hospitalization or general anesthesia must be approved by a majority of the IWSP team in an in-person meeting with documented consideration of alternatives, risks, benefits, impact of the treatment, and any expressed preference of the individual. The bill provides procedural safeguards for informing the individual and allowing the individual to challenge the advocate chosen and to protest any decision made by the advocate. A protest by the individual revokes the decision and the advocate's authority related to that decision and must be communicated to the relevant medical provider by the advocate or IWSP team.

This process can be a boon to families of individuals with developmental disabilities operating under supported decision-making agreements and otherwise trying to avoid the appointment of a guardian to encourage independence.

Practice Tip - Once this bill goes into effect, this will be one of the alternatives that attorneys will need to help clients consider prior to petitioning for guardianship, pursuant to ORS 125.055 (2)(g).

SB 1039 takes effect on January 1, 2020.

II. ABUSE

1. SB 474 (Ch. 461) Decedents Who Had Been Abused or Neglected by a Parent or Stepparent

SB 474 makes a number of changes including preventing parents who are found to have abused or neglected their children from receiving damages from a wrongful death action.

Practice Tip - Elder law attorneys who deal with probate administrations, especially those with wrongful death and/or personal injury claims, need to be aware of this change in parent and stepparent forfeiture timelines. The changes related to intestate estates are effective in estates commenced prior to the effective date of the statute if the estate is pending on the effective date. This means that attorneys representing personal representatives need to assess their open intestate estates to ensure these rules do not apply and attorneys representing heirs or potential heirs need to reevaluate whether forfeiture rules apply.

SB 474 took effect on June 20, 2019.

2. SB 729 (Ch. 93) Abuse of "Elderly Persons"

The current definition of "elderly person" in ORS 124.005, which provides definitions for restraining orders based on abuse of elderly persons and persons with disabilities has an exclusion for persons who are covered by the long term care resident abuse reporting requirements in ORS 441.640-441.665. SB 729 removes that exception, making all persons 65 years old or older "elderly persons" for purposes of ORS 124.005 -124.040. This bill allows persons age 65 or older who are residents in long term care settings to access the same restraining order protections available to all other persons age 65 or older.

SB 729 takes effect on January 1, 2020.

3. SB 783 (Ch. 345) Bishop v. Waters Fix

SB 783 changes the prior requirement to notify the Attorney General of an elder abuse proceeding to clarify that failure to provide such notice is not a jurisdictional defect.

> **Practice Tip:** The current (before January 1, 2020) service requirement in ORS 124.100 (6) has been interpreted by the Oregon Court of Appeals as being a jurisdictional issue, requiring dismissal of claims where notice was not served on the Attorney General within 30 days of commencing the action. *Bishop v. Waters*, 280 Or App 537, 548-549 (2016).

SB 783 expressly states "Failure to mail a copy of the complaint or pleading is not a jurisdictional defect and may be cured at any time prior to the entry of judgment." The bill further prohibits the court from entering judgment until proof of mailing to the Attorney General is filed. The bill does not apply to actions initiated before the effective date, regardless of whether a judgment has been entered or not.

SB 783 takes effect on January 1, 2020.

III. TAXATION

1. HB 2460 (Ch. 488) Senior Property Tax Deferral Program

HB 2460 generally provides that a transferee of tax-deferred homestead is only liable for amounts of outstanding deferred property taxes if the transferee is using homestead more than 90 days following taxpayer's death and is a potential recipient of homestead.

> **Practice Tip** - The OSB Elder Law Section put this bill forward during the 2019 legislative session. This is a fix for situations where a property involved in the senior tax deferral program is underwater at the

death of the owner. Prior to passage of this law, the letter of the statute seemed to suggest an heir was jointly and severally liable for the deferred property tax debt, even if that heir took no beneficial interest in the property or any other property of the estate. The Oregon Department of Revenue issued a number of tax demands to heirs under these circumstances. The bill ensures that an heir is only jointly and severally liable if they occupy, lease, or use the property for more than ninety days after the death of the deferral program participant, receive the property from the estate, or receive the property by gift or assignment from an insolvent owner.

HB 2460 took effect on September 29, 2019.

2. HB 2587 (Ch. 591) Reverse Mortgages

Understanding HB 2587 requires a bit of legislative history. The senior property tax deferral program (the program), in which the State pays a financially eligible senior's property taxes, places a lien against the property, and is repaid with interest at sale or transfer of the property. Historically, seniors with reverse mortgages were allowed to participate in the program. After the economic collapse, the program could not sustain its financial commitments and needed to be constricted. Among other things, the legislature added a prohibition against using a property that was subject to any outstanding debt under the program as security for a reverse mortgage. As the economy recovered and the program not only became solvent, but started running at a surplus, the legislature has moved to loosen the restrictions on participation. In 2012, and 2013, the legislature allowed seniors with reverse mortgages to access the program if those reverse mortgages had been executed within a period ending on June 30, 2011.

HB 2587 does two basic things. First, it switches the prohibition on pledging a property with outstanding debt under the program as security for a reverse mortgage to a prohibition on accessing the program if there is an existing a reverse mortgage. Second, the bill exempts reverse mortgages executed on or after July 1, 2011 (i.e. after the previous exemption expired) and before January 1, 2017, provided the equity in the homestead is 40% or more. The January 1, 2017 date is based on a change in federal standards for reverse mortgages that went into effect for reverse mortgages on or after that date and requires an analysis of the borrower's ability/willingness to pay taxes and requires a life-expectancy set-aside for those taxes if there are concerns. This federal change makes it extremely unlikely that any senior with a reverse mortgage executed on or after January 1, 2017 would qualify for the program.

Practice Tip - These changes are important to keep in mind for estate planning and Medicaid planning as both a reverse mortgage and the senior property tax deferral program can both be useful tools in those processes.

HB 2587 took effect on September 29, 2019.

3. SB 163 (Ch. 511) ABLE Program

The ABLE program is a tax-free, state-based savings account that individuals may establish to pay for disability related expenses. The program was created by Congress in 2014.

SB 163 allows for application, account, and administrative fees to be collected to defray the cost of the ABLE program. Attorneys should inform clients of this change when considering the use of an ABLE account for special needs planning. Also, since many states' ABLE programs allow out-of-state individuals to maintain accounts and offer a variety of costs, access options, and investment options, attorneys should encourage clients to shop around to ensure the ABLE program they choose best meets their needs.

SB 163 took effect on September 29, 2019.

IV. OTHER LEGISLATION

1. HB 2088 (Ch. 8) Endowment Care Cemeteries

HB 2088 allows Department of Consumer and Business Services to take a number of actions with respect to endowment care cemeteries that may be in violation of statutory requirements in their operation of the endowment.

Practice Tip - This bill may prove important for clients looking to care for deceased loved ones and for those looking to be buried in an endowment care cemetery. Should such clients run into problems with the management or care of such cemeteries, this bill provides tools for seeking State assistance rectifying the situation.

HB 2088 took effect on March 27, 2019.

2. HB 2285 (Ch. 191) Receivers for Abandoned Property

HB 2285 clarifies receivership proceedings and reporting and notice requirements for residential properties that city or county determines are a threat to public health, safety or welfare. The bill further allows a city or county to obtain a judgment against the property in lieu of receivership.

Practice Tip - Attorneys representing personal representatives, conservators, trustees, and others managing properties that may be sitting vacant need to be aware of the increased authority that this bill gives to city and county governments to require abatement of housing and building code violations. City and county governments can, in lieu of having a receiver appointed, get a general judgment for the estimated cost of abatement against property that is not being occupied as a dwelling if the estimated cost of abatement is greater than 25% of the real market value in the last certified tax roll. This judgment can be entered as a lien with priority over nearly all existing liens, pursuant to ORS 105.445.

HB 2285 takes effect on January 1, 2020.

3. HB 2598 (Ch. 162) Noncharitable Business Purpose Trusts

HB 2598 permits the creation of certain noncharitable business purpose trusts. This bill came forward to address concerns of owners of purpose driven business who want to ensure the purpose of their business carries on after they retire or die. Oregon currently has statutes allowing for benefit corporations, which allow for a charitable mission to be incorporated into a for profit business' structure, and allowing for non-charitable purpose trusts, which exist without a specified beneficiary for the purpose of accomplishing a specific non-charitable mission. However, benefit corporations are easily changed by future owners and purpose trusts are limited to ninety years by the rule against perpetuities. This bill addresses these shortcomings by creating a new type of trust called a stewardship trust with several specific traits, including the new positions of "trust enforcer" and "trust stewardship committee." A stewardship trust:

- Must be created for a business purpose, that purpose can seek economic and noneconomic benefits;
- May hold an ownership interest in any corporation, partnership, limited partnership, cooperative, limited liability company, limited liability partnership, or joint venture;
- Must have a trust enforcer who is not a trustee or a member of the trust stewardship committee. The trust enforcer is not a beneficiary of the trust but has all the rights of a qualified beneficiary. The trust enforcer has a fiduciary duty to enforce the terms and purpose of the trust. A trust can appoint one or more trust enforcers and provide a method for appointing successors, if no trust enforcer is acting, the court shall name one or more trust enforcers. If more than one trust

enforcer is acting, action may be taken by a majority of the persons acting as trust enforcers.

- Must have a trust stewardship committee with at least three members, each of whom shall exercise authority as a fiduciary. The initial trust stewardship committee members can be named in the trust, along with successors or a process for selecting successors. If there is a vacancy on the trust stewardship committee that must be filled, it shall be filled in the following order of priority: according to the trust, by a person appointed by unanimous agreement of the trust enforcer(s), or by a person appointed by the court. Generally, the trust stewardship committee may act by a majority vote. Unless otherwise provided in the trust, the trust stewardship committee shall have the following powers in carrying out the purposes of the trust and after notice to the trust enforcer(s):
    - Remove a trustee, with or without cause;
    - Appoint one or more successor trustees or co-trustees; o Remove a trust enforcer, with or without cause
    - Remove a member of the trust stewardship committee by unanimous vote of all other members of the trust stewardship committee;
    - Direct distributions from the trust; and
    - Exercise all rights of the trustee, including voting stock;
- Trust stewardship committee members and trust enforcers may resign with 30 days' notice to the trustee, all trust enforcers, and all members of the trust stewardship committee, or upon approval of a court, unless otherwise provided in the trust;
- Trust stewardship committee must send a report to the trustee and to the trust enforcer(s) at least annually showing receipts and disbursements and listing trust property and liabilities and keep the trustee and trust enforcer(s) reasonably informed to allow them to fulfill their duties;
- Trustee shall act on direction of the trust stewardship committee unless manifestly contrary to the trust or a breach of fiduciary duty. Trustee is only liable for willful misconduct, not for reliance on

documents provided by the trust stewardship committee or the trust enforcer(s);

- May be modified or terminated by unanimous action of the trust stewardship committee and the trust enforcers;
- Upon termination, all remaining property shall be distributed as the terms of the trust provide, or if the terms of the trust do not provide for complete distribution of the property, as a court determines to be consistent with the purposes for which the trust was created;
- Can elect to be exempt from the rule against perpetuities by specific reference to ORS 105.965(8) and by provision for a specific duration in excess of ninety years or provision for an indefinite duration.

Practice Tip - This could be a powerful new estate/succession planning tool for business owners with a passion for serving their communities who want to ensure that service lives on.

However, attorneys will need to be very careful and specific in drafting to ensure that all of the statutory requirements are properly embodied in the trust to ensure it is able to take advantage of the new provisions. Additionally, attorneys representing a settlor, or any fiduciary involved in a stewardship trust, should send a detailed letter to their client(s) outlining their duties under the trust. Attorneys also need to be very careful in representing parties related to a stewardship trust to avoid conflicts of interest that might arise from serving more than one party. As this is a brand new type of trust in Oregon, it will be important for attorneys to look to other states, such as Delaware, where similar trusts have been attempted and to share with each other as appropriate documents are developed.

HB 2598 takes effect on January 1, 2020.

4. HB 3006 (Ch. 414) No-Asset Probates

HB 3006 is the first of the three bills put forward by the Probate Modernization Work Group this session. This bill establishes procedures for probate in cases where there are no assets in the probate estate, but a personal representative (PR) is needed to pursue a wrongful death claim, obtain medical records, or deal with other affairs of the decedent. The bill waives or defers many requirements of the probate process that don’t make sense in the absence of assets, doing the following:

- Adding an option to state in the petition for probate that the estate has no assets and, in such cases, requiring a statement of the purpose for appointing a PR
- Waiving the bond, the publication of notice, the declaration of compliance and notice to creditors, and the deadline for allowance or disallowance of claim, unless assets are later discovered;
- Allowing for an inventory to be filed stating no property of the estate has come into the knowledge or possession of the PR and requiring the filing of a supplemental inventory if property of the estate comes into the knowledge or possession of the PR at a later date;
- Allowing for a verified statement in lieu of annual accounting, similar in form to the verified statement in lieu of final accounting; and
- Allowing for a motion to close the estate, with requirements established in the bill, in lieu of a final accounting.

HB 3006 takes effect on January 1, 2020. For additional information about this bill, see the Estate Planning and Probate Law Chapter.

5. HB 3007 (Ch. 165) Revisions to Small Estate Statutes

HB 3007 is the second of three bills from the Probate Modernization Work Group. The bill modifies the process for use of the small estate affidavit (affidavit) in probate proceedings involving estates with less than $75,000 in personal property and $200,000 in real property.

The modifications include, but are not limited to

- Specifying that the fair market value of the estate is determined at the time of the death of the decedent or, if the date of death is more than one year before the date of filing, then within 45 days of the filing;
- Prohibiting use of the affidavit if the affiant would be disqualified from acting as a personal representative or if person has been convicted of a felony in Oregon or another jurisdiction;
- Providing a process for filing an amended affidavit;
- Specifying that if the value of the property of the estate exceeds the limitations for a small estate, the authority of the affiant is terminated and a personal representative must be appointed;
- Increasing the information that must be disclosed in an affidavit;

- Providing notice of the duty of others to pay to the affiant any debt owed to the decedent and to turn over property of the decedent to the affiant and requiring notice of those duties to be included on the first page of the affidavit, which must be sent to potential debtors and creditors;
- Updating the process for compelling payment of debt or transfer of property;
- Prohibiting creditor from using summary review provisions if a claim was properly presented and disallowed and summary review was not sought within the time required;
- Allowing attorney fees to a prevailing party in cases in which a court finds an affiant filed a motion to compel payment of a debt or delivery of property without an objectively reasonable basis, or the other party refused to deliver the property or pay the debt without an objectively reasonable basis;
- Specifying the procedure for claims against a small estate;
- Updating the process for the court to make a summary determination of a claim against a small estate;
- Affirming that the affiant is a fiduciary with a general duty to administer, preserve, settle, and distribute the estate and prohibiting commingling of property of estate with that of the affiant or any other person;
- Updating rules on selling or transferring property of the estate;
- Detailing liability of the affiant, including liability for losses due to neglect, commingling, self-dealing, or negligence in administration of the estate;
- Removing automatic transfer provisions; and
- Updating process for an heir, beneficiary, or creditor to obtain amounts owed from estate through summary review.

The bill also clarified ORS 112.238, which allows a petition to show that a writing was intended to be a decedent's will, even if not properly executed, along with numerous other provisions that required clerical amendments to adapt to the substantive changes in the small estate statutes.

HB 3007 will take effect on January 1, 2020.

6. HB 3008 (Ch. 166) Personal Injury and Wrongful Death Probates

HB 3008 is the last of the three bills put forward by the Probate Modernization Work Group this session. This bill addresses the probate process for cases where there is a personal injury (PI) or wrongful death (WD) claim attached to the decedent. It makes the following changes in PI and WD cases:

- Clarifying that a personal representative (PR) can petition for court approval of a settlement without having filed a claim on the underlying PI or WD matter;
- Requiring that a petition to approve a PI or WD settlement must include a declaration: o Stating whether the claim is PI or WD;
    - Describing the incident leading to injury/death and the injuries incurred;
    - Stating the amount of the claim, the settlement, the attorney fees and costs, any reimbursements owed under ORS 30.030(3) and, for PI, ORS 416.540, and any PR fee attributable to a WD claim;
    - Stating reasons for settlement and efforts to maximize recovery;
    - Stating the attorney has examined the applicable medical records; and
    - Explaining why it is appropriate to settle.
- Requiring the court, in cases where a PI claim that has not been adjudicated or settled is the only asset of the estate, to defer bond until settlement is approved and accept an update on the status of the PI case in lieu of an accounting.

HB 3008 also provides the following in cases where the sole purpose of filing a probate is to appoint a PR to pursue a WD case:

- The following must be included with the petition to appoint PR:
    - A statement that the petitioner is filing for the sole purpose of pursuing a WD claim;
    - The names relationship to decedent, and post office address of beneficiaries, and age of minor beneficiaries; and
    - A statement that reasonable efforts have been made to locate and identify all beneficiaries and indicating any omissions;

- Information must be sent to the beneficiaries and to Department of Human Services (DHS) and Oregon Health Authority (OHA) (this notice goes to the Estate Administration Unit (EAU)):
  - Title of the court in which the estate is pending and the case number; o Name of decedent and place and date of death;
  - Name and address of PR, attorney for the WD case, and attorney for the estate;
  - Date of the appointment of the PR; and
  - Statement that beneficiaries' rights may be affected and information can be obtained from court, attorneys, or PR in notices to beneficiaries or whatever DHS/OHA require by rule in notices to EAU;
- If the PR has actual knowledge that the petition omitted a beneficiary, the PR has a duty to make reasonable efforts to find the beneficiary and send them notice;
- The following requirements are waived if no assets are discovered:
  - Information to devisees, heirs, and interested persons under ORS 113.145; o Publication of notice;
  - PR Bond;
  - Proof of compliance of diligent search under ORS 115.003; and o Inventory;
  - PR may file an annual status report on the WD case in lieu of an accounting;
- PR may file a motion to close rather than a final accounting. The motion to close may be filed after the resolution of the WD claim and distribution of any funds recovered, but no sooner than 4 months after notice to beneficiaries and EAU. The motion must:
  - State no assets have been found and the WD claim has been resolved;
  - Include receipts or other evidence of distribution of the WD claim proceeds; and
  - Be sent to each beneficiary not less than 20 days before the time for filing objections;

- • PR is discharged by granting of motion to close and that discharge may only be challenged for one year after the judgment is entered; and
- • WD settlement proceeds must be placed in the IOLTA account of the attorney for the PR in the WD or probate case or a court restricted account before being distributed pursuant to ORS 30.030.

HB 3008 also updates the PR fee statute to add PI and WD proceeds to the amount of the estate for calculating the fee and clarifies that the highest correctly reported value of each asset is to be use in the calculation, excluding any materially misstated values. Finally, the bill adds any county where a PI or WD claim could be maintained to the list of acceptable venues for a probate.

HB 3008 takes effect on January 1, 2020.

7. HB 3447 (Ch. 605) Filing Fees

HB 3447 raises filing fees for filings on or after October 1, 2019. The filing fees most relevant to elder law will be increased to the following:

- Guardianship $124
- Petition to appoint PR or conservator for estate with value:
  - o Less than $50,000 $278
  - o $50,000 or more, but less than $1 million $591
  - o $1 million or more, but less than $10 million $882
  - o More than $10 million $1,176
- Accounting for estate or conservatorship with value:
  - o Less than $50,000 $35
  - o $50,000 or more, but less than $1 million $298
  - o $1 million or more, but less than $10 million $591
  - o More than $10 million $1,176

HB 3447 took effect on July 23, 2019. The new fees go into effect on October 1, 2019.

8. SB 294 (Ch. 246) Pioneer Cemeteries

SB 294 authorizes the annexation of land to pioneer cemetery districts upon a petition by the owner of the land and approval of the district.

Practice Tip - This is an estate and burial planning consideration for clients in rural areas that have land outside of the urban growth boundaries of all Oregon cities. Such clients may petition for land to be annexed to an existing pioneer cemetery maintenance district if they wish that land to be held and maintained as a pioneer cemetery under ORS 265. This may be particularly appealing to clients with longstanding family land holdings and multi-generational family history in Oregon.

SB 294 takes effect on January 1, 2020.

9. SB 361 (Ch. 546) Uniform Prudent Investor Act

SB 361 was proposed to address concerns over comments promulgated with the Uniform Prudent Investor Act and at the legislative hearings when Oregon adopted its prudent investor act that created an ambiguity regarding whether environmental, social, and governance factors can be considered by trustees when investing.

The bill clarifies that trustees can consider any factors the trust directs them to consider regarding how to invest, "including whether to engage in one or more sustainable or socially responsible investment strategies in addition to or in place of other investment strategies, with or without regard to investment performance." The bill also added two new circumstances to be considered when selecting investments. First, "the intent, desire and personal values of the settlor, including the settlor's desire to engage in sustainable or socially responsible investment strategies that align with the settlor's social, environmental, governance or other values or beliefs to the extent known by the trustee." Second, "the needs of the beneficiaries, including but not limited to the beneficiaries' personal values and desire that the trustee engage in sustainable or socially responsible investing strategies that align with the beneficiaries' social, environmental, governance or other values or beliefs, as well as the financial needs of the beneficiaries."

SB 361 takes effect on January 1, 2020.

10. SB 454 (Ch. 678) Unclaimed Property

SB 454 transfers the administration of Uniform Disposition of Unclaimed Property Act, unclaimed estates and escheating funds from Department of State Lands to State Treasurer.

Practice Tip - Elder law attorneys need to watch for upcoming administrative rules and policies related to this chance in administration of

the unclaimed property act to ensure they are following correct procedures for checking for unclaimed property and retrieving any such property as appropriate for clients and estates.

SB 454 took effect on September 29, 2019. Operative dates start phasing in July 1, 2021.

Chapter 9 -- Environmental Regulation

Mike Freese: 2012 Willamette University School of Law. Oregon State Bar member since 2013.

I. ENVIRONMENTAL REGULATION

1. HB 2007 (Ch. 645) Diesel Engine Standards

This bill establishes new diesel standards for medium and large trucks in the Portland metro counties (Washington, Multnomah and Clackamas). Owners of vehicles that do not comply with the new standards will not be permitted to title such vehicles in those counties. Additionally the bill permits the use of Volkswagen settlement funds to help governments and businesses transition to newer, cleaner burning diesel engines.

2. HB 2250 (Ch. 138) Anti-Rollback Bill

HB 2250 requires the Department of Environmental Quality and the Oregon Health Authority to regularly assess final changes to the federal Clean Water, Clean Air, and Safe Drinking Water Acts to determine whether changes are "significantly less protective" of public health, environment, or natural resources than standards and requirements contained in those federal environmental laws, as in effect on January 19, 2017.

HB 2250 takes effect on January 1, 2020.

3. SB 1044 (Ch. 565) Transportation Electrification

This bill establishes legislative findings related to transportation electrification. If directs the Oregon Department of Energy to submit a biennial report on the adoption of zero-emission vehicles and associated greenhouse gas reductions. Additionally, the bill directs state agencies to make 25 percent of new light-duty vehicle purchases zero-emissions vehicles, with exceptions, and to include information on these purchases in annual reports. This requirement is extended to all new light-duty vehicles purchased by on January 1, 2029.

SB 1044 takes effect on January 1, 2020.

4. SB 320 (Ch. 421) Daylight Savings Time

SB 320 authorizes the abolition of the annual one-hour change in time from standard time to daylight saving time and maintains most of Oregon on daylight saving time year round. This provision only applies to the portion of Oregon in the Pacific Time Zone, and not to that portion of Oregon in the Mountain Time Zone (primarily parts of Malheur County).

This bill will only go into force if Washington and California enact similar changes and Congress approves the change. The bill would take effect on the first Sunday in November once Washington and California's changes take effect. Operative provisions of the bill are functionally repealed if the change has not occurred by December 1, 2029.

5. SB 471 (Ch. 294) Conflict Minerals

SB 471 requires prospective contractors to state in their bid for a public contract whether they will use conflict minerals in performing the contract. Additionally they must state whether their disclosures, policies, practices and procedures with respect to procuring conflict minerals comply with the Organization for Economic Cooperation and Development's Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Area.

SB 471 took effect on September 29, 2019.

Chapter 10 -- Estate Planning and Probate Law

Holly Mitchell: 1984 Northwestern School of Law. Oregon State Bar member since 1984.

Phil Jones: 1976 Northwestern School of Law. Member of the Oregon State Bar since 1976.

I. PROBATE MODERNIZATION

The following three bills were the work of the Probate Modernization Work Group of the Oregon Law Commission. A detailed summary of the three bills has been prepared by Prof. Susan Gary and is available on the website of the OSB Estate Planning and Administration section: https://estateplanning.osbar.org/files/2019/04/Report2019ProbateModernBillsProfGary319.pdf.

1. HB 3006 (Ch. 414) No-Asset Probates

HB 3006 was intended to codify and make uniform the probate procedures applicable to no- asset probates. These include probates that have been opened solely to facilitate the prosecution of a wrongful death action, or to deal with other litigation that needs a personal representative to be appointed, or to facilitate the exercise of a testamentary power of appointment by a decedent who left no probate assets.

Previously, some county probate courts waived many of the procedural requirements of a probate when the probate was opened solely to allow a personal representative to file a wrongful death action, but many other counties pointed out that the probate code did not permit such waivers. Under the revised statute, the requirement to post a bond is waived, as are the requirements to publish notice to interested persons and to search for claimants and creditors. Each of these waivers requires that the probate petition state that no probate assets are known to the petitioner, and that no probate assets have come into the knowledge or possession of the personal representative. This legislation is intended to allow the filing of a no-asset probate even if the decedent owned a small amount of tangible personal property.

A parcel of real estate subject to foreclosure with no equity in the property is not considered to be a non-asset. If a claim is presented to a no-asset estate, the personal representative is under no obligation to disallow the claim until such time that the personal representative files an amended or supplemental inventory showing that assets have come into the possession of the estate, and such an inventory is required if such assets are found. The bill also permits abbreviated accountings and prompt closure of the estate if the personal representative

represents to the court that the purpose of the appointment has been satisfied. If assets are later found, the bill provides procedures for notifying the court and satisfying the procedural requirements that were waived when the estate was thought to be without assets.

HB 3006 is effective as to probates filed on or after January 1, 2019, and to accountings required to be filed on or after that date.

2. HB 3007 (Ch. 165) Revisions to Small Estate Statutes

This bill significantly modifies the small estate procedures of ORS Chapter 114, but it does not increase the monetary limits on small estates. However, the date for valuing the assets of a small estate is now permitted to be either the date of death, or (if more than one year has elapsed), within forty-five days before filing the affidavit.

The qualifications for serving as a claiming successor are made uniform with the qualifications for serving as a personal representative. The bill provides detailed procedures for filing an amended small estate affidavit. The bill also requires that the affidavit begin with a bold-faced warning to persons holding assets (such as banks and other financial institutions) that they are obligated to surrender the assets, or be subject to a court order and possibly attorney fees. If the decedent was incarcerated in Oregon within the last fifteen years, a copy of the affidavit must be mailed to the Oregon Department of Corrections. The bill also contains provisions for dealing with a safe deposit box in the context of a small estate affidavit, and also for dealing with claims.

> **Practice Tip**: HB 3007 prohibits the claiming successor from commingling estate assets with the personal assets of the claiming successor, or entering into self-dealing transactions. This means that one or more separate bank accounts may need to be established and an EIN might need to be obtained. Obtaining an EIN is relatively easy if the application (Form SS-4) treats the small estate in a manner similar to a probate estate. Because of the above-described changes, small estate affidavit forms previously used under old law will need to be revised.

HB 3007 applies to deaths on or after January 1, 2020, and to certain deeds executed after January 1, 2020.

3. HB 3008 (Ch. 166) Personal Injury and Wrongful Death Probates

HB 3008 requires personal representatives to receive court approval before settling a personal injury suit, not just a wrongful death suit.

Practice Tip: A personal injury suit is one which alleges injuries sustained before death. Therefore, the associated damages become part of the probate estate, are subject to the claims of creditors, and are distributable to the beneficiaries of the estate (either through intestacy or under the provisions of a will),. On the other hand, a wrongful death suit results in damages that are not part of the probate estate, are not subject to the claims of creditors, and are distributed to a statutory list of parties. (See ORS Chapter 30.)

One of the purposes of this legislation is to clarify the treatment of personal injury suits and wrongful death suits, because often the two are difficult to tell apart. Similar to HB 3006, this bill waives requirements for the publication of notice, the filing of a bond, proof of search for creditors, the filing of an inventory, and the filing of a detailed accounting for no-asset wrongful death probates.

The bill requires that wrongful death proceeds must be placed in an attorney trust account, and it permits the calculation of the personal representative's fee based on the amount recovered in a wrongful death suit. The bill also clarifies that a personal representative can commence the probate in the county where a personal injury suit or a wrongful death suit could be maintained, in addition to the other eligible venues (e.g. where the decedent lived, where the decedent owned property, or where the decedent died).

HB 3008 takes effect on January 1, 2020.

II. OTHER LEGISLATION

1. HB 2417 (Ch. 487) PERS Death Benefit for Surviving Spouses

This legislation changes the PERS death benefit available to surviving spouses of public employees, but requires an election to be made within sixty days following the date of death.

HB 2417 applies to deaths occurring on or after January 1, 2020.

2. HB 2460 (Ch. 488) Senior Deferred Property Taxes Following Death

This legislation limits the types of beneficiaries who might be liable for the decedent's property taxes deferred under the senior citizen property tax program authorized by ORS Chapter 311.

Previously, family members who received nothing from the estate might be held responsible for the deferred property taxes.

HB 2460 took effect on September 29, 2019. The amendments to ORS 311.695 in the bill apply to all transfers occurring on or after that date, as well as some transfers that occurred before that date. Please consult the text of the bill for a fuller description of applicability.

3. HB 2598 (Ch. 162) Stewardship Trusts

HB 2598 creates a new type of trust within ORS Chapter 130 (the Oregon version of the Uniform Trust Code) that is not charitable in nature and has no beneficiaries, but can hold a business interest (such as shares in a corporation or units in a partnership) and maintain control over the business in order to perpetuate the goals of the settlor. Typically, the settlor of such a trust would be the founder and/or owner of the business. This bill was enacted partly to enable a Eugene organic produce company to secure its long-term future by allowing the owner to place a controlling interest in the business into a perpetual stewardship trust.

The legislation allows the trust to be operated by a trustee, and be overseen by a stewardship committee and a trust enforcer. The drafters intend that all of the tax consequences of the business will be borne by the business, not by the trust. Distributions from the business can be made to various stakeholders, including employees, customers, investors, and the community, but because no distributions are made to the trust, the trust bears no income tax consequences.

A stewardship trust is different than a purpose trust, which is already authorized by ORS 130.190 (and which remains unchanged). A purpose trust is not charitable in nature, but it has no known or ascertainable beneficiaries. Instead, it has a non-charitable purpose. Purpose trusts established under existing Oregon law have two disadvantages: they are subject to the rule against perpetuities (the life is limited to ninety years), and the court has the power to reduce the assets held by a purpose trust if the assets exceed the amount needed to carry out the purpose. A stewardship trust is not subject to the rule against perpetuities if the trust so states, and the legislation does not authorize the courts to remove assets from the trust.

HB 2598 takes effect on January 1, 2020.

4. HB 2601 (Ch. 198) Social Contacts of Protected Persons

HB 2601 is designed to limit the ability of a guardian to restrict the protected person's access to friends and other social contacts. It also requires the guardian to promote the self- determination of the protected person and to maintain a personal

acquaintance with the protected person through regular visitation. The statutory form of a guardian's report is modified by this new bill.

HB 2601 takes effect on January 1, 2020.

5. SB 361 (Ch. 546) Social and Environmental Investing

This legislation permits trustees to consider the personal desires of the settlor regarding social and environmental investments, and to consider the views of the beneficiaries on those subjects and the financial needs of the beneficiaries.

The bill takes effect on January 1, 2020.

6. SB 376 (Ch. 77) Notice of Guardianship

SB 378 requires guardians to give notice of the authority granted to the guardian and of the right to seek removal of the guardian. The notice must be given to the same persons who received notice of the guardianship petition. The legislation also authorizes the court to act if the annual report does not justify the continuation of the guardianship.

The bill takes effect on January 1, 2020.

7. SB 474 (Ch. 461) Decedents Who Had Been Abused or Neglected by a Parent or Stepparent

This legislation limits the rights of parents and/or stepparents to inherit from a child who had been who had abused or neglected. The forfeiture relates to an intestate share, wrongful death proceeds, and shares passing by way of a transfer on death deed, but not a share under a will.

SB 474 took effect on June 20, 2019.

8. SB 1039 (Ch. 477) Health Care Advocates for Developmentally Disabled Persons

SB 1039 authorizes the appointment of health care advocates for persons whom the court or a treating physician have determined to be incapable of making health care decisions. The legislation generally provides that the health care advocate may make health care decisions for the individual, but provides exceptions for certain medical or other procedures.

The bill takes effect on January 1, 2020.

Chapter 11 -- Health Law

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I. BEHAVIORAL HEALTH

1. HB 2215 (Ch. 19) Civil Commitment

ORS 426.385 is part of Oregon's civil commitment laws and provides a set of rights for individuals who have been civilly committed. HB 2215 adds a right to reasonable privacy and security in resting, sleeping, dressing and personal hygiene activities, which may be limited when it would create a significant risk of harm.

HB 2215 took effect on April 10, 2019.

2. HB 2257 (Ch. 583) Substance Abuse as a Chronic Illness

Oregon has one of the highest rates of prescription opioid misuse in the nation. In 2017, Governor Brown created the Opioid Epidemic Task Force to combat opioid abuse and dependency. HB 2257 is a result of Task Force activity. The law declares substance use disorder (SUD) to be a chronic illness. In addition, the law prompts several different initiatives, which are aimed at curbing the problem of opioid abuse. This includes establishing a pilot program to treat pregnant individuals suffering from SUDs; directing the Department of Corrections to study and report on SUD treatment options for individuals in custody; enhancing access for individuals receiving treatment for SUD services that are publicly funded; establishing accreditation standards for SUD programs; and improving the state's prescription drug monitoring program.

HB 2257 took effect on July 23, 2019.

3. HB 2400 (Ch. 400) Civil Commitment Appeals

In criminal, delinquency and dependency cases, a process exists which permits an untimely appeal if certain requirements are met and the notice of appeal is filed within ninety days. A motion must be filed which includes a showing of "a colorable claim of error." HB 2400 creates a similar timeline and process for late appeals in civil commitment cases under ORS chapter 426.

HB 2400 took effect on June 17, 2019.

4. HB 2691 (Ch. 87) Oregon Psychiatric Access Line

The Oregon Psychiatric Access Line (OPAL) is an OHSU program (in collaboration with professional societies) that provides psychiatric care telephone and electronic consults to primary care providers in Oregon who have patients with mental disorders. OPAL has been providing these services for providers treating children and adolescents. HB 2691 establishes the program for both children and adults, sets business hours, and requires psychiatrists to consider prescribing protocols.

HB 2691 takes effect on January 1, 2020.

5. SB 1 (Ch. 616) System of Care Advisory Council

In 2018, the Children and Youth with Specialized Needs work group was formed by the Governor, Senate President, and Chief Justice to study reforms to state and local systems providing services to youths with mental and behavioral health challenges. The work group issued a report in June 2018.

SB 1 implements some of the recommendations of the work group by establishing a System of Care Advisory Council and directing the Council to develop a comprehensive long range plan for developing a coordinated statewide system of care. The measure also includes reporting requirements and allows the Council to propose legislation. Finally, SB 1 allows the Oregon Health Authority, Oregon Youth Authority, and the Department of Human Services to contract for public and private interdisciplinary assessment teams to provide services to youth.

SB 1 takes effect on January 1, 2020.

6. SB 133 (Ch. 363) Patient Brokering and False Advertising

The purpose of SB 133 is to protect consumers in Oregon by prohibiting kickbacks and false or misleading advertisements by substance use, problem gambling, and other behavioral health service providers. In particular, SB 133 prohibits providers from accepting fees, commissions, bonuses, rebates, or other compensation for patient referrals. It also prohibits false advertising that misstates or misrepresents eligibility to participate in medical assistance programs and/or the need for an Oregon resident to obtain services out of state. The law does not provide for any enforcement mechanism.

SB 113 took effect on September 29, 2019.

7. SB 184 (Ch. 318) Fitness Restoration

SB 184 amends Oregon statutes regarding one aspect of competency restoration for criminal defendants. The measure creates procedures for a court order requiring involuntary medication to aid in restoring competency, if certain criteria are met. The legislation is intended to conform to United States Supreme Court and Oregon Supreme Court cases setting standards for when involuntary medication can be used for fitness restoration. The question of when the state can involuntarily medicate a person in order to move forward with criminal prosecution raises significant constitutional issues.

SB 184 takes effect on January 1, 2020.

8. SB 24 (Ch. 538) Criminal Aid & Assist Procedures

If a criminal defendant may be unable to aid and assist in their defense due to incapacity, the court is required to take steps to determine if the person is fit to proceed. If an evaluation results in a finding of unfitness to proceed, the person historically has been sent to the state hospital for treatment until competency is restored. The area of "aid and assist" in criminal cases has been the subject of much discussion and recent litigation due to significant delays in the process due to lack of adequate resources. Significant constitutional issues are involved.

SB 24 is a complex measure which changes aid and assist procedures in a number of ways.

Overall, the intent of the measure is to reduce delays in the aid and assist process, reduce admissions to the Oregon State Hospital, divert those charged with lower level crimes or violations related to mental disorders from the criminal justice system, and provide for more judicial oversight. As of the time this summary was written, trial courts are reporting some struggles in implementing the new laws.

SB 24 took effect on July 15, 2019.

9. SB 25 (Ch. 311) Competency Evaluations

SB 25 also makes changes to procedures for competency evaluation and restoration services in criminal cases. There has been high profile litigation about delays in these processes, which must meet constitutional requirements. SB 25 amends statutes to create timelines for delivery of court orders, and for delivery of relevant mental health records to fitness evaluators. It also changes filing procedures per Oregon's e-court standards.

SB 25 took effect on June 11, 2019.

10. SB 485 (Ch. 178) OHA Role in Youth Suicide Prevention

The suicide rate in Oregon for those aged 10 to 24 years of age doubled between 2010 and 2017, and is well above the national average. SB 485 is one of a set of measures designed to address this major public health problem.

The bill expands ORS 418.735 to require the Oregon Health Authority to be a resource for public and private schools, colleges and universities, and local mental health authorities when a suspected suicide involves a person 24 years of age or younger. The statute includes a requirement to develop a communication plan for providing support and preventing contagion risk. Under previous law OHA could offer these services but was not required to. SB 485 also requires educational institutions to inform OHA of their response to a suspected student suicide.

SB 485 takes effect on January 1, 2020.

11. SB 52 (Ch. 172) Student Suicide Prevention

SB 52 is named "Adi's Act" in honor of Adi Staub, a transgender Portland student who committed suicide in 2017. According to the OHA, youth suicides in Oregon have been increasing since 2011, with 107 recorded deaths in 2017.

SB 52 directs school districts to adopt a policy requiring a comprehensive plan on student suicide prevention. The plan must ensure school employees act within the authorization and scope of their credentials and licensure in relation to diagnosing and treating mental illness. In developing the plan, school districts may consult with suicide prevention experts, the Oregon Department of Education, parents, school employees, and other parties.

The plan must be adopted by the beginning of the 2020-2021 school year, and be operative by July 1, 2020. SB 52 took effect on May 24, 2019.

12. SB 665 (Ch. 375) Naloxone in Schools

In 2016, there were 312 opioid-related overdose deaths in Oregon, which is a rate of 7.6 deaths per 100,000 persons compared to the national rate of 13.3 deaths per 100,000. The purpose of SB 665 is to provide expanded availability of naloxone in schools to address opioid overdoses. SB 665 directs the State Board of Education to adopt rules for administering naloxone to reverse opioid overdoses. It also permits school districts to adopt rules to allow trained school personnel to administer naloxone and similar medications if a student or other individual overdoses on opioids at school, on school property, or at a school-sponsored activity. SB 665 provides immunity from criminal and civil actions

related to good faith administration of naloxone or similar medication by trained school personnel.

SB 665 takes effect on January 1, 2020.

13. SB 707 (Ch. 341) Youth Suicide Prevention

According to the Oregon Health Authority (OHA), suicide was the second leading cause of death among Oregonians aged 10 to 24 in 2016. SB 707 establishes a Youth Suicide Intervention and Prevention Advisory Committee to advise the OHA on suicide intervention and prevention for youth who are 10 to 24 years old. It requires the OHA to provide staffing and appoint members that reflect cultural, linguistic, geographic, and economic diversity.

SB 707 also directs the Youth Suicide Intervention and Prevention Coordinator to consult with the Committee to update the Youth Suicide Intervention and Prevention Plan, and to include recommendations for administrative and legislative changes to address service gaps in the Coordinator's annual report to the Legislative Assembly.

SB 707 took effect on September 29, 2019.

14. SB 918 (Ch. 471) Information Sharing Regarding Suspected Suicides

SB 918 expands ORS 418.735 information sharing requirements by directing local mental health authorities that learn of a suspected suicide of person aged 24 years of age or younger to notify local entities that have been involved with the person. The purpose is to permit effective response and communication efforts by schools, public agencies, and other programs. Information sharing is required when there is "third party notification", meaning the suicide is reported by someone other than a patient in a program administered by the mental health authority.

SB 918 takes effect on January 1, 2020.

15. SB 973 (Ch. 563) Reinvestment Program

This law creates a reinvestment program to provide funding to local and tribal communities to improve delivery of services to people with complex behavioral health needs. The policy goal is to provide more coordinated early intervention resources to avoid mental health crises that result in law enforcement and emergency medicine involvement.

SB 973 establishes the Improving People's Access to Community-based Treatment, Supports and Services Program along with a grant committee to invest funds in evidence based programs. The Council of State Governments' Justice Center consulted in the development of this program. The measure also allocates $10,000,000 in funds to be administered by the grant committee per statutory criteria.

SB 973 took effect on July 15, 2019.

II. COMMUNITY HEALTH

1. HB 2005 (Ch. 700) Paid Family Leave

HB 2005 creates a family and medical leave insurance program to provide partially or fully compensated time away from work to covered individuals who meet certain criteria while on family leave, medical leave or safe leave. It requires employer and employee contributions to fund program.

HB 2005 took effect on September 29, 2019. For additional information about this bill please see the Labor and Employment Chapter.

2. HB 2032 (Ch. 574) TANF Pilot

HB 2032 creates the Temporary Assistance for Needy Families (TANF) Housing Pilot Program in Housing and Community Services Department to provide housing stabilization services to families receiving services from the TANF program through grants awarded to local housing services providers. It also requires the Oregon Health Authority (OHA) in consultation with the Department of Human Services (DHS) to establish and administer a Mental and Behavioral Health Pilot Program. The program may award grants to up to four CCOs to assess need for mental health and substance abuse treatment for individuals enrolled in the TANF program, refer individuals in need of services for appropriate care, and track the results of referrals. HB 2032 creates Education and Training Pilot Program in DHS to provide funding to community- based entities through competitive application process.

HB 2032 took effect on July 23, 2019; the Mental and Behavioral Health Pilot Program is operative February 1, 2020.

3. HB 2524 (Ch. 117) Availability of Long Term Care Ombudsmen

HB 2524 requires long term care facilities, residential facilities and adult foster homes to provide residents with information describing availability and services of Long Term Care Ombudsmen upon admission. It also clarifies that

Long Term Care Ombudsmen complies with federal law that governs disclosure of information.

HB 2524 took effect on May 14th, 2019.

4. HB 2563 (Ch. 109) Newborn Screening

HB 2563 establishes the Newborn Bloodspot Screening Advisory Board in the Oregon Health Authority (OHA). The Board will report findings and recommendations to the Legislature.

HB 2563 took effect on May 13, 2019.

5. HB 2600 (Ch. 592) Disease outbreaks in long-term and residential care facilities

HB 2600 establishes new protocols, training and inspection requirements for long-term and residential care facilities in order to prevent and control disease outbreaks. It requires the Department of Human Services (DHS) to conduct annual inspections of kitchens and food preparation areas and allows DHS to impose an inspection fee on facilities that are inspected.

HB 2600 takes effect on January 1, 2020; new requirements apply to licenses issued or renewed on or after January 1, 2021.

6. HB 2601 (Ch. 198) Substitute Judgment Standard

HB 2601 adopts the standards of practice from the National Guardianship Association into Oregon law, including the requirement that guardians of protected persons are to use a substitute judgment standard for decision making in guardianships. It also prohibits a guardian from limiting a protected person's associations with others unless allowed by court or the guardian deems it necessary to avoid unreasonable harm to the protected person and specifies a process for challenging restrictions.

HB 2601 takes effect on January 1, 2020.

7. HB 3165 (Ch. 601) School Based Clinics

HB 3165 funds schools and education services districts to plan for and pilot school-based health centers and services. The Oregon Health Authority (OHA) is required to provide planning grants to ten school districts or education service districts to evaluate community needs for school-based health services. After a two year planning period, OHA is required to provide operating funds to at least six school-based health sponsors to open state-certified school- based health centers. HB 3165 permits OHA to provide operating funds for up to four school districts or

education service districts to implement five-year pilot projects that test providing school-based health services as alternatives to school-based health centers. The pilots must include a community partner such as a Coordinated Care Organization (CCO), Federally Qualified Health Center (FQHC), local public health authority or other sponsor and to identify funding sources for service costs. The bill appropriates $950,000 of the General Fund.

HB 3165 took effect on July 23, 2019.

8. SB 1039 (Ch. 477) Appointment of Health Care Advocate

SB 1039 authorizes the appointment of a health care advocate to make health care decisions for individuals with an intellectual or developmental disability that do not have a guardian or health care representative. It also provides applicable parameters and scope to the appointment process.

SB 1039 takes effect on January 1, 2020.

9. SB 178 (Ch. 239) Election of Hospice Treatment

SB 178 defines "hospice treatment" and allows a designated health care representative to elect hospice treatment on behalf of incapacitated individual with terminal condition in the absence of a valid advance directive.

SB January 1, 2020.

10. SB 19 (Ch. 455) Adult Foster Home Licensing

SB 19 requires the Department of Human Services (DHS) and the Oregon Health Authority (OHA) to adopt specific licensing rules for each type of adult foster home, including those providing residential care to older adults, persons with physical disabilities, persons with intellectual disabilities and persons with mental illness. It also authorizes DHS to impose civil penalties for violations of programs or service delivery within its scope of responsibility.

SB 19 takes effect on January 1, 2020.

11. SB 20 (Ch. 276) Eligibility for Services to Children and Adults with Developmental Disabilities

SB 20 eliminates the distinction between developmentally disabled children and adults for the purpose of eligibility and access to services. The bill requires the Department of Human Services (DHS) to use case management entities and to contract with support service brokerages and with each community developmental disabilities program.

SB 20 takes effect on January 1, 2020.

12. SB 31 (Ch. 96) High Risk Teams

SB 31 allows the Oregon Public Guardian and Conservator (OPGC) to establish county and statewide high-risk teams to address situations in which highly vulnerable adults are experiencing harm or at-risk of experiencing harm. The bill makes information acquired by the team(s) confidential, however, a member of a team may use or disclose protected heath information without obtaining a release if necessary to prevent or lessen a serious threat to the health or safety to the public or any person.

SB 31 takes effect on January 1, 2020.

13. SB 376 (Ch. 77) Notice of Guardian Appointment

SB 376 requires notice of the guardian appointment to be sent by the newly appointed guardian to a list of interested persons, including the protected person. It also requires the guardian to initiate termination of the guardianship when no longer needed.

SB 376 takes effect on January 1, 2020.

14. SB 492 (Ch. 514) Support to Parents with Disabilities

SB 492 requires Oregon to provide parents and guardians with disabilities reunification opportunities that are equal to those provided to parents and guardians without disabilities.

SB 492 took effect on June 27, 2019.

15. SB 493 (Ch. 296) Oregon Human Rights Commission

SB 493 establishes the Oregon Human Rights Commission within the Department of Human Services (DHS) in order to safeguard the dignity and basic human rights of individuals that possess intellectual or developmental disabilities. The Commission will establish a statewide regional advisory committee system by rule to conduct informational hearings regarding violations of rights of individuals who have an intellectual or developmental disability.

SB 493 takes effect on January 1. 2020.

16. SB 669 (Ch. 680) Training Requirements for In-Home Care Services

SB 669 requires the Oregon Health Authority (OHA) to establish training requirements by rule that an individual must meet before providing in-home care

services as an employee or contractor of an in-home care agency, home health agency or hospital. It also permits OHA to assess fines and penalties upon in-home care agencies for failure to comply with training requirements. SB 669 requires the Department of Human Services (DHS) to develop recommendations for methods to assess and monitor home health services.

SB 669 takes effect on January 1, 2020. Training requirements become operative January 1, 2021.

17. SB 725 (Ch. 423) Fitness Determinations

SB 725 ensures that individuals convicted of certain crimes are excluded from employment in any capacity that involves contact with a recipient of support services or a resident of a residential facility or adult foster home. It also requires the Department of Human Services (DHS) to inform a requesting entity if a criminal records check conducted to evaluate the fitness of a volunteer, employee or contractor reveals that the volunteer, employee or contractor has a conviction or impending indictment for certain crimes that would prohibit placement in a position that has contact with vulnerable populations.

In making fitness determinations on person under consideration for employment by entities that work with vulnerable populations SB 725 prevents DHS from considering criminal convictions that are more than 10 years old, arrests without conviction, certain marijuana offenses, and participation in deferred sentences or diversion programs. Individuals prohibited by federal law from the activity are excluded and not entitled to a fitness determination.

SB 725 took effect on September 29, 2019.

18. SB 729 (Ch. 93) Elderly Persons and Persons with Disabilities Abuse Prevention Act

SB 729 applies the Elderly Persons and Persons with Disabilities Abuse Prevention Act to elderly persons who are residents of long term care facilities, thus providing this population with the rights and protections afforded under the act.

SB 729 January 1, 2020.

III. HOSPITAL AND MEDICAL OPERATIONS

1. HB 2375 (Ch. 105) Sexual Assault Response team

HB 2375 requires district attorney to include sexual assault nurse examiner or hospital representative on a sexual assault response team.

HB 2375 takes effect on January 1, 2020.

2. HB 3076 (Ch. 497) Nonprofit Hospital Community Benefit

HB 3076 directs the OHA to establish a community benefit spending floor applicable to nonprofit hospitals and requires nonprofit hospitals to maintain financial assistance policies that include specified reductions based on the patient's household income. The bill imposes reporting requirements and transparency requirements. It also provides that insurers may not prohibit hospitals from waiving all or part of copayments or deductibles as a condition of reimbursement for services under the policy.

HB 3076 takes effect on January 1, 2020.

3. SB 1027 (Ch. 476) Needlestick Injury

SB 1027 allows health care practitioners who receive a needlestick injury during the treatment of an unconscious patient to perform a blood draw on the patient, without the patient's consent, to determine any necessary treatment for the practitioner. The patient's health insurer may not be charged for the cost of testing.

SB 1027 took effect on September 29, 2019.

4. SB 23 (Ch. 537) Discharge Records

SB 23 requires OHA to obtain discharge records from hospitals, ambulatory surgical centers and extended stay centers. Data will be used by Office of Health Analytics to inform health policy development, program implementation and system evaluation.

SB 23 takes effect on January 1, 2020.

5. SB 579 (Ch. 624) Death with Dignity

SB 579 creates an exception to statutory waiting periods under the Death with Dignity Act that applies if the patient's attending physician medically confirms that the patient will die before the expiration of the waiting period.

SB 579 takes effect on January 1, 2020.

6. SB 62 (Ch. 229) Medical Imaging Employment

SB 62 prohibits employment of a person that an employer knows, or should have known with exercise of reasonable care, is not licensed or permitted to practice medical imaging.

SB 62 takes effect on January 1, 2020.

7. SB 63 (Ch. 230) Temporary Permits for Limited X-Ray Machine Operators

SB 63 deletes statutes governing issuance of temporary limited X-ray machine operators permits and instead directs the Oregon Board of Medical Imaging to adopt rules.

SB 63 took effect on June 4, 2019.

8. SB 64 (Ch. 358) Board of Nursing updates

SB 64 updates various statutory provisions to clarify that the Board provides licensure to nurse practitioners and approves nursing education programs.

SB 64 took effect on June 13, 2019.

9. SB 66 (Ch. 257) Military Education

SB 66 authorizes the Oregon State Board of Nursing to recognize military training education and programs as a nursing education program sufficient to meet requirements for licensure as licensed practical nurse.

SB 66 took effect on June 6, 2019.

10. SB 67 (Ch. 231) Duties of Circulating Nurses in Ambulatory Surgical Centers

SB 67 defines ambulatory surgical center for the purpose of defining the scope of duties of circulating nurses.

SB 67 takes effect on January 1, 2020.

11. SB 684 (Ch. 180) Data Security Breach

SB 684 provides a mechanism for third-party vendors to notify covered entities and the Attorney General when a breach of personal information has occurred. The bill provides an exemption for entities in compliance with federal law such as HIPAA and GLBA.

SB 684 takes effect on January 1, 2020.

12. SB 823 (Ch. 350) Workplace Violence

SB 823 builds upon Oregon's existing workplace safety laws by protecting reporters of workplace violence requiring health care employers to conduct and report a comprehensive security and safety evaluation. DCBS to conduct rulemaking to adopt common recording form.

SB 823 takes effect on January 1, 2020.

IV. LICENSING/SCOPE OF PRACTICE

1. HB 2011 (Ch. 186) Cultural Competency Continuing Education

HB 2011 directs specified health professional licensing boards to require completion of cultural competency continuing education as a condition of authorization to practice. The cultural competency continuing education requirements do not apply to health care professionals that are retired or not practicing in the state.

HB 2011 took effect on September 29, 2019, and the continuing education requirement is takes effect on July 1, 2021.

2. HB 2220 (Ch. 58) Vaccines by Dentists

HB 2220 authorizes dentists to prescribe and administer vaccines to patients in accordance with rules adopted by the Oregon Board of Dentistry.

HB 2220 took effect on May 6, 2019, and becomes operative on January 1, 2020.

3. HB 2265 (Ch. 3) Optometrists Pain Management Education

HB 2265 adds optometrists to the list of health care practitioners who must complete pain management education. It also changes the appointing authority for the Health Plan Quality Metrics Committee from the Governor to the Oregon Health Policy Board.

HB 2265 takes effect on January 1, 2020.

4. HB 2472 (Ch. 68) Sex Offender Therapist

HB 2472 prescribes the standards for licensure as a sex offense therapist and changes the term “sexual or sex offender” to “sexual or sex offense”. It also prohibits mental health providers from practicing in this modality without the required licensure in order to ensure that all providers complete the same training and are subject to the same oversight.

HB 2472 took effect on September 29, 2019 and the operative provisions go into force on January 1, 2020.

5. HB 3030 (Ch. 142) Temporary Authorization to Spouse of Member of Armed Forces

HB 3030 allows professional licensing boards to issue a temporary authorization to practice to individuals whose spouse is a member of the Armed Forces of the United States and is stationed in Oregon. The board may issue such

an authorization if the individual holds a current authorization issued by another state, is in good standing with the out-of-state licensing board and demonstrates competency. The temporary authorization issued under the circumstances is nonrenewable and is revocable when the spouse completes the term of military service in Oregon or when the out-of-state authorization expires.

HB 3030 took effect on September 29, 2019 and the operative provisions go into force on January 1, 2020.

6. SB 128 (Ch. 128) Qualified Advanced Practice Registered Nurses to Supervise Fluoroscopy

SB 128 allows advanced practice registered nurses (APRN) to supervise fluoroscopy and directs the Oregon Board of Medical imaging to issue permits to qualified APRNs.

SB 128 took effect on May 20, 2019 and the operative provisions go into force on January 1, 2020.

7. SB 129 (Ch. 234) Telemedicine by Optometrist

SB 129 allows licensed optometrists to engage in the practice of telemedicine under certain conditions and outlines parameters for the practice of telemedicine by optometrists operating through an exclusively online platform. It also defines terms such as “telemedicine”, “telehealth” and “Optometric clinical health care services”.

SB 129 took effect on June 4, 2019, and becomes operative January 1, 2020.

8. SB 136 (Ch. 129) Prescribing Authority of Certified Registered Nurse Anesthetists

SB 136 removes 10-day supply limitation on prescriptions for certain controlled substances issued by certified registered nurse anesthetists, which is consistent with certified nurse practitioners and certified nurse clinical specialists.

SB 136 took effect on May 20, 2019, and becomes operative January 1, 2020.

9. SB 16 (Ch. 171) Assessments for Special Education Services Eligibility

SB 16 expands the list of health practitioners that may conduct medical exams for special education evaluations to include naturopathic physicians, nurse practitioners, physician assistants, and if applicable to the exam, optometrists and audiologists. It also requires the health practitioner to report exam results to school district where child is enrolled.

SB 16 took effect on May 24, 2019.

10. SB 177 (Ch. 238) Hospice Program Palliative Care

SB 177 allows hospice programs to provide palliative care without being licensed as an in- home care agency. The intent of the bill is to support seriously ill patients and their families.

SB 117 took effect on September 29, 2019.

11. SB 29 (Ch. 456) OHA and PHD Clean-up Bill

SB 29 modifies and clarifies provisions governing the Public Health Division (PHD) and Oregon Health Authority (OHA) administration of duties and responsibilities to align with current practice and terminology. Examples include modification of terms "venereal disease" and "sexually transmitted disease" to "sexually transmitted infection". The bill also modifies licensure requirements for lactation consultants, music therapists, art therapists, respiratory therapists, emergency medical services providers, and environmental health specialist trainees and modifies membership of the State Trauma Advisory board and State Emergency Medical Service Committee.

SB 29 authorizes OHA to contract with third parties to operate the Oregon State Cancer Registry (OSCaR) and modifies the review process and contested case hearing procedures for facilities that require certificates of need. The bill also clarifies confidentiality of Health Licensing Office (HLO) complaints and investigation reports and abolishes the State Police Tobacco Law Enforcement fund while granting authority to OHA to partner with federal, state and local agencies to assist in monitoring and enforcing federal provisions governing tobacco and inhalant delivery systems.

SB 29 took effect on June 20, 2019.

12. SB 742 (Ch. 378) Licensing of Athletic Trainers

SB 742 modifies the existing registration requirements for athletic trainers to instead require licensure by the Health Licensing Office. The bill sets out additional requirements for licensure.

SB 742 took effect on September 29, 2019 and the operative provisions go into force on January 1, 2020

13. SB 824 (Ch. 467) Dental License Examinations

SB 824 modifies the standards by which the Oregon Board of Dentistry evaluates the fitness of applicants to practice dentistry or dental hygiene. It

requires the Board to accept results from regional and national testing agencies or clinical board examinations administered in other states to satisfy the laboratory or clinical examination requirement. It allows the Board to accept results of national standardized examinations to satisfy the written examination requirement under specified circumstances.

SB 824 took effect on June 20, 2019, and becomes operative on January 1, 2020.

14. SB 834 (Ch. 182) Admission of Liability

SB 834 protects Oregon Board of Dentistry licensees against the use of an expression of regret or apology as an admission of fault in legal proceedings. It also ensures that the person making the statement cannot be examined about it during a civil or administrative proceeding. These protections are intended to preserve the ability of providers to communicate with patients when something goes wrong and are the same ones afforded to Oregon Medical Board licensees.

SB 834 takes effect on January 1, 2020.

15. SB 835 (Ch. 379) Advertising by Dentists

SB 835 allows a dentist licensed by the Oregon Board of Dentistry to advertise as a specialist in one or more areas if the dentist meets specific requirements.

SB 835 took effect on June 13, 2019.

16. SB 854 (Ch. 468) Federally Issued Identification Number in Lieu of Security Number

SB 854 directs professional and occupational licensing boards to accept individual taxpayer identification number or other federally issued identification number in lieu of Social Security number on applications unless prohibited by state or federal law. This bill is intended to remove barriers for immigrants and refugees from obtaining professional or occupation licensure.

SB 854 took effect on September 29, 2019 and the operative provisions go into force on January 1, 2020.

17. SB 855 (Ch. 469) Professional Practice Authorizations

SB 855 requires professional licensing boards to study the manner in which immigrants and refugees become licensed, certified or authorized in the occupational or professional service that the board regulates. Each professional

licensing board is directed to develop and implement methods to reduce barriers to licensure, certification or authorization for immigrants and refugees.

SB 855 took effect on June 20, 2019 and the operative provisions go into force on July 1, 2020.

V. MEDICAID/CCO

1. HB 2267 (Ch. 529) CCO Community Health Assessment

HB 2267 requires Coordinated Care Organizations (CCOs) to conduct a community health assessment in collaboration with the local public health authority and hospitals in order to adopt a community health improvement plan. This community health improvement plan must address the health of children and youth residing the community. HB 2267 tasks the Oregon Health Authority (OHA) with rulemaking authority in order create parameters for the health assessment and improvement plans.

HB 2267 also creates a CCO Reinsurance Program within OHA in order to better manage costs systemically by reimbursing CCOs that incur substantially high costs caring for members. It sets out the program eligibility and parameters for reimbursement and specifies that OHA will take reinsurance payments into account when determining the global budge for the CCO.

CCOs are governed by a community advisory council; HB 2267 modifies the composition of the community advisory council to increase from at least one to at least two members who currently receive or who have received medical assistance within the last six months for themselves or for an individual for which they are the parent, guardian or primary caregiver.

CCOs operate under a global budget; HB 2267 authorizes OHA to adjust the global budget of a CCO, retroactive to the beginning of the calendar year, within the first eight months of the effective date of the contract in order to account for changes in membership or member health status.

HB 2267 takes effect on January 1, 2020.

2. HB 2270 (Ch. 525) Tobacco Tax

HB 2270 increases the tax rate on the distribution of cigarettes and includes inhalant delivery systems in the definition of “tobacco products” for tax purposes. The bill specifies that the increased tax revenues will be distributed to the Oregon Health Authority (OHA) to be used to fund the state’s medical assistance program

and programs addressing tobacco and nicotine use related health and mental health issues.

By its terms, HB 2270 and is referred to the people for their approval or rejection at the next regular general election held throughout the state; if approved the operative sections take effect January 1, 2021.

3. HB 2706 (Ch. 593) COFA Dental Study

In 2016 the Oregon Legislature established the Compact of Free Association (COFA) Premium Assistance Program. The Program provides financial assistance with health insurance coverage to low-income COFA citizens residing in Oregon. However, the Program does not include adult dental coverage.

HB 2706 directs the Department of Consumer and Business Services (DCBS) to determine interest and capacity of dental care organizations to provide oral health care to COFA citizens. It also directs DCBS to conduct a demographic study of the dental needs and geographic locations of COFA citizens in the state and appropriates moneys to fund the analysis.

HB 2706 took effect on July 23, 2019.

4. SB 1041 (Ch. 478) CCO Oversight

SB 1041 authorizes the Oregon Health Authority (OHA) to regulate the financial condition of Coordinated Care Organizations (CCOs) in alignment with the authority of the Department of Consumer and Business Services to regulate commercial health insurers. It requires OHA to adopt rules for regulating the financial solvency of CCOs that align with certain provisions of the Insurance Code. CCOs will be required to submit quarterly and annual financial reports and OHA is tasked with convening an advisory group to make recommendations regarding standardization of reports.

SB 1041 requires OHA to conduct a financial audit on every CCO at least once every five years or as needed. OHA is authorized to place a CCO under supervision if certain conditions are met, and, if the conditions giving rise to supervision are not remedied, OHA may impose rehabilitation or liquidation proceedings on the CCO.

This complex measure marks a significant change in the financial oversight of CCOs and is intended to promote transparency and ensure sustainable growth for the state Medicaid program.

SB 1041 takes effect on January 1, 2020.

5. SB 134 (Ch. 364) Behavioral Health

Coordinated Care Organizations (CCOs) emphasize the integration and coordination of behavioral health. SB 134 is intended to reduce barriers to care by requiring CCOs to publish information online to educate consumers about behavioral health best practices, expectations regarding quality of care, screening, treatment options and other resources available to those with mental illness and substance use disorders. The bill also authorizes the Oregon Health Authority (OHA) to establish standards that accept tribal-based practices for mental health and substance use prevention for Native Americans and Alaska Natives.

SB 134 took effect on September 29, 2019; the operative date for CCOs to publish information is January 1, 2020.

VI. INSURANCE

1. HB 2010 (Ch. 2) Reinsurance

HB 2010 extends Oregon's provider tax and reinsurance program to fund health insurance coverage in the state and extends the Oregon Reinsurance Program. Under the bill, the Department of Consumer and Business Services (DCBS) is authorized to seek an extension of the existing federal waiver for state innovation, and DCBS is authorized to modify the attachment point or coinsurance rate for the reinsurance program. The assessment on commercial insurers and managed care assessment is extended to December 21, 2026, with the amount of the assessment increased from 1.5 percent to 2 percent. The assessment on Diagnostic Related Groups (DRG) and rural type A/B hospitals is extended to September 30, 2025.

HB 2010 takes effect on January 1, 2020.

2. HB 3074 (Ch. 441) Rate Review

HB 3074 Directs the Department of Consumer and Business Services (DCBS) to issue a preliminary decision to approve, disapprove, or modify a commercial insurance rate filing after the close of the public comment period, and notify the insurer. The bill allows DCBS to issue a proposed order 30 days after issuing a preliminary decision, and authorizes DCBS to issue a final order if an insurer or a person adversely affected by the proposed order does not request a review within 10 days after the date the proposed order was issued. The bill directs DCBS to issue final order no later than 30 days after the receipt of request for review.

HB 3074 takes effect on January 1, 2020.

3. SB 249 (Ch. 284) Prior Authorizations

SB 249 prohibits specified unfair claim settlement practices by health insurers making prior authorization determinations. Specifically, the bill prohibits health insurers from engaging in a pattern or practice of refusing to approve requests for prior authorization of covered items without just cause, and modifies the deadline for insurers to respond to requests for prior authorization to request additional information if needed. Under the bill, the definition of "adverse benefit determination" is modified to include both the whole or a partial denial of requests for prior authorization.

SB 249 takes effect on January 1, 2020.

4. SB 250 (Ch. 285) ACA Alignment

SB 250 seeks to further stabilize the insurance market and reduce the number of uninsured Oregonians in light of uncertainty regarding the continued availability of the Affordable Care Act and potential gaps in protections under the Insurance Code. The bill prohibits health benefit plans from discriminating on the basis of actual or perceived race, color, national origin, sex, sexual orientation, gender identity, age, or disability. In addition, the bill exempts master group policies validly issued in another state from the definition of "transact insurance."

The Director of Department of Consumer and Business Services (DCBS) is authorized to assess fees on exempt health benefit plans for the purposes of mitigating inequity in the health insurance market. The bill applies chemical dependency coverage requirements to individual health benefit plans that are not grandfathered and exempts individual health benefit plans paid for through a health reimbursement arrangement from provisions applying to group health benefit plans. Pursuant to the bill, carriers of individual health benefit plans, other than a grandfathered plan, are required to issue plans without preexisting condition exclusions, waiting periods, or different terms or conditions based on health status. DCBS may allow carriers to cap the number of enrollees in an individual health benefit plan if DCBS finds that issuing the plan to more individuals would have a material adverse effect on the carrier's ability to fulfill its contractual obligations.

SB 250 takes effect on January 1, 2020, with the provisions of the bill applicable to health insurance policies issued or renewed on or after the effective date.

5. SB 251 (Ch. 151) NAIC Alignment

SB 251 updates various statutes in the Insurance Code to reflect changes in the National Association of Insurance Commissioners model provisions related to reducing reserve requirements for domestic ceding insurers that cede insurance to reinsurers and to regulating insurance adjusters and insurance consultants.

SB 251 takes effect on May 22, 2019

6. SB 256 (Ch. 14) Universal Newborn Home Visits

SB 526 directs the Oregon Health Authority to design, implement and maintain a voluntary statewide program to provide nurse home visiting services to families with infants up to six months of age, including adopted and foster children. Health benefit plans offered in this state must reimburse the cost of universal newborn nurse home visiting services without any cost- sharing, coinsurance or deductible, and cannot penalize members from declining the services. Health plans must notify a member of the availability of these services whenever a member adds a newborn to coverage. The Oregon Health Authority shall, in collaboration with the Department of Consumer and Business Services, develop criteria for universal newborn nurse home visiting services that must be covered by health benefit plans.

SB 526 took effect on September 29, 2019.

7. SB 740 (Ch. 466) Proton Beam Therapy

Under SB 740, a health benefit plan that covers radiation therapy for cancer must cover proton beam therapy on basis no less favorable than other covered benefits, with the ability for such coverage to be subject to prior authorization or other utilization review.

This coverage requirement applies to health benefit plans issued, renewed, or extended on or after January 1, 2020.

8. SB 770 (Ch. 629) Health Care for All Oregonians/Medicaid Buy In

SB 770 creates the Task Force on Universal Health Care to recommend the design of a Health Care for All Oregon Plan to ensure that publicly funded, high quality health care is available to every individual residing in Oregon. The task force consists of 20 members, comprised of two members of the Senate and two members of the House of Representatives, with the remaining members appointed by the Governor. The task force must provide an interim report to the Legislative Assembly no later than March 15, 2020, with final findings and recommendations due to the Legislative Assembly no later than February 1, 2021.

SB 770 took effect on July 23, 2019.

9. SB 796 (Ch. 265) Living Organ Donors

SB 796 amends the definition of "serious health condition" under Oregon's Family Leave law to include any period of absence for the donation of a body part, organ or tissue, including preoperative or diagnostic services, surgery, post-operative treatment and recovery. The bill also amends the Insurance Code to prohibit life, health, and disability insurers insurance from discriminating against applicants or existing insureds based solely on such individual's status as a living donor or a potential donor of a body part, organ or tissue. This prohibited conduct includes discrimination in the application of its underwriting standards or rates, declining to provide or otherwise limiting coverage, or prohibiting an applicant or an insured from donating a body part, organ or tissue as a condition of receiving or continuing to receive coverage.

SB 796 takes effect on January 1, 2020.

10. SB 889 (Ch. 560) Health Care Cost Growth Benchmark Program

In 2017, SB 419 established the Task Force on Health Care Cost Review (Task Force) to study the feasibility of creating a hospital rate-setting process in Oregon modeled on the process used by Maryland. The task force recommended that Oregon should establish its own health care spending benchmark to control total health care expenditures across all payers and providers.

SB 889 adopts the Task Force's recommendation to implement a health care cost growth benchmark program to help control health care cost expenditures across all payers and providers in Oregon. The program will be administered by the Oregon Health Authority in collaboration with the Department of Consumer and Business Services, subject to the oversight of the Oregon Health Policy Board. The Health Care Cost Growth Benchmark Implementation Committee is established under the direction of the Oregon Health Policy Board and is required to submit its recommendations relating to the implementation plan for the Health Care Cost Growth Benchmark program by September 15, 2020, including the imposition of performance improvement action plans or other enforcement actions when a provider or payer fails to remain at or below the health care cost growth benchmark.

SB 889 took effect on July 15, 2019.

11. SB 9 (Ch. 95) Insulin Emergency Refills

SB 9 authorizes a pharmacist to prescribe and dispense emergency refills of insulin and associated insulin-related devices and supplies to a person who has evidence of a previous prescription from a licensed health care provider. Insulin prescribed and dispensed under this bill must be the lesser of a 30-day supply or the smallest available package. Such emergency refills are limited to three per year.

Pharmacists who prescribe and dispense emergency refills must:

1) Complete a training program;

2) Assess whether the prescription of emergency refills of insulin and associated insulin-related devices and supplies is appropriate;

3) Document the patient visit; and

4) Attempt to inform the person's primary care provider and the previous prescriber of the pharmacist's prescription for emergency refills of insulin and associated insulin- related devices and supplies.

Health plans must pay for emergency insulin and the related pharmacist services. The Board of Pharmacy will adopt rules to carry out this bill. The bill includes an amendment removing the training requirement as of January 1, 2023.

SB 9 took effect on May 13, 2019, with the training, assessment, documentation, and notification requirements effective January 1, 2020.

VII. PHARMACIES

1. HB 2185 (Ch. 526) Pharmacy Benefit Managers Requirements

HB 2185 prohibits pharmacy benefit managers (PBMs) from requiring an enrollee to fill or refill prescriptions at a mail order pharmacy. It allows PBMs to require specialty drugs to be filled at specialty pharmacies, except PBMs must allow enrollees to receive specialty drugs from network long term care pharmacies.

HB 2185 prohibits PBMs from penalizing a network pharmacy for informing enrollees about the difference between the out-of-pocket cost of a drug and the pharmacy's retail price. It also defines the terms "enrollee," "long term care pharmacy," "mail order pharmacy," "pharmacy benefit," "specialty drug," "specialty pharmacy," and "generally available for purchase." It specifies materials and information PBMs must supply to pharmacies relating to setting of maximum allowable cost and specifies appeal process by network pharmacies of PBM reimbursements.

HB 2185 took effect on September 29, 2019; it becomes operative January 1, 2021.

2. HB 2609 (Ch. 53) Dental Director Access to Prescription Monitoring System

In 2009 the Oregon Legislature passed SB 355, which directed the Oregon Health Authority (OHA) to develop a Prescription Drug Monitoring Program (PDMP) in order to identify potential misuse, abuse, or diversion of prescription drugs. The PDMP contains information on Schedule II, III and IV controlled substances provided by Oregon-licensed retail pharmacies.

HB 2609 makes the PDMP accessible to dental directors in addition to medical directors and pharmacy directors for purposes of overseeing operations of the clinic or system and ensuring the delivery of quality care.

HB 2609 took effect on May 2, 2019.

3. HB 2658 (Ch. 463) High Cost Drugs

HB 2658 requires a drug manufacturer of prescription drugs to report to the Department of Business and Consumer Services (DCBS) increases in the price of prescription drugs that meet specified thresholds at least 60 days before the date of the increase. For brand name drugs, increases of 10% or more or an increase of $10,000 or more during the previous 12-month period triggers the reporting requirement. For generic drugs a cumulative increase of 25% or more and an increase of $300 or more during the previous 12-month period triggers the reporting requirement. Generic drugs that meet certain specifications and are manufactured by four or more companies are exempted from the reporting requirements.

HB 2658 takes effect on January 1, 2020.

4. HB 2935 (Ch. 438) Prescription Reader

HB 2935 requires pharmacies to notify of the availability, and provide access to, prescription readers for blind and visually impaired customers. The bill defines "person who is blind" and "prescription reader" and exempts institutional drug outlets from the requirements.

HB 2935 took effect on June 20, 2019.

5. HB 3273 (Ch. 659) Drug Take Back Program

HB 3273 creates a drug take-back program to allow for the safe disposal of prescription drugs. Drug manufacturers are required to participate and submit

program plans that comply with requirements established by rule to the Environmental Quality Commission.

HB 3273 took effect on September 29, 2019 with an operative date of January 1, 2020. The first take back programs will be operational July 1, 2021.

6. SB 698 (Ch. 465) Prescription Drug Labeling

SB 698 requires pharmacies to label prescription drugs in English and other languages upon the request of a practitioner, patient or patient representative and to include an informational insert if appropriate. It allows the State Board of Pharmacy (Board) to determine prescription drugs for which additional information insert in English and other languages may be included. SB 698 directs the Board to reassess and update available languages at least every 10 years. It exempts institutional drug outlets from the requirements and requires the Board to determine by rule which pharmacies the requirements apply to, including at a minimum retail drug outlets and other drug outlets that dispense prescription drugs.

SB 698 takes effect on January 1, 2020; the labeling requirements become operative January 1, 2021.

7. SB 910 (Ch. 470) Naloxone Kit Distribution

In 2017 the Governor convened an Opioid Epidemic Task Force to combat the opioid epidemic. The Task Force released a report in 2018 that contained a comprehensive set of recommendations to address substance use disorders, including removing barriers to acute and long term treatment.

SB 910 removes barriers to access to naloxone for acute treatment by making naloxone kits more readily available. It allows pharmacists to offer to prescribe and provide naloxone kits when presented with a prescription for an opiate or opioid of specified strength. It also allows pharmacists, pharmacy or health care professionals to distribute naloxone kits to social service agencies or persons who work with at-risk individuals. Retail or hospital pharmacies are required to provide written notice in conspicuous manner of availability of naloxone.

SB 910 also removes barriers to access of methadone for long term treatment of substance use disorder by giving local authorities flexibility to waive methadone clinic siting restrictions. It permits OHA to identify other drugs subject to monitoring under prescription drug monitoring program by rule and also permits OHA to review prescription monitoring information of person who dies from drug overdose.

SB 910 took effect on September 29, 2019.

Chapter 12 -- Housing and Real Property

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Special thanks to the Real Estate and Land Use Section's Real Estate Legislative Committee or their assistance and participation during the 2019 session.

I. HOUSING AND REAL PROPERTY

1. HB 2118 (Ch. 57) Consumer Price Index

HB 2118 updates numerous statutes to reference the West Region CPI for All Items rather than the previous reference to the Portland-Salem CPI for all Items. The previously used CPI has been discontinued by the Bureau of Labor Statistics.

HB 2118 takes effect on January 1, 2020.

2. HB 2285 (Ch. 191) Residential Property and Receivership Proceedings

HB 2285 clarifies reporting and notice requirements for city or county initiated receivership proceedings involving residential properties that a city or county determines are threat to public health, safety or welfare.

New provisions allow a city or county, in lieu of receivership proceedings, to file a motion for a general judgment against the property in the amount of the estimated abatement costs. Judgment is to be entered if the court makes specific findings. The general judgment has lien priority superior to all other liens and encumbrances except taxes, assessments, mining labor liens, irrigation power liens, and purchase-money security interests under limited circumstances.

HB 2285 takes effect on January 1, 2020.

3. HB 2306 (Ch. 397) Building Permits

HB 2306 prohibits a city or county from denying issuance of building permits for construction of residential dwellings in a residential subdivision if substantial completion of public improvements required as condition of development occurs and the developer obtains a bond or undertakes alternative form of financial guarantee acceptable to city or county securing completion of remaining public improvements. The bill defines substantial completion. Under the new law, a city or county may refuse to issue final certificates of occupancy for

any residential dwellings if all conditions of development are not fully completed or conditions for release of bond are not fulfilled.

HB 2306 will take effect on January 1, 2020.

4. HB 2312 (Ch. 584) Residential Property and Flood Insurance Warnings

HB 2312 adds an additional disclosure required upon the sale of residential property.

Immediately following the existing question regarding whether the property is in a designated floodplain, the following new note is added to the seller property disclosure statement required in connection with sales of residential property: "Note: Flood insurance may be required for homes in a floodplain."

HB 2312 takes effect on January 1, 2020.

5. HB 2423 (Ch. 401) Small Home Construction Code

HB 2423 adopts the Small Home Specialty Code to regulate construction of homes not more than 400 square feet in size.

HB 2423 took effect on October 1, 2019.

6. HB 2425 (Ch. 402) Recording Electronic Documents

HB 2425 allows county clerk to record electronic documents and document bearing an electronic signature. The bill provides that the county clerk may charge for electronic delivery of record or file images.

HB 2425 takes effect on January 1, 2020.

7. HB 2459 (Ch. 140) Lien Information Statements

HB 2459 provides that a person holding an encumbrance against real property may request an itemized statement of the amount necessary to pay off another encumbrance from the person that holds the other encumbrance on the same property. The person that receives a request may provide the itemized statement without permission from the obligor unless federal or state law requires obligor's consent. "Encumbrance" is defined as "claim, lien, charge or other liability that is attached to and is binding upon real property in this state as security for payment of a monetary obligation." No required time for response is provided. No remedy for failure to respond is provided.

HB 2459 takes effect on January 1, 2020.

8. HB 2460 (Ch. 488) Liability of transferee for deferred homestead property taxes

HB 2460 provides that the transferee of a tax-deferred homestead property is liable to Department of Revenue for amounts of outstanding deferred property taxes only if transferee is using homestead more than 90 days following death of qualifying taxpayer, and if transferee is a potential recipient of homestead property under intestate succession, by devise, from estate of deceased taxpayer, or by gift or assignment from insolvent taxpayer.

HB 2460 took effect on September 29, 2019.

9. HB 2466 (Ch. 66) Owners Associations, Financial Practices and Fidelity Bonds

HB 2466 requires some planned community homeowners associations and all condominium unit owners associations to carry fidelity bond coverage in amount specified by statute.

After the turnover meeting (ORS 94.616), the association's board of directors may elect to maintain a bond in an amount less than statutory requirement or to not maintain a bond provided this action is approved by owners. This board decision requiring owners' approval must be made on an annual basis.

HB 2466 takes effect on January 1, 2020 and applies to condominiums created before, on or after that date.

10. HB 2485 (Ch. 69) Condominium Associations

HB 2485 creates procedures for the adoption, by a condominium association, of a restated declaration, restated assignment of use of limited common elements and restated bylaws to correct scriveners' errors or to conform format and style. The bill creates new specific provisions governing amended or restated bylaws.

Additionally, the bill requires the amendment procedures contained in the bylaws of a condominium to be consistent with provisions of law in effect at time of recording. Various other provisions of the bill address re-designation of withdrawable variable property, the termination date of a condominium consisting of nonresidential units, and the amendment of floor plans. New specific provisions are created governing document submission requirements and procedures for approval by the Real Estate Commissioner, as well as new notice to prospective purchasers.

HB 2485 takes effect on January 1, 2020.

11. HB 2486 (Ch. 403) Condominium Reports

HB 2486 was a companion bill to HB 2485. Among other things, this bill authorizes the Real Estate Agency to facilitate the condominium reporting process electronically, and reduce the number of signatures required on the Condominium Information Report and amendments.

HB 2486 takes effect on January 1, 2020.

12. HB 2530 (Ch. 405) Housing for Veterans

HB 2530 requires persons who send or serve documents related to termination of tenancy, forcible entry or detainer, and residential foreclosures to include certain information regarding assistance that may be available to veterans of United States armed forces.

HB 2530 takes effect on January 1, 2020.

13. HB 2587 (Ch. 591) Homestead property tax deferral program

Prior to passage of this bill, the statute prohibited the owner of homestead tax-deferred property from pledging said property as security for a reverse mortgage. This bill amends ORS 311.700 to provide that real property which secures a reverse mortgage is not eligible for homestead tax deferral. This prohibition does not apply to property securing a reverse mortgage obligation entered on or after July 1, 2011, and before Jan 1, 2017, provided the taxpayer has 40% or more equity in the homestead property at the time of filing the deferral claim.

HB 2587 took effect on September 29, 2019.

14. HB 2835 (Ch. 409) Recreational use of waterways

HB 2835 creates numerous new statutory provisions. The first section of the bill applies to restrictions or closures of public access sites. Before a state agency may restrict or close access to a public access site, the agency must post notice on the agency's website for 30 days.

Exceptions to this requirement include:

- Emergency restrictions or closure due to fire prevention,
- Critical wildlife management activities,
- Restrictions or closure adopted by rule by the State Land Board,
- Temporary restrictions or closure for not more than 30 days, or

- Routine maintenance or construction.

Any state agency that restricted, closed, opened or reopened access to a public access site in the previous calendar year must submit a report to the legislature. "Public access site" is defined as "a site on state public lands where the public may access the lands for recreational use of a floatable natural waterway."

The second section of HB 2835 applies to an ODOT "project" defined as construction of new bridge across a floatable natural waterway, or improvements to an existing bridge that crosses a floatable natural waterway. ODOT must notify the Department of State Lands, the State Parks and Recreation Department, and the State Marine Board when ODOT proposes such a project for funding under a draft Statewide Transportation Improvement Program. The notified agencies may propose changes to the project to enable or maintain public access to any affected floatable natural waterway. Certain exceptions apply to the ODOT notice requirement.

HB 2835 took effect on September 29, 2019.

15. SB 11 (Ch. 309) Rights of Redemption

SB 11 requires a purchaser of residential real property after a foreclosure complaint has been filed and before the end of redemption period to provide notice to the seller regarding the seller's relinquishment of rights and interests in connection with conveyance of the real property, including redemption rights and rights to surplus funds. The purchaser must record an affidavit confirming compliance with the new notice requirements, and the affidavit may be attached to the deed transferring the real property.

New provisions in the bill require the sheriff's notice of execution sale to the judgment debtor to include a new provision regarding transfer of property by debtor, offers to sell redemption rights and rights to surplus funds. The new provisions require a foreclosure complaint in an action to foreclose residential trust deed to include the new statutory warning regarding offers to purchase property, redemption rights and rights to surplus funds. The complaint also must include contact information for Division of Consumer and Business Services, OSB Lawyer Referral, and other legal assistance programs.

SB 11 takes effect on January 1, 2020.

16. SB 359 (Ch. 325) Correction of Defective Corporate Actions

Numerous new provisions in SB 359 provide structure and procedures by which business corporations and nonprofit corporations may validate, ratify, and

approve defective corporate actions. “Defective corporate action” means an overissue of stock, or an action that is and would have been within the corporation’s power to take at the time of the validation and at the time the action was taken. The bill provides for filing Articles of Validation with Secretary of State under certain circumstances.

SB 359 takes effect on January 1, 2020.

17. SB 369 (Ch. 327) Actions Arising Out of Construction, Alteration or Repair

SB 369 modifies the definition of “substantial completion” for purposes of the statute of limitations applicable to actions arising out of construction, alteration or repair of improvement to real property.

SB 369 takes effect on January 1, 2020.

18. SB 484 (Ch. 251) Residential Rental Applicant Screening Charges

SB 484 limits a landlord to one applicant screening charge per 60-day period, for each applicant who applies to rent multiple dwelling units owned or managed by landlord. The bill further requires the landlord to refund the screening charge if a vacancy is filled before screening or if no screening occurs.

SB 484 takes effect on January 1, 2020.

19. SB 608 (Ch. 1) Residential Tenancies

SB 608 included several changes to ORS Chapter 90, with the purpose to enhance rights to tenants in Oregon, due to a recent history of limited rental availability, coupled with a growing trend of uncommonly large increases in residential rents throughout Oregon.

Section 1 of the bill included several changes to ORS 90.427, which deals with the termination of periodic tenancies, both tenancies for fixed terms and month to month tenancies. The most significant change is the partial elimination of the ability to terminate a tenancy with no cause. Generally speaking, in a month-to-month tenancy, the landlord may still evict for no reason, using a 30-day notice. However, once the tenant has remained in occupancy for longer than one year, then the ability to remove the tenant for no reason is generally nonexistent.

There are a few specific exceptions to this. For example, a landlord could evict if the landlord intends to demolish the unit or convert it to non-residential use. Another situation is the landlord’s intent to undertake repairs or renovations to the

unit. However, this scenario requires that the premises is unsafe or unfit for occupancy, or will be during the repairs or renovations. An additional permitted situation is the landlord's, or a member of the landlord's immediate family's, intent to occupy the unit as their primary residence. Finally, the landlord could evict based on a situation where the landlord has accepted an offer to buy the property, the property is the only one that is in the purchase-sale transaction, and the buyer intends to occupy the unit as the buyer's primary residence. This also requires that the landlord furnish the written real estate purchase-sale agreement to the tenant. Under any situation explained in this paragraph, the landlord can deliver to tenant a 90-day notice to vacate, must include one of the reasons just described, and must provide proof of the reason(s) described. Note that, in any type of eviction situation explained in this paragraph, if the landlord owns more than 4 residential dwelling units, the landlord is also required to pay one month's rent to the tenant.

In a scenario where the tenancy is in a dwelling that is also occupied by the landlord, or that is on the same property as the landlord's primary residence, assuming more than 2 dwelling units on the property the landlord may evict with a 60-day notice. A 30-day notice is possible if the property is sold in a transaction in which no other property is being purchased, the buyer intends to reside in the property, and the landlord delivers to the tenant written proof of the purchase/sale transaction.

Note that even in a tenancy that is not month-to-month, i.e., a fixed term lease, section 1 of SB 608 provides that fixed term tenancies are also subject to the prohibition on no-cause evictions after one year of occupancy. A penalty for violations of some of the above provisions amounts to 3 months' rent plus actual damages.

Section 2 of the Bill includes changes to the manner in which rent may be increased. The purpose of this is to regulate potentially excessive rent increases.

The bill amends ORS 90.323 to prohibit any rent increases during the first year of the tenancy. It further affixes a rent cap of 7% plus the consumer price index (which provides a running average change). There is an exception, which provides that the landlord is not subject to those regulations if the certificate of occupancy for the dwelling was issued less than 15 years from date of notice of increase, or if the landlord is providing reduced rent to the tenant as part of a federal, state, or local program or subsidy. Any rent increase requires a 90-day written notice. The 90-day notice has specific provisions on what information to include.

If the tenancy is terminated without cause during the first year of tenancy, a landlord may not reset the rent in the subsequent tenancy in excess of the previous rent plus 7% and the consumer price index adjustment. Any damages for violations of the rent increase provisions may result in a penalty of 3 months' rent plus actual damages.

Section 3 of the bill also enacted virtually identical provisions relating to rent increases in ORS 90.600, which addresses spaces rented for manufactured homes or floating homes.

Section 6 of the bill also made a few changes to ORS 90.100. This statute defines various terms frequently cited within ORS Chapter 90. Noteworthy are the references to the changes in ORS 90.427 (explained above), as well as a change in the model Forcible Entry and Detainer Complaint set forth in the bill. The section in the model complaint form that is essentially a checklist of what type of notice is at issue has been updated to the correct subsections in a notice subject to ORS 90.427. Also, a new line item has been inserted into the model complaint form, which is the 90-day notice provision, the basis for which is explained above.

Section 11 of the Bill specifies that the amendments to ORS 90.427 apply to fixed term tenancies entered into or renewed on or after the effective date of the 2019 Act (which was on February 28, 2019), and terminations of month-to-month tenancies occurring on or after the 30th day after the effective date. This could be relevant in a scenario where a fixed-term lease (say, a one year term) had been entered into by the parties prior to the effective date of the act, but does not expire until after the effective date. Those cases can be dealt with per the statutes in place prior to the effective date. This, of course, makes a significant difference on whether and under what circumstances a "no-cause" eviction notice may apply.

Section 12 of the Bill specifies that, as to the "rent-cap" statutes explained above, those provisions apply to rent increase notices delivered on or after the effective date.

SB 608 took effect on February 28, 2019.

20. SB 970 (Ch. 268) Landlord Screening

SB 970 creates a number of new restrictions applicable to landlords. Under the, a residential landlord may not consider medical marijuana use, a prior drug conviction based solely on the use or possession of marijuana, the possession of a medical marijuana card, or an applicant’s status as a medical marijuana patient when evaluating a rental applicant.

Additionally, a landlord may not prohibit a tenant from engaging a real estate broker or licensed manufactured structure dealer to facilitate the sale or sublease of tenant's manufactured or floating home under ORS 90.555, and a landlord of a manufactured or floating home facility must provide the applicant, purchaser or tenant with a copy of an informational handout in a form prescribed by Housing and Community Services Department. A facility landlord may not prohibit facility tenant from subleasing while the facility tenant actively markets for sale the tenant's manufactured or floating home if landlord has a policy of renting manufactured or floating homes that are listed for sale by the landlord.

SB 970 takes effect on January 1, 2020.

Chapter 15 -- Judicial Administration and Attorney Regulation

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Amber Hollister: 2003 University of Washington School of Law. Oregon State Bar member since 2003.

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I. OREGON JUDICIAL DEPARTMENT

1. HB 2240 (Ch. 60) Central Violations Bureau

Under current law, individual counties have the authority to establish violations bureaus, which can handle many appearances and filings with respect to violations. HB 2240 allows the State Court Administrator to establish a Central Violations Bureau and permits county courts to refer violations to the Central Violations Bureau for processing. The bill provides limits to the scope of authority of the Central Violations Bureau and restricts some individual's uses of the bureau.

HB 2240 took effect on September 29, 2019.

2. HB 2377 (Ch. 643) Program Change Bill

HB 2377 implements statutory changes necessary to support the 2019 – 2021 biennial budget. Statutory changes affecting the Oregon Judicial Department and the Department of Justice among others were made in the bill. For additional information on these issues, see HB 5050 and SB 5513.

Judicial Compensation

Sections 15-18 of the bill increase the annual salary of statutory judgeships by $5,000. Funding for the salary increase is included in SB 5513, the Oregon Judicial Department budget.

Section 19 of the bill eliminates the possible connection of legislator salaries to the salary of circuit court judges.

Legal Aid

Sections 13 and 14 of the bill repeal ORS 9.577, which includes the Legal Aid Account and the distribution of circuit court fees and charges to fund legal aid services. These funds are now directed to the General Fund. In SB 5513, the Oregon Judicial Department now receives a General Fund appropriation for distribution to the Oregon State Bar to be used to fund legal aid services in Oregon.

New Judgeships

Section 18a adds two new statutory judgeships and additional position authority. The judgeships will be located in Jackson County and Marion County. Funding for the salary increase is included in HB 5050, the budget reconciliation bill.

HB 2377 took effect on August 9, 2019.

3. HB 3447 (Ch. 605) Filing Fee Increases

HB 3447 increases court filing fees. Most fees increased 6% as of October 1, 2019. Eight and one half percent of the filing fee revenue is deposited in the State Court Technology Fund to support Oregon eCourt while the remaining 91.5% is deposited in the General Fund. The Oregon Judicial Department's Operating Account receives all funds from the marriage solemnization fee.

HB 3447 took effect on July 23, 2019.

4. HB 5005 (Ch. 661) Bonding Limits and Courthouse Construction

HB 5005 establishes bonding limitations for state agencies, including the Oregon Judicial Department. The bill addresses a number of projects, including:

- Clackamas County Courthouse. Section 1 5(m)(A) approves almost $32,000,000 for the construction of a replacement courthouse.
- Lane County Courthouse. Section 1 5(m)(B) approves approximately $88,500,000 for the construction of a replacement courthouse.
- Linn County Courthouse. Section 1 5(m)(C) approves over $16,000,000 for the construction of a replacement courthouse.
- Multnomah County Courthouse. Section 1 5(m)(D) approves $8,625,000 to purchase furniture, fixtures, and equipment for the new courthouse.
- Oregon Supreme Court Building. Section 1 5(m)(E) approves $28,230,000 to renovate the Oregon Supreme Court building.

The amount listed above includes both the bonding amount and the cost of issuing the bonds.

5. HB 5006 (Ch. 662) Courthouse Construction Expenditure Limitations

HB 5006 establishes the expenditure limitations for the 2019 – 2021 biennium. In Section 1(8) the bill addresses a number of projects, including the Oregon Supreme Court and the Multnomah County Courthouse. The bill provides

for $27,820,000 for the Oregon Supreme Court Building Renovation. In addition, it provides $8,500,000 for furnishings and equipment for the Multnomah County Courthouse.

6. HB 5029 (Ch. 670) Lottery Allocation

HB 5029 makes and adjusts a number of allocations of the net proceeds of the Oregon State Lottery, the Criminal Fines Account, and the Oregon Marijuana Account.

Security and Emergency Preparedness for State and County Courts

Section 19 allocates $3,784,490 from the Criminal Fines Account for the state court security and emergency preparedness. This is a 4.7% increase from the 2017-2019 Legislatively Approved Budget. In addition, in section 19, the legislature allocated $2,9,31,528 to county court facilities security, a 3.8% increase.

State Court Technology Fund

In Section 20, $3,887,500 was allocated from the Criminal Fine Account to the State Court Technology Fund. This is a 25% increase from the 2017-2019 Legislatively Approved Budget. For additional information on the State Court technology Fund, see HB 3447.

Veterans' Specialty Courts

In 2016, the Oregon Constitution was amended to require 1.5% of net lottery proceeds to be transferred to the Veterans' Service Fund. This year, Section 13b of HB 5029 allocates $555,000 to the Criminal Justice Commission from the Veterans' Service Fund for veterans' specialty courts. Additional funding was allocated to the Department of Veterans' Affairs, the Bureau of Labor and Industries, and the Oregon Health Authority.

7. HB 5050 (Ch. 644) Budget Reconciliation

HB 5050 is the omnibus General Fund budget reconciliation bill for the 2019 legislative session. Funding for projects and programs within the Oregon Judicial Department, the Oregon Department of Justice, and the Public Defense Services Commission were appropriated in this bill.

Aid and Assist and Behavioral Health

In Section 144, the Oregon Judicial Department received approximately $1.8 million and approval for nine new positions to support the implementation of SB 24 (2019) and SB 973 (2019).

See the Criminal Law Chapter for additional information on SB 24 and the Health Law Chapter for additional information on SB 973.

Courthouse Construction and Renovation

In support of the Oregon Judicial Department's Supreme Court Building Renovation Project, the legislature approved an expenditure limitation of $410,000 to allow for the cost issuance of $28,230,000 in bonds in Section 143.

Renovation of county courthouses will continue with $136,695,000 added to the Oregon Judicial Department budget for projects associated with the Clackamas, Lane, and Linn county courthouses. In addition, the budget also included an expenditure limitation for debt service costs and $2 million from the General Fund for the planning costs association with replacing the Benton County Courthouse.

Grand Jury Recordation

SB 505, passed in the 2017 legislative session, requires grand jury proceedings to be recorded. With the beginning of statewide rollout, the legislature has earmarked $3 million from the General Fund for its implementation. In addition, a "Budget Note" was approved requiring the Oregon Judicial Department, the District Attorneys and the Association of Oregon Counties to develop a joint plan that provides for "the most efficient, consistent, and cost effective delivery of grand jury recordation across the state . . ."

If the $3 million allocated in Section 75 is not allocated before December 1, 2020, any remaining funds become available to the legislature for general purposes.

New Judgeships

In Sections 145 and 146, the Legislature approved two new circuit court judge positions, one in Jackson County and one in Marion County. In addition, six judicial services specialist positions were also approved. In total, the Oregon Judicial Department will receive just over $1 million to support these positions.

Parent-Child Representation Program

Effective July 1, 2020, the Public Defense Services Commission Parent-Child Representation Program will be expanded into Multnomah County with a $3.5 million appropriation and authority for one permanent full-time Deputy General Counsel position found in Section 74.

Public Defense Services Commission

In late 2018, the Sixth Amendment Center released a report entitled "The Right to Counsel." The report focused on Oregon Public Defense Services Commission and its efforts to provide indigent public defense services. The Legislature requested that the Commission return to the legislature with additional review, analysis, and recommendations regarding two issues:

1) Identify data public defense contractors should be required to submit to the Office of Public Defense Services as part of its contractual agreement.

2) Evaluate options for delivering indigent public defense services and adopt an approach that delivers quality public defense services.

The legislature has earmarked $20 million for the Public Defense Services Commission in Section 4. If the $20 million is not allocated before December 1, 2020, any remaining funds become available to the legislature for general purposes.

8. SB 977 (Ch. 426) Residency Requirements for Circuit Court Judges

Prior to SB 977, a circuit court judge was required to either be a resident of, or have a principal office in, the judicial district for which the judge was elected or appointed. However, there was an exception made for Multnomah County, allowing judges to reside outside the district but within 10 miles of the county line.

Under SB 977, this rule is changed to simply require that a judge in any judicial district must reside in, or have a principal office in, the judicial district in which they are to serve as judge, or in any adjacent judicial district.

SB 977 took effect on June 17, 2019.

9. SB 5513 (Ch. 691) 2019-2021 Oregon Judicial Department Budget

SB 5513 is the budget bill for the Oregon Judicial Department (OJD). The 2019-2021 total funds budget for OJD is $565.8 million.

<u>Legal Aid</u>

Section 8 adds a General Fund appropriation of $12,275,000 for distribution to the Oregon State Bar to be used to fund legal aid services in Oregon. Sections 13 and 14 of HB 2377 repeal ORS 9.577 which provided a direct statutory allocation for legal aid services since 2011. Funding for legal aid will now be contained in the budget for the Oregon Judicial Department. This appropriation

is approximately a 3% increase in funding for legal aid, and is the first increase in state funding since the 2011 legislative session.

II. OREGON STATE BAR ACT

1. SB 358 (Ch. 248) Changes to the Oregon State Bar Act

SB 358 makes several changes to ORS Chapter 9 in order to address four distinct issues related to the governance of the Oregon State Bar.

First, SB 358 amends ORS 9.191 to repeal the explicit prohibition on charging a membership fee to an Oregon State Bar member who has been admitted to practice for 50 years. The bill does not require charging such a fee however, and as the amount of the OSB membership fee is not set in statute, SB 358 does not make any immediate changes to the fee at this time.

Second, SB 358 grants statutory authority to the Department of Revenue to provide the Oregon State Bar with the name and address of a person admitted to practice law in Oregon if the Department has reasonable grounds to believe one of the following:

- That the attorney prepared a tax return or report for another individual in a manner that violated ORS 9.460 to 9.542, ORS 9.705 to 9.757, or any disciplinary rules adopted under those provisions;
- That the attorney failed to file a required return and has not filed an appeal contesting the tax;
- That the attorney failed to withhold or remit personal income taxes on behalf of an employee another entity, has been held liable for the failure under ORS 316.207, and has not filed an appeal contesting the tax; or
- That the attorney failed to withhold or remit personal income taxes on behalf of an employee of an entity in which the attorney has a direct ownership interest and has not filed an appeal contesting the tax.

The Bar is not required to take any particular action upon receipt of information from the Department, and may only use the information received from the Department in the enforcement of ORS 9.460 to 9.542, ORS 9.705 to 9.757, or any disciplinary rules adopted under those provisions.

Third, bill amends ORS 9.675 to modify the reporting timelines for confirming compliance with the Interest on Lawyer Trust Account (IOLTA)

requirements. This change was made in order to mirror the reporting timelines with those put in place through SB 381 in 2015.

Finally, SB 358 clarifies the functions and authority of the OSB Board of Governors. The bill specifies that the board is required to serve the public interest by:

- Regulating the legal profession and improving the quality of legal services;
- Supporting the judiciary and improving the administration of justice; and
- Advancing a fair, inclusive and accessible justice system.

The bill also makes clear that nothing in the Bar Act should be construed as to limit the inherent authority of the Oregon Supreme Court to adopt rules for the operation of the courts or to regulate the practice of law.

SB 358 took effect on September 29, 2019. Changes to ORS 9.080 relating to the functions and authority of the Board of Governors become operative on January 1, 2020.

Chapter 14 -- Juvenile Law

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I. ABUSE

1. HB 2227 (Ch. 137) Animal Control Officers made mandatory reporters of child abuse

HB 2227 amends Section 1 and Section 2 of ORS 419B.005(5) to include an animal control officer as defined in ORS 609.500 under "public or private official" for the purpose of mandatory reporting of suspected child abuse.

The bill goes into effect on January 1, 2020.

2. SB 415 (Ch. 176) Mandatory reporting of child abuse

SB 415 expands the list of "public or private official[s]" who are mandatory reporters of child abuse to include Department of Education employees, school district board members, and members of a public charter school governing body.

SB 415 takes effect on January 1, 2020.

3. SB 804 (Ch. 181) Cross-reporting of child abuse

SB 804 amends ORS 419B.015 to require the Department of Human Services (DHS) to report alleged child abuse to law enforcement in the county where the alleged abuse occurred, or if that county is unknown, the county where the child resides, or if that county is unknown, the county where the reporter came into contact with the child or alleged perpetrator of the abuse. The bill also provides that when a law enforcement agency receives a report of alleged child abuse, the agency must notify DHS by making a report to the child abuse reporting hotline.

SB 804 took effect on May 24, 2019.

II. SCHOOLS AND EDUCATION

1. HB 2571 (Ch. 208) Higher education tuition waivers for foster children

HB 2571 amends ORS 350.300 to provide that a current or former foster child under the age of 25, and who is enrolled in courses totaling one or more credit hours at an institution of higher education shall receive a tuition waiver in

pursuit of an initial undergraduate degree. For the purposes of this statute, an "institution of higher education" refers to an Oregon public university, community college or to OHSU.

This bill took effect on June 4, 2019.

2. SB 155 (Ch. 618) Investigation of all reports of suspected abuse or sexual conduct by school employees, contractors, agents and volunteers

<u>New requirements for school districts:</u>

SB 155 requires school boards to adopt policies on the reporting of suspected abuse and suspected sexual conduct by school employees, contractors, agents, and volunteers. The bill also creates multiple new definitions. The school board is also required to designate a licensed administrator to receive reports and inform the Teacher Standards and Practices Commission (TSPC) of the Department of Education (DOE) of reports.

The bill provides that a school employee must immediately submit a report if the school employee has reasonable cause to believe that a student has been subjected to abuse or sexual conduct by another school employee or by a contractor, agent, or volunteer. Upon receipt of a report of suspected abuse, a law enforcement agency or the Department of Human Services (DHS) must determine if the report can be substantiated, and if it cannot, determine if the employment policy has been violated. Upon receipt of a report of suspected sexual conduct, the TSPC or the DOE must determine if it can be substantiated, and if action must be taken according to the employment policy.

Upon request from a law enforcement agency, DHS, TSPC, or DOE, an education provider shall provide any requested documents, to the extent allowed by state and federal law, in connection with an investigation related to suspected abuse or suspected sexual conduct.

<u>New requirements for the Department of Human Services:</u>

A law enforcement agency or the Department of Human Services (DHS) must investigate upon receipt of a report of abuse that involves a child and a person who is a school employee, contractor, agent, or volunteer. The bill includes new definition of meaning of "investigation." Either the law enforcement agency or the department will notify the other if one receives a report of abuse. The department is also required to notify, upon receipt of a report, the TSPC (if the individual is licensed) or the DOE, if the report involves a school employee, contractor, agent,

or volunteer, the suspected abuse occurred in a school, or was related to a school-sponsored activity.

The bill outlines investigative and reporting requirements for the TSPC and the DOE, requiring both (the TSPC must only investigate if the subject is licensed) to conduct their own investigations upon receipt of a report of suspected sexual conduct by a school employee, contractor, agent, or volunteer.

SB 155 took effect July 23, 2019.

3. SB 475 (Ch. 295) Abbreviated school day programs for foster youth

SB 475 amends ORS 343.161 to provide that a school district may not unilaterally place a foster youth on an abbreviated school day program without the consent of the student's foster parent or surrogate as defined in ORS 419A.004.

Unless otherwise ordered by a court, a school district may provide an abbreviated school day program to a foster youth only if:

- The student's foster parent has been provided the opportunity to meaningfully participate in a meeting to discuss the placement; and
- The foster parent has received written notification informing the foster parent (1) of the student's presumptive right to receive the same number of hours of instruction or educational services as other students; (2) of the foster parent's right to request, at any time, a meeting to determine whether the student should no longer be placed on an abbreviated school day program; and (3) that a school district may not unilaterally place a student on an abbreviated school day program.

SB 475 goes into effect on January 1, 2020 and applies to students on an abbreviated school day program on or after the effective date.

4. SB 905 (Ch. 561) Establishing resident school district for children voluntarily placed in foster care

SB 905 amends ORS 339.133(1) to exclude from the definition of "foster care", care for children whose parent or guardian voluntarily placed the child outside the child's home with a public or private agency and for whom the child's parent or guardian retains legal guardianship.

Therefore, under ORS 339.134, a child who has been voluntarily placed outside the home and who is living in a licensed, certified, or approved substitute

care program shall be considered a resident for school purposes in the school district in which the child resides because of the voluntary placement. This remains true if the child's parent or guardian retains legal guardianship, there is a plan to return the child home, the voluntary placement is within 20 miles of the school the child attended prior to the voluntary placement, the child's preferences in school attendance are taken into consideration, and the parent or guardian and school staff from the school the child attended prior to the placement agree that it is in the best interest of the child to continue to attend the school the child attended prior to the placement. The bill clarifies that transportation for the child to school shall be the responsibility of the child's resident school district.

SB 905 went into effect on July 15, 2019.

III. PROTECTIVE CUSTODY

1. HB 2849 (Ch. 594) Protective custody of children

HB 2849 amends ORS 419B.150. Section 2 of the bill provides that if a child is taken into protective custody as a runaway, the person taking the child into protective custody shall:

- Release the child without unnecessary delay to the custody of the child's parent or guardian or to a shelter facility; or
- Follow the procedures described in ORS 419B.160, 419B.165, 419B.168 and 419B.171.

The person taking the child into protective custody shall determine the preferences of the child and the child's parent or guardian as to whether the child's best interests are served by placement in a shelter facility or release to a parent or guardian. The person taking the child into protective custody shall release the child to a shelter facility if it reasonably appears that the child would not willingly remain at home if released to the child's parent or guardian.

Section 3 of the bill provides that a child may be taken into protective custody without a court order only when there is reasonable cause to believe that:

- There is an imminent threat of severe harm to the child;
- The child poses an imminent threat of severe harm to self or others;
- There is an imminent threat that the child's parent or guardian will cause the child to be beyond the reach of the juvenile court before the department can complete assessment of an abuse allegation involving the child; or

- There is an imminent threat that the child's parent or guardian will cause the child to be beyond reach of the court before a court can order the child to be taken under protective custody.

If there is reason to know that the child is an Indian child, the child may be taken into protective custody without a court order only when it is necessary to prevent imminent physical damage or harm to the child.

The bill defines "reasonable cause" to mean "a subjectively and objectively reasonable belief, given all of the circumstances and based on specific and articulable facts." "Severe harm" is defined as "life-threatening damage" or "significant and acute injury to a person's physical, sexual or psychological functioning."

Section 3 of the bill also sets out the procedures for obtaining a protective custody order from the court. The application for an order must be made by declaration, or, at the applicant's request, an oral statement under oath.

The court may order that a child be taken into protective custody if the court determines:

- That protective custody is necessary and the least restrictive means to: protect the child from abuse; prevent the child from inflicting harm on self or others; ensure that the child remains within the reach of the juvenile court; ensure the safety of a child who has run away from home; or, if the department knows or has reason to know that the child is an Indian child, prevent imminent physical damage or harm to the child.
- That protective custody is in the best interests of the child.

HB 2849 also amends ORS 419B.023 (Karly's Law) to provide that a person may take a child into protective custody without a court order for purposes of a medical assessment only for a period of time necessary to comply with the requirements of the Law.

This bill goes into effect January 1, 2020.

2. SB 924 (Ch. 382) Prohibiting placement of children taken into protective custody in detention facilities

SB 924 amends ORS 419B.121 to provide that if a child or ward is an out-of-state runaway, the court may place the child or ward in a placement it determines to be the least restrictive setting, including detention, necessary to

ensure that the child or ward is not a danger to self or others pending return to the child or ward's home state.

This bill also amends ORS 419B.160 to say that a child or ward taken into protective custody may not be placed in detention except as provided in ORS Chapter 419C for a person over whom the juvenile court has jurisdiction under ORS 419C.005.

SB 924 took effect on June 13, 2019.

3. SB 994 (Ch. 631) Criminal records checks prior to release of a child from custody

SB 994 requires a person who has taken a child into protective custody, prior to the release of that child to a noncustodial parent, to ask DHS to conduct a criminal records check on the noncustodial parent and on all adults in the same home as the noncustodial parent. The department is to conduct that check under ORS 181A.200(3) and must adopt rules consistent with the requirements of the Department of State Police for use of the Law Enforcement Data System.

SB 994 takes effect on January 1, 2020. This bill applies to any release of a child that occurs on or after that date.

IV. DEPARTMENT OF HUMAN SERVICES AND OTHER AGENCIES

1. HB 2033 (Ch. 153) Modifying minimum degree requirements for caseworkers

HB 2033 amends ORS 419B.021 to change the minimum degree requirements for a person who:

- Conducts an investigation under ORS 419B.020,
- Determines that a child must be taken into protective custody under 419B.150, or
- Determines that a child should not be released to the parent or responsible person under ORS 419B.165.

The bill allows for the individual to either have:

- A bachelor's degree in human services or a related field;
- A bachelor's degree in another field if DHS determines that the casework completed by the person is equivalent to a bachelor's degree in human services and the person has sufficient training in providing human services; or

- An associate degree with additional training or certification in human services or a related field as determined by the department by rule.

The bill goes into effect on January 1, 2020.

2. SB 181 (Ch. 513) Expanding definition of "child-caring agency"

SB 181 expands the definition of "child-caring agency" under ORS 418.205 to include "county program[s]" meaning any county operated program that provides care or services to children in the custody of the Department of Human Services (DHS) or the Oregon Youth Authority (OYA). County programs do not include local juvenile detention facilities that receive state services provided by the Department of Corrections.

Section 4 specifies what OYA, a county juvenile department, or private agency must include in a report submitted under ORS 419C.620, and what a court must find based on that report.

SB 181 took effect on June 27, 2019.

3. SB 492 (Ch. 514) Providing aid to parents or guardians with disabilities

SB 492 amends ORS 419B.090 to provide that it is the policy of the State of Oregon to provide to parents and guardians with disabilities opportunities to benefit from or participate in reunification services that are equal to those extended to individuals without disabilities.

When necessary, the state shall provide different aids, benefits, and services than those provided to parents and guardians without disabilities, to ensure that parents and guardians with disabilities are provided with an equal opportunity to adjust their circumstances, conduct or conditions to make it possible for their children to return home.

SB 492 took effect on June 27, 2019.

4. SB 493 (Ch. 296) Establishes Oregon Human Rights Commission

SB 493 establishes the Oregon Human Rights Commission within the Department of Human Services. The Commission will consist of nine Governor-appointed members and is tasked with safeguarding the dignity and basic human rights of individuals who have an intellectual or developmental disability. The Commission will receive complaints of violations of rights and, with the consent of the individual or the individual's guardian or representative, can request and

receive information from DHS that is relevant to the complaint. The Commission can also meet with the Director of Human Services to resolve a complaint.

SB 493 takes effect on January 1, 2020.

5. SB 707 (Ch. 341) Establishing Youth Suicide Intervention and Prevention Advisory Committee

SB 707 creates the Youth Suicide Intervention and Prevention Advisory Committee to advise the Oregon Health Authority on the development and administration of strategies to address suicide intervention and prevention for children and youth ages 10 to 24. The members of the committee will be appointed by the director of the Oregon Health Authority.

SB 707 took effect on September 29, 2019.

6. SB 725 (Ch. 423) Fitness determinations for individuals who provide care; criminal records checks

SB 725 amends ORS 181A.195 to provide that individuals who are or seek to be employed in any capacity having contact with a recipient of support services or a resident of a residential facility or adult foster home are not entitled to a fitness determination under the circumstances enumerated in the bill. The bill also provides that the Department of Human Services (DHS) and the Oregon Health Authority (OHA) may not consider certain information disclosed by a criminal records check when making a fitness determination.

The bill also amends ORS 443.004 to prohibit DHS and OHA from conducting a criminal records check on a person who provides care more than once during a two-year period, unless the agency receives credible evidence of a new criminal conviction, receives credible evidence to substantiate a complaint of abuse or neglect, is required by federal law to conduct more frequent criminal records checks, or is notified that a subject has changed positions for which there are different criminal records check requirements.

SB 707 took effect on September 29, 2019.

7. SB 809 (Ch. 517) Criteria to be considered in making fitness determinations for individuals providing direct care services

SB 809 creates new provisions requiring the Department of Human Services (DHS) and the Oregon Health Authority (OYA) to prescribe by rule the criteria for making “fitness determinations.” ‘Fitness determinations’ are defined as “the evaluation of whether a subject individual or other individual providing direct care

services is fit to hold a position, provide direct care services or be granted a license, certification, registration or permit to provide direct care services." "Direct care services" are services provided to clients of DHS or OHA by an adult foster home, a home care worker, or a residential facility.

The criteria must include what types of substantiated abuse for which an individual may be found unfit and conditions, if any, for an individual to be reinstated. An individual who is found to be unfit may challenge that determination in a contested case hearing in accordance with ORS Chapter 183.

This bill goes into effect on January 1, 2020.

8. SB 832 (Ch. 555) Critical Incident Review Teams

SB 832 clarifies the definition of a "critical incident" relating to a child fatality.

The purpose of Critical Incident Review Teams is to increase child safety by rapidly drawing lessons to improve the systems in place in DHS, increase department accountability, evaluate and learn from critical incident cases, ensure timely responses from DHS, and increase the department's ability to address and recommend necessary changes to child welfare systems. The bill also specifies what must be contained in a final report submitted by a Critical Incident Review Team and what information is to be made available to the public on the department's website.

SB 832 took effect on July 15, 2019.

V. OTHER LEGISLATION

1. HB 2464 (Ch. 141) Modifying terminology regarding Child Abuse Multidisciplinary Intervention Program

HB 2464 amends language relating to grant recipients of the Child Abuse Multidisciplinary Intervention Programs as follows:

- ORS 418.782 is amended to define "child abuse assessment" as possibly including: a medical assessment, a forensic interview, care coordination, or family support. Further, it changes "Community assessment center" to "Children's advocacy center" defined as a facility that meets the facility standards described in ORS 418.788 and that facilitates a coordinated, comprehensive and multidisciplinary response to cases of child abuse. It adds definitions of "forensic

interview," "medical assessment," "regional children's advocacy center," and "training and complex case assistance."

- The bill adds that the grant program will support training and technical assistance efforts for child abuse multidisciplinary teams and children's advocacy centers and provide coordination and support to regional children's advocacy centers.
- It also sets minimum facility standards for children's advocacy centers and regional children's advocacy centers and minimum forensic interview training standards, both to be consistent with national standards and evidence based.
- Section 24 amends ORS 419B.020 to remove a naturopathic physician as a possible resource for a physical examination of a minor child.
- Section 26 amends ORS 419B.035 to remove a naturopathic physician as a person that DHS must make records available to for examination, care, or treatment.

HB 2464 took effect on September 29, 2019. The amendments to statutes in sections 1- 28 go into effect on January 1, 2020.

2. SB 171 (Ch. 619) Congregate Care Placements

SB 171 creates new provisions in ORS 419B governing the Department of Human Services' (DHS) placement of a child or ward in certain residential settings providing care for more one than one child or ward. Starting on September 1, 2019, DHS may place a child in a congregate care residential setting in this state if the setting is a child-caring agency, a hospital or a rural hospital. Starting on July 1, 2020, the setting must also be a qualified residential treatment program, unless the setting is a child-caring agency that meets one of the exceptions in Section 3a of the Act.

Under Section 5 of SB 171, a program is a qualified residential treatment program if it:

- Provides residential care and treatment to a child who, based on an independent assessment, requires specialized services related to the effects of trauma or mental, emotional, or behavioral health needs;
- Uses a trauma-informed treatment model that is designed to address the needs, including clinical needs, of the child;

- Ensures that the staff at the facility includes licensed or registered nurses that are available 24 hours a day, seven days a week;
- Facilitates the involvement of the child's family, to the extent appropriate and in the child's best interests;
- Facilitates outreach to the child's family, documents how outreach is made and maintains contact information for any known biological relatives or fictive kin of the child;
- Documents how the program integrates family into the child's treatment process, including after discharge, and how sibling connections are maintained;
- Provides discharge planning and family-based after-care support for at least six months after the child's discharge; and
- Is licensed and accredited, consistent with federal licensure and accreditation requirements for qualified residential treatment programs.

When DHS places a child in a qualified residential treatment program:

- A qualified individual must conduct an independent assessment to assess the strengths and needs of each child the department places in a qualified residential treatment program. Specific requirements of that assessment and the qualified individual are detailed in Section 6 of SB 171.
- DHS must move for court approval of the placement no later than 30 days following the date of the placement in a qualified residential treatment program.
- The court must hold a hearing and enter an order approving or disapproving the child's placement. The court must make specific determinations regarding whether or not the child's needs can be met in a foster home and, if not, whether placement in a qualified residential treatment program provides the least-restrictive setting to provide the most effective and appropriate level of care and is consistent with the case plan.

If the court enters an order disapproving the child's placement in a qualified residential treatment program, DHS must move the child no later than 30 days following the entry of the court order. The bill amends ORS 419B.443 to require

DHS to include, in any court report filed under ORS 419B.440(1)(b) while a child remains in a qualified residential treatment program, a determination that a qualified residential treatment program continues to be appropriate, documentation of the specific treatment needs that will be met in the placement and the length of time the child is expected to need the treatment, and the efforts made by the agency to prepare the child to move to a different placement setting.

In addition, the bill authorizes DHS to make reasonable payment for services of persons to operate a child-caring agency that is a qualified residential treatment program, requires DHS to maintain a website with information about out-of-state placements of children, and requires DHS and the Oregon Health Authority to submit a report to the legislature no later than September 1, 2019, regarding DHS' plan to develop appropriate in-state placements for Oregon children and wards.

The bill amends ORS 418.215 to require a child-caring agency providing care or services to children to be duly incorporated or a county program.

SB 171 took effect on July 23, 2019. Sections 3 and 4 become operative on September 1, 2019. Sections 1, 5, 6, and 7, the amendments to section 3 by 3a, and the amendments to ORS 418.205, 418.312, 419A.004, and 419B.443 by sections 8, 9, 11, and 13 become operative on July 1, 2020.

3. SB 490 (Ch. 679) Modifying the definition of 'exempt prohibited individual' in relation to the provision of child care

SB 490 amends ORS 329A.252 to expand the definition of an exempt prohibited individual who is permanently barred from providing care to a child not related by blood or marriage. An exempt prohibited individual now includes a person convicted, in any state, of a crime in which a child suffered serious physical injury or death, or a person who is required to report as a sex offender under Oregon state law or the laws of another jurisdiction.

Section 2 amends ORS 329A.030 to require that any individual who has been the subject of a founded or substantiated report of child abuse shall apply to and be enrolled in the Central Background Registry prior to providing any of the types of care identified in ORS 329A.250(4)(a), (g), or (h) if the child abuse occurred on or after January 1, 2017 and involved a child who died or suffered serious physical injury, or the child abuse occurred on or after September 1, 2019 and involved any child for whom the individual was providing child care. If more than seven years has elapsed since the date of the child abuse determination, the individual does not have to enroll in the Central Background Registry.

SB 490 took effect on August 9, 2019.

4. SB 813 (Ch. 266) Investigations of child care facilities

SB 813 amends ORS 329A.390 to require the Office of Child Care to make reasonable attempts to identify any child care facility, or any person or place providing child care, about which the office receives a complaint if the complaint includes any of the following information:

1) The name of a child or parent;

2) The name of the child care provider, facility owner, operator or employee;

3) The name of the facility providing care;

4) The phone number of the facility; or

5) The physical address of the facility.

The bill also creates a definition of "serious complaint" that includes notifications or reports of alleged child abuse.

SB 813 took effect on June 6, 2019.

5. SB 917 (Ch. 381) Employers of care providers

SB 917 prohibits:

- A long term care facility,
- A residential facility,
- An adult foster home,
- A child care facility,
- A child-caring agency,
- A foster home,
- A youth care center, or
- A youth offender foster home

from interfering with a good faith disclosure by an employee or volunteer to specific entities or individuals of information concerning:

- The abuse or mistreatment of a resident or child,
- Violations of licensing or certification requirements,
- Criminal activity,

- Violations of state or federal law, or
- Any practice that threatens the health and safety of a resident or child in the care of the facility, agency or home.

Any facility found to have violated this section can be subject to penalties or have its license revoked or suspended.

SB 917 takes effect on January 1, 2020.

Chapter 15 -- Labor and Employment

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I. LABOR AND EMPLOYMENT

1. HB 2005 (Ch. 700) Paid Family Leave

HB 2005 will provide 12 weeks of paid leave to just about every employee in the state, to be funded by a new payroll tax paid by both workers and employers with 25 or more employees.

Under the bill, this paid time off is available for new parents and for those who need to care for an ill family member who has a serious health condition or for the employee's own serious health condition. It will also provide the same paid leave for victims of domestic violence, harassment, stalking, or sexual assault.

Almost all workers in the state, including part-time workers, will receive paid leave once the law goes into effect. The only requirement to be eligible for leave is that the employee has earned at least $1,000 in wages during the previous year.

Weekly benefits will be capped at the generous rate of $1,215, which means that many lower-income workers will see no financial impact on their livelihoods if they miss work for qualifying reasons.

The new law will provide a job guarantee for workers taking leave. It will be a violation of the law for an employer to permanently replace the worker during their absence, as they must be restored to their position upon their return. Employers will be required to restore the employee to the same former position if it exists, even if they filled it with another employee during the absence. Employers with fewer than 25 employees can provide a returning employee with a different position with similar job duties and pay. If, for large employers, the position no longer exists, the large employer will be required to restore the returning worker to any available equivalent position with equivalent levels of pay, benefits, and other terms and conditions of employment.

The bill requires that the leave must be taken concurrently with Oregon Family Leave Act (OFLA) and federal Family and Medical Leave Act (FMLA) leave, meaning that workers cannot stack their paid and unpaid leave periods one after the other.

HB 2005 took effect on September 29, 2019 for administrative purpose. However, most operative provisions of the bill do not go into effect until January 1, 2022.

2. HB 2016 (Ch. 429) Oregon Public Workers Protection Act

The legislature passed HB 2016 to address collective bargaining for public employees.

Specifically, the new law requires public employers to provide reasonable paid time off upon request from a public employee who is a designated representative engaging in certain union activities. The bill also permits a public employer to deduct union fees from an employee's pay. Finally, in response to the *Janus v. AFSCME* Supreme Court decision, the law also makes it easier for employees to opt in to union membership.

HB 2016 takes effect on January 1, 2020.

3. HB 2341 (Ch. 139) Employer Accommodation for Pregnancy Act

HB 2341 provides that Oregon employers with at least 6 employees will be required to provide reasonable accommodations to employees for pregnancy-related conditions. The bill states that longer breaks, more frequent breaks, assistance with certain physical tasks, modifications of schedules, and obtaining certain equipment are all reasonable accommodations.

The bill also prevents employers from requiring an employee to take protective leave when a reasonable accommodation is available.

HB 2341 requires employers to post notices related to the protections and provided to employees through this law. The Bureau of Labor and Industries (BOLI) will create materials for employers to use (such as posted notices) to comply with these notification requirements.

HB 2341 will take effect on January 1, 2020.

4. HB 2589 (Ch. 71) Updates to the Employment Discrimination Statutes

This bill specifies that sexual orientation is not a physical or mental impairment for purposes of employment discrimination statutes. It also removes a provision that stated a failure to provide reasonable accommodation for individual with disability arising out of transsexualism is not an unlawful employment practice. Proponents of the bill argued that these provisions have been largely

superseded by more recent statutes, and that their presence in the statute serves primarily to sew confusion.

This bill went into effect on May 6, 2019.

5. HB 2593 (Ch. 118) Nursing Mother Law

Under this new law, all Oregon employers are required to provide employees with lactation breaks. Smaller employers with 10 or fewer employees may qualify for an exception under the new law if they can show undue hardship.

Practice Tip: Employers with fewer than 25 employees should likely update their employee handbook, as these breaks were not previously required. The new policies should address:

1) How often the employee is allowed to take a lactation break (likely as often as needed);

2) The timing of those lactation breaks; and

3) The location provided for these private lactation breaks.

HB 2593 took effect on September 29, 2019.

6. HB 2992 (Ch. 121) Oregon's Attempt to Rein in Restrictive Covenants

HB 2992 adds an additional hurdle for Oregon employers seeking to maintain an enforceable noncompetion agreement. The bill requires employers to provide a signed, written copy of the terms of any noncompetition agreement to the employee within 30 days after the date of the termination of the employee's employment."

Thus, employers must comply with all of the following to have an enforceable non- competition agreement under Oregon law:

- The employer tells the employee in a written job offer at least two weeks before the employee starts work that the noncompete is required, or the noncompete is entered into upon a bona fide advancement;
- The employee is exempt from Oregon minimum wage and overtime laws;
- The employer has a "protectable interest" (access to trade secrets or competitively sensitive confidential information);

- The employee makes more than the median family income for a family of four as calculated by the Census Bureau;
- The agreement is not effective for longer than 18 months from the date of the employee's termination; and
- The employer provides the former employee with a signed, written copy of the noncompetition agreement within 30 days after the date of employment termination.

The bill goes into effect on January 1, 2020.

7. HB 3009 (Ch. 439) Union's Ability to Charge Fees

HB 3009 makes clear that a union can continue to charge police officers, sheriffs, and deputy sheriff's reasonable fees for representing them in matters unrelated to collective bargaining if the employee is not a member of the union and if the employee has not entered into a fair-share agreement with the union. This legislation was passed to address concerns following the *Janus v. AFSCME* Supreme Court decision.

This bill went into effect on June 20, 2019.

8. SB 123 (Ch. 617) Pay Equity Clarification

This bill clarifies that an employer may not be in violation of pay equity requirements when paying a different level of compensation to an employee with a compensable workers' compensation injury who is on light duty or modified work.

This bill goes into effect on January 1, 2020.

9. SB 272 (Ch. 242) Expanding The Definition of Public Employees Who Are Prohibited From Striking

SB 272 simply includes attorneys general in the group of employees (generally, public safety employees and transit employees) who are prohibited from striking. In those cases, the parties go to interest arbitration and the dispute is resolved by a neutral arbitrator.

This bill goes into effect on January 1, 2020.

10. SB 370 (Ch. 260) Immigration Notification Requirements

SB 370 requires an employer to provide notice to employees of upcoming inspections by any federal agency of employer's records regarding identity and

employment eligibility of employees within three business days of employer's receipt of notice of inspection from agency.

The bill also requires employers to make reasonable attempts to individually distribute required notification to employees, as well as to post notice in an accessible and conspicuous location. SB 370 directs the Bureau of Labor and Industries to create standardized notice templates for employers to be able to comply with this law.

SB 370 took effect on June 6, 2019.

11. SB 726 (Ch. 343) Oregon Workplace Fairness Act

SB 726 – The Oregon Workplace Fairness Act (OWFA) – requires employers to implement and distribute a written antidiscrimination and harassment policy. The OWFA outlines the following specific requirements that must be included in the policy. It also prohibits employers from requiring an employee – as part of a settlement of a discrimination or harassment claim – to agree to neither disclose the alleged unlawful conduct (including but not limited to sexual assault) nor disparage the employer or the alleged bad actor. These provisions are only allowed if the employee requests the provision and the employee is provided seven days to revoke the agreement after signing it.

> **Practice Tip** – Of particular importance to employers is the fact that, under the OWFA, employees will now have five years to file a complaint with BOLI or a court for claims of discrimination, harassment, or retaliation under Oregon laws. Although this does not affect the statute of limitations for federal claims, it is a significant expansion from the prior one-year statute of limitations on violations under Oregon laws.

The restrictions on nondisclosure agreements and written policy requirements go into effect October 1, 2020. The statute of limitations change applies to events that occur on or after the bill takes effect on September 29, 2019.

12. SB 1049 (Ch. 355) Public Employee Retirement Reallocation Contribution

SB 1049 requires a reallocation of a public employees' 6% PERS contribution. Under the current system, this 6% is deposited into an employee's Individual Account Program (IAP) account. Under the requirements of SB 1049, a percentage is now directed to a newly-created Employee Pension Stability Account (EPSA). (Note: This change occurs regardless of whether the employer "picks up" the employee's 6% PERS contribution.) The EPSA is intended to

partially fund employees' pension benefits at retirement, to decrease PERS' unfunded liabilities and reduce overall PERS costs. Unions assert that, by the reallocation of funds to the EPSA, employees will see a reduction in their incomes at retirement.

Although the bill took effect immediately upon passage, the EPSA provisions go into effect on July 1, 2020. Other provisions have additional effective dates. Attorneys working with the new law should carefully check operative dates regarding the provisions with which they are working.

Chapter 16 -- Land Use

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I. HOUSING

1. HB 2001 (Ch. 639) Middle Housing/Density

HB 2001 requires cities and counties to allow certain middle housing types (duplexes, triplexes, quadplexes, cottage clusters, and townhouses) on land zoned for urban residential use which allows detached single-family dwellings. The bill allows cities and counties to regulate the siting and design of middle housing, so long as the regulations individually and cumulatively do not discourage this housing through unreasonable cost or delay. The bill requires The Land Conservation and Development Commission (LCDC) to develop a model ordinance before 2021.

HB 2001 requires all types of middle housing for cities with a population greater than 25,000, and just duplexes for cities with population greater than 10,000.

HB 2001 also provides greater direction on what information local governments should consider in estimating their housing needs, including such factors as household size, demographics, vacancy rates, and housing costs. The bill includes several measures to prevent local jurisdictions, homeowners, and developers from undermining the intent to allow middle housing:

- The bill specifies that "A provision in a governing document that is adopted or amended on or after the effective date of this 2019 Act, is void and unenforceable to the extent that the provision would prohibit or have the effect of unreasonably restricting the development of

housing that is otherwise allowable under the maximum density of the zoning for the land."

- A provision in a real estate document recorded after HB 2001's effective date is unenforceable if it would allow development of a single-family dwelling, but would prohibit middle housing or an accessory dwelling unit.

HB 2001 took effect on August 8, 2019. Cities with population greater than 25,000 are required to adopt regulations allowing middle housing types by June 30, 2021, while cities with population between 10,000 and 25,000 must enact regulations allowing duplexes by June 30, 2022.

2. HB 2003 (Ch. 640) Housing Needs Analysis

HB 2003 requires the Department of Land Conservation and Development (DLCD) and the Oregon Department of Administrative Services (DAS) to develop methodology to conduct a regional housing needs analysis and, for certain cities and Metro, to estimate existing housing stock, to establish a housing stock shortage analysis, and to estimate needed housing for the next 20 years. It requires DLCD to complete the inventory and analysis by September 1, 2020, and report its results and evaluation to the legislature by March 1, 2021.

Cities outside Metro with a population of greater than 10,000 must estimate their housing need and capacity no less than every eight years. Cities within Metro must estimate their housing need and capacity no less than every six years.

Further, HB 2003 allows development of affordable housing on public property located within an urban growth boundary and requires local governments to amend their land use laws to comply with 2017 ADU laws.

HB 2003 took effect on August 8, 2019.

3. HB 2916 (Ch. 411) Yurt, Cabin, and Tent-Type Housing

HB 2916 expands housing accommodations that may be allowed inside the UGB to include structures such as yurts, cabins, and tents used on a limited basis for seasonal, emergency, or transitional housing purposes. Use of transitional housing is limited to persons who lack permanent or safe shelter and cannot be placed in other low-income housing. These accommodations continue to not be subject to ORS Chapter 90 (Residential Landlord Tenant).

HB 2916 took effect on June 17, 2019.

4. SB 534 (Ch. 623) Dwelling on Urban Residential Lot

SB 534 requires local governments to allow single-family dwellings on residentially zoned lots within the UGB of cities with a population of greater than 25,000. The development may be subject to reasonable local regulations relating to siting and design. This bill is of particular significance in Portland, which has a significant number of so-called "skinny lots" which are narrower than most lots in their neighborhoods and many of which remain undeveloped.

SB 534 takes effect on January 1, 2020.

5. SB 608 (Ch. 1) Statewide Rent Control and Tenant Protections

SB 608 establishes a statewide rent-control program that limits rent increases to 7 percent plus CPI during a 12-month period for existing tenants in units that have been certified for residential occupancy for at least 15 years. The bill prohibits landlords from terminating or declining to renew a lease after the first year of occupancy without cause and establishes new landlord causes such as significant renovations to the unit or sale of the unit as a primary residence. The bill provides some additional flexibility for landlords to document lease violations and decline to renew a lease. The bill creates a private right of action for a tenant against a landlord for violations of the Act.

For additional information about this bill, please see the Housing and Real Property Chapter.

SB 608 took effect on February 28, 2019.

II. FARM AND FOREST LANDS

1. HB 2106 (Ch. 432) Dog Training in Farm Buildings; Rural Dwelling Extensions

HB 2106 allows dog-training classes to be conducted in farm buildings existing on January 1, 2019, within counties that adopted marginal lands provisions. The bill also authorizes counties to grant up to five one-year extensions to certain rural dwelling approvals, such as farm use, forest template, and large tract dwellings.

HB 2106 took effect on June 20, 2019.

2. HB 2225 (Ch. 433) Forest Template Dwelling

HB 2225 defines "center of the tract" as "the mathematical centroid of the tract" for purposes of forest template dwellings. The bill also:

- Requires the proposed dwelling to be sited on a lawfully created lot or parcel;

- Disallows property line adjustments after 2018 to qualify a tract for a dwelling; and
- Disallows a new dwelling on the tract if the tract currently has a dwelling or dwelling approval on it.

HB 2225 will take effect on January 1, 2020. The Forest Template Dwelling standards of HB 2225 apply to different counties on different dates. It applies to some counties in 2019, others in 2021, and others in 2023.

3. HB 2435 (Ch. 270) Guest Ranches

HB 2435 makes permanent the authorization to establish guest ranches in parts of Eastern Oregon. ("Eastern Oregon is defined in ORS 321.805.) While previous statutes authorizing guest ranches included sunsets, HB 2435 contains no sunset and codifies a permanent right to establish guest ranches. Consistent with previous statutes authorizing guest ranches, the guest ranch must be:

- Incidental and accessory to an existing and continuing livestock operation that qualifies as a farm use;
- Outside the boundaries of or surrounded by certain federally designated wilderness, wildlife, environmental, or other federally protected areas;
- On a legal lot greater than 160 acres size, and that is not high-valued farmland; and
- Limited in size with not less than four, or more than 10, overnight guest lodging units.

Certain accessory passive recreational activities are permitted (e.g. no golf courses) in addition to food services for guests.

The bill adds an annual reporting obligation for guest ranches authorized by a county on or after the effective date. Reports must include the following information:

- Size of the guest ranch's livestock operation;
- Income obtained by the guest ranch from livestock operations and guest ranch activities; and
- Other information the county may require to ensure ongoing compliance with law or other condition of approval required by the county.

HB 2435 takes effect on January 1, 2020.

4. HB 2469 (Ch. 271) Second House on Forest Land

HB 2469 allows counties (but does not require them) to approve a second single-family dwelling unit on forestlands within a rural fire protection district, if existing and new dwelling units are occupied by the owner of the land or a relative of the owner in order to allow the relative to assist in the use of the land for forest purposes.

The existing dwelling unit must have been created before 1993, or otherwise validly approved under ORS Chapter 215, and the lot must not be smaller than the minimum allowed lot size. The new and old dwelling units cannot be more than 200 feet apart. Owner must record a deed restriction that requires the management of the land as a working forest and prohibits partitioning the property to separate the dwelling units. Finally, the new single-family dwelling unit may not be used for vacation occupancy (such as Airbnb).

HB 2469 takes effect on January 1, 2020.

5. HB 2573 (Ch. 307) Cranberry Farm Dwellings

HB 2573 creates a carve-out for cranberry farms from the definition of high-value farmlands. The bill seeks to address the depressed market for cranberries and the unique characteristics on land where cranberries are grown. The bill requires counties to approve primary dwellings customarily provided in conjunction with farm use if the following elements are present:

- The tract on which the dwelling will be established currently involves the raising and harvesting of cranberries;
- The tract is considered high-value farmland because the tract is growing a specified perennial under ORS 215.710(2) but otherwise would not be high-value farmland on the basis of soil composition;
- The lands owned by the farm operator or on the farm operation have no other dwelling on EFU-zoned land (except seasonal farmworker housing);
- The operator earned at least $40,000 in gross annual income from the sale of cranberries or cranberry products, excluding lease income or income used to qualify another lot or parcel for construction or siting of a primary dwelling customarily provided in conjunction with farm use; and

- The owner agrees to record a deed restriction that prohibits the owner from using the dwelling as a rental.

HB 2573 takes effect on January 1, 2020 and sunsets on January 2, 2022.

6. HB 2844 (Ch. 410) Farm Product Processing Facilities

HB 2844 authorizes counties to allow farm-product processing facilities with less than 2,500 square feet of processing area as a permitted use on EFU-zoned lands without regard to siting standards. Qualifying facilities with greater than 2,500 square feet of processing area must still remain smaller than 10,000 square feet of processing area as previously required and must meet applicable siting standards

Processing facilities are those used for processing farm crops or for the production of biofuel, if at least one-quarter of the farm crops come from the farm operation containing the facility; or the slaughtering, processing, or selling of poultry or poultry products from the farm operation containing the facility.

HB 2844 takes effect on January 1, 2020.

7. HB 3024 (Ch. 440) Rebuilding EFU Dwellings

HB 3024 is intended to address confusion created by previous legislation – specifically HB 2746 in 2013 – regarding the standards applicable for the rebuilding of lawfully established dwellings in EFU zones, particularly those not assessed for property taxes in the previous five years. HB 3024 divides such legally established farm dwellings into three categories based on the status of the dwelling with differing requirements for each category as follows:

- Removed, Destroyed or Demolished. Lawfully established dwellings which have been removed, destroyed, or demolished may be restored or replaced if the county determines the tax lot does not have a lien for delinquent ad valorem taxes, and the removal, destruction, or demolition occurred on or after January 1, 1973.
- Dwellings in State of Disrepair Constituting an Attractive Nuisance. Restoration or replacement of such dwellings are allowable if the county determines that the tax lot does not have a lien for delinquent ad valorem taxes.
- All other Dwellings. Restoration, alteration, or replacement is allowable if the county determines that the dwelling was assessed as a dwelling for purposes of ad valorem taxation for the previous five

years or from the time the dwelling was erected or affixed and became subject to assessment.

In all instances, the County remains obligated to also determine that the dwelling sought to be altered, restored, or replaced had intact walls and roof structures, indoor plumbing, interior wiring for lights, and a heating system, in addition to the property tax determinations discussed above.

HB 3024 takes effect on January 1, 2020.

8. HB 3384 (Ch. 416) School Expansions

HB 3384 limits a county's ability to deny an expansion of a private or public K-12 school provided that:

- The expansion complies with ORS 215.296 (standards for uses in exclusive farm use zones),
- The school was established on or before January 1, 2009, and
- The expansion occurs on a tax lot that the school was established on, or on a contiguous lot under the same ownership as the established school lot.

HB 3384 took effect on June 17, 2019.

9. SB 408 (Ch. 262) EFU Land Division for Utility Facilities

SB 408 allows counties to approve certain divisions of land zoned for exclusive farm use for purposes of siting utility facilities necessary for public service. Land divided under this provision may not be later rezoned by the county for retain, commercial, industrial or other non-resources uses.

SB 408 takes effect on January 1, 2020.

III. OTHER LEGISLATION

1. HB 2329 (Ch. 469) Energy Facilities

HB 2329 modifies the definition of "energy facility" for purposes of determining what facilities must obtain a site certificate from the Energy Facilities Siting Council (EFSC).

Specifically, the bill exempts certain solar power generation facilities (160 acres or less of high- value farmland, less than 1,280 acres of arable land, or less than 1,920 acres of any other land). The bill allows a developer of a project that is not subject to EFSC approval to elect to obtain a site certificate. Finally, the Act

establishes criteria for siting certain renewable energy facilities outside the EFSC process, including criteria addressing habitat mitigation conditions.

HB 2329 takes effect on January 1, 2020.

2. HB 2425 (Ch. 402) Electronic Recording

HB 2425 allows a county clerk to record electronic records or a record bearing an electronic signature. The definition of "Instrument" now includes an electronic record, and the definitions of "original certification" and "original signature" include electronic signatures. This bill also explicitly provides that the county clerk may charge for the electronic delivery of copies or records or files ($3.75 for locating the record and 25 cents per page).

HB 2425 takes effect on January 1, 2020.

3. HB 2574 (Ch. 654) Shellfish

HB 2574 requires the Department of Land Conservation and Development to organize federal, state, and local public record information concerning shellfish mariculture in Oregon in a (mostly) publicly available electronic system. This information includes estuary management plans, ownership information regarding tidelands, and commercial plats.

The bill requires the State Department of Agriculture to hold a pre-application conference with a prospective applicant for cultivation of oysters, clams, or mussels, and also requires the State Department of Fish and Wildlife to establish a program for community outreach regarding recreational harvesting of shellfish for schools and members of the public.

HB 2574 took effect on August 9, 2019.

4. HB 2577 (Ch. 197) Annexation Waiting Period

HB 2577 requires a three-year waiting period before an annexation may take effect for property that is zoned and used for residential use at the time annexation is initiated. The owner of an effected property is allowed to waive this waiting period. HB 2577 was passed to clarify the effect of HB 2760, which passed in 2007.

HB 2577 took effect on May 30, 2019.

5. HB 2790 (Ch. 408) Outdoor Mass Gatherings

HB 2790 expands the definition of “outdoor mass gathering” to include certain rural gatherings and provides greater discretion to counties in determining the appropriate process for considering an outdoor mass gathering application.

HB 2790 takes effect on January 1, 2020.

6. HB 2835 (Ch. 409) Recreational Waterway Use

HB 2835 authorizes use of public bridges, county roads, and certain state highways to gain access to surface waters for recreational use. The bill directs the Department of State Lands to coordinate with local governments to provide increased public access to public-use waterways and requires public notification of closures of public-lands access for recreational use of certain waterways.

HB 2835 took effect on September 29, 2019.

7. HB 2914 (Ch. 199) Washington County Employment Land

In 2014, the legislature passed House Bill 4078 validating Metro's 2011 expansion of its UGB to fill a projected unmet need to maintain a 20-year supply of buildable land, and confirmed Washington County’s urban and rural reserve designations, with some exceptions. HB 4078 included a provision that required that certain real property in Washington County be included within the UGB, designated as "employment land of state significance," and planned and zoned for employment use. The law also specified that in its first UGB review in 2014, Metro could not count the employment capacity of those properties in its determination of the employment capacity of land within Metro.

In response concerns of residential property owners in that area, HB 2914 removes some of the previously identified land from the lands that HB 4078 (2014) required to be designated "employment land of state significance" and planned and zoned for employment use.

HB 2914 took effect on May 30, 2019.

8. HB 2949 (Ch. 533) Manufactured Structures Taxation

HB 2949 authorizes a county with a population of more than 570,000 to set a maximum dollar amount for total assessed value of a taxpayer's manufactured structures to be taxed as personal property, resulting in such structures not being subject to ad valorem property taxation.

HB 2949 took effect on September 29, 2019.

9. HB 2977 (Ch. 412) Senior Housing

HB 2997 exempts one type of senior housing—Continuing Care Retirement Communities— from inclusionary zoning requirements. In order to qualify the CCRC must record a covenant agreeing not to convert to a multifamily development.

HB 2997 takes effect on January 1, 2020.

10. HB 3272 (Ch. 447) LUBA Attorney Fees and Deadline

HB 3272 limits the extension that the Land Use Board of Appeals may provide a petitioner whose record objection is denied for purposes of filing the petition for review to 14 days from later of original deadline or date of denial. The bill authorizes LUBA to award attorney fees for motions filed without merit.

HB 3272 takes effect on January 1, 2020.

11. SB 2 (Ch. 170) Rural Employment Land

SB 2 authorizes certain Eastern Oregon counties (Baker, Gilliam, Grant, Harney, Lake, Malheur, Sherman, Union, Wallowa, and Wheeler) that have adopted an economic opportunity analysis as part of the county's comprehensive plan, to designate not more than 10 sites outside of a UGB for industrial or other employment uses, without requiring an exception to a statewide planning goal related to agriculture, forest use, or urbanization.

The bill limits the cumulative acreage to not more than 50 acres per county. It also excludes such a designation for high-value farmlands, imposes conditions on such designation for lands designated for forest use, and prohibits a county from using the authorization set forth in the bill to allow a use that violates laws protecting the Oregon Sage-Grouse.

SB 2 takes effect on January 1, 2020.

12. SB 8 (Ch. 221) Land Use Appeals of Affordable Housing

SB 8 requires Land Use Board of Appeals to award expenses and attorney fees to local governments and applicants when affirming a local government's quasi-judicial approval of publicly supported housing. The bill only applies to developments that are exclusively for publicly supported housing.

SB 8 takes effect on January 1, 2020.

13. SB 365 (Ch. 292) System Development Charges Related to Marijuana Production

SB 365 prohibits local governments from imposing system development charges for increased use of a transportation facility resulting from marijuana production in an exclusive farm use zone. The bill also allows licensed marijuana production facilities to continue in a local jurisdiction that prohibits marijuana production as a nonconforming use. SB 365 further authorizes alterations to marijuana production facilities that either:

- Are necessary to comply with a lawful requirement for alteration in production; or
- Have no greater adverse impact to the surrounding area as determined by the local jurisdiction.

SB 365 took effect on June 7, 2019.

14. SB 431 (Ch. 621) Multnomah County Flood Safety District

SB 431 creates an urban flood safety and water quality district in a portion of the Multnomah County urban growth boundary related to the Columbia River Levee system. The district is for the purposes of acquiring, purchasing, constructing, improving, operating and maintaining infrastructure in order to provide for flood safety and contribute to water quality, floodplain restoration, and habitat and landscape resilience. The bill creates a representative board of directors and grants powers of eminent domain, public contracting, assessment on benefitted lands, and taxation. The new district may dissolve drainage districts within its boundaries.

SB 431 took effect on September 29, 2019.

15. SB 1012 (Ch. 254) Marijuana Production

SB 1012 clarifies that an applicant for a marijuana production license is not required to demonstrate continuous registration of the marijuana-grow site prior to application to qualify for exemption from a lands use compatibility statement.

SB 1012 took effect on June 4, 2019.

Chapter 17 -- Taxation

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I. CORPORATE (or Commercial) ACTIVITIES TAX

1. HB 3427 (Ch. 122) Corporate Activities Tax

HB 3427 is modified by HB 2164 (below) and, potentially, by SB 212.This bill implements the Corporate Activities Tax or "CAT", Oregon's new gross-receipts tax. In the description below, section numbers refer to the sections within HB 3427.

In operative part, the bill states that "A corporate activity tax is imposed on each person with taxable commercial activity for the privilege of doing business in this state. The tax is imposed upon persons with substantial nexus with this state." *Section 63(1).* "Person" is broadly defined. *Section 58(14).* "Excluded Person" is described in Section 58(4) and includes any person with < $750k of commercial activity for the calendar year, unless part of a unitary group. *Section 58(6)(j)* The definition of "Unitary Business" is found in Section 58(18).

A person has substantial nexus if they:

1) own or use a part or all of their capital in this state;

2) hold a certificate of existence or authorization to do business in this state;

3) have "bright-line" presence in this state; or

4) otherwise have nexus with this state to the extent that the person can be required to remit the corporate activity tax. Section 63(2).

A person has bright-line presence if, during the calendar year, the person:

1) owns property with an aggregate value exceeding $50k (valued at original cost; rented property valued at eight times net annual rental charge);

2) has payroll exceeding $50k;

3) has commercial activity sourced to this state (under Section 66) of at least $750k;

4) has at least 25% of the person's property, payroll, or total commercial activity in this state; or,

5) is a resident of this state or are domiciled in this state for corporate, commercial or other business purposes. *Section 63(3).*

Under the bill, Commercial Activity is defined as "the total amount realized by a person, arising from transactions and activity in the regular course of the person's trade or business, without deduction for expenses incurred by the trade or business." *Section 58(1)(a)(A).* "Doing business" means engaging in any activity that is conducted for, or results in, the receipt of commercial activity at any time during the calendar year. Section 58(3). Numerous exceptions to commercial activity are listed in Section 58(1)(b). "Taxable commercial activity" means commercial activity sourced to this state under Section 66. Section 58(16).

Commercial activity is sourced to the state if:

1) in the case of the sale, rental, lease or license of real property, if the property is located in this state;

2) in the case of the sale, rental, lease or license of tangible personal property, if and to the extent the property is located in this state;

3) in the case of the sale of tangible personal property, if and to the extent the property is delivered to a purchaser in this state;

4) in the case of the sale of a service, if and to the extent the service is delivered to a location in this state;

5) in the case of the sale, rental, lease or license of intangible property, if and to the extent the property is used in this state (with special rules for receipts not based on the amount of use of the property, but rather on the right to use the property); or

6) in the case of a financial institution or insurer, commercial activity not otherwise described in this section is sourced to this state if it is from business conducted in this state. *Section 66(1).*

If the above sourcing provisions do not "fairly represent the extent of a person's commercial activity attributable to this state, the person may request, or the Department of Revenue (the "DOR") may require or permit, an alternative method." *Section 66(2).* Taxpayers are required to include as taxable commercial activity the value of property the person transfers into this state for the person's own use in the course of a trade or business within one year after the person receives the property outside this state. In the case of a unitary group, the taxpayer must include as taxable commercial activity the value of property that any of the taxpayer's members transferred into this state for the use in the course of a trade or

business by any of the taxpayer's members within one year after the taxpayer receives the property outside this state. Exceptions to the preceding two sentences apply if the person or unitary group can show, or if the DOR ascertains, that the property's receipt outside this state followed by its transfer into this state was not intended, in whole or in part, to avoid the Corporate Activity Tax. *Section 61*.

Taxable commercial activity sourced to this state is reduced by 35% of the greater of: (1) "cost inputs" (see Section 58(2) for definition; essentially cost of goods sold) or (2) labor costs. (Labor costs for any individual may not exceed $500k (Section 58(12).) In each case, the reductions are apportioned to this state in the manner required for apportionment of income under ORS 314.605 to 314.675. The subtraction may not exceed 95% of the commercial activity attributed to this state. *Section 64.*

The rate of tax is $250 plus the product of the taxpayer's taxable commercial activity in excess of $1 million for the calendar year multiplied by 0.57 percent. No tax is owed if the person's taxable commercial activity does not exceed $1 million. *Section 65.* The taxpayer's method of accounting for commercial activity, cost inputs and labor costs should be the same as taxpayer's method of accounting for federal income tax purposes. *Section 59.*

Under the bill, annual returns must be filed not later than April 15 of each year. Estimated tax payments are due before the last day of January, April, July and October of each year, for the previous calendar quarter. The DOR may, by rule, extend the time for making any return for good cause, with interest. *Section 70.*

The DOR may not impose any interest or penalty that would otherwise apply to taxes due if the interest or penalty is based on underpayment or underreporting that results solely from the operation of Sections 58-76 of the Act. Taxpayers must pay at least 80% of the balance due for any quarter or the DOR may impose a penalty as provided in ORS 314.400(3) (this and the above apply only to the 2020 tax year and to returns filed on or before April 15th, 2021). Section 77.

Any person or unitary group with commercial activity in excess of $750k shall register with the DOR. The DOR, by rule, may establish the information pertaining to the person or unitary group that must be submitted and the time and manner for issuance of registrations under this section. The DOR may impose a penalty for failing to register, not to exceed $100 per month, or a total of $1,000 in a calendar year. The penalty may be imposed not earlier than 30 days after the date

on which the commercial activity of the person or unitary group exceeds $750k for the year. Section 68.

HB 3427 took effect on September 29, 2019.

2. HB 2164 (Ch. 579) Corporate Activities Tax

HB 2164 made several modifications to HB 3427. These changes include updating the definition of "commercial activity" related to financial institutions. Additionally, the list of items that do not constitute "commercial activity" is expanded to include certain insurer income, certain hedging transactions, certain employee-related amounts if received by an employer, local taxes collected by a restaurant on sales of meals, tips collected by restaurants, as well as other technical fixes. The bill also decreases the commercial activity threshold to $750,000.

HB 2164 took effect on September 29, 2019.

II. PERSONAL INCOME TAX

1. HB 2164 (Ch. 579) ABLE Accounts and Tax Credit Extensions

HB 2164 provides a tax credit for higher education savings or ABLE account contributions.

That tax credit is effective for tax years beginning on or after January 1, 2020, and before January 1, 2026. The bill also includes an extension of the Cultural Trust provisions under ORS Ch. 315, tax provisions related to manufactured dwellings, the tax credit for certain retirement income, the credit for volunteer providers of rural emergency medical services (ORS 315.662), the Earned Income Tax Credit (ORS ch. 315), the political contribution tax credit. The bill modifies the tax credit for individual development account contributions under ORS 315.271. Other provisions of the bill are described under "Corporate" and Property headings.

HB 2164 took effect on September 29, 2019.

2. HB 2235 (Ch. 33) Refunds of Personal Income Taxes

HB 2235 amends ORS 305.762 to allow refunds of personal income to be made by direct deposit into an account designated by taxpayer. The bill eliminates language that restricted such accounts to those at a bank or other financial institution.

HB 2235 took effect on September 29, 2019.

3. SB 162 (Ch. 316) Oregon 529 Accounts

SB 162 provides that a personal income taxpayer may establish an account in the Oregon 529 Savings Network through an election on a tax return form. The bill directs the Department of Revenue to provide a means for election on the form, and authorizes the Oregon 529 Savings Board to work in coordination with the DOR to provide a means for establishment of these accounts.

SB 162 applies to tax returns filed on or after January 1, 2021.

4. SB 459 (Ch. 370) Tax Credit Auctions

SB 459 decreases the reserve amounts in auctions for tax credits for certified Oregon Opportunity Grant contributions and as well as for certified film production development contributions.

SB 459 applies to tax years beginning on or after January 1, 2020, and before January 1, 2024.

III. CORPORATE INCOME TAX

1. HB 2053 (Ch. 575) Oregon Business Retention and Expansion Program

HB 2053 modifies provisions related to employment and employee compensation for the Oregon Business Retention and Expansion Program, enterprise zones, long term incentives for rural enterprise zones and business development income tax exemptions. The bill also limits the amount of a business firm's income eligible for the small city business development income tax exemption.

HB 2053 took effect on September 29, 2019.

2. HB 2127 (Ch. 203) Emergency Service Providers

HB 2127 eliminates the sunset date on the exemption for personal and corporate income taxes for many out of state emergency service providers operating in Oregon. The bill applies to all tax years beginning on or after January 1, 2016.

3. HB 2141 (Ch. 483) Transfers of Tax Credits

HB 2141 provides that the transfer of a tax credit follow uniform transfer procedures. The bill authorizes the Department of Revenue to prescribe additional procedural requirements for the transfer of credits, and requires certifying agencies to provide information about certification of tax credits to the DOR. The bill

further authorizes the director of a certifying agency to suspend or revoke a tax credit certification in certain circumstances. The bill allows the DOR to collect unpaid taxes in the case of suspension or revocation of a transferable credit, and repeals certain duplicative provisions of Oregon law.

Section 2 of the bill applies to tax credits that are transferred on or after January 1, 2020; otherwise, the bill took effect on September 29, 2019.

4. HB 2164 (Ch. 597) Tax Credit Extensions

In addition to the personal income tax provisions mentioned above, HB 2164 provides a tax credit for short-line railroad rehabilitation which is effective for tax years beginning on or after January 1, 2020, and before January 1, 2026.

The bill also extends several tax credits, including the credit for employer provided scholarships, the credit for agricultural workforce housing projects, and the credit for crop donations (ORS ch. 315).

HB 2164 took effect on September 29, 2019.

5. HB 3137 (Ch. 498) Transient Lodging Taxes

HB 3137 provides that a transient lodging tax becomes due when the occupancy of transient lodging with respect to which the tax is imposed ends. The bill provides that the transient lodging tax to be remitted with a tax return is amount of tax due with respect to all occupancy of transient lodging that ended during reporting period to which return relates.

HB 3137 takes effect on January 1, 2020.

6. HB 3138 (Ch. 499) Transient Lodging Taxes

HB 3138 provides that the exemption from the transient lodging tax for a dwelling unit that is rented out for fewer than 30 days per year does not apply to a dwelling unit rented out as transient lodging using a platform provided by a transient lodging intermediary.

HB 3138 takes effect on January 1, 2020.

IV. PROPERTY TAX

1. HB 2164 (Ch. 579) Extensions of Property Tax Exemptions

In additional to other provisions of this bill described above, HB 2164 extends the low income rental property tax exemption under ORS 307.517; the historic property special assessment under ORS 358.499; and qualified machinery and equipment property tax exemptions under ORS 307.455.

HB 2164 took effect on September 29, 2019.

2. HB 2174 (Ch. 580) Urban Renewal Plans

HB 2174 makes a number of changes regarding the adoption of Urban Renewal Plans. These changes include requiring that for urban renewal plans proposed on or after July 1, 2019, and that include public building projects, that at least three of the four taxing districts estimated to forgo the most property tax revenue under the proposed plan must concur in the proposed plan. The bill also requires a notice of hearing on the proposed urban renewal plan, or on a substantial amendment or change to the plan, to contain a statement that adoption may affect property tax rates.

HB 2174 took effect on September 29, 2019.

3. HB 2458 (Ch. 159) Tax Exemption for Biomass Steam Production

HB 2458 exempts from ad valorem property taxation any property that is owned or used by a cooperative for the purpose of providing steam or hot water heat by combustion of biomass. The bill only applies to cooperatives whose property is subject to central assessment, if more than 50 percent of interest in cooperative is owned by public entities whose property is exempt from ad valorem property taxation by virtue of such public ownership.

HB 2458 took effect on September 29, 2019.

4. HB 2460 (Ch. 488) Homestead Property Tax Deferral Program

HB 2460 amends ORS 311.695 to provide that a transferee of a homestead is not liable for amounts of outstanding deferred property taxes due on the homestead if transferee receives no interest in real or personal property from estate.

HB 2460 took effect on September 29, 2019. For more information about this bill, please see the Elder Law Chapter.

5. HB 2587 (Ch. 591) Homestead Property Tax Deferral Program

HB 2587 amends ORS 311.700 to make an exception for certain homesteads from the prohibition on reverse mortgages for participation in homestead property deferral program for seniors and persons with disabilities.

HB 2587 takes effect on September 29, 2019. For more information about this bill, please see the Housing and Real Property Chapter.

6. HB 2684 (Ch. 164) Repeal of Gigabit Service Tax Exemption

HB 2684 repeals ORS 308.673, 308.677, and 308.681. This bill is a functional repeal of SB 611, which was passed in 2015 to create an incentive to develop gigabit infrastructure in Oregon.

HB 2684 applies to tax years beginning on or after July 1, 2019.

7. HB 2699 (Ch. 492) Brownfields

In 2016, the Legislature passed HB 4084, which allowed local governments to provide property tax incentives to certain brownfields. HB 2699 provides that such properties may also be eligible for special assessment, exemption or partial exemption granted under other law for which such property is eligible.

HB 2699 took effect on September 29, 2019.

8. HB 2949 (Ch. 533) Manufactured Structures

HB 2949 amends ORS 308.250 and 446.525 to authorize a governing body of county with population of more than 570,000 to set maximum dollar amount of $34,000 or more for total assessed value of all of taxpayer's manufactured structures taxable as personal property below which such manufactured structures are not subject to ad valorem property taxation for assessment year.

HB 2949 took effect on September 29, 2019.

9. SB 769 (Ch. 628) Payment in Lieu of Property Tax

SB 769 makes several changes to the statute in order to align "payment in lieu of property tax" (PILT) notifications and collections procedures with those of the standard property tax system. This bill is an update to HB 3492 which passed in 2015 and which allows a city or county to enter into an agreement with a solar electricity generation facility to pay a $7,000 per megawatt fee in lieu of property taxes.

SB 769 applies to tax years beginning on or after July 1, 2020.

V. PRACTICE AND PROCEDURE

1. HB 2101 (Ch. 132) Partnership Audit Procedures

HB 2101 establishes audit procedures for the Department of Revenue (DOR) in conformity with federal centralized partnership audit regime. The bill allows the DOR to issue assessments and collect taxes at the partnership level based on adjustments arising from a federal partnership-level audit or an administrative adjustment request.

Certain provisions apply to partnership adjustments for partnership tax years beginning on or after January 1, 2018; and others apply to tax years beginning on or after January 1, 2019. Please consult the text of the bill for detailed information on operative dates.

2. HB 2118 (Ch. 57) Consumer Price Index

HB 2118 updates references to the Consumer Price Index in various statutes to reference the West Region CPI for All Items rather than the Portland-Salem CPI. The Bureau of Labor Statistics discontinued the Portland-Salem CPI in 2018.

HB 2118 takes effect on January 1, 2020.

3. HB 2119 (Ch. 134) Withholding Tables

HB 2119 disconnects Oregon from the federal process of creating withholding tax tables.

The bill amends ORS Chapter 316 and related statutes to require the Department of Revenue to disseminate information on withholding of personal income tax by employer on behalf of employees, in lieu of preparation of withholding table. The DOR is allowed to determine the amount, form and manner of withholding of tax.

The amendments to ORS Chapter 316 apply to wages or other income paid on or after January 1, 2020. HB 2119 generally takes effect on September 29, 2019.

4. SB 79 (Ch. 359) Department of Revenue Collections

HB 79 provides the Department of Revenue may assist public bodies, public universities and Oregon Health and Science University in collecting delinquent accounts. For additional information about this bill, please see the Debtor Creditor Chapter.

5. SB 80 (Ch. 360) Electronic Delivery of Tax Documents

SB 80 permits property tax statements and some other documents to be delivered or made available by methods other than regular mail, such as by email. The bill also allows the Department of Revenue to give oil and gas production taxpayers notice of tax and delinquency charges by regular mail or by forms of delivery other than registered mail or certified mail with return receipt.

SB 80 took effect on September 29, 2019.

6. SB 165 (Ch. 317) Oregon Retirement Savings Plans

SB 165 requires employers, on the annual tax withholding return submitted to the Department of Revenue, to indicate whether the employer offers a qualified retirement savings plan that would allow exemption from participation in Oregon Retirement Savings Plan. The bill permits the DOR to share this information with State Treasurer.

SB 165 applies to returns submitted to the DOR on or after January 1, 2020.

7. SB 523 (Ch. 336) Delinquent Tax Debtors

SB 523 authorizes the Department of Revenue to post information online about delinquent tax debtors. The bill applies to all liquidated and delinquent tax debt owed to state on or after effective date of Act and to all tax periods for which tax debt is delinquent.

SB 523 took effect on September 29, 2019.

VI. OTHER LEGISLATION

1. HB 2073 (Ch. 647) Forest Products Privilege Tax

HB 2073 simply extends and updates the privilege taxes in place on forest products harvested on forestlands in Oregon.

The bill took effect on September 29, 2019.

2. HB 3136 (Ch. 600) Transient Lodging Taxes

HB 3136 requires the Oregon Tourism Commission to transfer moneys to the Department of Revenue for the DOR's use in collecting local transient lodging taxes on a local, rather than regional, level on behalf of units of local government. The Department is required to reimburse the Commission, without interest, from reimbursement charges that would be withheld from state transient lodging tax revenues by transient lodging intermediaries but for disallowance of such charges under the statute. The bill provides that the reimbursement of the Commission is pursuant to a repayment schedule agreed to by the DOR and the Commission before the transfer of moneys to the DOR.

HB 3136 took effect on September 29, 2019.

3. SB 185 (Ch. 240) Master Settlement Agreement Update

SB 185 makes a number of changes to ORS Chapter 323 related to the Master Settlement Agreement (MSA), which settled claims against tobacco manufacturers in 1998.

Among the updates to the statute, the bill prohibits a person licensed to distribute cigarettes or tobacco products from affixing Oregon tax stamps or purchasing untaxed roll- your-own tobacco unless the person certifies to Attorney General that cigarettes or tobacco was purchased directly from manufacturer or importer. For those manufacturers who are not parties to the MSA, the bill provides that a manufacturer making payments to a qualified escrow fund may assign interest on the fund to the State.

SB 185 took effect on June 4, 2019.